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TAXATION PRINCIPLES AND COMPLIANCE

Study Text

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SHAPING FUTURE BUSINESS AND FINANCE LEADERS

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TAXATION PRINCIPLES AND COMPLIANCE

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CHAPTER 1

SYSTEM OF TAXATION IN PAKISTAN

IN THIS CHAPTER:

1 Objectives of tax laws

2 Basics of taxation laws

3 Introduction to different taxation laws of Pakistan

4 History of tax laws in Pakistan

1 OBJECTIVES OF TAX LAWS

1.1 Definition of taxation

Taxation is defined in many ways; a common definition is as under:

- It is the process by which the sovereign, through its law-making body, raises revenues to use them for expenses of government.
- It is a means for the government to increase its revenue under the authority of the law, purposely used to promote welfare and protection of its citizenry.
- It is the collection of the share of individual and organisational income by a government under the authority of the law.

1.2 Revenue & Non-revenue objectives

Taxes are primary revenue-yielding tools of the Government of modern times. The government levies taxes to achieve the following objectives:

- For collection of revenue to run and administer the Government;
- To use as a tool for implementation of its policies; and
- For fair distribution of wealth.

Aside from purely financing government operational expenditures, taxation is also utilised as a tool to carry out the national objective of social and economic development.

- To strengthen anaemic enterprises by granting them tax exemptions or other conditions or incentives for growth;
- To protect local industries against foreign competition by increasing local import taxes;
- As a bargaining tool in trade negotiations with other countries;
- To counter the effects of inflation or depression;
- To reduce inequalities in the distribution of wealth;
- To promote science and invention, finance educational activities or maintain and improve the efficiency of local forces;
- To implement laws which eliminate discrimination among various elements in the markets/businesses.
- To discourage certain undesirable sectors and activities.

▶ *Illustration: Objectives of Taxation Laws*

Explain what the objectives of the following tax laws are:

Tax Law	Objective
Tax on salary income	Revenue Collection
Any amount transferred otherwise than through a banking channel will be deemed as income	Documentation of economy
Tax on moveable assets of the taxpayers	Fair distribution of wealth
Higher taxes on import of luxury goods	Reduction in imports of unnecessary goods and create a good balance of trade
Allowability of expenditure of research & developments	Promotion of research & developments

Tax Law	Objective
Zero rating on Exports	Promotion of Exports
Tax credit on donations to approved institutions	To encourage charitable and welfare activities through recognised and regulated organisations
Tax credit on contribution to an Approved Pension Fund	To encourage long-term savings and voluntary retirement planning by individuals.
Tax incentives for specified IT and software-related activities	Promote software industry

1.3 Taxes as a means for development

Taxes are one of the main sources for development. This is not because revenue collected by the state is used on developmental projects. Rather, taxes can be used in many different ways for the development of the country. Some examples are as under:

- The Government can declare some areas as free zones, industrial zones, and economic zones and provide tax incentives to such areas. Such incentives could attract businessman/industrialist who may opt to establish business concerns/industrial units that would bring employment, opportunities and overall prosperity in these underdeveloped areas.
- Taxing the rich at higher rates while taxing the low-income groups at lower tax rates.
- Imposition of high customs duty rates on luxury items. This promotes the local manufacturing industry.
- Tax credits on charitable donations to promote welfare activities.
- Tax exemptions to charity organisation/educational institutions to promote these activities.
- Exemption of tax to the agriculture sector to promote agriculture.

  Agricultural income is generally subject to the applicable provincial tax framework rather than the federal income tax regime, subject to the constitutional and statutory provisions governing such income.

2 BASICS OF TAXATION LAWS

2.1 Basics of tax laws

Adam Smith in his famous book "Wealth of Nations" has elaborated the following canons of Taxation:

- Equality

  Tax payments should be proportional to income and applied equally to all concerned areas

- Certainty

  Tax liabilities should be clear and certain

- Convenience of payment

  Taxes should be collected at a time and in a manner convenient for the taxpayer

- Economy of collection

  Taxes should not be expensive to collect and should not discourage business.

Principles for levy of tax

Following are some broad principles for levy of taxes:

- The Benefit Principle

  This principle holds that individuals should be taxed in proportion to the benefits they receive from the government and that taxes should be paid by those people who receive the direct benefit of government programs and projects out of the taxes paid.

- The Ability-to-Pay Principle

  This principle holds that taxes should relate to the person's income or the ability to pay; that is, those with higher income or wealth who can afford to pay should be taxed. Similarly, the rate of tax could increase with higher income.

- The Equal-Distribution Principle

  Income, wealth and transactions may be taxed at a fixed percentage; that is, people who earn more and spend more should pay more taxes, but not pay a higher rate of tax.

Kinds of taxes

- Proportional tax/Flat Tax

  A tax system that requires the same percentage of income from all taxpayers regardless of their earnings. A proportional tax applies the same tax rate across low, middle and high-income taxpayers. The proportional tax is in contrast to a progressive tax, where taxpayers with higher incomes pay higher tax rates than taxpayers with lower incomes. A proportional tax is also called a flat tax.

  For example, the flat 15% tax on dividend income, where the rate remains constant regardless of the total dividend received.

- Regressive tax

  A tax that takes a larger percentage from a person's low income than from another person's high-income. A regressive tax is generally a tax that is applied uniformly. This means that it hits lower-income individuals harder.

  For example, Sales Tax at 18% on consumer goods. A lower-income earner spends a larger proportion of their income on this tax compared to a higher-income earner buying the exact same good.

- Progressive tax

  A tax that takes a larger percentage from high-income earners than it does from low-income earners. In other words, the more one earns, the more tax they would have to pay. The tax amount is proportionately equal to someone's status in society. A rich man should pay more than a poor man.

  For example, the tax slabs for salaried and non-salaried individuals, where the tax rate progressively increases from 0% to 35% as taxable income increases.

Characteristics of tax laws

The following are major characteristics of a taxation system:

- Tax is an enforced contribution

  Tax payment is not voluntary in nature, and the imposition is not dependent upon the will of the person taxed.

- Tax is generally payable in money through prescribed modes

  Tax is generally paid in money through the modes and procedures prescribed under the relevant tax law. The applicable law may specify the authorised methods and channels for payment of tax.This means that payment by cheque, promissory note, or in kind is not accepted.

- Tax may be proportional, progressive or regressive

  Payment of taxes should be based on the ability to pay principle; the higher the income of the taxpayer, the bigger amount of the tax paid.

- Tax is levied (to impose; collect) on income, transactions or property

  There are taxes that are imposed or levied on acts, rights or privileges.

- Tax is levied by the state, which has jurisdiction over the person or property

  As a general rule, only persons, properties, acts, rights, or transactions within the jurisdiction of the taxing state are subject to taxation.

- Tax is levied by the law-making body of the state

  This means that the law must be enacted first by the Parliament in Pakistan.

- Tax is generally levied for public purposes

  Taxes are imposed primarily to raise revenue for the provision of public services and the financing of government expenditure. Taxation may also be used to achieve broader economic and social policy objectives.

The principles of a sound tax system

- **Fiscal adequacy**

  The sources of revenue taken as a whole should be sufficient to meet the expenditures of the government, regardless of business, export taxes, trade balances and problems of economic adjustments. Revenues should be capable of expanding or contracting annually in response to variations in public expenditures.

- **Equality or Theoretical Justice**

  Taxes levied must be based upon the ability of the citizen to pay.

- **Administrative Feasibility**

  In a successful tax system, taxes should be clear and plain to taxpayers, capable of enforcement by adequate and well-trained public officials, convenient as to the time and manner of payment and not unduly burdensome to discourage business activity.

- **Consistency or Compatibility with Economic Goals**

  Tax laws should be consistent with economic goals or programs of the government which pertain to basic services intended for the masses.

3 INTRODUCTION TO DIFFERENT TAXATION LAWS OF PAKISTAN

3.1 Brief overview of different direct and indirect taxes

Pakistan's tax system comprises taxes administered by both the Federal Government and the Provincial Governments. Taxes may broadly be classified into direct taxes and indirect taxes according to the nature of the tax and the manner in which its economic burden is generally borne.

At the federal level, the principal direct tax is income tax, while the major indirect taxes include sales tax on goods, customs duties and federal excise duty. Provincial governments also levy and administer various taxes, including sales tax on services and certain taxes on property, professions and other matters within their constitutional and legislative competence. A broad description regarding the nature of administration of these taxes is explained below:

DIRECT TAXES

Direct taxes are taxes generally imposed on the person or entity intended to bear the economic burden of the tax, such as taxes on income or certain forms of wealth. The economic burden of a direct tax is generally not intended to be shifted to another person.

Income Tax

Income tax is the principal federal direct tax. Under the Income Tax Ordinance, 2001, tax is generally charged on the taxable income of a person for a tax year at the rates prescribed for the relevant taxpayer and income.

For purposes of computing total income, income is classified under the following heads:

- Salary
- Income from property
- Income from business
- Capital gains; and
- Income from other sources

Capital Value Tax

Capital Value Tax (CVT) is imposed on specified assets, transactions or rights under the relevant tax legislation. Its applicability, rate and scope depend upon the nature of the asset or transaction and the applicable law.

INDIRECT TAXES

Indirect taxes are taxes imposed on transactions, goods, services or activities where the economic burden of the tax may generally be shifted, wholly or partly, from the person legally liable to account for the tax to another person, such as the ultimate consumer.

Example: In the case of sales tax, a registered person generally charges output tax on taxable supplies and, subject to the applicable provisions, adjusts admissible input tax paid on purchases and imports against its output tax liability. The economic burden of the tax is generally intended to fall ultimately on the final consumer.

The following are the indirect taxes under the Pakistani Taxation System.

Custom Duty

Goods imported and exported from Pakistan are liable to rates of customs duties as prescribed in the Pakistan Customs Tariff. Customs duties in the form of import duties and export duties constitute a major part of the total tax receipts. The rate structure of customs duty is determined by a large number of socio-economic factors. However, the general scheme envisages higher rates on luxury items as well as on less essential goods. The import tariff has been given an industrial bias by keeping the duties on industrial plants and machinery and raw material lower than those on consumer goods.

Federal Excise Duty

Federal Excise Duty (FED) is levied under the Federal Excise Act, 2005 on specified goods manufactured or produced in Pakistan, goods imported into Pakistan and specified services provided or rendered in Pakistan, at the rates and in the manner prescribed under the relevant law. Depending on the nature of the goods or services, FED may be charged on the basis of value, quantity, retail price or another prescribed basis. Classification of goods is done in accordance with the Harmonised Commodity Description and Coding System, which is being used all over the world. All exports are subject to a zero per cent Federal Excise Duty. Additionally, any duty paid on these goods is refundable from the tax department in accordance with the applicable rules. Examples include duty on tobacco, cigarettes, and cigarette substitutes.

Sales Tax

Under the federal sales tax regime, sales tax is generally levied on:

- taxable goods imported into Pakistan, payable by the importer; and
- taxable supplies of goods made in Pakistan by a registered person in the course or furtherance of a business.
- Sales tax on services is generally administered separately under the relevant federal or provincial legislation, depending upon the jurisdiction.

The sales tax system incorporates an input tax adjustment mechanism under which a registered person may, subject to the relevant provisions and restrictions, adjust admissible input tax against output tax payable on taxable supplies. The applicable rate of sales tax varies according to the nature of the goods, the applicable statutory provisions and the relevant tax regime. In Pakistan, the government has the flexibility to levy sales tax at varying rates, which may be higher or lower than 18%.

4 HISTORY OF TAX LAWS IN PAKISTAN

4.1 History of tax laws in Pakistan

In Pakistan, the Federal Government is empowered to levy and collect tax on the income of a person. The history of modern income taxation dates back to the year 1860. The British Empire introduced the first formal Income Tax Act of 1860 in an effort to end the budgetary deficit faced due to the war of independence of 1857. The tax was not intended to be permanent and was repealed in 1865.

The Income Tax Act of 1886 was a general income tax that had been imposed on traders by some of the provinces. This Act of 1886 was a great improvement on earlier enactments. Its basic scheme, by and large, survives till today. It introduced the definition of "agricultural income" which is almost the same as in the Income Tax Ordinance 2001. This Act continued in force for 32 years.

The 1918 Act consolidated a number of wartime amendments. A graduated super tax on income over Rs. 50,000 and on the undistributed profits of the corporation and other entities was introduced by the Super Tax Act of 1917 and continued in force through modifications by the Super Tax Act of 1920. The Income Tax Act and the Super Tax Act were later on consolidated in another act, i.e. the Income Tax Act of 1922, which remained in force in Pakistan till 30th June 1979; when the new law was promulgated, i.e. the Income Tax Ordinance, 1979, with effect from 1st July 1979.

The Income Tax Ordinance, 1979 was subsequently amended through various presidential ordinances, Finance Acts and notifications (SROs). On 13 September 2001, the Income Tax Ordinance, 2001 was promulgated, replacing the Income Tax Ordinance, 1979. The new Ordinance came into effect from 1 July 2002.

CHAPTER 2

CONSTITUTIONAL PROVISIONS ON TAXES

IN THIS CHAPTER:

1. Federal financial procedures
2. Provincial financial procedures
3. Federal legislative list

1 FEDERAL FINANCIAL PROCEDURES

1.1 Introduction

The Constitution distributes powers among the Federation and Provinces. It provides procedures for levy and collection of taxes as well as procedures for use of funds received from taxes or by the Federation from any other source. This chapter is divided into three main areas, which are as follows:

- Federal Financial Procedures
- Provincial Financial Procedures
- Distribution of Revenues between Federation & Provinces

These areas are now explained in detail in the upcoming paragraphs.

1.2 Federal consolidated fund and public account and expenditure to be charged to Federal constitutional fund

1.2.1 Federal consolidated fund and public account [Article 78]

- All revenues received by the Federal Government, all loans raised by that Government and all moneys received by it in repayment of any loan, shall form part of a consolidated fund, to be known as the Federal Consolidated Fund.
- All other moneys:
  - received by or on behalf of the Federal Government; or
  - received by or deposited with the Supreme Court or any other court established under the authority of the Federation;

  shall be credited to the Public Account of the Federation.

1.2.2 Custody of federal consolidated fund and public account [Article 79]

The custody of the Federal Consolidated Fund, the payment or moneys into that Fund, the withdrawal of moneys there from, the custody of other moneys received by or on behalf of the Federal Government, their payment into, and withdrawal from, the Public Account of the Federation, and all matters connected with or ancillary to the matters aforesaid shall be regulated by Act of Majlis-e-Shoora (Parliament) or, until provision in that behalf is so made, by rules made by the President.

1.2.3 Annual budget statement [Article 80]

- The Federal Government shall, in respect of every financial year, cause to be laid before the National Assembly a statement of the estimated receipts and expenditure of the Federal Government for that year, in this Part, referred to as the annual budget statement.
- The annual budget statement shall show separately:
  - the sums required to meet expenditure described by the Constitution as expenditure charged upon the Federal Consolidated Fund; and
  - the sums required to meet other expenditure proposed to be made from the Federal Consolidated Fund; and
- The annual budget statement shall distinguish expenditure on revenue account from other expenditure.

1.2.4 Expenditure charged upon federal consolidated fund [Article 81]

The following expenditure shall be expenditure charged upon the Federal Consolidated Fund:-

- the remuneration payable to the President and other expenditure relating to his office, and the remuneration payable to-
  - the Judges of the Federal Constitutional Court, Supreme Court and the Islamabad High Court
  - the Chief Election Commissioner;
  - the Chairman and the Deputy Chairman;
  - the Speaker and the Deputy Speaker of the National Assembly;
  - the Auditor-General;
- The administrative expenses, including the remuneration payable to officers and staff of the Federal Constitutional Court, Supreme Court, the Judicial Commission of Pakistan, the Supreme Judicial Council, the Islamabad High Court, the department of the Auditor-General, the Office of the Chief Election Commissioner and of the Election Commission and the Secretariats of the Senate and the National Assembly;
- All debt charges for which the Federal Government is liable, including interest, sinking fund charges, the repayment or amortisation of capital, and other expenditure in connection with the raising of loans, and the service and redemption of debt on the security of the Federal Consolidated Fund;
- Any sums required to satisfy any judgment, decree or award against Pakistan by any court or tribunals;
- Any sums required to organize and conduct elections to the National Assembly, Senate, Provincial Assemblies and the local governments; and
- Any other sums declared by the Constitution or by Act of Majlis-e-Shoora (Parliament) to be so charged.

1.2.5 Procedure relating to Annual Budget Statement [Article 82]

- So much of the Annual Budget Statement as relates to expenditure charged upon the Federal Consolidated Fund may be discussed in, but shall not be submitted to the vote of, the National Assembly.
- So much of the Annual Budget Statement as relates to other expenditure shall be submitted to the National Assembly in the form of demands for grants, and the Assembly shall have power to assent to, or to refuse to assent to, any demand, or to assent to any demand subject to a reduction of the amount specified therein;

However, for a period of ten years from the commencing day or the holding of the second general election to the National Assembly, whichever occurs later, a demand shall be deemed to have been assented to without any reduction of the amount specified therein, unless, by the votes of a majority of the total membership of the Assembly, it is refused or assented to subject to a reduction of the amount specified therein.

- No demand for a grant shall be made except on the recommendation of the Federal Government.

1.2.6 Authentication of schedule of authorised expenditure [Article 83]

1. The Prime Minister shall authenticate by his signature a schedule specifying:
   a) the grants made or deemed to have been made by the National Assembly under Article 82, and
   b) the several sums required to meet the expenditure charged upon the Federal Consolidated Fund but not exceeding, in the case of any sum, the sum shown in the statement previously laid before the National Assembly.
2. The schedule so authenticated shall be laid before the National Assembly, but shall not be open to discussion or vote thereon.
3. Subject to the Constitution, no expenditure from the Federal Consolidated Fund shall be deemed to be duly authorised unless it is specified in the schedule so authenticated and such schedule is laid before the National Assembly as stated above.

1.2.7 Supplementary and excess grants [Article 84]

If in respect of any financial year it is found that:

a) the amount authorized to be expended for a particular service for the current financial year is insufficient, or that a need has arisen for expenditure upon some new service not included in the Annual Budget Statement for that year; or

b) any money has been spent on any service during a financial year in excess of the amount granted for that service for that year;

The Federal Government shall have power to authorize expenditure from the Federal Consolidated Fund, whether the expenditure is charged by the Constitution upon that Fund or not, and shall cause to be laid before the National Assembly a Supplementary Budget Statement or, as the case may be, an Excess Budget Statement, setting out the amount of that expenditure, and the provisions of Articles 80 to 83 shall apply to those statements as they apply to the annual budget statement.

1.2.8 Votes on account [Article 85]

Not with standing anything contained in the foregoing provisions relating to financial matters, the National Assembly shall have power to make any grant in advance in respect of the estimated expenditure for a part of any financial year, not exceeding four months, pending completion of the procedure prescribed in Article 82 for the voting of such grant and the authentication of the schedule of authorized expenditure in accordance with the provisions of Article 83 in relation to the expenditure.

1.2.9 Power to authorise expenditure when assembly stands dissolved [Article 86]

Not with standing anything contained in the foregoing provisions relating to financial matters, at any time when the National Assembly stands dissolved, the Federal Government may authorize expenditure from the Federal Consolidated Fund in respect of the estimated expenditure for a period not exceeding four months in any financial year, pending completion of the procedure prescribed in Article 82 for the voting of grants and the authentication of the schedule of authorized expenditure in accordance with the provisions of Article 83 in relation to the expenditure

1.2.10 Secretariats of Majlis-e-Shoora (Parliament) [Article 87]

- Each House shall have a separate Secretariat:
- Provided that nothing in this clause shall be construed as preventing the creation of posts common to both Houses.
- Majlis-e-Shoora (Parliament) may by law regulate the recruitment and the conditions of service of persons appointed to the Secretarial staff of either House.
- Until provision is made by Majlis-e-Shoora (Parliament) under clause (2), the Speaker or, as the case may be, the Chairman may, with the approval of the President, make rules regulating the recruitment and the conditions of service, of persons appointed to the secretarial staff of the National Assembly or the Senate.

1.2.11 Finance committees [Article 88]

- The expenditure of the National Assembly and the Senate within authorised appropriations shall be controlled by the National Assembly or, as the case may be, the Senate acting on the advice of its Finance Committee.
- The Finance Committee shall consist of the Speaker or, as the case may be, the Chairman, the Minister of Finance and such other members as may be elected thereto by the National Assembly or, as the case may be, the Senate.
- The Finance Committee may make rules for regulating its procedure.

2 PROVINCIAL FINANCIAL PROCEDURES

2.1 Introduction

Provincial Financial Procedures are almost the same as Federal Financial Procedures. However, these are discussed in detail for clarity on the issue

2.2 Provincial consolidated fund and public account and expenditure to be charged to Provincial consolidated fund

2.2.1 Provincial consolidated fund and public account [Article 118]

- All revenues received by the Provincial Government, all loans raised by that Government, and all moneys received by it in repayment of any loan, shall form part of a consolidated fund, to be known as the Provincial Consolidated Fund.
- All other moneys:
  - received by or on behalf of the Provincial Government; or
  - received by or deposited with the High Court or any other court established under the authority of the Province;

Shall be credited to the Public Account of the Province.

2.2.2 Custody of provincial consolidated fund and public account [Article 119]

The custody of the Provincial Consolidated Fund, the payment of moneys into that Fund, the withdrawal of moneys therefrom, the custody of other moneys received by or on behalf of the Provincial Government, their payment into, and withdrawal from, the Public Account of the Province, and all matters connected with or ancillary to the matters aforesaid, shall be regulated by Act of the Provincial Assembly or, until provision in that behalf is so made, by rules made by the Governor.

2.2.3 Annual budget statement [Article 120]

- The Provincial Government shall, in respect of every financial year, cause to be laid before the Provincial Assembly a statement of the estimated receipts and expenditure of the Provincial Government for that year, in this Chapter referred to as the Annual Budget Statement.
- The annual budget statement shall show separately:
  - The sums required to meet expenditure described by the Constitution as expenditure charged upon the Provincial Consolidated Fund; and
  - The sums required to meet other expenditure proposed to be made from the Provincial Consolidated Fund;

and shall distinguish expenditure on revenue account from other expenditure.

2.2.4 Expenditure charged upon provincial consolidated fund [Article 121]

- The following expenditure shall be expenditure charged upon the Provincial Consolidated Fund:
  - The remuneration payable to the Governor and other expenditure relating to his office, and the remuneration payable to:
    - the Judges of the High Court; and
    - the Speaker and Deputy Speaker of the Provincial Assembly;
    - the administrative expenses, including the remuneration payable to officers and servants, of the High Court and the Secretariat of the Provincial Assembly;

- All debt charges for which the Provincial Government is liable, including interest, sinking fund charges, the repayment or amortization of capital, and other expenditure in connection with the raising of loans, and the service and redemption of debt on the security of the Provincial Consolidated Fund;
- Any sums required to satisfy any judgment, decree or award against the Province by any court or tribunal; and
- Any other sums declared by the Constitution or by Act of the Provincial Assembly to be so charged.

2.2.5 Procedure relating to annual budget statement [Article 122]

- So much of the Annual Budget Statement as relates to expenditure charged upon the Provincial Consolidated Fund may be discussed in, but shall not be submitted to the vote of, the Provincial Assembly.
- So much of the Annual Budget Statement as relates to other expenditure shall be submitted to the Provincial Assembly in the form of demands for grants, and that Assembly shall have power to assent to, or to refuse to assent to, any demand, or to assent to any demand subject to a reduction of the amount specified therein:
- No demand for a grant shall be made except on the recommendation of the Provincial Government.

2.2.6 Authentication of schedule of authorised expenditure [Article 123]

- The Chief Minister shall authenticate by his signature a schedule specifying:
  - The grants made or deemed to have been made by the Provincial Assembly under Article 122 and
  - The several sums required to meet the expenditure charged upon the Provincial Consolidated Fund but not exceeding, in the case of any sum, the sum shown in the statement previously laid before the Assembly.
- The schedule so authenticated shall be laid before the Provincial Assembly, but shall not be open to discussion or vote thereon.
- Subject to the Constitution, no expenditure from the Provincial Consolidated Fund shall be deemed to be duly authorized unless it is specified in the schedule so authenticated and such schedule is laid before the Provincial Assembly as stated above.

2.2.7 Supplementary and excess grants [Article 124]

If in respect of any financial year it is found that:

- the amount authorized to be expended for a particular service for the current financial year is insufficient, or that a need has arisen for expenditure upon some new service not included in the annual budget statement for that year; or
- any money has been spent on any service during a financial year in excess of the amount granted for that service for that year;

The Provincial Government shall have power to authorize expenditure from the Provincial Consolidated Fund, whether the expenditure is charged by the Constitution upon that Fund or not, and shall cause to be laid before the Provincial Assembly a Supplementary Budget Statement or, as the case may be, an Excess Budget Statement, setting out the amount of that expenditure, and the provisions of Article 120 to 123 shall apply to those statements as they apply to the annual budget statement.

2.2.8 Votes on account [Article 125]

Not with standing anything contained in the foregoing provisions relating to financial matters, the Provincial Assembly shall have power to make any grant in advance in respect of the estimated expenditure for a part of any financial year, not exceeding three months, pending completion of the procedure prescribed in Article 122 for the voting of such grant and the authentication of the schedule of expenditure in accordance with the provisions of Article 123 in relation to the expenditure.

2.2.9 Power to authorise expenditure when assembly stands dissolved [Article 126]

Not with standing anything contained in the foregoing provisions relating to financial matters, at any time when the Provincial Assembly stands dissolved, the Provincial Government may authorize expenditure from the Provincial Consolidated Fund in respect of the estimated expenditure for a period not exceeding four months in any financial year, pending completion of the procedure prescribed in Article 122 for the voting of grants and the authentication of the schedule of authorized expenditure in accordance with the provisions of Article 123 in relation to the expenditure.

2.2.10 Provisions relating to Provincial Assembly, etc., to apply to provincial assembly, etc. [Article 127]

- Subject to the Constitution, the provisions of clauses (2) to (8) of Article 53, clauses (2) and (3) of Article 54, Article 55, Articles 63 to 67, Article 69, Article 77, Article 87 and Article 88 shall apply to and in relation to a Provincial Assembly or a committee or members thereof or the Provincial Government, but so that:
  - any reference in those provisions to Majlis-e-Shoora (Parliament), a House or the National Assembly shall be read as a reference to the Provincial Assembly;
  - any reference in those provisions to the President shall be read as a reference to the Governor of the Province;
  - any reference in those provisions to the Federal Government shall be, read as a reference to the Provincial Government;
  - any reference in those provisions to the Prime Minister shall be read as a reference to the Chief Minister.
  - any reference in those provisions to a Federal Minister shall be read as a reference to a Provincial Minister.
  - any reference in those provisions to the National Assembly of Pakistan shall be read as a reference to the Provincial Assembly in existence immediately before the commencing day.

3 FEDERAL LEGISLATIVE LIST

3.1 Introduction

Federal Legislative List defines the areas whereby Federal Government can legislate to collect revenue. This is a long list, however, we herein discuss the areas which relate to taxation.

3.2 Powers of the Federation to legislate on taxes

Following entries in the Federal legislative list as contained in the Constitution of Pakistan relates to taxes:

Entry No	Taxes which can be imposed by the Federation
43.	Duties of customs, including export duties.
44.	Duties of excise, including salt, but not including alcoholic liquors, opium or other narcotics;
47.	Taxes on income other than agricultural income;
48.	Taxes on corporations.
49.	Taxes on the sales and purchases of goods imported, exported, produced, manufactured or consumed, except sales tax on services.
50.	Taxes on the capital value of the assets, not including taxes on immovable property.
51.	Taxes on mineral oil, natural gas and minerals for use in generation of nuclear energy.
52.	Taxes and duties on the production capacity of any plant, machinery, undertaking, establishment or installation in lieu of any one or more of them.
53.	Terminal taxes on goods or passengers carried by railway, sea or air; taxes on their fares and freights.

Keeping in view the above provisions, following laws are enacted by the Federal Government:

Legislative powers of Federation	Laws enacted thereunder
Taxes on income other than agricultural income; Taxes on corporations. Taxes on mineral oil, natural gas and minerals for use in generation of nuclear energy.	Income Tax Ordinance, 2001
Taxes on the sales and purchases of goods imported, exported, produced, manufactured or consumed, except sales tax on services Taxes and duties on the production capacity of any plant, machinery, undertaking, establishment or installation in lieu of any one or more of them.	Sales Tax Act, 1990, Federal Excise Act, 2005, Customs Act, 1969
Taxes on the capital value of the assets, not including taxes on immovable property.	Capital Value Tax levied through Finance Act, 1989

3.3 Powers of the Provinces to legislate on taxes

All taxes other than the mentioned in above list of Federal legislative list as contained in the Constitution of Pakistan are covered in the scope of legislation of Provinces. Accordingly, various types of taxes are introduced by the Provinces:

- Sales tax on services
- Taxes on transfer of immovable property
- Professional tax
- Tax on luxury houses
- Tax on registration of luxury vehicles etc.
- Property tax

CHAPTER 3

ETHICS

IN THIS CHAPTER:

1. Ethics
2. Ethics for Tax Legislators
3. Ethics for tax administrators
4. Ethics for tax practitioners
5. Ethics for taxpayers
6. Code of Ethics for Chartered Accountants as applicable to Tax Services

1 ETHICS

1.1 Ethics – meanings and application

The word ethics is derived from the Greek word ethos, meaning “character”. The Latin word mores means “customs” and is the root of the word morality. Aristotle was one of the first great philosophers to study ethics. To him, ethics was more than a moral or legal concept. He believed that an important element of ethical behaviour is the knowledge that actions should contribute to the common good. He asked whether actions performed by individuals or groups are good both for an individual or a group and for society. Aristotle identified virtues such as temperance, courage and justice as important to ethical conduct:

2 ETHICS FOR TAX LEGISLATORS

"Legislative office is a public trust, and every effort to realise personal gain through official conduct is a violation of that trust"

The constitution mandates the legislature to enact a code of ethics prohibiting conflicts between the public duty and private interests of members of the legislature, disclosure of prohibited conduct and financial interest (if any) and post-service restrictions. In addition, the constitution requires that the legislature enact a code of ethics for all officials and employees of the state and its political subdivisions

3 ETHICS FOR TAX ADMINISTRATORS

3.1 Powers of tax administrators

The tax administration is not responsible for tax policy and tax legislation but deals with current tax system. Federal Board of Revenue is empowered under the law to monitor, assess, levy and collect taxes as provided in the tax statutes. There are a number of occasions whereby they possess any of the following powers:

- Assess taxes (including best judgment);
- Collect Revenue;
- Seize Property;
- Attach bank accounts;
- Commence legal (criminal/civil) proceedings against taxpayer

Such powers may be misused and can become abusive powers as exercise of that power can result in the following against the taxpayer:

- Loss of property and income;
- Imprisonment

So, these powers can result in the loss of some of the fundamental human rights of the taxpayer. Ethics tend to bring these powers within the principles of goodness and morality.

▶ *Illustration:*

Mr. Zahid is running a textile unit, and a tax liability of Rs. 5 million has been assessed against him. His bank account balance is Rs. 10 million. However, he needs these funds to fulfil his export orders. If he fails to fulfil the orders, he may lose his customers and the related business. Considering his critical financial position, Zahid believes that recovery of the tax liability by attachment of his bank account would cause serious and potentially irreparable harm to his business. So, he files a request to FBR for allowing him to pay the tax dues in instalments.

The relevant tax authority may, where authorised by law, consider a request for payment in instalments or initiate recovery proceedings, including recovery from a bank account. Justice and equity demands that his request should be entertained so that his continuation and prosperity of business would eventually result in payment of better taxes in future whereas recovery of tax could jeopardise his business operations.

▶ *Illustration:*

The Income Tax Ordinance, sales tax law and Federal Excise law empower the relevant tax authorities to select cases for audit. This power could be misused if cases were selected arbitrarily or inconsistently. Accordingly, audit-selection powers should be exercised in accordance with the law and on objective, rational and ethical grounds.

3.2 Pillars of tax administration

In order to safeguard the interest of taxpayers and avoid abuse of powers by the tax administration, following four pillars of Tax administration are defined:

1. **Fairness**

   Strive to be impartial, fair, neutral and consistent in administering the law without regard to race, social or economic circumstances.

2. **Transparency**

   All Proceedings must be transparent and must be seen as transparent.

3. **Equity**

   Best tax administration is not that which collects most revenue. Rather it depends on how this revenue generation is actually accomplished. Whether all stakeholders are taxed fairly or tax is collected from the poor/salaried class after failing to collect taxes from entrepreneurs/businesses. Thus, equity demands that tax administrators should not achieve their objectives in an irrational manner.

4. **Accountability**

   There must be a strong system of accountability for wrong doers which should curb corruption, nepotism and maladministration.

   Under the four pillars, some of the ethical issues facing tax administration are:

   1. Acceptance of gifts
   2. Conflict of Interest
   3. Selective application of the law/ or inconsistency in applying the law
   4. Political influence
   5. Confidentiality/secrecy
   6. Discretion
   7. Corruption
   8. Lack of Autonomy

   In order to avoid pitfalls of the abusive use of discretion, seven principles for structuring discretion are defined which are as under:

   - Open plans
   - Open policy statements
   - Open rules
   - Open findings
   - Open reasons
   - Open precedents
   - Fair informal procedure

3.3 Responsibilities of the tax implementing authorities

A concise code which can enlist responsibilities of Tax Administrators can be as under:

1. Obey all laws relating to taxation and grant no exemptions, credit or advantage to any taxpayer that is not provided by the law;
2. Be dedicated to the highest ideals of honesty and integrity in all matters in order to maintain the respect and confidence of the government and taxpayers;
3. Strive to be impartial, fair, neutral and consistent in administering the law without regard to race, social status or economic circumstances;
4. Provide prompt, efficient and quality service to all stakeholders in an effort to exceed their expectations;
5. Refrain from actively participating in partisan political activities;
6. Accurately record proceedings and maintain taxpayer information in the strictest confidence and highest level of security;
7. Refrain from soliciting gifts for actions and non-actions;
8. Make reasonable effort to collect the proper amount of tax revenue due at the lowest possible cost to the state, and in a manner that warrants the highest degree of confidence in our integrity, efficiency, effectiveness and fairness;
9. Respond to valid taxpayer refund claims with the same diligence as employed in collection of taxes;
10. Educate taxpayers on their rights and responsibilities to ensure the highest possible levels of voluntary compliance to the laws.

4 ETHICS FOR TAX PRACTITIONERS

4.1 Moral and Ethical principles governing tax practitioners

There are five fundamental principles of ethics for tax practitioners. These are set out below:

1. **Integrity**

   Tax Practitioners should be straightforward and honest in all professional and business relationships. Integrity implies not just honesty but also fair dealing and truthfulness.

2. **Objectivity**

   Tax practitioners should not allow bias, conflicts of interest or undue influence of others to override their professional or business judgments.

3. **Professional competence and due care**

   Tax Practitioners have a duty to maintain their professional knowledge and skill at such a level that a client or employer receives competent service, based on current developments in practice, legislation and techniques. Tax practitioners should act diligently and in accordance with applicable technical and professional standards.

4. **Confidentiality**

   Tax Practitioners should respect the confidentiality of information acquired as a result of professional and business relationships and should not disclose such information to third parties without authority or unless there is a legal or professional right or duty to disclose. Confidential information acquired as a result of professional and business relationships should not be used for the personal advantage of tax practitioners or third parties.

5. **Professional behaviour**

   Tax practitioners should comply with relevant laws and regulations and should avoid any action which discredits the profession.

   They should behave with courtesy and consideration towards all with whom they come into contact in their professional capacity.

5 ETHICS FOR TAXPAYERS

5.1 Morality behind tax compliance

Ethical Conduct in Tax Compliance

Tax compliance means following tax laws honestly and responsibly. Taxpayers are expected to manage their tax affairs in a manner that reflects both legal compliance and ethical responsibility.

Taxpayers should follow these ethical principles:

1. Provide accurate information – Give complete and truthful information in tax returns, declarations, and communications with tax authorities.
2. Keep proper records – Maintain necessary documents and records to support income, expenses, deductions, and tax claims.
3. Pay taxes on time – File tax returns and pay the required taxes within the prescribed deadlines.
4. Avoid dishonesty – Do not hide income, provide false information, or manipulate facts to reduce tax liability illegally. Avoid deliberate concealment of income.
5. Deal honestly with tax authorities – Respond to questions and requests from tax authorities honestly, respectfully, and cooperatively.
6. Follow the spirit of tax laws – Respect not only the legal requirements but also the purpose of tax laws. Tax arrangements should have genuine business or personal reasons and should not be created only to gain improper tax benefits.
7. Understand the social responsibility of taxation – Recognize that taxes help fund public services, infrastructure, education, healthcare, and national development.
8. Promote fairness in society – Ethical tax compliance builds trust in the tax system, encourages voluntary compliance, and contributes to a fair and equitable society.

5.2 Tax avoidance and evasion

In recent years, tax avoidance has been the subject of considerable public concern. Tax avoidance generally involves arrangements that comply with the law, although aggressive or abusive avoidance may comply with the letter of the law while frustrating its purpose.

Tax evasion occurs when a person deliberately uses unlawful means to reduce or avoid a tax liability.

- Tax avoidance is generally the legal exploitation of the tax regime to one's own advantage, to attempt to reduce the amount of tax that is payable by means that are within the law whilst making a full disclosure of the material information to the tax authorities. Examples of tax planning or avoidance may include claiming legitimate tax deductions, changing a business structure through incorporation, or establishing an entity in a low-tax jurisdiction, where permitted by law.
- By contrast tax evasion is the general term for efforts by individuals, firms, trusts and other entities to evade the payment of taxes by illegal means. Tax evasion usually entails taxpayers deliberately misrepresenting or concealing the true state of their affairs to the tax authorities to reduce their tax liability, and includes, in particular, dishonest tax reporting (such as understating income, profits or gains or overstating deductions.

Difference between 'Tax Avoidance' & 'Tax Evasion'

TAX AVOIDANCE	TAX EVASION
Tax is avoided by complying with the letter of the law, although the arrangement may defeat the spirit or intention of the law.	Tax is avoided through illegal means, such as fraud, concealment, or misrepresentation.
Tax avoidance involves taking advantage of loopholes or gaps in the law to reduce tax liability.	Tax evasion involves using illegal methods or fraudulent practices to reduce or avoid tax liability.

TAX AVOIDANCE	TAX EVASION
Tax avoidance generally involves lawful tax planning within the framework of the law.	Tax evasion is unlawful and may result in penalties, prosecution, or other legal consequences.
Tax avoidance is generally undertaken before the tax liability arises by arranging affairs in a tax-efficient manner.	Tax evasion is generally committed after the tax liability has arisen by concealing income, overstating deductions, or making false statements.
Example: Making a donation to a charity recognised by the FBR in order to claim a tax credit when computing future tax liability.	**Example:** Filing a false income tax return by concealing income or claiming fictitious deductions.

- *Illustration:*

Tax Law	Objective
Mr. A generated turnover of Rs. 10 million. However, he kept the proceeds as cash in a bank locker and concealed them from the tax authorities. He paid all related expenses from these proceeds.	Tax evasion. Concealing taxable income is unlawful, and the taxpayer may face the applicable tax and legal consequences.
Mr. B earned income of Rs. 10 million. However, he declared only Rs. 6 million, representing the income that could be verified from his bank records, and concealed the remaining Rs. 4 million in a separate bank account.	This is also tax evasion because the taxpayer deliberately understated his income.
Mr. C earned Rs. 10 million. He claimed Rs. 7 million of legitimate business expenses in accordance with the law and offered the remaining Rs. 3 million for taxation.	This represents lawful tax planning, provided that the expenses are genuine, allowable and properly documented under the law.

6 CODE OF ETHICS FOR CHARTERED ACCOUNTANTS AS APPLICABLE TO TAX SERVICES

The ICAP Code of Ethics for Chartered Accountants (Revised 2024) is based on the 2023 Edition of the International Code of Ethics for Professional Accountants (including International Independence Standards) issued by the International Ethics Standards Board for Accountants (IESBA) and published by the International Federation of Accountants (IFAC) in September 2023.

6.1 Tax Services

Providing tax services to an audit client might create a self-review or advocacy threat. This includes requirements that prohibit firms and network firms from providing certain tax services to audit clients in some circumstances because the threats created cannot be addressed by applying safeguards.

Factors that are relevant in evaluating the level of threats created by providing any tax service to an audit client include:

- The particular characteristics of the engagement.
- The level of tax expertise of the client's employees.
- The system by which the tax authorities assess and administer the tax in question and the role of the firm or network firm in that process.
- The complexity of the relevant tax regime and the degree of judgment necessary in applying it.

6.2 Tax return preparation

Providing tax return preparation services does not usually create a threat to compliance with the fundamental principles or independence requirements, subject to the applicable provisions of the Code. Tax return preparation services involve:

- Assisting clients with their tax reporting obligations by drafting and compiling information, including the amount of tax due (usually on standardized forms) required to be submitted to the applicable tax authorities.
- Advising on the tax return treatment of past transactions and responding on behalf of the audit client to the tax authorities' requests for additional information and analysis (for example, providing explanations of and technical support for the approach being taken).

Tax return preparation services are usually based on historical information and principally involve analysis and presentation of such historical information under existing tax law, including precedents and established practice. Further, the tax returns are subject to whatever review or approval process the tax authority considers appropriate

6.3 Tax calculations for the purpose of preparing accounting entries

All Audit Clients

Preparing calculations of current and deferred tax liabilities (or assets) for an audit client for the purpose of preparing accounting entries that will be subsequently audited by the firm creates a self-review threat.

In addition to the factors in paragraph 6.1 above, a factor that is relevant in evaluating the level of the threat created when preparing such calculations for an audit client is whether the calculation might have a material effect on the financial statements on which the firm will express an opinion.

Audit Clients that are Not Public Interest Entities

Examples of actions that might be safeguards to address such a self-review threat when the audit client is not a public interest entity include:

- Using professionals who are not audit team members to perform the service.
- Having an appropriate reviewer who was not involved in providing the service review the audit work or service performed.

Audit Clients that are Public Interest Entities

A firm or a network firm shall not prepare tax calculations of current and deferred tax liabilities (or assets) for an audit client that is a public interest entity for the purpose of preparing accounting entries that are material to the financial statements on which the firm will express an opinion.

The examples of actions that might be safeguards in (to all audit clients) to address self-review threats are also applicable when preparing tax calculations of current and deferred tax liabilities (or assets) to an audit client that is a public interest entity that are immaterial to the financial statements on which the firm will express an opinion.

▶ *Example:*

A Pakistani audit firm is faced with the following situations:

Situation 1

ABC limited an audit client has requested your firm to prepare current and deferred tax working for the purpose of preparing accounting entries that will be reviewed by your firm at the time of Audit. ABC Ltd is not a public interest entity.

Situation 2

ABC limited an audit client has requested your firm to prepare current and deferred tax working for the purpose of preparing accounting entries that will be reviewed by your firm at the time of Audit. ABC Ltd is public interest entity.

Required:

With reference to the ICAP Code of Ethics, what are the threats presented by the events described above. Also comment upon the safeguards to be taken to reduce the said threat (if any)

▶ *Answer*

Situation 1

Preparing calculations of current and deferred tax liabilities (or assets) for an audit client for the purpose of preparing accounting entries that will be subsequently audited by the firm creates a self-review threat. The significance of the threat will depend on:

- The complexity of the relevant tax law and regulation and the degree of judgment necessary in applying them;
- The level of tax expertise of the client's personnel; and
- The materiality of the amounts to the financial statements.

Safeguards

Safeguards shall be applied, when necessary, to eliminate the threat or reduce it to an acceptable level. Examples of such safeguards include:

- Using professionals who are not members of the audit team to perform the service;
- If the service is performed by a member of the audit team, using a partner or senior staff member with appropriate expertise who is not a member of the audit team to review the tax calculations; or
- Obtaining advice on the service from an external tax professional.

Situation 2

In the case of an audit client that is a public interest entity, a firm shall not prepare tax calculations of current and deferred tax liabilities or assets for the purpose of preparing accounting entries that are material to the financial statements on which the firm will express an opinion, except as permitted in emergency or other unusual situations under the Code.

The preparation of calculations of current and deferred tax liabilities (or assets) for an audit client for the purpose of the preparation of accounting entries, which would otherwise not be permitted under this section, may be provided to audit clients in emergency or other unusual situations when it is impractical for the audit client to make other arrangements. This may be the case when:

- only the firm has the resources and necessary knowledge of the client's business to assist the client in the timely preparation of its calculations of current and deferred tax liabilities (or assets), and
- a restriction on the firm's ability to provide the services would result in significant difficulties for the client (for example, as might result from a failure to meet regulatory reporting requirements).

Safeguards

- Those who provide the services are not members of the audit team;
- The services are provided for only a short period of time and are not expected to recur; and
- The situation is discussed with those charged with governance.

▶ *Example:*

Mr. XYZ, ACA is Manager Taxation at a large tax consultancy firm and reports to Mr. ABC, FCA who is one of the partners of the firm.

Mr. XYZ is presently engaged in the preparation of the income tax return of Digital Systems Limited (DSL), an IT company. During the review of the tax workings, he discovers that DSL has charged certain expenses against which no supporting documents are available. He brings this matter to the attention of Mr. ABC who has responded him that since this is not an audit engagement, it is not our responsibility to highlight such matters.

Required:

Briefly discuss how Mr. ABC may be in breach of the fundamental principles of ICAP's Code of Ethics. Also, state the potential threats that XYZ may face in the above circumstances and how he should respond.

▶ *Answer*

In the given situation, Mr. ABC may be in breach of the following fundamental principles of Code of Ethics for Chartered Accountants:

Professional behaviour

This principle imposes an obligation on all chartered accountants to comply with relevant laws and regulations and avoid any action that discredits the profession. ABC may be in breach of the fundamental principle of professional behaviour because his proposal to ignore the appropriate adjustments to the income tax return could discredit the profession.

Integrity

The principle of integrity imposes an obligation on all chartered accountants to be straightforward and honest in all professional and business relationships. ABC has breached the fundamental principle of integrity as he has knowingly ignored the required adjustments to be made in the income tax return which may render it materially false.

Potential threats:

XYZ may face an intimidation threat from ABC because refusing to follow his instruction may put XYZ's employment at risk.

Safeguards

The identified threat may be significant because XYZ is being instructed by a senior member of management. In order to reduce the threat to an acceptable level, one or more of the following safeguards should be applied:

- Discuss the matter with ABC and urge him to comply with the Code of Ethics and contact the tax client regarding the necessary adjustments.
- Consider raising the matter with an appropriate person within the firm, such as a senior partner or those charged with governance, as appropriate.
- Refuse to implement the proposed course of action if doing so would result in non-compliance with applicable laws or ethical requirements.
- Seek legal advice.
- If the threat cannot be eliminated or reduced to an acceptable level, consider withdrawing from the engagement or, where necessary, resigning from the employment.

CHAPTER 4

BASIC CONCEPTS OF TAXATION

IN THIS CHAPTER:

1. Scope of tax
2. Tax year
3. Computation of taxable income
4. Person
5. Residential status
6. Determination of tax liability
7. Different types of tax regimes
8. Taxation of women enterprises
9. Income tax authorities
10. Common rules

1 SCOPE OF TAX

1.1 Scope of tax

Income tax law deals with the levy of tax on the income of a person. The scope of income tax law is defined in section 4 of the Income Tax Ordinance, 2001 in the following manner:

"Income tax shall be imposed for each tax year on every person who has taxable income, as per the applicable tax rates"

Perusal of the aforesaid provision of law raises following questions in our minds:

i. What is a tax year?

ii. What is taxable income and how it is computed?

iii. Who is person?

iv. What are applicable rates of tax?

v. What is the procedure for levy of tax?

These primary questions are answered in the upcoming paragraphs.

2 TAX YEAR

2.1 Tax year (Sec 74)

There are three kinds of tax years as stipulated in Section 74 of the Income Tax Ordinance, 2001:

- Normal tax year
- Special tax year
- Transitional tax year

Normal tax year

Normal tax year is a period of twelve months ending on the 30th day of June and is denoted by the calendar year in which the said date falls.

Special tax year

Where a person's income year is different from the normal tax year, or where, by an order, a person has been allowed by the Commissioner to use a twelve months' period different from normal tax year, such income year or such period shall be that person's special tax year and shall be denoted by the calendar year relevant to normal tax year in which the closing date of the special tax year falls.

The Board has authority to prescribe any special tax year in respect of any particular class of taxpayer. For example, in respect of certain classes of assessees following special tax years are specified by the Board.

Classes of persons	Special tax year
Companies manufacturing sugar	1st October to 30th September
All persons exporting rice	1st January to 31st December
All banks & insurance companies	1st January to 31st December

A person using a special tax year may apply in writing to the Commissioner to allow him to use normal tax year and the Commissioner may by an order, allow him to use normal tax year

The Commissioner shall grant permission only if the person has shown a **compelling need** to use special tax year or normal tax year, as the case may be, and the permission shall be subject to such conditions, if any, as the Commissioner may impose.

A change of tax year from normal to special or vice versa, granted by the Commissioner is subject to withdrawal if in his opinion it is no longer feasible but not unless the person has been provided an opportunity of being heard.

An order of the Commissioner for change of tax year shall take effect from such date, being the first day of the special tax year or the normal tax year, as the case may be, as may be specified in the order.

A person dissatisfied with the order may file a review application with the Board against the decision of the Commissioner at the time of rejecting permission for a special tax year or withdrawal of the same and the decision by the Board on such application shall be final.

▶ *Example*

The normal tax year of ABC Limited was the period from 01 July 2026 to 30 June 2027. On an application by ABC Limited, Commissioner granted approval to adopt special tax year of 30 September each year. The period from October 01, 2027 to September 30,2028 shall be treated as Special Tax year.

Transitional tax year

Where the tax year of a person changes as a result of an order by the Commissioner of Income tax either from the normal tax year to special tax year or vice versa, the period between the end of the last tax year prior to change and the date on which the changed tax year commences shall be treated as a 'transitional tax year'.

- *Example*

The normal tax year of ABC Limited was the period from 01 July 2026 to 30 June 2027. On an application by ABC Limited, Commissioner granted approval to adopt special tax year of 30 September each year. The period from 01 July 2027 to 30 September 2027 will be treated as transitional tax year.

- *Exercise:*

Determine the tax year for each accounting period mentioned below and also determine whether it is a normal or special tax year.

a) 1.09.2026 to 31.08.2027

b) 1.01.2026 to 31.12.2026

c) 1.04.2025 to 31.03.2026

d) 1.05.2025 to 30.04.2026

e) 1.07.2026 to 30.06.2027

- *Answer*

To determine the tax year, identify the calendar year relevant to the normal tax year in which the closing date of the special year falls. Simply check the year in which the next 30th of June occurs after the end of the financial year.

a) 01.09.2026 to 31.08.2027 (Special, Tax year is 2028)

b) 01.01.2026 to 31.12.2026 (Special, Tax year is 2027)

c) 01.04.2025 to 31.03.2026 (Special, Tax year is 2026)

d) 01.05.2025 to 30.04.2026 (Special, Tax year is 2026)

e) 01.07.2026 to 30.06.2027 (Normal, Tax year is 2027)

In each case, the tax year is determined by identifying the year in which the subsequent 30th of June occurs.

3 COMPUTATION OF TAXABLE INCOME

3.1 Income [Sec 2(29)]

The definition of term "income" uses the word "includes" therefore, it is inclusive definition and not exhaustive. An inclusive definition is that which not only extends to those things which are included in it, but also covers all such things which the term signifies according to its general and natural meaning.

- *Definitions:*

Sec 2(29), Income includes;

Any amount chargeable to tax under the Income Tax Ordinance, 2001 (e.g. income from salary);

Any amount subject to collection or deduction of tax under final tax regime (e.g. dividend and, bonus shares etc.);

Any amount treated as income under any provision of the Ordinance (e.g. royalty, and profit on debt etc.); and

Any loss of income

Sec 2(63), "Tax" means any tax imposed under Chapter II (i-e. Charge of Tax), and includes any penalty, fee or other charge or any sum or amount leviable or payable under the Income Tax Ordinance, 2001.

Note: Surcharge payable at the rate of 10% of the income tax imposed under Division I of Part I of the First Schedule shall be included in the definition of "tax". The surcharge is payable by every individual and AOP having taxable income exceeding Rs. 10 million, except an individual deriving income chargeable under the head "Salary"..

3.2 Heads of income (Sec 11)

For the purposes of the imposition of tax and the computation of total income, all incomes shall be classified under the following heads, namely:

1. Salary;
2. Income from property;
3. Income from business;
4. Capital gains; and
5. Income from other sources

The income of a person under a head of income for a tax year shall be the total of the amounts derived by the person in that tax year that are chargeable to tax under the head as reduced by the total deductions, if any, allowed under the Ordinance to the person for that year under that head.

- *Illustration:*

Sum of amounts chargeable to tax under any particular head	xxx
Deductions (expenses) allowed in relevant head of income	(xx)
Income under a particular head of income	xxx

If the total deductions allowed to a person for a tax year under a head of income exceed the total amounts derived by the person in that tax year chargeable under that head, the person shall be treated as sustaining a loss under that head for that tax year of an amount equal to the excess.

A loss for a head of income for a tax year shall be dealt with in accordance with Part VIII of Chapter III of the Income Tax Ordinance, 2001 (Chapter 11 of this study text).

The income of a **resident person** is computed by taking into account amounts that are his **Pakistan-source income** and amounts that are his **foreign-source income**.

On the other hand, income of a **non-resident person** is computed by taking into account only the amounts that are his **Pakistan-source income**.

In view of aforesaid provisions of law, the equation to determine the taxable income is as under:

Tabulation

Source of Income	Resident	Non-Resident
Pakistan source	Chargeable	Chargeable
Foreign source	Chargeable	Not Chargeable

- *Exercise:*

Mr. Junaid has following incomes from different heads of income:

	Amount
Salary	1,075,000
Income from Property	335,000
Income from Business	1,025,000
Capital Gains on Immovable Property	237,900
Income from other sources	90,000
Compute his taxable income.	

- *Answer*

Taxable income under normal tax regime of Mr. Junaid is the sum of all above sources of income which is computed at Rs. 2,762,900.

3.3 Total income (Sec 10)

The total income of a person for a tax year shall be the sum of the

- Person's income under all heads of income for that tax year; and
- Person's income exempt from tax for that tax year under any of the provisions of Income Tax Ordinance, 2001.

3.4 Taxable income (Sec 9)

The taxable income of a person for a tax year shall be the total income other than exempt income of the person for the year reduced (but not below zero) by the sum of any deductible allowances of the person for that tax year.

Total Income other than exempt income	xxx
Deductible Allowances (Discussed below)	(xxx)
Taxable Income	xxx

3.5 Deductible allowances (Sec 60, 60A, 60B & 60D)

- *Definition:*

Sec 2(16), "deductible allowance" means an allowance that is deductible from total income under Part IX (i-e. deductible allowances) of Chapter III (i-e. Tax on taxable income);

Zakat (Sec 60)

A person is entitled to a deductible allowance for the amount of any Zakat paid by the person in a tax year under the Zakat and Ushr Ordinance, 1980.

Where the Zakat has been deducted out of the profit on debt (which is chargeable under the head "income from other sources"), such Zakat shall not be deducted out of the total income, rather, it shall be allowed as a deduction while computing income from other sources.

Where the amount of Zakat is more than total income, the excess amount shall not be refunded or carried forward or carried back.

- *Exercises:*

a) Mr. Z earned gross dividend of Rs.100,000 which is subject to deduction of Zakat Rs.10,000 and tax @ 15%. You are requested to compute amount of tax for Mr. Z and net amount received by Mr. Z?

b) Mr. K has received a dividend of Rs. 160,000, which is net of Zakat Rs. 10,000 and tax @ 15%. You are requested to compute the amount of taxable dividend and the amount of tax for Mr. K?

- *Answer:*

(a) Mr Z

Dividend	Rs. 100,000
Tax @15%	Rs. 15,000
	Rs. 85,000
Zakat	Rs. 10,000
	Rs. 75,000

(b) Mr K

Taxable Dividend (160,000 + 10,000)/85% =	Rs 200,000
Tax (200,000 x 15%) =	Rs 30,000

Worker's welfare fund (Sec 60A)

A person shall be entitled to a deductible allowance for the amount of any Workers' Welfare Fund (WWF) paid by the person in the tax year under Workers' Welfare Fund Ordinance, 1971 or under any law relating to the Workers' Welfare Fund enacted by Provinces after the Eighteenth Constitutional Amendment Act, 2010. However, no deductible allowance will be allowed where any amount is paid to provinces by trans-provincial organizations (a person having operations in more than one province).

Worker's participation fund (Sec 60B)

A person shall be entitled to a deductible allowance for the amount of any Workers' Participation Fund paid by the person in a tax year in accordance with the provisions of the Companies Profit (Workers' Participation) Act, 1968 under any law relating to the Workers' profit participation Fund enacted by Provinces after the eighteenth Constitutional Amendment Act, 2010. However, no deductible allowance will be allowed where any amount is paid to provinces by trans-provincial organizations (a person having operations in more than one province).

Deductible allowance for education expenses (Sec 60D)

- Every individual shall be entitled to a deductible allowance in respect of tuition fee paid by the individual in a tax year provided that the taxable income of the individual is less than Rs. 1,500,000.
- The amount of an individual's deductible allowance allowed for a tax year shall not exceed the lesser of —
  a) 5% of the total tuition fee paid by the individual in the year;
  b) 25% of the person's taxable income for the year; and
  c) an amount computed by multiplying 60,000 with number of children of the individual.
- Any allowance or part of an allowance for a tax year that is not able to be deducted for the year shall not be carried forward to a subsequent tax year.
- Allowance shall be allowed against the tax liability of either of the parents making payment of the fee on furnishing national tax number (NTN) or name of the educational institution.
- Allowance shall not be taken into account for computation of tax deduction from Salary under section 149.

▶ *Exercise:*

Compute Total and Taxable Income of XYZ (Pvt.) Limited considering following data:

Aggregate income from all heads of income	1,000,000
Aggregate exempt income under 2nd Schedule of the Income Tax Ordinance, 2001	500,000
Workers Participation Fund paid under Companies Profit (Workers' Participation) Act, 1968	100,000

▶ *Answer*

Total income	
Aggregate income from all heads	1,000,000
Exempt Income under second schedule	500,000
	1,500,000
Taxable income	
Aggregate income from all heads	1,000,000
WPPF as per Workers' Participation Act, 1968	(100,000)
	900,000

4 PERSON

4.1 Person [Sec 80]

We learnt from the preceding discussion that tax is chargeable on the taxable income of a person. As per sub-section (1) of section 80, following are treated as person:

- *Definition: Person*

  - an individual;
  - a company or association of persons incorporated, formed, organised or established in Pakistan or elsewhere;
  - the Federal Government, a foreign government, a political subdivision of a foreign government, or public international organisation.

Definition of person includes different entities so these are defined and discussed hereunder:

- *Definition: Association of Persons*

"Association of persons" includes a firm, a Hindu undivided family, any artificial juridical person, limited liability partnership (LLP) and any body of persons formed under a foreign law, but does not include a company;

Note: A contractual joint venture may be treated as an AOP for tax purposes, depending on the nature and terms of the arrangement

"Firm" means the relation between persons who have agreed to share the profits of a business carried on by all or any of them acting for all.

- *Definitions:*

Sec 2(8) "**Board" means**

- the Central Board of Revenue established under the Central Board of Revenue Act, 1924 (IV of 1924), and
- on the commencement of Federal Board of Revenue Act, 2007, the Federal Board of Revenue established under section 3 thereof;

"Company" means:

- a company as defined in the Companies Act, 2017
- a small company as defined in section 2 of the Income Tax Ordinance,2001
- a body corporate formed by or under any law in force in Pakistan;
- a modaraba;
- a body incorporated by or under the law of a country outside Pakistan relating to incorporation of companies;
- a foreign association, whether incorporated or not, which the Board has, by general or special order, declared to be a company for the purposes of this Ordinance;
- a Provincial Government; or
- a Local Government in Pakistan; or
- a co-operative society, a finance society or any other society;
- a non-profit organisation;
- a trust, an entity or a body of persons established or constituted by or under any law for the time being in force;

.

- *Definition: Company (continued)*

"trust" means an obligation annexed to the ownership of property and arising out of the confidence reposed in and accepted by the owner, or declared and accepted by the owner for the benefit of another, or of another and the owner, and includes a unit trust; and

Sec 2(47) "Public company" means —

a) a company in which not less than 50% of the shares are held by the Federal Government or Provincial Government;

b) a company in which not less than 50% of the shares are held by a foreign Government, or a foreign company owned by a foreign Government;

c) a company whose shares were traded on Pakistan Stock Exchange at any time in the tax year and which remained listed on that exchange at the end of that year; or

d) a unit trust whose units are widely available to the public and any other trust as defined in the Trusts Act, 1882 (II of 1882);

"Unit trust" means any trust under which beneficial interests are divided into units such that the entitlements of the beneficiaries to income or capital are determined by the number of units held.

Sec 2(45) "Private company" means a company that is not a public company.

Sec 2(36) "Non-profit organization" means any person other than an individual which is

i. established for religious, educational, charitable, welfare purpose for general public or development purposes, or for the promotion of an amateur sport, excluding recreational clubs where the joining fee for membership exceeds one million for any class of new members;

ii. formed and registered under any law as a non- profit organization;

iii. approved by the Commissioner for specified period, on an application made by such person in the prescribed form and manner, accompanied by the prescribed documents and, on requisition, such other documents as may be required by the Commissioner;

and none of the assets of such person are available for private benefit to any other person.

Sec 2(11A) "charitable purpose" includes;

- relief of the poor, education, medical relief and
- the advancement of any other object of general public utility

Sec 2(30AE), IT enabled services, include but not limited to inbound or outbound call centres, medical transcription, remote monitoring, graphics design, accounting services, Human Resource (HR) services, telemedicine centres, data entry operations, cloud computing services, data storage services, locally produced television programs and insurance claims processing

Sec 2(44A) "principal officer" used with reference to a company or association of persons includes;

a) a director, a manager, secretary, agent, accountant or any similar officer; and

b) any person connected with the management or administration of the company or association of persons upon whom the Commissioner has served a notice of treating him as the principal officer thereof;

▶ *Exercise*

a) Briefly state, with reasons, whether or not you consider the below mentioned companies to be a public company for tax purpose.

i. PPL is a company incorporated under the Companies Act, 2017 and is not listed on Pakistan Stock Exchange. 59 per cent of the shares in PPL are held by BBC Ltd, a company incorporated in United Kingdom. The Government of United Kingdom holds 97% of the shares in BBC Ltd.

ii. XYZ Limited is a public company incorporated under the Companies Act, 2017 whose shares were traded on Pakistan Stock Exchange from 01 August 2026 until 29 June 2027 on which date the company was delisted on the exchange.

iii. The Provincial Government of KPK holds 50% of the shares in ABC Ltd, a public company under the Companies Act, 2017. ABC Ltd is not listed on Pakistan stock exchange.

iv. BRR is a public company under the Companies Act, 2017. 41% of the shares are held by the Federal Government, 50% by the Government of Saudi Arabia and 9% by the individuals and group companies. BRR is not listed on Pakistan stock exchange.

b) Anderson Inc., a public company incorporated under the law of the United Kingdom relating to the incorporation of companies, has been operating in Pakistan for over 50 years. The control and management of the Pakistan branch for the accounting year ended 31 December 2026 was situated wholly outside Pakistan.

Required:

Briefly state, with reasons whether Anderson Inc. will be assessed as a company for Pakistan tax purposes for the relevant tax year.

▶ *Answer*

a)

i. A public company for Pakistan tax purposes, inter alia includes a company in which not less than 50% of the shares are held by a foreign government or a foreign company owned by a foreign government. 59% of the shares in PPL are owned by BBC Ltd, which is a foreign company but BBC Ltd is not wholly owned by the Government of United Kingdom (foreign government). Therefore, PPL is not a public company for Pakistan tax purpose.

ii. A company whose shares are traded on Pakistan Stock Exchange at any time in the tax year and which remained listed on that exchange at the end of that year is a public company for tax purpose.

Although the shares of XYZ Limited were traded on the Pakistan stock exchange during the tax year 2027, XYZ Ltd did not meet the test of being a public company for tax purpose since its shares were not listed on the stock exchange on 30 June 2027. XYZ Ltd is therefore not a public company for tax purpose.

iii. A company in which not less than 50% of the shares are held by the Federal Government or Provincial Government is a public company for tax purpose. Since the Provincial Government of KPK holds 50% of the shares in ABC Ltd, ABC Ltd is a public company for tax purpose.

iv. A public company for Pakistan tax purposes, inter alia means a company in which not less than 50% of the shares are held by a foreign government, therefore, BRR is a public company as 50% of the shares are held by Government of Saudi Arabia.

b) As per section 80, a company includes a body incorporated by or under the law of a country outside Pakistan relating to incorporation of companies. Therefore, Anderson Inc. will be treated as company for Pakistan tax purpose.

4.2 Taxpayer [Sec 2(66)]

- *Definition:*

Taxpayer means any person who:

- derives an amount chargeable to tax under the Income Tax Ordinance, 2001;
- may be a representative of a person who derives an amount chargeable to tax;
- is required to deduct or collect tax under the Ordinance; or
- is required to furnish a return of income or pay tax under the Ordinance;

5 RESIDENTIAL STATUS

5.1 Resident and non-resident persons (Sec 81)

The determination of residential status of a person is necessary as the law explicitly provides that a resident is taxable in respect of its worldwide income whereas the non-resident is taxable only in respect of its Pakistan source income. The Ordinance lays down the method for determination of residential status of a person in the following manner:

- A person shall be a resident in Pakistan for a tax year if the person is:
  i. a resident individual, resident company or resident association of persons for the year; or
  ii. the Federal Government.
- A person shall be non-resident person for a tax year if the person is not a resident person for that year.

A very important point to note from the above discussion is that residential and non-residential status of any person is to be determined in respect of each tax year as it may vary from year to year. A person can be resident in tax year 2026 (01 July 2025 to 30 June 2026) but may be a non-resident in tax year 2027 (01 July 2026 to 30 June 2027).

5.2 Resident individual (Sec 82)

- An individual shall be a resident individual for a tax year if the individual:
  a) is present in Pakistan for a period of, or periods amounting in aggregate to, 183 days or more in the tax year;
  b) is an employee or official of the Federal Government or a Provincial Government posted abroad in the tax year.
  c) A citizen of Pakistan who is not present in any other country for more than 182 days during the tax year or he is not a resident taxpayer of any other country.

Note: The amendment is made basically for those Pakistani citizens who do not stay in one country for 182 days and remain non-resident for all the countries they reside during the year.

Rule 14 of the Income Tax Rules, 2002 states the method for computing the number of days of stay of an individual in Pakistan. The said rule read as under:

- The following rules apply for the purposes of section 82, which provides for the determination of a person as resident individual.
  - Part of a day that an individual is present in Pakistan (including the day of arrival in, and the day of departure from, Pakistan) counts as a whole day of such presence;
  - the following days in which an individual is wholly or partly present in Pakistan count as a whole day of such presence, namely:
    i. a public holiday;
    ii. a day of leave, including sick leave;
    iii. a day that the individual's activity in Pakistan is interrupted because of a strike, lock-out or delay in receipt of supplies; or
    iv. a holiday spent by the individual in Pakistan before, during or after any activity in Pakistan; and
  - A day or part of a day where an individual is in Pakistan solely by reason of being in transit between two different places outside Pakistan does not count as a day present in Pakistan.

5.3 Resident company (Sec 83)

A company shall be a resident company in Pakistan for a tax year if:

i. it is incorporated or formed by or under any law in force in Pakistan
ii. the control and management of its affairs is situated wholly in Pakistan at any time in the year; or
iii. it's a Provincial Government or Local Government in Pakistan.

5.4 Resident association of persons (Sec 84)

An association of persons shall be a resident association of persons for a tax year if the control and management of the affairs of the association is situated wholly or partly in Pakistan at any time in the year.

▶ *Exercise:*

Explain the residential status of the following persons for the tax year 2027:

i. Mr. Raza is working as Director Operations in the Ministry of Tourism. On 15 July 2026 he was posted to Pakistan Embassy in Italy for two years.

ii. Anderson LLC was incorporated as limited liability Company in UK. The control and management of its affairs was situated wholly in Pakistan. However, with effect from 01 November 2026, the entire management and control was shifted to UK.

iii. On 01 February 2027, Mr. Sameel a citizen of Pakistan was sent to Pakistan by his UK based company to work on a special project. He left Pakistan on 23 August 2027.

iv. BBL is a non-listed public company incorporated under the Companies Act, 2017. All the shareholders of the company are individuals. The control and management of affairs of the company during the year was outside Pakistan.

v. Mr. Salman a property dealer in USA came to Pakistan on 01 February 2026. During his stay up to 02 August 2026 in Pakistan, he remained in Peshawar up to 30 June 2026 and thereafter till his departure from Pakistan, in Quetta. Assume that Commissioner has granted him permission to use calendar year as special tax year.

▶ *Answer*

i. Being an employee of Federal Government, Mr. Raza would be treated as resident irrespective of number of days he stays in Pakistan.

ii. A company shall be resident if control and management of the affairs of the company is situated wholly in Pakistan at any time in the year. Therefore, company is resident irrespective of the fact that it was incorporated in UK.

iii. The stay of Mr. Sameel for the purpose of tax year 2027 is 150 days (28+31+30+31+30). Since his stay in Pakistan is less than 183 days in tax year 2027, he is non-resident for tax purposes. However, if he is not present in any other country for more than 182 days during the tax year or he is not a resident taxpayer of any other country then he will be treated as resident of Pakistan.

iv. If a company is incorporated or formed by or under any law in force in Pakistan, it is treated as a resident company. Such company cannot be treated as non-resident merely on the basis that the control and management of the affairs of the company were situated abroad. Therefore, BBL is a resident company.

v. It is immaterial where he stayed in Pakistan. Number of days shall be counted from the day of his arrival in Pakistan to the day of his departure in the following manner:

Accounting period 01 January 2026 to 31 December 2026 (Tax year 2027)

Month	No. of Days
February 2026	28
March 2026	31
April 2026	30
May 2026	31
June 2026	30
July 2026	31
August 2026	2
Total	183

Since he was present in Pakistan for 183 days, therefore, he is a resident individual.

6 DETERMINATION OF TAX LIABILITY

6.1 Computation of tax liability and tax rates (Sec 4 read with First Schedule)

- *Definition: Sec 2(63)*

Tax means any tax imposed under the Ordinance and includes any penalty, fee or other charge or any sum or amount leviable or payable under the Income Tax Ordinance, 2001.

- Income tax shall be imposed on every person having taxable income for each tax year at the applicable rates as mentioned in the first schedule to the Income Tax Ordinance, 2001.
- First Schedule of the Income Tax Ordinance,2001 prescribes different tax rates for different classes of persons in the following manner:

Tax rates for salaried individual

Where the income of an individual chargeable under the head "salary" exceeds 75% of his taxable income, the rates of tax to be applied shall be as set out in the following table, namely:

Sr. No.	Taxable Income	Rate of Tax
1.	Where the taxable income does not exceed Rs. 600,000	0%
2.	Where taxable income exceeds Rs. 600,000 but does not exceed Rs. 1,200,000	1% of the amount exceeding Rs. 600,000
3.	Where taxable income exceeds Rs. 1,200,000 but does not exceed Rs. 2,200,000	Rs. 6,000 plus 11% of the amount exceeding Rs. 1,200,000
4.	Where taxable income exceeds Rs. 2,200,000 but does not exceed Rs. 3,200,000	Rs. 116,000 plus 20% of the amount exceeding Rs. 2,200,000
5.	Where taxable income exceeds Rs. 3,200,000 but does not exceed Rs. 4,100,000	Rs. 316,000 plus 25% of the amount exceeding Rs. 3,200,000
6.	Where taxable income exceeds Rs. 4,100,000 but does not exceed Rs. 5,600,000	Rs. 541,000 plus 29% of the amount exceeding Rs. 4,100,000
7.	Where taxable income exceeds Rs. 5,600,000 but does not exceed Rs. 7,000,000	Rs. 976,000 plus 32% of the amount exceeding Rs. 5,600,000
8.	Where taxable income exceeds Rs. 7,000,000	Rs. 1,424,000 plus 35% of the amount exceeding Rs. 7,000,000

Note: The 9% surcharge on tax payable by salaried individuals with salary income exceeding Rs. 10 million is no longer applicable from tax year 2027 onwards

Tax rates for non-salaried individuals and Association of Persons

Sr. No.	Taxable Income	Rate of Tax
1.	Where the taxable income does not exceed Rs.600,000	0%
2.	Where the taxable income exceeds Rs.600,000 but does not exceed Rs. 1,200,000	15% of the amount exceeding Rs.600,000
3.	Where taxable income exceeds Rs. 1,200,000 but does not exceed Rs. 1,600,000	Rs. 90,000 plus 20% of the amount exceeding Rs. 1,200,000
4.	Where taxable income exceeds Rs. 1,600,000 but does not exceed Rs. 3,200,000	Rs. 170,000 plus 30% of the amount exceeding Rs, 1,600,000
5.	Where taxable income exceeds Rs. 3,200,000 but does not exceed Rs. 5,600,000	Rs. 650,000 plus 40% of the amount exceeding Rs. 3,200,000
6.	Where taxable income exceeds Rs. 5,600,000	Rs. 1,610,000 plus 45% of the amount exceeding Rs.5,600,000

Tax Rate for a Professional Firm:

If an association of persons is a professional firm that cannot be incorporated due to legal or regulatory rules, the tax rate of 45% listed under serial number 6 of the Table shall be 40%.

Surcharge for High Earners: 10% on Gross Tax Liability for Income Exceeding Rs. 10 Million

A surcharge at the rate of 10% of the income tax imposed under Division I of Part I of the First Schedule shall be payable by all non-salaried individuals and Associations of Persons (AOPs) whose taxable income exceeds Rs. 10 million.

Computation of income tax payable

The income tax payable shall be computed as under:

- Tax liability – Withholding (advance tax)
- Tax Liability = (Taxable Income x Rate of Tax) – Tax Credits / Tax reduction

If a taxpayer is allowed more than one tax credit for a year, the credits shall be applied in the following order:

a) Any foreign tax credit; then

b) Any tax credit allowed for,

   i. Charitable donations (Sec 61)

   ii. Contribution to approved pension fund (Sec 63)

   iii. Interest paid on low cost housing loan (Sec 63A)

   iv. For integration (Sec 64D)

   v. Certain persons (Sec 65F)

Any such amount which is taxable as a separate block or under final tax regime (FTR) shall not be included in the computation of taxable income under Normal tax regime (NTR) according to the provisions of the Income Tax Ordinance, 2001.

The computation of income under each head of income and tax credits is discussed in detail in the ensuing chapters. However, the method for determination of tax liability and tax payable (refundable) on taxable income is given hereunder:

Computation of tax	
Gross tax (Including surcharge @ 10% in case income is > Rs. 10 million)	XXX
Less: Tax reductions & credits	(XX)
Net Tax	XXX
Tax already paid including adjustments	(XX)
Balance (a) Tax Refundable (b) Tax Payable or (c) Tax nil	XXX

Tax rebates and reductions available to a person are elaborated in respective chapters.

7 DIFFERENT TYPES OF TAX REGIMES

In the foregoing paragraphs, we learnt about the computation of taxable income and tax liability, however, certain incomes are excluded from the normal method of taxation as explained above and are subject to tax separately under various provisions of the Income Tax Ordinance, 2001. The mechanism for determination of taxable income is categorised under three regimes are as under:

7.1 Normal tax regime (Net income basis)

Under the normal tax regime, certain rate of taxation on net income (income minus expenses) applied to taxpayers. Tax is applied to taxable income as per 1st Schedule of the Income Tax Ordinance, 2001 which shall be reduced by the amount of tax credits.

7.2 Separate Block of Income

Definition: This regime applies to certain types of income, where specific tax rates are applied and various expenses related to earning that income can be deducted.

Expense Deductibility: Under this regime, taxpayers are allowed to deduct relevant expenses from their income. For example, if you have income from the disposal of securities or immovable assets (capital assets), you can subtract related expenses to determine your net taxable income.

Losses: Losses can arise and are generally considered under this regime. For instance, if you incur a loss from the sale of securities or capital assets, this loss can be carried forward or adjusted against future gains from similar sources.

Examples: Income from the gain on disposal of securities, gain on disposal of immovable assets (capital assets), etc.

- Following rules apply to income subject to separate charge:
  - i. Tax imposed is a final tax
  - ii. The amount of such income is not reduced by:
    - a) Any deductible allowance
    - b) The set off of any loss
  - iii. The final tax payable is not reduced by any tax credit allowed (foreign tax credit or tax credits on donations, investments etc.)
  - iv. The liability of the recipient of such income is discharged to the extent that:
    - a) In the case of shipping and air transport income, the tax is paid in accordance with relevant sections of the Ordinance; or
    - b) In any other case, the final tax payable has been deducted at source.

7.3 Final Tax Regime (Gross income basis)

Definition: This regime applies to certain types of income where the tax paid is considered final, and no further deductions or adjustments are allowed.

Expense Deductibility: Under FTR, expenses related to earning the income cannot be deducted.

Tax Credits: Tax credits are also not allowed under this regime. This means that even if you qualify for tax credits, they cannot be applied to reduce the tax liability for income falling under FTR.

Income Classification: Income under FTR does not fall under any specific heads of income. Instead, it is included in the total income solely to calculate the total income. After calculating the total income, the amount of FTR income is then subtracted from the total income to apply separate tax rates.

Losses: Losses are not considered under FTR. If losses are incurred from sources of income taxed under FTR, they cannot be used to offset other income or be carried forward.

Refunds: There is no refund of non-adjustable tax collected or deducted at source unless such tax exceeds the amount of final tax for which the taxpayer is chargeable.

Assessment: An assessment is deemed to have been made, and the taxpayer is required to furnish a return of income in respect of such income.

Examples: Examples include dividends, lottery winnings, and prize bond winnings.

Taxation of dividend, certain payments by life insurance business, prize and winnings and definition of royalty

Dividend

- Concept of accumulated profit in section 2(1) and taxation of dividend income is governed by section 2(19), 5 and 8 of the Income Tax Ordinance, 2001 as below.

▶ *Definitions:*

Sec 2(1) "Accumulated profits" in relation to distribution or payment of, a dividend, include;

a) any reserve made up wholly or partly of any allowance, deduction, or exemption admissible under this Ordinance;

b) for the purposes of sub-clauses (a), (b) and (e) of clause (19)", all profits of the company including income and gains of a trust up to the date of such distribution or such payment, as the case may be; and

c) for the purposes of sub-clause (c) of clause (19), includes all profits of the company including income and gains of a trust up to the date of its liquidation.

Section 2(19) "Dividend"

a) any distribution by a company of accumulated profits to its shareholders, whether capitalised or not, if such distribution entails the release by the company to its shareholders of all or any part of the assets including money of the company;

b) any distribution by a company, to its shareholders of debentures, debenture-stock or deposit certificate in any form, whether with or without profit, to the extent to which the company possesses accumulated profits whether capitalised or not;

c) any distribution made to the shareholders of a company on its liquidation, to the extent to which the distribution is attributable to the accumulated profits of the company immediately before its liquidation, whether capitalised or not;

d) any distribution by a company to its shareholders on the reduction of its capital, to the extent to which the company possesses accumulated profits, whether such accumulated profits have been capitalised or not;

e) any payment by a private company [as defined in the Companies Act, 2017] or trust of any sum (whether as representing a part of the assets of the company or trust, or otherwise) by way of advance or loan to a shareholder or any payment by any such company or trust on behalf, or for the individual benefit, of any such shareholder, to the extent to which the company or trust, in either case, possesses accumulated profits; or

f) remittance of after tax profit of a branch of a foreign company operating in Pakistan;

g) but does not include —

   i. a distribution made in accordance with sub-clause (c) or (d) in respect of any share for full cash consideration, or redemption of debentures or debenture stock, where the holder of the share or debenture is not entitled in the event of liquidation to participate in the surplus assets;

ii. any advance or loan made to a shareholder by a company in the ordinary course of its business, where the lending of money is a substantial part of the business of the company;

iii. any dividend paid by a company which is set off by the company against the whole or any part of any sum previously paid by it and treated as a dividend within the meaning of sub-clause (e) to the extent to which it is so set off; and

iv. remittance of after tax profit by a branch of Petroleum Exploration and Production (E&P) foreign company, operating in Pakistan.

- Tax rates on gross amount of dividend received from a Company;
  - 7.5% in case of dividend paid by Independent Power Producers where such dividend is a pass through item under an Implementation Agreement or Power Purchase Agreement or Energy Purchase Agreement and is required to be reimbursed by Central Power Purchasing Agency (CPPA-G) or its predecessor or successor entity.
  - 15% in case of individuals, AOPs, Real Estate Investment Trusts and any other person not covered by 7.5% and 25% categories.
  - 25% in case of a person receiving dividend from a company where no tax payable by such company, due to exemption of income or carry forward of business losses or claim of tax credits.

  For investments in mutual funds, dividend will be taxed as per following rates:

Particulars	Fixed income funds	Equity and Asset allocation funds	
		Dividend out of income from equity	Dividend out of income from debt securities
Individual and AOP's	25%	15%	25%
Companies	29%	15%	29%

- Dividend received is subject to deduction of tax at source by the person making the payment of dividend.
- Tax deductible at source is treated final tax liability of the person receiving the dividend.
- Where any advance or loan is repaid by the shareholder of a private company, he shall be entitled to a refund of the tax paid by him as a result of such loan or advance having been treated as dividend.

▶ *Exercise:*

a) Omega (Pvt.) Limited is engaged in the business of trading and sale of fertilizers. The company has extended loan of Rs. 2.5 million to one of its shareholders on 30 June 2027 when the accumulated profits of the company were Rs. 1.8 million.

Required:

Determine the amount to be treated as dividend.

b) Robin Petroleum International (RPI), a company incorporated in Netherlands, is operating in Pakistan as a branch. RPI has entered into an agreement with the Government of Pakistan under which RPI has been given the right to explore and produce crude oil and natural gas in specified areas of Sindh and Baluchistan.

Required:

Explain the tax implications on RPI's branch in Pakistan of the remittance of the after tax profits of the branch to its head office in the Netherlands.

c) Mr. Z received Rs. 75,000 as dividend, net of Zakat of Rs. 10,000 and tax deducted at the rate of 15%.

Required:

Determine the amount to be treated as dividend.

▶ *Answer*

a) The amount of loan to the extent of accumulated profits will be treated as dividend i.e. Rs. 1,800,000 [Ref: Sec 2(19)(e)]

b) Remittance of after tax profit of a branch of a foreign company operating in Pakistan is considered as dividend as per section 2(19)(f) of the Income Tax Ordinance, 2001.

However, remittance of after tax profit by a branch of Petroleum Exploration and Production (E&P) foreign company operating in Pakistan is excluded from the definition of dividend.

As the Pakistan branch of RPI is a branch of an E & P foreign company operating in Pakistan, the remittance of the after tax profits of RPI's branch in Pakistan would not be considered to be dividend income.

c) Total taxable dividend is Rs.100,000 i.e. (75,000+10,000)/85%

Prizes and Winnings (Section 156)

- The tax deductible at source at the time of payment of prizes and winnings is non- adjustable tax deducted at source and the income arising from prizes and winnings is subject to final tax.
- Prizes and winnings covered under the income subject to final tax are:
  a) Prize on a prize bond
  b) Prize or winnings from a raffle, lottery, quiz or crossword puzzle;
  c) Prize offered by companies for promotion of sale and
  d) Fair market value of the prize or winnings if it is not paid in cash
- The rates of final tax are as under:

  On prize on a Prize Bond and winnings from Crossword Puzzle 15% for active and 30% for non-active taxpayer.

  On all other prizes and winnings 20% for active and 40% for non-active taxpayer.

Definition of Royalty

- Concept of royalty is governed by section 2(54), of the Income Tax Ordinance, 2001.

▶ *Definition: Sec 2(54) Royalty*

"royalty" means any amount paid or payable, however described or computed, whether periodical or a lump sum, as consideration for;

a) the use of, or right to use any patent, invention, design or model, secret formula or process, trademark or other like property or right;

b) the use of, or right to use any copyright of a literary, artistic or scientific work, including films or video tapes for use in connection with television or tapes in connection with radio broadcasting, but shall not include consideration for the sale, distribution or exhibition of cinematograph films;

c) the receipt of, or right to receive, any visual images or sounds, or both, transmitted by satellite, cable, optic fibre or similar technology in connection with television, radio or internet broadcasting;

d) the supply of any technical, industrial, commercial or scientific knowledge, experience or skill;

e) the use of or right to use any industrial, commercial or scientific equipment;

f) the supply of any assistance that is ancillary and subsidiary to, and is furnished as a means of enabling the application or enjoyment of, any such property or right as mentioned in sub-clauses (a) through (e); and

g) the disposal of any property or right referred to in sub-clauses (a) through (e);

7.4 Minimum Tax Regime

- Under the minimum tax regime, tax already deducted at source is treated as minimum tax which is then compared with liability under the normal tax regime. In case liability under normal tax regime is greater than tax already deducted, the person is required to pay liability under normal tax regime. In case tax already deducted is greater than liability under normal tax regime, then same is treated as final tax.
- Certain types of incomes are subject to minimum tax under the Income Tax Ordinance, 2001 to assure that certain portion of tax is paid by the taxpayer irrespective of quantum of income.
- Various incomes which are treated as minimum tax under the Income Tax Ordinance, 2001 are:
  - i. Minimum tax under section 113 on turnover.
  - ii. Commercial importer under section 148(7). (section 148 is out of the scope of CAF-2 syllabus)
  - iii. Tax deduction at source @ 14% (or different rates in specified cases) from gross amount of service rendered under section 153 for all persons. (section 153 is out of the scope of CAF-2 syllabus)
  - iv. Minimum tax under section 154 on export of goods. (section 154 is out of the scope of CAF-2 syllabus)
  - v. Tax collected up to the electricity bill amount of Rs. 360,000 per annum for a person other than company under section 235. (section 235 is out of the scope of CAF-2 syllabus)

7.5 Minimum tax on the income of certain persons [Sec 113]

1. This section applies to:
   - i. A resident company,
   - ii. An individual with a turnover of 100 million rupees or more in tax year 2017 or any later year, and
   - iii. An Association of Persons (AOP) with a turnover of 100 million rupees or more in tax year 2017 or any later year.

   The **reason for paying less than 1.25% of turnover as tax** may be any of the following:

   a) The person has a loss for the year;

   b) A loss from a previous year is adjusted;

   c) The person is exempt from tax;

   d) The person uses tax credits or rebates; or

   e) The person claims deductions or allowances (such as depreciation or amortization).

   Explanation: For the purpose of this sub-section, the expression tax payable or paid does not include tax already paid or payable in respect of deemed income which is assessed as final discharge of the tax liability under section 169 or under any other provision of this Ordinance; and

2. Where this section applies:

   a) the aggregate of the person's turnover for the tax year shall be treated as the income of the person for the year chargeable to tax;

   b) the person shall pay tax @ 1.25% of turnover as income tax for the tax year (instead of the actual tax payable under this Ordinance).

   where minimum tax paid @ 1.25% of turnover exceeds the actual tax payable as per applicable slabs, the excess amount of tax paid shall be carried forward for adjustment against tax liability of the subsequent tax year.

   Provided that the amount under this clause shall be carried forward and adjusted against tax liability for **two tax years** immediately succeeding the tax year for which the amount was paid.

Provided that if minimum tax is paid due to the fact that no tax is payable or paid for the year (due to taxable loss etc.), the entire amount of minimum tax paid shall be carried forward for two tax years.

3. turnover means,-

   a) the gross sales or gross receipts, exclusive of Sales Tax and Federal Excise duty or any trade discounts shown on invoices, or bills, derived from the sale of goods, and also excluding any amount taken as deemed income and is assessed as final discharge of the tax liability for which tax is already paid or payable;

   b) the gross fees for the rendering of services for giving benefits including commissions; except covered by final discharge of tax liability for which tax is separately paid or payable;

   c) the gross receipts from the execution of contracts; except covered by final discharge of tax liability for which tax is separately paid or payable; and

   d) the company's share of the amounts stated above of any association of persons of which the company is a member.

   Explanation: For the removal of doubt, it is clarified that the definition of turnover covers receipts from all business activities in line with expression "turnover from all sources" including but not limited to receipts from sale of immoveable property where such receipt is taxable under the head Income from Business.

- *Exercise:*

ABC & Co. is an AOP with annual turnover under normal tax regime of Rs. 116,000,000 during the tax year 2027. If the taxable profit of the AOP is Rs. 1,570,000. Compute the tax liability of the AOP for the tax year 2027.

- *Answer*

Turnover tax u/s 113 @ 1.25% on Rs. 116,000,000	1,450,000
Income tax under normal tax regime:	
Taxable Income	1,570,000
Tax on Taxable Income Rs. 90,000 + 20% x [1,570,000 – 1,200,000]	164,000

The AOP has to pay higher of minimum tax under section 113 or income tax as computed above under normal tax regime. As the turnover tax is higher than tax computed under normal tax regime therefore the same is to be paid by the AOP (i. e.) Rs. 1,450,000.

The difference Rs. 1,286,000 (1,450,000-164,000) shall be carried forward for the next 2 years.

8 TAXATION OF WOMEN ENTERPRISES

8.1 Women enterprise and its taxation (Clause 19 Part III of Second Schedule)

Woman enterprise" refers to a startup launched on or after 1 July 2021 that is:

- a sole proprietorship owned by a woman, or
- an AOP composed entirely of women, or
- a company fully owned by women,

and meets all of the following Section 65F criteria for startup tax credit:

- Certified by PSEB;
- Timely filed income tax returns;
- Filed sales tax returns (if liable); and
- Filed withholding tax statement (if liable).

If all conditions are fulfilled, the enterprise may claim a 100% tax credit on income tax for the year of certification plus the next two years. Failure to maintain compliance may result in losing eligibility for the credit.

25% Tax Reduction for Woman Enterprises (If 100% Credit Not Available)

The tax payable by a woman enterprise on profits and gains chargeable under the head 'Income from Business' shall be reduced by 25% if the enterprise is unable to claim the 100% tax credit available under Section 65F. This 25% reduction shall not apply to any business formed through the transfer, reconstitution, or splitting up of an existing business.

9 INCOME TAX AUTHORITIES

9.1 Income tax authorities

The income tax law provides a complete organisational set up for levy and recovery of income tax which are described in **section 207** as under:

a) Federal Board of Revenue;

b) Chief Commissioner Inland Revenue;

c) Commissioner Inland Revenue;

d) Commissioner Inland Revenue (Appeals);

e) Officer of Inland Revenue i.e.

   i. Additional Commissioner Inland Revenue;

   ii. Deputy Commissioner Inland Revenue;

   iii. Assistant Commissioner Inland Revenue;

   iv. Special audit panel;

   v. Inland Revenue Officer;

   vi. Inland Revenue Audit Officer or any other Officer;

f) District Taxation officer;

g) Assistant Director Audit

h) Superintendent Inland Revenue;

i) Inspector Inland Revenue; and

j) Auditor Inland Revenue.

This section is out of syllabus and is not examinable. This organizational setup is being given to provide better understanding while students studying other examinable sections of the Ordinance where these authorities have been mentioned.

10 COMMON RULES

In addition to foregoing basic concepts, understanding of common rules is necessary for determination and computation of taxable income and tax liability.

10.1 Apportionment of deductions (Sec 67)

- This concept implies that an expenditure, deduction and allowance which relates to the following, shall be apportioned on any reasonable basis taking into account the relative nature and size of the activities to which the amount relates:
  - i. the derivation of more than one head of income; or
  - ii. derivation of taxable income and any class of income subject to Final Tax Regime.
  - iii. the derivation of income chargeable to tax under any head of income and to some other purpose

Rules for apportionment of expenditures, deductions and allowances (Rule 13)

Common expenditure, deductions and allowances means any expenditure, deductions and allowances that is not clearly allocable to any particular class or classes of incomes. Rules regarding apportionment of such expenses, deductions and allowances are given as follows:

- Any expenditure, deduction or allowance that is incurred for particular class of income (chargeable income, FTR income or exempt income) shall be allocated/apportioned to that class only.
- Any common expenditure shall be apportioned amongst each class of income according to the following formula:
- Amount of expense x $\frac{\text{Gross receipts for the class of income}}{\text{Gross receipts for all class of income}}$

Note: Gross receipts means net of receipts or turnover of sales tax or FED paid.

- While allocating common expenditure, deductions and allowances (particularly selling expenses) the nature and source of each class of income must be taken into account.
- The basis determined for allocation of expenditure, deductions and allowances should be certified by a Chartered Accountant or a Cost and Management Accountant. This certificate shall be accepted by CIR unless there is significant variation (10% $\pm$ beyond the limits) from allocation under the rules.
- Where in case of certain transaction the net gain, brokerage, commission and other income is taken as turnover, then the gross profit from business shall be taken as gross receipts for the purpose of apportionment of expenditures.
- For the purpose of these rules a person may have following classes of incomes:

Pakistan source incomes as well as foreign source income further classified as:

i. Salary
ii. Income from property
iii. Income from business – Non-speculation
iv. Income from business - speculation
v. Capital gains
vi. Income from other source
vii. Income chargeable to tax as separate block
viii. Income exempt from tax e.g. agriculture income
ix. Income chargeable to tax under final tax regime e.g. dividend income

10.2 Fair market value (Sec 68)

- Fair market value (FMV) of any property, or rent, asset, service, benefit or perquisite at a particular time shall be the price which the property, or rent, asset, service, benefit or perquisite would ordinarily fetch on sale or supply in the open market at that time.
- The fair market value of any property, or rent, asset, service, benefit or perquisite shall be determined without having regard to any restriction on transfer or to the fact that it is not otherwise convertible to cash.
- Where the price referred above is not ordinarily ascertainable, the Board may, from time to time, by notification in the official gazette determine the fair market value of the immoveable property of the area and areas as may be specified in the notification.
- Where the fair market value of any immovable property of an area or areas has not been determined by the board in the notification referred as above, the fair market of such immoveable property shall be deemed to be the value fixed by the district officer (revenue) or provincial or any other authority authorized in this behalf for the purposes of stamp duty.

▶ *Exercise:*

XYZ purchased a second hand car from M/s ABC Ltd, an associated company. The cost of that car is Rs. 500,000 in the books of ABC Ltd whereas written down value of the said car is Rs. 350,000. One of the car dealers told the company that the value of the said car in the market is Rs. 250,000.

Required

What is the value of the car as per the Income Tax Ordinance, 2001?

▶ *Answer*

Value of the Car as per the Income Tax Ordinance, 2001 is its fair market value i-e Rs. 250,000.

10.3 Receipt of income (Sec 69)

Method for recognition of receipt of income is elaborated in section 69 of the Ordinance in the following way:

A person shall be treated as having received an amount, benefit, or perquisite if it is:

i. actually received by the person;

ii. applied on behalf of the person, at the instruction of the person or under any law; or

iii. made available to the person.

▶ *Exercise:*

Mr. Bashir, an employee of M/s HA Motors Limited visited different clients for recovery of its bills and he received following response:

a) M/s. HA Forts Ltd one of the clients paid him a sum of Rs. 95,000 after deducting a tax of Rs. 5,000.

b) Modern Motors has stated that it already paid a sum of Rs. 35,000 being the bills of M/s HA to M/s Sarhad Motors at the instructions of M/s HA.

c) City Flyers (Pvt.) Limited has adjusted a sum of Rs. 55,000 against the travelling tickets purchased by M/s HA Motors Limited from their office and paid the balance amount of Rs. 45,000.

d) Hameed Sons said that they recorded their sum payable in its financial records, however, its settlement will be made in due course.

M/s. HA Motors Limited is interested to know the amount of receipts which are liable to be added to the taxable income.

- *Answer*

M/s HA MOTORS LIMITED

Name of client	Receipts to be included in income Rupees	Remarks
HA Forts limited	100,000	Sum actually received
Modern Motors	35,000	Paid on the instructions of the person
City Flyers (Private) Ltd	100,000	*Sum actually received Rs 45,000 and sum* of Rs.55,000 applied on behalf of the recipient
Hameed sons	0	No sum received
Total	**235,000**	

10.4 Recouped expenditure (Sec 70)

Any amount received subsequently in respect of deduction previously allowed as deduction will be added in the income in the year of receipt, as provided in section 70 below:

Where a person has been allowed a deduction for any expenditure or loss incurred in a tax year in the computation of the person's income chargeable to tax under a head of income and, subsequently, the person has received, in cash or in kind, any amount in respect of such expenditure or loss, the amount so received shall be included in the income chargeable under that head for the tax year in which it is received.

- *Exercise:*

M/s ABC claimed deduction of following finance charges against the income of preceding years:

Year	Amount of finance charges
2024	150,000
2025	75,000
2026	85,000

The aforesaid mark-up remained payable to the bank and could not be paid due to adverse liquidity position of ABC. On 15 May 2027, the bank agreed to waive off mark up to the extent of Rs. 250,000 under a rescheduling agreement. M/s ABC interested to know that what is the tax exposure on such waiver of mark up and in case said amount is taxable then how the said sum is added to preceding years income.

- *Answer*

The aforesaid amount of Rs. 250,000 is taxable in the hands of ABC in the year of Waiver i.e. tax year 2027 and it will not be included in the preceding years.

10.5 Currency conversion (Sec 71)

Every amount taken into account under the Income Tax Ordinance, 2001 shall be in Rupees.

If an amount is in a currency other than rupees, the amount shall be converted to the rupee at the State Bank of Pakistan rate applying between the foreign currency and the Rupee on the date the amount is taken into account for the purposes of the Income Tax Ordinance, 2001.

▶ *Exercise:*

Mr. XYZ received a sum of US Dollars 500 from his client on 14 April 200X and he paid a sum of Euro 250 for expenses incurred in respect of the said assignment on 15 April 2027. The exchange rate prescribed by the State bank of Pakistan on the dates of transactions are as under:

Date	Currency	Dollar/ Euro	Pak Rs. Conversion
14 April, 2027	Dollar	1	Rs. 290
15 April, 2027	Euro	1	Rs. 300/Euro

▶ *Answer*

MR. XYZ

COMPUTATION OF TAXABLE INCOME

TAX YEAR 2027

Description	Amount in Rs.
Receipt $ 500 x Rs. 290/Dollar	145,000
Expenses Euro 250 x Rs. 300/Euro	(75,000)
Income	**70,000**

10.6 Cessation of source of income (Sec 72)

- This section applies where any income is derived by a person in a tax year from any business, activity, investment or other source that has ceased either before the commencement of the year or during the year.
- In such a case the income derived before the business, activity, investment or other source ceased, shall be chargeable to tax as if the source of such income had not ceased.

10.7 A Notice of discontinued business (Sec-117)

- Any person discontinuing a business shall give the Commissioner a notice in writing to that effect within fifteen days of the discontinuance and furnish a return of income from start of year till date of discontinuance.

Where notice of discontinuance is not filed by a person, and the Commissioner has reasons to believe that such person has discontinued or is likely to discontinue his business, he may require such person, through a notice, to file a return of income for a specified period within the time specified in the notice.

▶ *Exercise:*

Explain the tax treatment in respect of the following:

On 21 March 2026, there was a fire in the shop of Mr. Imran and the entire stock of honey valued at Rs. 100,000 (at cost) was destroyed. Imran's insurance company refused to entertain the claim for Rs. 100,000 for the loss of the stock-in-trade. Imran ceased doing business as and from 30 June 2026. In the return of income furnished for the tax year 2026, Imran claimed the Rs. 100,000 as a deductible business loss in computing his income under the head 'Income from business'. The loss was allowed as a deductible charge in that tax year. During the tax year 2027, the insurance company, on receiving a legal notice from Imran, made a payment of Rs. 75,000 against the claim for the loss of stock-in-trade which Imran accepted in full settlement.

▶ *Answer*

Law specifically provides that if there is any income that has been derived by a person in a tax year from a business, activity, investment or other source that has either ceased before the commencement of that year or during the year and if that income would have been taxable had there been no cessation, then the provision of the tax statute would apply as if there was no cessation (Ref: Sec 72)

In other words, section 72 deems the business activity, investment or other source to have been carried on by the person in the tax year in which the income was derived despite the cessation of the business activity, investment or other source. The above amount shall be offered for tax in the return under the head "Income from business".

10.8 Rules to prevent double derivation and double deductions (Sec 73)

- If any amount is chargeable to tax on the basis that it is receivable, the amount shall not be chargeable again on the basis that it is received.
- If any amount is chargeable to tax on the basis that it is received, the amount shall not be chargeable again on the basis that it is receivable.
- If any expenditure is allowable as deduction on the basis that it is payable, the expenditure shall not be allowed as deduction again on the basis that it is paid.

If any expenditure is allowable as deduction on the basis that it is paid, the expenditure shall not be allowed as deduction again on the basis that it is payable.

CHAPTER 5

SALARY

IN THIS CHAPTER:

1. Salary and its components
2. Determination/computation of Value of Perquisites
3. Determination/computation of other components of salary
4. Employee share scheme
5. Computation of income chargeable under the head 'salary'

1 SALARY AND ITS COMPONENTS

1.1 Definition and scope of salary [Sec 12(2)]

- Salary means any amount received by an employee from any employment, whether of a revenue or capital nature, and includes:

  i. any pay, wages or other remuneration including leave pay, overtime, bonus, commission, fees, gratuity, work condition supplements (such as for the unpleasant or dangerous working conditions):

  ii. any perquisite whether convertible into money or not;

  iii. any allowance provided to employee including cost of living, rent, utilities, education, entertainment, travelling, etc. excluding allowance solely expended in the performance of duties of employment;

  Note: Any allowance solely expended in the performance of employee's duty does not include:

  a) allowance which is paid in monthly salary on a fixed basis or percentage of salary; or

  b) allowance which is not wholly, exclusively, necessarily or actually spent on behalf of the employer

  iv. any expenditure reimbursed by the employer other than expenditure incurred solely in the performance of duties of employment

  v. profits in lieu of, or in addition to, salary including:

  a) consideration received for entering into an employment agreement or for agreement to any condition of employment or changes to the employment conditions or to a restrictive covenant to any past, present or future employment.

  b) amount received on the termination of employment, including golden handshake payments.

  c) amount received from provident fund except for a contribution made by the employee in respect of which the employee was not entitled to a deduction.

  vi. any pension or annuity or any supplement to a pension or annuity received / receivable from employer;

  vii. any amount of gain earned under "Employee Share Scheme";

  viii. amount of tax chargeable on employee's salary and borne by employer.

▶ *Definitions:*

Sec 2(20), "Employee" means any individual engaged in employment.

Sec 2(21), "Employer" means any person who engages and remunerates an employee

Sec 2(22), "Employment" includes:

- a directorship or any other office involved in the management of a company;
- a position entitling the holder to a fixed or ascertainable remuneration; or
- the holding or acting in any public office;

Pakistan Source Salary

An employee's salary income, wherever received, is taxed in Pakistan to the extent it relates to employment exercised in Pakistan (Pakistan Source Income). However, salary received by a Pakistan Government employee is taxable in Pakistan whether employment is exercised in Pakistan or abroad.

- *Examples:*

Private Sector Employee:

- Ali works for a private company in Pakistan but receives his salary in Dubai.
- Ali's salary is taxed in Pakistan because his work is done in Pakistan.

Pakistan Government Employee:

- Sara works for the Pakistan Government and is posted in Canada.
- Sara's salary is taxed in Pakistan, even though she works in Canada.

1.2 Basis of chargeability

Taxable on receipt basis [Section 12(1)]

- Salary is taxable on receipt basis, i.e. any salary received by an employee in a tax year shall be chargeable to tax.
- A person shall be treated as having received an amount, benefit, or perquisite if it is
  i. actually received by the person
  ii. applied on behalf of the person, at the instruction of the person or under any law
  iii. made available to the person. [Section 69]

- *Exercise*

Mr. Bilal, a citizen of Pakistan, is working with PMX (Pvt.) Limited as its head of treasury for the last 15 years. He has provided you with the following information for the year ended June 30, 2027.

i. His salary was Rs. 300,000 per month (inclusive of all allowances) till June 30, 2026, which was increased to Rs. 400,000 per month effective from 1 July 2026.

ii. Salary and allowances are deposited into each employee's bank account on the 8th working day of the following month.

iii. On 31 December 2026, Bilal opted for early retirement and final settlement was made on 8 January 2027.

Required:

Compute Mr. Bilal's taxable income for the tax year 2027.

- *Answer*

Mr. BILAL	Rupees
Computation Of Taxable Income	
Income Year Ended On 30-06-2027	
Tax Year 2027	
Salary for the month of June received on 8 July	300,000
Six months' salary from July 2026 to	
December 2026 (400,000 x 6)	2,400,000
Total taxable salary	**2,700,000**

Note:

Salary is taxed on a receipt basis. As salary is transferred on the 8th working day following the end of the month, salary for the month of June 2026 will be taxable in the tax year 2027.

Who is a salaried person for the purposes of tax rate?

A salaried taxpayer means a taxpayer whose salary income constitutes more than 75% of his taxable income.

1.3 Deductions not allowed [Sec 12(4)]

In computing the income under the head salary, no deduction shall be allowed for expenses incurred by the employee in earning such income.

1.4 Termination of employment [Sec 12(6)]

- If an employee has received compensation on the termination of employment, the employee may, by notice to the Commissioner, elect for the amount to be taxed at the rate computed as:

$$\frac{\text{Total tax paid or payable for three preceding tax years}}{\text{Total taxable income for three preceding tax years}} \times 100$$

- The option should be exercised by the due date of furnishing the return of income.

▶ *Exercise:*

MFD Ltd paid a sum of Rs. 500,000 under the Golden Handshake scheme to Mr. X in addition to the taxable salary of Rs. 1,600,000 in the tax year 2027. The past three years' assessed tax results of his assessment are as under:

Tax Year	Taxable Income	Tax Liability (Assumed)
2026	1,450,000	159,500
2025	1,200,000	120,000
2024	800,000	60,000
Total	3,450,000	339,500

Mr. X is interested in knowing the options available to him for taxation of the Golden Handshake scheme for the tax year 2027.

▶ *Answer1*

Taxation under Normal Manner (Option 1)

Particulars	Rupees
Taxable salary	1,600,000
Sum received under Golden Handshake Scheme	500,000
Taxable income	2,100,000
Total Tax liability of Rs 2,100,000 [Rs.6,000 +11% x (2,100,000-1,200,000)]	105,000

Taxation under section 12(6) (Option II)

Particulars	Rupees
Taxable income as computed aforesaid	1,600,000
Tax on salary exceeding Rs. 1,200,000 but does not exceed Rs. 2,200,000 [6,000 + 11% x (1,600,000 – 1,200,000)]	50,000
Tax on Rs. 500,000 x 339,500/3,450,000	49,203
Total Tax liability	99,203

Note: Since the tax under Option II is lower than the tax under Option I, it is more beneficial for Mr. X (the taxpayer) to choose Option II.

1.5 Relief where salary is received in arrears [Sec 12(7) & (8)]

- In case of receipt of amount under salary which is paid in arrears and is expected to be charged at a rate higher than the rate which would have been charged if the amount was received in its relevant tax year, the employee may, by a notice to the Commissioner, elect for tax rate applicable in the tax year in which such salary was earned.
- The above option shall be exercised by the due date for furnishing the employee's return of income for the tax year in which the amount was received or such later date as may be extended by the Commissioner.

1.6 Tax-free salary to employee [Sec 12(3)]

▶ *Exercise*

The employer of Mr. Usman has undertaken to bear the amount of tax on his salary income of Rs. 2,000,000. Compute the tax liability of Mr. Usman for the year. For the sake of simplicity, assume that he is liable to pay tax @ 15% of his taxable income instead of the rate mentioned in the first schedule.

Where an employer agrees to pay the tax chargeable on an employee's salary, then the amount so paid shall be treated as an additional benefit to the employee. The salary income of the employee shall be grossed up by the amount of tax payable by the employer.

▶ *Answer*

Salary income	2,000,000
Add tax paid by employer (2,000,000 x 15%)	300,000
Taxable salary	2,300,000
Tax liability for the year @ 15%	345,000
Tax already paid by employer on Usman's behalf	(300,000)
Net tax payable	45,000

In the above example, the employee is still paying tax of Rs. 45,000. The question that arises is whether the extra tax of Rs. 45,000 is recoverable by the employee from the employer.

It will be a question of fact in each case to determine whether the extra tax, being the difference between the tax paid by the employer and that calculated on the gross salary, is recovered or recoverable by the employee from his employer. If it is not so recoverable, the matter is simple, as the gross income of the employee in that case will consist of the salary plus the amount paid by the employer as tax, and will be assessed in the hands of the employee, the extra tax, if any, being borne by the employee himself. (As illustrated in the above exercise).

However, if the extra tax is also borne by the employer, the gross salary and the rate applicable have to be worked out again by making an addition in two or three or four steps. This is illustrated in the following exercise:

▶ *Illustration:*

Mr. Qasim earned an annual taxable salary of Rs. 1,550,000 from Kahjoor Marka Ltd, with the condition that the entire tax on his salary will be borne by the company.

Required:

You are required to compute his taxable salary and show the working for how the tax borne by the employer is calculated.

Particulars	Gross taxable Income	Tax	Difference
Salary Taxable Income	1,550,000		
Tax on the Income [6,000+ 11% of amount exceeding Rs. 1,200,000]		44,500	44,500
Salary income after addition u/s 12(3) (1,550,000 + 44,500)	1,594,500		
Tax on the Revised income		49,395	4,895
Salary income after addition u/s 12(3) [1,594,500 + 4,895]	1,599,395		
Tax on the Revised income		49,933	538
Tax on revised income of Rs. 1,599,933 (1,599,395 + 538)	1,599,933	49,993	60
Tax on revised income of Rs. 1,599,993 (1,599,933+60)	1,599,993	49,999	6
Tax on revised income of Rs. 1,599,999(1,599,993+6)	1,599,999	50,000	1
Tax on revised income of Rs. 1,600,000 (1,599,999+1)	1,600,000	50,000	0
Shortcut formula: (Rs. 44,500/0.89) =50,000			

For an exercise, a **useful exam formula** would be:

Employer-borne tax = [Fixed tax + (Marginal tax rate × (Salary – Lower limit of applicable slab))] ÷ (1 – Marginal tax rate)

Applying this formula to the above scenario, we get:

Employer-borne tax = [6,000 + (11% × (1,550,000 – 1,200,000))] ÷ (1 – 11%)

= Rs. 50,000

This formula can be applied to any slab, provided you first identify the correct slab based on the **grossed-up salary**. The last point is important: after calculating the tax, you should always verify that the resulting taxable salary actually falls within the slab used.

1.7 Amount or Perquisite when treated as received [Sec 12(5)]

An amount or perquisite shall be treated as received by an employee from any employment regardless of whether the amount or perquisite is paid or provided:

i. By the employee's employer, an associate of the employer, or by a third party under an arrangement with the employer or an associate of the employer;

ii. By a past employer or a prospective employer; or

iii. To the employee or to an associate of the employee or to a third party under an agreement with the employee or an associate of the employee.

1.8 Withholding tax on salary [Sec- 149]

- An adjustable tax shall be deducted at source by every person responsible for paying salary to an employee at the time of payment, at the **average rate of tax** on the estimated income of the employee chargeable under the head "Salary" for the relevant tax year, after making adjustments for tax withheld from the employee under other heads and tax credits admissible under **sections 61 and 63** during the year, subject to obtaining documentary evidence.

  Note: Deductible Allowances and admissible tax credits shall also be considered while calculating the withholding tax. However, the allowance on account of educational expenses under **section 60D** shall not be taken into account for computing the withholding tax deductible by the employer under section 149.

- Directorship fee or fee for attending a meeting of the Board of Directors, or any similar fee, is subject to withholding tax at **20% of the gross amount payable**, instead of the average rate. The tax deducted is **adjustable** against the person's normal tax liability.
- Any person responsible for paying pension to a former employee who is **below the age of seventy years,** where the pension received during a tax year exceeds **Rs. 10 million**, shall, at the time of payment, deduct tax from the amount exceeding Rs. 10 million at the rate of **5%** after making the prescribed adjustments for tax withheld from the former employee under other heads and tax credits admissible under **sections 61 and 63** during the tax year, subject to obtaining documentary evidence.
- A salaried individual **is not required to pay advance** tax under section 147 of the Ordinance.
- Where tax was deducted from an employee's salary in excess of the requisite amount in a previous year, the excess amount may be adjusted by the employer against the tax required to be withheld during the current year, provided that the excess amount has not been refunded to the employee. However, any excess deduction in the previous year on any head other than salary cannot be adjusted by the employer while calculating withholding tax for the current year.

  Note: Tax deducted from the employee under other heads during the current year shall be taken into account by the employer while calculating the withholding tax deductible from salary.

2 DETERMINATION/COMPUTATION OF VALUE OF PERQUISITES

2.1 Introduction to valuation of perquisites

The term 'perquisites' may be defined as the casual emolument, fee or profit attached to an office or position in addition to salary or wages. Perquisites may be in cash (such as utility) or in kind (such as accommodation or motor vehicle provided by the employer to an employee).

Section 13 of the Ordinance contains provisions relating to determination of value of perquisites. The said provisions describe the methods for determination of value of perquisites which are detailed below.

2.2 Conveyance [Sec 13(3) and Rule 5]

In case where a motor vehicle is provided by an employer to an employee (including director), the amount chargeable to tax under the head salary shall be determined as follows:

Partly for personal and official use	**If owned**: 5% of the cost of the vehicle to the employer; or **If leased:** 5% of fair market value (FMV) of motor vehicle at the commencement of lease
For personal use only	**If owned:** 10% of the cost of vehicle to the employer; or **If leased:** 10% of FMV of motor vehicle at the commencement of lease
For office use only	No addition

2.3 Accommodation [Sec 13(12) and Rule 4]

If accommodation or housing is provided by an employer to an employee (including a director), the amount chargeable to tax under the head salary shall include the higher of the following:

- Amount that would have been paid if such accommodation was not provided; and
- 45% of the minimum of the time scale (MTS) of the basic salary or the basic salary if there is no MTS.
- Where house rent allowance is admissible @ 30%, the value taken for the purpose shall be an amount not less than 30% of the minimum of the time scale of basic salary or the basic salary where there is no time scale.

Minimum of time scale is the amount from where the salary scale of a particular employee starts, e.g. (4,900-800-8,500) means the salary of the employee starts with Rs. 4,900 with an increment of Rs. 800 per annum, etc., subject to a maximum increased salary of Rs. 8,500.

▶ *Exercise:*

Case No 1

(1)	Minimum time scale	250,000-25,000-450,000
(2)	Basic salary	300,000 per month
(3)	Bonus	1,000,000

Free accommodation whose rental value is Rs 1,000,000

Determine the taxable Income.

▶ *Solution*

Value under Rule 4	
= 1,350,000 [i.e. 250,000 x 12 x 45%] or Rs. 1,000,000 whichever is higher.	
His taxable income will be:	
Basic salary	3,600,000
Bonus	1,000,000
Addition under rule 4	1,350,000
Taxable income	**5,950,000**

Case No 2

(i)	Basic Salary (per month)	160,000
(ii)	Accommodation [annual rental value Rs. 1,200,000]	
(iii)	Bonus	1,200,000
(iv)	Dearness allowance (per month)	30,000

Determine taxable income.

▶ *Solution*

Value of perquisite under Rule 4

= Rs. 864,000 [i.e. 160,000 x 12 x 45%]

Total income chargeable

Basic salary	**1,920,000**
Accommodation under Rule 4 [higher of Rs. 1,200,000 or Rs. 864,000]	1,200,000
Bonus	1,200,000
Dearness allowance	360,000
Taxable income	**4,680,000**

2.4 Utilities and services of domestic servants [Sec 13(5) & (6)]

▶ *Definition: Utilities*

"Utilities" includes electricity, gas, water and telephone. [(Section 13(14)(c)]

The amount chargeable to tax under the head salary shall include the FMV of utilities as reduced by any payment made to the employer for such utilities.

Domestic servants [Section 13(5)]

In case services of a housekeeper, gardener, driver, or other domestic assistant are provided by an employer to the employee, the amount chargeable to tax under the head salary shall include the amount of total salary paid to housekeeper, gardener, driver, or other domestic assistant as reduced by any payment made by the employee to the employer for such services.

2.5 Interest Free / Concessional Loan [Sec 13(7), (8) & (14)]

- Where a loan is given to an employee on or after 1.7.2002 (i.e. tax year 2003), then the amount to be included in salary income of the employee in the following manner:
  - If no interest is payable by the employee - the amount of interest computed at the benchmark rate,
  - If interest is payable at less than the benchmark rate - the interest amount computed at the benchmark rate less the actual amount of interest paid by the employee,

The above provision shall not apply to the loans of Rs. 1,000,000 or less.

Where such benefit is extended by the employer due to waiver of interest by such employee on his accounts maintained with the employer, e.g. Provident Fund etc.

- Benchmark rate of interest is 10% per annum.
- Where an amount has been included in the salary of an employee in connection with the above loan, and the employee uses the loan wholly or partly for acquiring any asset or property producing income chargeable to tax under any head of income, the amount of interest on such loan shall be allowed as deduction against income from such asset. In this regard, an amount equal to the benchmark rate shall be allowed as deduction. However, where interest charged by the employer is higher than the benchmark rate, the whole amount paid by the employee shall be allowed as deduction.

▶ *Exercise*

Mr. A is granted a loan of Rs. 1,500,000 by his employer ABC Ltd on 1 July 2025. The loan is subject to an interest rate of 2% per annum. Compute the amount of perquisite relevant to the interest for the tax year 2027.

▶ *Answer*

	Rs.
Interest chargeable at Benchmark Rate => 1,500,000x 10%	150,000
Interest charged to the loan by ABC Ltd => 1,500,000 x 2%	(30,000)
Balance perquisite to be added in the income of Mr. A	120,000

2.6 Obligations waiver / settlement [Sec 13(9), (10)]

- Any obligation waived of which an employee owed to the employer shall be included in the salary income of the employee, equal to the amount waived.
- Any repayment by the employer to another person on account of an obligation of the employee shall be included in the salary income of the employee equal to the amount repaid.

▶ *Exercise*

An employer owns a residential house and has provided the same to one of its employees for no rent. Explain the tax implications in respect of this transaction.

▶ *Answer*

The fair market rent or 45% of the minimum of time scale / basic salary, whichever is higher, will be added to the employee's taxable salary. The employer will not be considered to have earned any rental income from this property and accordingly there will be no tax consequences for him. [Ref: S 15(1) and Rule 4]

2.7 Transfer of property or provision of services to employees [Sec 13(11)]

If any property is transferred or any services are rendered by an employer to an employee, the amount chargeable to tax to the employee under the head salary for that year shall include the fair market value of the property or services determined at the time the property is transferred or the services are provided, less any payment made by the employee for the property or services.

2.8 Any other perquisite [Sec 13(13)]

The amount calculated as below shall be included in the income of the employee;

Fair market value of the perquisite	xxx
Payment made by the employee if any	(xx)
Amount to be included in salary income	xxx

3 DETERMINATION/COMPUTATION OF OTHER COMPONENTS OF SALARY

3.1 Retirement benefits schemes

Retirement benefits generally include payments on account of gratuity, provident fund and pension. In some cases, employees are encouraged to retire voluntarily and are offered payments under the Golden handshake schemes.

Gratuity

▶ *Definition:*

Section 2(3), "approved gratuity fund" means a gratuity fund approved by the Commissioner in accordance with Part III of the Sixth Schedule;

- Gratuity received from an approved gratuity fund is fully exempt. Gratuity received from an approved scheme and an unapproved fund or scheme is exempt up to the following limits:

Gratuity type	Tax treatment
Government employees	Fully exempt
Gratuity fund approved by the Commissioner Inland Revenue	Fully exempt
Gratuity scheme approved by the Board	Exempt up to Rs. 300,000
Unapproved gratuity scheme/fund	Exempt up to 75,000 or 50% of the amount receivable, whichever is lower. Option is available for taxable termination benefits to tax at average rate of last 3 years

- Exemption in respect of unapproved gratuity shall not apply in the following cases:
  i. Any payment not received in Pakistan
  ii. Any payment received by a director of a company who is not a regular employee of such company
  iii. Any payment received by a non-resident
  iv. Any gratuity received by an employee who has already received any gratuity from the same or other employer.

Pension

Through the Finance Act, 2025, the exemption previously available on pension income received by citizens of Pakistan has been withdrawn. As a result, any pension received in respect of employment will now be taxable under the head 'Salary'. Consequently, the following tax rates will apply:

Pension taxable under FTR

Description	Rate of tax
Where the amount of pension received does not exceed Rs. 10 million	0% of the amount
Where the amount of pension received exceeds Rs. 10 million and age is less than 70 years	5% of the amount exceeding Rs. 10 million
Recipient is over 70 years old	Fully Exempt

Pension taxable under NTR as per applicable slabs

Where the individual continues to work for the former employer or its associate and derives pension, such pension received from the former employer will be taxed at the applicable slab rates, salaried or other than salaried, as the case may be, in the hands of the recipient.

Corresponding changes have also been brought about in the withholding tax provisions relating to salary payments whereby the person making payment of pension is now obligated to withhold tax at the rate of 5% from the amount of pension exceeding Rs. 10 million paid to an employee below the age of seventy years.

Provident Fund (PF)

Provident fund is categorised into the following three categories:

i. Government provident fund

ii. Recognized provident fund

iii. Unrecognised provident fund

Provisions regarding taxability in respect of employer/employee contribution, interest credited and accumulated balance thereon are as follows:

Event	Government PF	Recognized PF	Unrecognized PF
Employee's Contribution	No treatment	No treatment	No treatment
Employer's Contribution	Exempt	Limit on employer's yearly contribution is Rs. 150,000 or 1/10th of (basic salary + dearness allowance), whichever is lower.	No treatment
Interest credited during the year	Exempt	Yearly interest is exempt, up to lower of: • 16% interest rate on accumulated balance; or • 1/3rd of (basic salary + dearness allowance).	No treatment
Payment of accumulated balances	Exempt	Exempt	Only the employer's contribution and interest on accumulated balance is taxable in the year of receipt.

- Salary for the purpose of provident fund includes basic salary + dearness allowance. All other allowances are excluded.
- There is no treatment of employee contribution as the amount is paid from salary and the same is already included in his salary.

Benevolent fund

Any benevolent grant paid from a Benevolent Fund to employees or members of their families in accordance with the provisions of the Central Employee Benevolent Fund and Group Insurance Act, 1969 is exempt from tax. **(Clause 24 Part I of the Second Schedule)**

3.2 Other benefits

Certain Perquisites being by virtue of employment (Clause 53A Part I of 2nd Sch.)

The following perquisites received by an employee by virtue of his employment are exempt from tax.

i. Free or subsidised food provided by hotels and restaurants to their employees during duty hours.

ii. Free or subsidised education provided by an educational institution to the children of employees.

iii. Free or subsidised medical treatment provided by a hospital or clinic to its employees.

iv. Any other perquisite for which the employer does not have to bear any marginal cost, as notified by the Board.

Medical allowance and reimbursement (Clause 139 Part I of 2nd Sch.)

- Medical facility or the reimbursement received by an employee is exempt where such provision or reimbursement is in accordance with the terms of employment, provided that the NTN of the hospital or clinic is provided and the employer also certifies and attests the medical bills.
- Medical allowance is exempt up to 10% of basic salary (The same is fully taxable if it is provided in addition to the exempt medical facility provided by the employer, whether availed by the employee or not)

Leave Encashment (Clause 19 Part I of 2nd Sch.)

Any amount received on encashment of leave preparatory to retirement is exempt, if it is received by a government employee & member of Armed Forces of Pakistan.

Worker's Profit Participation Fund (WPPF) (Clause 26 Part I of 2nd Sch.)

Amount received from WPPF as a worker is fully exempt.

Commutation of pension (Clause 12 Part I of 2nd Sch.)

Commutation of pension received from government or any pension scheme approved by the Board is fully exempt.

3.3 Salary earned outside Pakistan by citizen of Pakistan [Sec 51(2)]

Where a citizen of Pakistan leaves the country during a tax year and remains abroad for the remainder of that year, any salary income earned outside Pakistan during that period shall be exempt from tax. However, this exemption applies exclusively to salary income; all other foreign-source or Pakistan-source income shall remain taxable as per applicable tax laws.

3.4 Foreign source salary (Sec 102)

Foreign-source salary received by a resident shall be exempt from tax in Pakistan if the individual has paid foreign income tax on that salary—either through employer withholding or by direct payment to the revenue authority of the foreign country where the employment was exercised. This exemption shall not apply where no tax has been paid or is not payable in the foreign jurisdiction.

▶ *Exercise*

Being a tax consultant, you are required to explain the tax implications/taxable income under the appropriate head in respect of each of the following independent situations for tax year 2027:

i. As part of a remuneration package, a company provides for reimbursement of telephone costs on an actual basis to its employees.

ii. Actual expenditure incurred by an employee in relation to travelling and daily allowances is less than the amount of allowances paid by the employer.

iii. Mr. Hamid, a citizen of Pakistan, was working with Zee (Pvt.) Ltd for the last 15 years when he opted for early retirement on 31 October 2026. He was due Rs. 5 million as a gratuity under the gratuity scheme of Zee (Pvt.) Limited. The scheme was not approved by the FBR. Due to cash constraints, the gratuity, though due to Hamid on 31 October 2026, was not paid to Hamid. On 30 April 2027, at the request of Zee (Pvt.) Limited, Kee (Pvt.) Ltd, an associated company of Zee (Pvt.) Ltd transferred the equivalent of Rs. 5 million in US Dollars into Hamid's US dollar account in the UAE in lieu of gratuity due from Zee (Pvt.) Limited.

iv. A company has taken health insurance cover for its employees. The insurance company reimburses employees for the actual cost of medical services for themselves and their dependents.

v. ABC Ltd has provided a scholarship to one of its employees for higher studies abroad.

vi. Mr. A has leased a car and pays for its lease rentals from his own sources. He uses the car for business purposes. What will be the treatment of lease rentals paid and expenditure incurred on vehicle running and maintenance?

vii. Mr. Aslam is 67 years old and employed as a research scholar in a recognised non-profit institution. His taxable salary for the tax year is Rs. 654,000. Aslam is of the view that he is entitled to both reductions, i.e. in respect of senior citizen allowance as well as for full-time teacher allowance.

viii. Mr. Sarmad has purchased a generator amounting to Rs. 1,000,000 from an interest-free loan taken from his employer. He rented the generator at an annual rental value of Rs. 250,000. Total expense of Rs. 25,000 was incurred on repair, transport and maintenance of the generator.

▶ *Answer*

i. Reimbursements of telephone expenses by the company will be treated as taxable benefits of employees in case the facility is used for private purposes. There will be no tax consequences to the extent the facility is used for official purposes. [Ref: Sec 13]

ii. Travelling and daily allowance spent to the extent for performance of duty will be exempt, provided it is not paid with monthly salary or on a fixed basis. Any amount given in excess of actual spending will be fully taxable.

iii. Since the gratuity scheme is not approved, the amount exempt from tax should be 50% of the amount received or Rs. 75,000, whichever is lower. However, since the payment is received outside Pakistan, the said exemption is not available. The whole amount is chargeable to tax. (Ref. Proviso to Clause 13(iv) of part 1)

iv. Reimbursement of actual medical expenditure by an employer is tax exempt. (Clause 139 Part I of 2nd Schedule). On a similar basis, there will be no tax implications on reimbursement by the insurance company on behalf of the employer, or any tax consequences for the employees on payment of health insurance premium by the employer.

v. Scholarship granted to the employee will be exempt from tax provided the employer and the employee are not associates (Ref: Sec 47, discussed in chapter 11 as well)

vi. Expenditure incurred by an employee to earn salary income, including travelling expenses and lease rental payments, is not tax deductible. (Ref: Sec 12(4))

vii. No full-time teacher or researcher allowance and the tax reduction for senior citizens is no longer available.

viii.

Annual rental	250,000
Repair, transport and maintenance	(25,000)
Taxable income from other source	**225,000**

Note

N-1 Loan amount is Rs. 1,000,000, so no amount will be added in salary for interest on loan received from employer. However, mark-up at not less than the benchmark rate of 10% as deduction shall be allowed against income as such.

4 EMPLOYEE SHARE SCHEME

4.1 Definition

Employee share scheme means any agreement under which a company may issue shares to:

i. an employee of the company; or

ii. an employee of an associated company; or

iii. the trustee of a trust and under the trust deed the trustee may transfer the shares to an employee of the company or an employee of an associated company

4.2 Taxability at grant of right or option

When an employee is granted an option or right to acquire shares under an employee share scheme, no amount is chargeable to tax. It is so for the reason that no benefit is derived by the employee by a mere grant of an option.

4.3 Taxability at issue of shares

When an employee is issued with shares as a result of exercise of an option under an employee share scheme, the amount chargeable to tax to the employee under the head salary shall be computed in the following manner:

i.	Fair market value of shares	xxx
ii.	Consideration paid for the grant of right or option to acquire shares	(xxx)
iii.	Consideration paid for the purchase of shares	(xxx)
	Taxable salary	xxx

4.4 Taxability at issue of shares subject to restriction on transfer

- If the shares issued to an employee under an employee share scheme are subject to a restriction on transfer, no amount shall be chargeable to tax until the earlier of the time the employee:
  - i. has free right to transfer the shares; or
  - ii. disposes of the shares; and
- The amount chargeable to tax shall be computed as follows:

Fair market value of shares at the time the employee has free right to transfer or dispose of the shares	**XXX**
Any consideration paid for shares	(XXX)
Any consideration paid for grant of right or option to acquire the shares	(XXX)
Taxable salary	XXX

4.5 Taxability at disposal of right or option

As stated in paragraph 4.2 above, when an employee is granted an option or right to acquire shares under an employee share scheme, no amount is chargeable to tax. However, if, instead of exercising, such right or option is disposed of by the employee, amount chargeable to tax under the head salary shall be worked out as under:-

Consideration received for the disposal of right or option	xxx
Employee's cost in respect of the right or option	(xxx)
Taxable salary	xxx

4.6 Cost of shares

After an amount has been charged to tax under the head salary as a result of situations mentioned in paragraph 4.3 and 4.4 above, the cost of shares acquired under the employees' share scheme shall be computed in the following manner:

Consideration paid for shares	xxx
Consideration paid for the grant of any right or option	xxx
Taxable amount representing gain calculated on the	
Issue of shares by company to employee under	
Employees share scheme (paragraph 4.3 / 4.4)	xxx
Cost of shares (generally for the purpose of computing capital gain	xxx

▶ *Exercise*

Mr. Ahsan has been the Chief Financial Officer of XYZ Limited for the last 5 years. He was offered 5,000 shares on 1 June 2025 by XYZ Limited for $ 1 per share. The market value on that date was $5 per share. The shares were transferable on completion of one year of service from the date of issue of shares.

The market price of the shares as on 1 June 2025 was $8 per share. On 17 September 2026, Mr. Ahsan sold all shares at $9. He also paid a commission of $10 to the brokerage house.

The relevant exchange rates are as follows:

01 June 2025	**$1=100**
01 June 2026	$1=101
17 September 2026	$1=102

Required:

Calculate the amount to be included in the taxable income of Mr. Ahsan for tax years 2025, 2026 and 2027. Also specify the head of income under which the income would be classified.

▶ *Answer*

Tax Year 2025:

As Mr. Ahsan did not have any right to transfer the shares in tax year 2025, nothing will be included in the taxable income:

Tax Year 2026:

The following will be included in the income of Mr. Ahsan under the head Salary in tax year 2026.

Market value on removal of restriction on transfer of shares (5,000 x 8 x 101)	4,040,000
Less cost of shares: amount paid by Mr. Ahsan (5,000x1x100)	500,000
Amount to be included under the head salary	**3,540,000**
Tax Year 2027: [Capital Gains]	
The following will be included in the income of Mr. Ahsan under the head capital gain	
Consideration received on sale of shares (5,000x102x9)	4,590,000
Cost of shares (500,000 + 3,540,000)	(4,040,000)
Commission (10x102)	(1,020)
Capital gain	**548,980**

5 COMPUTATION OF INCOME CHARGEABLE UNDER THE HEAD 'SALARY'

The method for determination of taxable income under the head "Salary" is exemplified in the following exercise:

▶ *Exercise:*

Mr. Mobeen is a chartered accountant and is working as finance manager of XYZ (PVT) Limited. During the financial year ending on 30th June 2027, his emolument package includes the following:

- Basic Pay Rs. 100,000 per month.
- Bonus Rs. 100,000.
- Leave encashment Rs. 50,000.
- Mr. Mobeen is provided with a car of 1,300cc. The said car was purchased in the last year for a consideration of Rs. 1,000,000. Running and maintenance costs of the said vehicle are borne by the employer. The said vehicle is being used partly for private and partly for business use.
- Mr. Mobeen is provided with a furnished accommodation of 1000 square yards in Lahore, and the company bears rent of Rs. 60,000 p.m. of the said accommodation.
- The company also bears the cost of utility bills of Mr Mobeen's home. The total bills for electricity, gas and water aggregate to Rs. 200,000.
- The salary paid in respect of the cook and guard appointed at the residence of Mr. Mobeen aggregates to Rs. 10,000 p.m.
- According to the terms of employment, the company bears all the medical expenses of Mr. Mobeen. Total expenses incurred on this account aggregate to Rs. 75,000.
- The company also provided air tickets and other expenses worth Rs. 85,000 for Mr. Mobeen and his family's trip to the UAE for summer leave.
- During the year, Mr. Mobeen was deputed to Islamabad for the month of December, 2026, in order to resolve certain administrative issues. He was paid a fixed relocation allowance of Rs. 35,000 in addition to his normal salary.
- The company granted Mr. Mobeen an interest-free loan for a sum of Rs. 1,500,000 on 1 January, 2027.
- In July 2023, Mr. Mobeen was granted an option to acquire 1000 shares of Alpha (Pvt.) Limited (Parent Company of his employer). The option was exercisable on completion of three years' employment with the Company. He paid an amount equivalent to Rs. 100,000 to acquire the option, whereas the fair market value of such option at that time was Rs. 150,000. On July 4, 2026, he paid a sum equivalent to Rs. 200,000 to acquire the said shares, which were issued to him on July 21, 2026, when the market value of the shares was equivalent to Rs. 350 per share. Mr. Mobeen disposed of the shares on June 21, 2027. The sales proceeds received amounted to Rs. 375,000.
- Mr. Mobeen tendered his resignation to the company on June 29, 2027, and he was paid a sum of Rs. 120,000 on account of gratuity from the unapproved gratuity fund on the said date.
- Mr. Mobeen accepted the offer of M/S ABC (Pvt.) Limited to join that organisation and he received a sum of Rs. 75,000 as inducement allowance on account of leaving the past employer.

Required:

Compute the taxable income and tax liability of Mr. Mobeen for the tax year 2027.

▶ *Answer*

MR. MOBEEN

COMPUTATION OF TAXABLE INCOME & TAX LIABILITY

Resident Individual

Tax year 2027

Particulars	Gross	Exempt	Taxable	Remarks
Pay	1,200,000	0	1,200,000	
Bonus	100,000	0	100,000	
Leave encashment	50,000	0	50,000	
Car 1,300cc	50,000	0	50,000	5% of 1,000,000
Accommodation	720,000	0	720,000	720,000 or 45% of the basic salary, whichever is higher
Utilities	200,000	0	200,000	
Cook and guard	120,000	0	120,000	
Medical	75,000	75,000	0	Exempt upto 10% of the basic Salary
Leave fare assistance	85,000	0	85,000	
Relocation allowance	35,000		35,000	Fixed allowance fully taxable
Markup on interest-free loan	75,000	0	75,000	10% x 6/12 x 1,500,000
Employee share scheme	50,000	0	50,000	350,000-200,000-100,000
Gratuity	120,000	60,000	60,000	Lesser of 75,000 or 50% is exempt
Inducement allowance	75,000	0	75,000	
Taxable salary income	2,955,000	170,000	2,820,000	
Capital gain	25,000 (Rs. 375,000-350,000)		25,000	
Total taxable income			2,845,000	
Tax on Rs. 2,845,000 (Rs. 116,000 + 20% of (Rs. 2,845,000 – 2,200,000)			245,000	

Please note that the remarks are provided for guidance purposes only and are not part of the exam requirements.

▶ *Exercise*

Mr. Arshad is an employee of a public listed company. He submitted the following data for computation of his taxable income for the tax year 2027:

Basic pay per annum	480,000
Bonus	240,000
Dearness allowance	50,000
Rent-free unfurnished accommodation	75,000
Watchman wages paid by employer	36,000
Gardener wages paid by employer	24,000
Sweeper wages paid by employer	6,000
Employer's contribution towards recognised provident fund	24,000
Interest on Provident fund balance @ 18%	18,000
Company maintained car for official and private use 1300CC. The said car was acquired three years earlier. The cost of acquisition of the vehicle was Rs. 850,000.	
Reimbursement of medical expenditure	50,000
Utility bills paid by the company	
Telephone	12,000
Electricity bills paid by employer	15,000
Gas Bills paid by employer	6,000
Water bills paid by employer	9,000
Leave fare assistance (for the first time)	50,000
Commission income for securing a contract paid by the employer	30,000

Due to a health issue, he resigned from the job and the following further sums were paid to him:

Recognised provident fund	150,000
Gratuity Fund unapproved	70,000

Mr. Arshad bought another car from the employer for a consideration of Rs. 285,000, whereas the book value of the said car was Rs. 435,200. He immediately sold the car at Rs. 600,000.

Required:

Compute the taxable income of Mr. Arshad for the tax year 2027.

▶ *Answer*

MR ARSHAD

COMPUTATION OF TAXABLE INCOME

TAX YEAR 2027

Nature of Receipt	Gross amount	Exempt/Not taxable	Taxable
Basic Pay	480,000	0	480,000
Bonus	240,000	0	240,000
Dearness allowance	50,000	0	50,000
Rent-free unfurnished accommodation [actual rent is lower than 45% of basic, so higher value of 45% of basic is adopted]	216,000	0	216,000
Watchman salary	36,000	0	36,000
Gardener salary	24,000	0	24,000
Sweeper salary	6,000	0	6,000
Employer contribution to PF	24,000	24,000	0
Interest on PF: Exempt is lower of: 1/3rd of salary or income up to 16% (1/3 x 480,000 = 160,000) or 16% x (18,000/.18) = 16,000	18,000	16,000	2,000
Company maintained car (850,000 x 5%)	42,500	0	42,500
Reimbursement of medical expenses	50,000	50,000	0
Utilities bills [electricity, gas and water]	30,000		30,000
Telephone bills	12,000		12,000
Leave fare assistance	50,000	0	50,000
Commission	30,000	0	30,000
Recognised provident fund	150,000	150,000	0
Gratuity fund	70,000	35,000	35,000
Sale of car (600,000-285,000)	315,000	315,000	Exempt
Taxable income = 1,253,500			

CHAPTER 6

INCOME FROM PROPERTY

IN THIS CHAPTER:

1. Income from property
2. Deductions allowed

1 INCOME FROM PROPERTY

1.1 Principles of taxation

The chargeability of income under the head "Income from Property" is elaborated in section 15 of the Ordinance. The said section states that:

The rent received or receivable by a person for a tax year, other than rent exempt from tax, shall be chargeable to tax in that year under the head "Income from Property".

▶ *Definition: Sec 2(49); 15, Rent*

"Rent" means any amount received or receivable by the owner of land or a building as consideration for the use or occupation of, or the right to use or occupy, the land or building, and includes any forfeited deposit paid under a contract for the sale of land or a building.

- Where rent received, or receivable, is less than fair market rent for the property, the person shall be treated as having received the fair market rent for the period the property is let on rent in the tax year.
- Where a building is leased together with plant and machinery, section 15 (Income from Property) does not apply and the whole rent is chargeable to tax under the head "Income from Other Sources."
- Where the rent received or receivable includes any amount for the provision of amenities, utilities, or any other service connected with the renting of the building, that amount is chargeable under "Income from Other Sources" (while the rent for the building itself remains under Income from Property).

▶ *Exercise:*

In respect of each of the independent situations mentioned below, calculate the amount which will be treated as rent chargeable to tax under the head "Income from Property" for the tax year 2027.

i. Mr. Bilal received rent of Rs. 50,000 per month during the tax year 2027 when the fair market rent of the property was Rs. 60,000 per month.

ii. In August 2026, Mr. Islam received Rs. 345,000 as rent for leasing out factory, land, building and machinery.

iii. ABC Limited owns a residential house and has provided the same to one of its employees for no rent. Fair market value of the rent was Rs. 1,000,000.

iv. On 1 July 2026, Mr. Hamza received two years' advance rent of Rs. 1,500,000

v. Mr. Usman owns 75 acres of agricultural land in Mirpur. He did not cultivate the land himself and during the tax year 2027 received annual rent of Rs. 2,500,000 from the tenant cultivating the land.

▶ *Answer*

i. Where rent received, or receivable, is less than fair market rent for the property, the person shall be treated as having received the fair market rent (FMR) for the period the property is let on rent in the tax year. Therefore, income from property will be (Rs. 60,000 x 12 months)

ii. It will be chargeable to tax under the head "Income from Other Sources"

iii. <u>Employee</u>

   a) The fair market rent or 45% of basic salary, whichever is higher, will be added to the employee's taxable salary.

   b) Employer (ABC Ltd)

   c) The employer will not be considered to have earned any rental income from this property and accordingly there will be no tax consequences for him.

iv. Rent relating to a tax year, whether received or receivable, is chargeable to tax in that tax year. Therefore, rent received in advance amounting to Rs. 750,000 (Rs. 1,500,000/2) will be charged to tax in the tax year (TY 2027) to which it relates.

v. Land is used for agricultural purposes. Any rent received by the owner of such land is treated as agricultural income and exempt from tax. To claim the exemption, it is not essential that the land should be used for agricultural purposes by the owner himself.

Property owned by two or more persons (Section 66)

Where the co-owners' shares are definite and ascertainable Where any property is owned by two or more persons and their respective shares are definite and ascertainable, the co-owners are not assessed as an association of persons (AOP) in respect of that property. Instead, each person's share of the income from the property is taken into account in computing that person's own taxable income, and each is taxed on their share at their own applicable rate.

Note - The same treatment applies under all heads of income except Income from Business, to which this section (i.e. Section 66) does not apply

▶ *Example:*

Mr. F owns a building generating taxable rental income of Rs. 1,200,000. He gifts it in equal shares to his two adult sons, Mr. A and Mr. B. Their shares are definite and ascertainable (50% each), so each son is taxed individually on Rs. 600,000 (Rs. 1,200,000 × 50%) at his own rate — they are not assessed as an AOP. Where the co-owners' shares are not definite and ascertainable Where the respective shares are not definite and ascertainable, section 66 does not apply. The co-owners then fall to be assessed as an association of persons (AOP), and the income and tax payable are computed under the principles applicable to an AOP. Note: Same concept will be applicable in all other heads except Income from Business

Withholding tax on Income from Property (Section 155)

- Every prescribed person making a payment in full or part (including a payment by way of advance) to any person on account of rent of immovable property (including rent of furniture and fixtures, and amounts for services relating to such property) shall deduct tax from the gross amount of rent paid.

  Explanation: Gross amount of rent includes non-adjustable amount received in relation to building.

- These provisions shall apply when a payment is made on account of rent of immoveable property irrespective of head of income.

- Prescribed person means:

  i. Federal Government, a Provincial Government, Local Government;

  ii. A company;

  iii. A non-profit organization or a charitable institution;

  iv. A diplomatic mission of a foreign state;

  v. A private educational institute, a boutique, a beauty parlour, a hospital, a clinic or a maternity home;

  vi. Individuals or association of persons paying gross rent of rupees one and a half million and above in a year; or

  vii. Any other person notified by the Board.

- Income from property is taxable under the normal tax regime; therefore, withholding tax deducted by a prescribed person will be adjustable against normal tax liability.

Withholding tax rates on income from property:

- The rate of tax to be deducted if payments made to Individual and AOP shall as follows: Individual and AOP

S. No.	Gross Amount of Rent (per annum)	Rate of Tax
1.	Where the gross amount of rent does not exceed Rs. 300,000.	Nil
2.	Where the gross amount of rent exceeds Rs. 300,000 but does not exceed Rs. 600,000.	5 per cent of the gross amount exceeding Rs. 300,000.
3.	Where the gross amount of rent exceeds Rs. 600,000 but does not exceed Rs. 2,000,000.	Rs. 15,000 plus 10 per cent of the gross amount exceeding Rs. 600,000.
4.	Where the gross amount of rent exceeds Rs. 2,000,000.	Rs. 155,000 plus 25 per cent of the gross amount exceeding Rs. 2,000,000.

Company

The rate of tax to be deducted in the case of a company shall be 15% of the gross amount of rent.

The above tax withheld will be adjustable against normal tax liability of a person.

2 DEDUCTIONS ALLOWED

2.1 Deductions chargeable under the head "Income from Property" (Sec 15A)

In computing the income of a person chargeable to tax under the head "Income from Property" for a tax year, a deduction shall be allowed for the following expenditures or allowances, namely:-

a) In respect of repairs to a building, an allowance equal to one-fifth of the rent chargeable to tax in respect of the building for the year, computed before any deduction allowed under this section;

b) any premium paid or payable by the person in the year to insure the building against the risk of damage or destruction;

c) any local rate, tax, charge or cess in respect of the property or the rent from the property paid or payable by the person to any local authority or government in the year, not being any tax payable under this Ordinance;

d) any ground rent paid or payable by the person in the year in respect of the property;

e) any profit paid or payable by the person in the year on any money borrowed including by way of mortgage, to acquire, construct, renovate, extend or reconstruct the property;

f) where the property has been acquired, constructed, renovated, extended, or reconstructed by the person with capital contributed by the House Building Finance Corporation or a scheduled bank under a scheme of investment in property on the basis of sharing the rent made by the Corporation or bank, the share in rent and share towards appreciation in the value of property (excluding the return of capital, if any) from the property paid or payable by the person to the said Corporation or the bank in the year under that scheme;

g) where the property is subject to mortgage or other capital charge, the amount of profit or interest paid on such mortgage or charge;

h) any expenditure, not exceeding FOUR per cent of the rent chargeable to tax in respect of the property for the year computed before any deduction allowed under this section, paid or payable by the person in the year wholly and exclusively for the purpose of deriving rent chargeable to tax under the head, "Income from Property" including administration and collection charges;

i) any expenditure paid or payable by the person in the tax year for legal services acquired to defend the person's title to the property or any suit connected with the property in a court; and

j) where there are reasonable grounds for believing that any unpaid rent in respect of the property is irrecoverable, an allowance equal to the unpaid rent where—

   i. the tenancy was bona fide, the defaulting tenant has vacated the property, or steps have been taken to compel the tenant to vacate the property and the defaulting tenant is not in occupation of any other property of the person;

   ii. the person has taken all reasonable steps to institute legal proceedings for the recovery of the unpaid rent or has reasonable grounds to believe that legal proceedings would be useless; and

   iii. the unpaid rent has been included in the income of the person chargeable to tax under the head "Income from Property" for the tax year in which the rent was due and tax has been duly paid on such income.

      - Where any unpaid rent allowed as a deduction is wholly or partly recovered, the amount recovered shall be chargeable to tax in the tax year in which it is recovered.

k) Where a person has been allowed a deduction for any expenditure incurred in deriving rent chargeable to tax under the head "Income from Property" and the person has not paid the liability or a part of the liability to which the deduction relates within three years of the end of the tax year in which the deduction was allowed, the unpaid amount of the liability shall be chargeable to tax under the head "Income from Property" in the first tax year following the end of the three years.

- Where an unpaid liability is chargeable to tax as a result of the application of the above point and the person subsequently pays the liability or a part of the liability, the person shall be allowed a deduction for the amount paid in the tax year in which the payment is made.
- Any expenditure allowed to a person under this section as a deduction shall not be allowed as a deduction in computing the income of the person chargeable to tax under any other head of income.

The provisions of section 21 (Deductions not allowed) shall apply in determining the deductions allowed to a person under the head "Income from Property" in the same manner as they apply in determining the deductions allowed in computing income under the head 'Income from Business'. In other words, the disallowances (inadmissible deductions) that apply to business income apply equally when computing the deductions allowable against income from property under section 15A.

2.2 Treatment of non-adjustable amounts received in relation to buildings (Section 16)

- Where the owner of a building receives from a tenant an amount that is not adjustable against the rent payable (commonly a non-refundable deposit, goodwill, or pagri-type receipt), the full amount is treated as rent chargeable to tax under the head "Income from Property." It is not taxed in one go: it is spread over the tax year of receipt and the following nine tax years in equal proportion — that is, 1/10th of the amount is included in income each year for ten years, beginning with the year of receipt.

  Note: An advance that is adjustable against rent needs no separate treatment, as it is set off against rent and therefore enters the rent computation automatically.

  Refund on termination.

  Where the amount is refunded by the owner to the tenant on termination of the tenancy before the ten years expire, no portion is allocated to the tax year in which it is refunded, or to any subsequent tax year. Portions already charged to tax in the earlier years are not reversed.

  Re-letting to a succeeding tenant

  If, after such termination, the owner lets out the building (or part of it) to another tenant and receives another non-adjustable amount, that succeeding amount — reduced by the portion of the earlier amount that had already been charged to tax — is spread equally over ten tax years, commencing from the tax year in which it is received from the succeeding tenant.

▶ *Exercise:*

Mr. A had let out the property to Mr. B for a sum of Rs. 150,000 per month in July 2025. Mr. B has paid a sum of Rs. 500,000 as non-adjustable advance. After the expiry of two years, Mr B vacated the premises and Mr. A returned the advance to Mr. B. Thereafter, Mr. C acquired the possession on the same rental amount. However, the amount of non-adjustable advance was increased to Rs. 600,000.

Required:

Compute the gross income from the said property for the years 2026 and 2028 before allowing the admissible deductions.

▶ *Answer*

Income from Property for tax year 2026

Particulars		Amount
Rent	150,000 x 12	1,800,000
Add: 1/10th of unadjustable amount	500,000/10	50,000
Total Gross rental Income without deductions		1,850,000

Income from Property for the year 2028

Particulars		Amount
Rent	150,000 x 12	1,800,000
Add: unadjustable amount	600,000	
Already recognised income in the last years	(50,000)	
Balance amount chargeable in 10 years	550,000/10	55,000
Total Gross rental Income without deductions		1,855,000

- *Exercise:*

Mr. Mobeen owns a property at Gulberg, Lahore. The said property was rented out to Mr. Asad at a rent of Rs. 175,000 per month. Mr. Asad left the premises on 31 January 2027. Mr. Asad had paid a sum of Rs. 300,000 as unadjustable amount in tax year 2024. Mr. Mobeen returned the said amount on his departure. The said property remained vacant in the month of February, 2027. Thereafter, Mr. Gulzar has taken possession of the said property at a monthly rent of Rs. 220,000. The new tenant has paid a sum of Rs. 350,000 as security. Mr. Mobeen incurred the following expenses in connection with the said rented property.

Description	Amount in Rs.
Insurance premium payable	180,000
Property tax paid	80,000
Salary of employee appointed for collection of rent	60,000
Bank charges in connection with collection of rent	20,000
Fee to lawyer for the execution of rent agreements	50,000

His income from salary is Rs 500,000 and from business is Rs. 100,000. He paid Zakat of Rs. 45,000 during the year under the Zakat and Ushr Ordinance.

Required:

You are required to compute the taxable income and tax liability of Mr. Mobeen for tax year 2027.

- *Answer*

MR. MOBEEN

COMPUTATION OF TAXABLE INCOME AND TAX LIABILITY

TAX YEAR 2027

Particulars	Rupees
Income from salary	500,000
Income from property (Note-1)	1,359,560
Income from Business	100,000
Total Income	1,959,560
Deductible Allowance Zakat (paid from income covered under NTR)	(45,000)
Taxable Income	1,914,560
Tax on taxable Income (as a non-salaried individual)	
Rs. 170,000 + 30% x (Rs. 1,914,560-1,600,000)	264,368

Note-1

Income from property:

Particulars		Rupees	Remarks (for student help)
Rent (175,000 x 7) + (220,000 x 4)		2,105,000	
Unadjustable amount Amount received from new tenant	350,000		The unadjustable amount received from the new tenant is reduced by the previously taxed amount. U/S 16 (3)
Already taxed (300,000/10 x3 years) =	(90,000)		
	260,000/10	26,000	
Chargeable rent		2,131,000	
admissible deductions			Under section 15A
Repair & maintenance allowance		(426,200)	1/5th of Rent chargeable to tax U/S 15A(a)
Insurance premium payable		(180,000)	U/S 15A(b)
Property tax paid		(80,000)	U/S 15A(c)
Collection and admin expenses		(85,240)	The salary of the employee, bank charges for rent collection, and lawyer's fees for executing rent agreements will be eligible for deduction U/S 15A(h), whichever is lower: the actual expenditure incurred or 4% of the rent chargeable to tax. Actual Expenditures Rs. 60,000 +20,000+ 50,000 = Rs. 130,000 OR Rs. 85,240 (4% x 2,131,000)
Taxable Income from Property		1,359,560	

Note for Students:

Please note that the remarks are provided to help you understand the concept. During the examination, do not include remarks unless specifically required. Only the solution is needed.

CHAPTER 7

INCOME FROM BUSINESS – PART ONE

IN THIS CHAPTER:

1. Income from Business
2. Deductions against business income
3. Tax Accounting
4. Taxation of digital transactions within Pakistan

1 INCOME FROM BUSINESS

1.1 Distinction of business from employment

Business denotes an activity to produce/earning profits. Income from illegal business is also taxable under the income tax law. There is a clear distinction between the income from business and employment. The following tests were used to decide whether the activity was business or employment.

a) Whether an individual is doing their own work or working for others, i.e., for remuneration.

b) Whether the individual works part-time or full-time. If the individual works for multiple persons, it indicates that the individual is carrying on a business. However, working for only one person does not necessarily imply that the relationship between them is that of employer and employee.

c) If the work is done by a company or a firm, that would also indicate that it is a business.

d) Another test might be the capacity in which the work is being done. Whether the individual is dealing with their own goods/services (independently) or with goods/services belonging to someone else (dependently).

1.2 Income from business

▶ *Definitions "Business" [Sec 2(10)]*

Includes any trade, commerce, manufacture, profession, vocation or adventure or concern in the nature of trade, commerce, manufacture, profession or vocation, but does not include employment;

Section 18 of the Income Tax Ordinance, 2001 outlines the scope of income under this head in the following manner: Income from business

The following incomes of a person for a tax year shall be chargeable to tax under the head "Income from Business", excluding incomes covered under Final Tax Regime:

- The profits and gains of any business carried on by a person at any time in the year;
- Any income derived by any trade, professional or similar association from the sale of goods or provision of services to its members;

Note: For the removal of doubt, it is clarified that income derived by co-operative societies including recreational clubs from the sale of goods, immoveable property or provision of services to its members is and has always been chargeable to tax under the provisions of this Ordinance

- Any income from the hire or lease of tangible movable property;
- The fair market value of any benefit or perquisite, whether convertible into money or not, derived by a person in the course of, or by virtue of, a past, present, or prospective business relationship. The word benefit includes any benefit derived by way of waiver of profit on debt or the debt itself under a circular/scheme issued by the State Bank of Pakistan.
- Any management fee derived by a management company (including a modaraba management company).
- Profit on debt where the person's business is to derive such income (e.g. banks and financial institutions). In other cases, it will be chargeable to tax under the head "Income from other sources".
- Lease rentals derived by a scheduled bank, investment bank, development finance institution, modaraba or a leasing company.
- Any amount distributed by a mutual fund or a private equity and venture capital fund, out of its income from profit on debt, to a banking company or a non-banking finance company shall be chargeable to tax under the head income from business and not under the head income from other source.

1.3 Important aspects of income from business

General principles relating to taxation of business income are summarised below:

- A resident person is taxed on his worldwide business income whereas a non-resident person is liable to tax in respect of his income to the extent it is Pakistan-sourced.
- Income may be recorded using the cash or accrual basis of accounting. Companies are, however, required to follow the accrual system of accounting for their business income.
- Expenditure incurred wholly and exclusively for the purpose of business is generally allowable in tax except for certain specific provisions of law which are discussed later in the chapter.
- The profits which are taxed under section 18 are the real profits and not notional profits. Therefore, gain arising from revaluation/impairment of fixed assets/investments or unrealised gain or loss arising from revaluation of foreign currency-related debtors and creditors is not taxable as these are not real profits and can only be taxed when these are actually realised.
- Profits can arise only out of the trading (revenue) receipts. Capital receipts are not taxable unless expressly made taxable under the Income Tax Ordinance, 2001.
- Those profits and gains of a business are chargeable to tax which are carried on by the taxpayer at any time during the tax year. However, the following receipts are taxable even if the taxpayer does not carry on business during the tax year:
  - Recovery in cash or kind against a deduction/loss allowed previously against business income [section 70]
  - Gain on sale of depreciable assets [Section 22(8)]
  - Recovery made out of bad debts allowed in preceding years [Section 29(3)]
  - Trading liabilities or any portion thereof which is found not to have been paid within the expiration of three years of the end of the tax year in which it was allowed [Section 34(5)]
  - Sum received after discontinuance of a business [Section 72(a) & (b)]

1.4 Speculation business

Speculation business is defined in section 19(2) of the Ordinance in the following manner:

- Speculation business" means any business in which a contract for the purchase and sale of any commodity (including stocks and shares) is periodically or ultimately settled otherwise than by the actual delivery or transfer of the commodity, **but does not include** a business in which:
  - a contract in respect of raw materials or merchandise is entered into by a person in the course of a manufacturing or mercantile business to guard against loss through future price fluctuations for the purpose of fulfilling the person's other contracts for the actual delivery of the goods to be manufactured or merchandise to be sold;
  - a contract in respect of stocks and shares is entered into by a dealer or investor therein to guard against loss in the person's holding of stocks and shares through price fluctuations; or
  - a contract is entered into by a member of a forward market or stock exchange in the course of any transaction in the nature of jobbing (arbitrage) to guard against any loss which may arise in the ordinary course of the person's business as such member.

Tax implications for speculation business

Where a person carries on a speculation business:

- that business shall be treated as distinct and separate from any other business carried on by the person;
- this part shall apply separately to the speculation business and the other business of the person;
- Apportionment of deductions shall apply as if the profits and gains arising from a speculation business were a separate head of income (Sec 67);
- any profits and gains arising from the speculation business for a tax year computed in accordance with this part shall be included in the person`s income chargeable to tax under the heading "Income from Business"
- any loss of the person arising from the speculation business sustained for a tax year shall be set off only against the income of the person from any other speculation business of the person chargeable to tax for that year;
- if a speculation loss sustained by a person for a tax year is not wholly set off, then the amount of the loss not set off shall be carried forward to the following tax year and applied against the income of any speculation business of the person in that year and so on, but no speculation loss shall be carried forward to more than six tax years immediately succeeding the tax year for which the loss was first computed.

▶ *Exercise: Speculation Business*

M/s XYZ Enterprises deals in cloth trading. Total revenue from cloth trading was Rs. 10,000,000 during the year 20YY. The gross profit from the trading business amounted to Rs. 2,000,000.

During the year, the price fluctuations were very high in the cloth market. Considering this trend, M/s XYZ Enterprises also made forward purchases of cloth to reap the benefit of price fluctuations. In April 20YY, the enterprises agreed to purchase Bengali cloth of 20,000 bundles at the rate of 100 per bundle, the delivery of which was expected in June 20YY. The seller agreed to purchase the same goods at the rate ruling at the date of sale. In June, the price of Bengali cloth was increased to Rs. 120 per bundle. M/s XYZ Enterprises disposed of that cloth of 20,000 bundles to the seller at the market prevailing rate without taking any delivery of stocks. Total revenue from sale of cloth aggregates to Rs. 2,400,000. Therefore, the Enterprise earned income of Rs. 400,000.

Total administrative and general expenses of Rs. 1,000,000 were incurred during the year 20YY. Compute the taxable income and tax liability.

It is worth mentioning that the brought forward loss of the Enterprise was Rs. 1,000,000 in respect of business. Whereas the speculation loss was Rs. 250,000.

▶ *Answer*

Particulars	Speculation Business	Trading Business	Total
Gross Revenue	2,400,000	10,000,000	12,400,000
Gross Profit	400,000	2,000,000	2,400,000
Expenditure (1,000,000 x 2,400,000/12,400,000)	193,548	806,452	1,000,000
Net income	206,452	1,193,548	1,400,000
Brought forward loss	250,000	1,000,000	1,250,000
Taxable Income/ (loss) for the year	*(43,548)	193,548	

*Speculation loss carried forward

** Loss of speculation business cannot be set off with trading business.

2 DEDUCTIONS AGAINST BUSINESS INCOME

2.1 Deductions admissible – general provisions

Section 20 of the Ordinance prescribes general principles with respect to admissibility of deductions. The said section states that**:**

- A deduction shall be allowed for any expenditure incurred by the person in the year wholly and exclusively for the purposes of business. The expression "wholly and exclusively" does not necessarily imply that the expenditure must be compulsory or unavoidable. Such expenditure may be incurred voluntarily and without any legal or commercial necessity and if it is incurred for the promotion of business and to earn profits, the business can claim deduction.
- Deduction equal to the difference of the amount of actual cost of animals used for the purposes of business or profession (otherwise than as stock in trade) and the amount realised in respect of carcasses or animals shall be allowed where the animals have died or become permanently useless for such purposes.

2.2 Inadmissible deductions

Section 21 of the Ordinance provides that no deduction shall be allowed in computing the income of a person under the head "Income from Business" for:

- Any access, rate or tax paid or payable by the person in Pakistan or a foreign country that is levied on the profits or gains of the business or assessed as a percentage or otherwise on the basis of such profits or gains;

Note: In case where sales tax/federal excise duty paid by a taxpayer is not charged by him to his customer, such sales tax/federal excise duty paid shall be allowed as deduction.

- Any amount of tax deducted at source under the provisions of the Income Tax Ordinance, 2001 from an amount derived by the person;
- Any expenditure from which the person is required to deduct or collect tax under the Income Tax Ordinance, 2001, unless the person has paid or deducted and paid the tax:

Provided that disallowance in respect of purchases of raw materials and finished goods under this clause shall not exceed 20% of purchases of raw materials and finished goods:

If a person fails to deduct or collect the required tax but pays it themselves (under section 161), or he pays tax as instructed by the Commissioner (under section 162), this amount will be considered as tax that has been paid. In other words, the recovery of any tax amount under these sections will be treated as if the tax obligation has been fulfilled.

- Any amount of commission paid or payable in respect of supply of products listed in the Third Schedule of the Sales Tax Act, 1990, where the amount of commission paid exceeds 0.2% of gross amount of supplies thereof unless the person to whom commission is paid or payable, as the case may be, is appearing in the active taxpayer list under this Ordinance.
- Any entertainment expenditure in excess of such limits or in violation of such conditions as may be prescribed;

Limits prescribed for allowing any expenditure on entertainment are as under (Rule 10).

Expenditure should be incurred in deriving income from business chargeable to tax and should not be in excess of the following limits or in violation of the condition specified:

a) Such expenditure is:

   i. Incurred outside Pakistan on entertainment in connection with business transactions: or

   ii. Allocated as head office expenditure; or

b) Incurred in Pakistan on the entertainment of foreign customers & suppliers;

c) Incurred on the entertainment of customers & clients at the person's business premises

d) Incurred on the entertainment at the meeting of shareholders, agents, directors or employees

e) Incurred on entertainment at the opening of branches.

Note: All these people (who are entertained) should be related directly to the person's business.

- Any contribution made by the person to a fund that is not a recognised provident fund, approved superannuation fund, or approved gratuity fund or approved pension fund;
- An amount in excess of fifty per cent of total contribution made by a person (employer) to an approved gratuity fund, approved pension fund or an approved superannuation fund.
- Any contribution made by the person to any provident or other fund established for the benefit of employees of the person, unless the person has made effective arrangements to secure that tax is deducted from any payments made by the fund in respect of which the recipient is chargeable to tax under the head "Salary";
- Any fine or penalty paid or payable by the person for the violation of any law, rule or regulation;
- Any personal expenditures incurred by the person;
- Any amount carried to a reserve fund or capitalised in any way;
- Any profit on debt, brokerage, commission, salary or other remuneration paid by an association of persons to a member of the association;
- Any salary paid or payable exceeding Rs. 32,000 per month other than by a crossed cheque or direct transfer of funds to the employee's bank account or through digital means;
- Any expenditure paid or payable of a capital nature. However, depreciation or amortisation shall be allowed in respect of a depreciable asset, intangible or pre-commencement expenditure
- However, depreciation expense will be disallowed in all relevant tax years, in respect of capital assets where, at the time of payment against purchase, required withholding taxes have not been deducted and deposited under the relevant provisions of the Ordinance.

Note: The term "capital assets" used in this context appears to be a drafting oversight. The correct term should be "depreciable assets" since depreciation is only relevant for assets eligible for depreciation under the Income Tax Ordinance, 2001. This distinction is critical because "capital assets" is a broader term that includes non-depreciable assets (e.g., land) which are not subject to depreciation.

- Any expenditure in respect of sales promotion, advertisement and publicity in excess of 10% of turnover incurred by pharmaceutical manufacturers.
- Three per cent of the expenditure claimed by any person, who fails to install electronic resource or to act as an integrated enterprise as required by law, subject to the method, manner, and procedure as may be prescribed.
- Any expenditure for a transaction, paid or payable under a single account head which, in aggregate, exceeds Rs. 250,000, made other than by a crossed cheque drawn on a bank or by crossed bank draft or crossed pay order or any other crossed banking instrument showing transfer of amount from the business bank account of the taxpayer:

  However, online transfer of payment from the business account of the payer to the business account of the payee as well as payments through credit card shall be treated as transactions through the banking channel, subject to the condition that such transactions are verifiable from the bank statements of the respective payer and the payee:

  It is important to note that the above provisions shall not apply in the case of:

  - expenditures not exceeding Rs. 25,000;
  - expenditures on account of:
  - utility bills;

- freight charges;
- travel fare;
- postage; and
- payment of taxes, duties, fees, fines or any other statutory obligation. Any withholding tax to be borne by the taxpayer itself is also not allowed as an expense except in case of salary.
- Any deduction for which the taxpayer fails to provide documentary evidence **(Ref: Sec 174(2))**
- any expenditure on account of utility bill in excess of such limits and in violation of such conditions as may be prescribed; and
- Ten per cent of the purchases made from persons not having National Tax Number (excluding agricultural produce bought directly from growers) shall not be allowable as a deduction. This clause shall only apply in case of agricultural produce where purchases have been made from a middleman. The Board is empowered to exempt persons or classes of persons from the operation of this clause.

▶ *Example:*

If a textile manufacturer purchases raw cotton from a local grower with no NTN, the abovementioned clause does not apply. However, if the purchase is made from a middleman who is also not an NTN holder, 10% of the claimed expenditure will be disallowed.

- Where a taxpayer receives payment exceeding two hundred thousand rupees otherwise than through a banking channel or digital means against a single invoice, fifty per cent of the corresponding expenditure shall be disallowed.

▶ *Example:*

If a transaction of sale is made for PKR 400,000 and the corresponding expense for such a transaction, say, is PKR 300,000, then in the event the payment is received in cash exceeding PKR 200,000 from the customer, 50% of PKR 300,000, i.e. PKR 150,000, will be disallowed.

▶ *Exercise:*

The following payments of expenses are made otherwise than through crossed cheque.

Head Of Account	Amount
Rent to Mr. X for Lahore office rented premises	720,000
Air Tickets purchased	520,000
One month's salary of Mr. Ali only	125,000
Repair of car	420,000
Electricity bill	950,000
Telephone bill	270,000
Professional tax	200,000
Audit fee	350,000
Tax consultant fee	550,000

Required:

Compute the additions to be made to the profit of the person under Section 21(l) & (m) of the Income Tax Ordinance, 2001.

▶ *Answer:*

No addition is required on account of payments relating to Air Ticketing, Electricity, Telephone and Professional Tax. The balance addition under section 21(l) is computed as under:

Nature of payment	Amount
Rent paid to Mr. X for Lahore office rented premises	720,000
Payment of Salary to Mr. Ali u/s 21(m)	125,000
Bill paid for repair of car	420,000
Paid audit fee	350,000
Paid tax consultant	550,000
Addition under Section 21(l) & (m)	2,165,000

2.3 Deductions admissible – Special provisions

- Any expenditure incurred by the person in the year wholly and exclusively for the purposes of business.
- Animals used for the purposes of the business or profession otherwise as stock in trade.
- Depreciation of tangible fixed assets where they have a useful life of more than one year.
- Initial allowance on eligible depreciable assets.
- Amortisation of intangibles where they have a useful life of more than one year.
- Amortisation of pre-commencement expenditures.
- Scientific research expenditures
- Employee training facilities expenditure.
- Profit on debt if it is related to taxable business income.
- Entertainment expenditures within the limits as prescribed
- Bad debts written off in the accounts subject to fulfilment of certain conditions.

Deductions in respect of depreciation, initial allowance, amortisation of intangibles and pre-commencement expenditures are discussed in detail in Chapter 8 of the study text, whereas deductions on account of scientific research expenditure, employee training, profit on debt and bad debts are discussed below:

Scientific research expenditure (Sec 26)

- A person shall be allowed a deduction for scientific research expenditure incurred in **Pakistan** in a tax year wholly and exclusively for the purpose of deriving income from business chargeable to tax.

▶ *Definitions*

- **"Scientific research"** means any activity undertaken in Pakistan in the fields of natural or applied science for the development of human knowledge;
- **"Scientific research expenditure"** means any expenditure incurred by a person on scientific research undertaken in Pakistan for the purposes of developing the person's business, including any contribution to a scientific research institution to undertake scientific research for the purposes of the person's business, other than expenditure incurred:
  - in the acquisition of any depreciable asset or intangible;
  - in the acquisition of immovable property; or
  - for the purpose of ascertaining the existence, location, extent or quality of a natural deposit; and
  - "Scientific research institution" means any institution certified by the Board as conducting scientific research in Pakistan.

Employee training and facilities (Sec 27)

- A person shall be allowed a deduction for any expenditure (other than capital expenditure) incurred in a tax year in respect of:
  - any educational institution or hospital in Pakistan established for the benefit of the person's employees and their dependents;
  - any institute in Pakistan established for the training of industrial workers recognised, aided, or run by the Federal Government or a Provincial Government or a Local Government; or
  - The training of any person, being a citizen of Pakistan, in connection with a scheme approved by the Board for the purposes of this section.

Profit on debt, financial costs and lease payments (Sec 28)

- Following amounts incurred in a tax year shall be allowed as deduction in computing income under the head Income from Business:
  - Profit on debt if and to the extent the proceeds of debt are utilised for business purpose.
  - Lease rentals of an asset to a scheduled bank, financial institution, an approved modaraba or leasing company or a Special Purpose Vehicle (SPV) on behalf of the Originator.

Provided that for the purpose of determining the deduction on account of lease rentals, the cost of a passenger transport vehicle not plying for hire to the extent of principal amount shall not exceed two and a half million rupees;

- Financial cost of securitisation of receivables by an originator in respect of SPV
- Share of profit under Musharika scheme to a bank
- Share of profit to a certificate holder under a Musharika scheme approved by SECP and Religious Board under Modaraba Ordinance
- On funds borrowed from a modaraba or participation term certificate holders
- By a bank to a person maintaining PLS account or a deposit with the bank
- SBP shares of profit by House Building Finance Corporation, National Development Leasing Corporation or Small and Medium Enterprises Bank on any investment or credit line provided by the SBP.

▶ *Exercise:*

XYZ Limited, engaged in the business of manufacturing and sale of chemicals, has incurred the following expenditures for tax year 2027:

i. Rs. 150,000 given as a scholarship to Mr. Sameel, a citizen of Pakistan, for his technical training in connection with a scheme approved by the Federal Board of Revenue under the relevant provision of the law. Mr. Sameel is not an employee of XYZ Ltd.

ii. Maintenance of XYZ's share records has been outsourced. The total expenditure incurred was Rs. 400,000, including the fee paid of Rs. 245,000 to increase the company's authorised capital.

iii. Contribution of Rs. 200,000 to unrecognised provident fund. XYZ Ltd, in its accounting system, has ensured that when any payment is made from the fund to an employee, tax would be deducted at source from the amount of the payment, if the amount is chargeable to tax as the salary income of the employee.

iv. Rs. 50,000 paid as motor vehicle tax on the company's vehicles.

v. Rs. 500,000 paid for the valuation of the assets of another company which XYZ Ltd intended to acquire.

vi. Rs. 45,000 paid as a penalty imposed by the Commissioner for late filing of the annual return of income for the tax year 2026.

vii. New computer purchased for Rs. 300,000 on 20 June 2027 for which installation could not be made until 15 July 2027.

viii. Compulsory annual fee of Rs. 200,000 paid in cash to the Engineering Development Board established by the Federal Government.

ix. Donation in kind to a relief fund run by the Government of Sindh.

x. Rs. 1,530,000 out of travelling expenses, being the travel and hotel expenses for XYZ's technical manager's visit to Japan. The travel to Japan was entirely for business purposes. It was necessary for the firm's technical manager to travel to Japan for the purpose of selecting a second-hand mixing machine, so as to ensure that the machine was compatible with the company's existing plant.

xi. The cash flow statement shows that an amount of Rs. 2 million has been paid as legal and professional charges to one of the company consultants. The said amount was overdue since tax year 2017. XYZ Ltd has claimed this amount as an expense in tax year 2027 also.

xii. XYZ Limited entered into a forward contract for the purchase of raw materials used in its business of manufacturing edible oils to guard against loss through price fluctuations. On the date of maturity of the forward contract, XYZ Ltd did not take delivery of the raw materials, but the contract was settled by a payment of Rs. 950,000.

Required

Being the tax consultant of the company, you are required to explain the admissibility/inadmissibility of the above along with reasons, keeping in view the provisions of the Income Tax Ordinance, 2001

▶ *Answer*

i. Since the scholarship has been granted to a Pakistani citizen for his technical training under a scheme approved by the Federal Board of Revenue, the expenditure is admissible. The beneficiary of the scholarship does not need to be an employee of the taxpayer. [S.27(c)]

ii. The fee paid (Rs. 245,000) to increase XYZ's authorised capital is capital expenditure in nature, hence not allowable. The remaining expenditure, being of revenue in nature, is admissible

iii. A contribution made to an unrecognised provident fund is not deductible u/s 21(e) of the ITO, 2001, although admissible expenses u/s 21(f), as the employer has made effective arrangements to ensure that tax would be deducted from any payments made by the fund in respect of which the recipient is chargeable to tax under the head 'Salary'

iv. Motor vehicle tax is for the purposes of business and revenue in nature. Further, it does not fall in the list of inadmissible deductions; therefore, it is admissible. [S.20(1) read with S.21(a)]

v. Expenses incurred at Rs. 500,000 relate to the acquisition of another company. The expense, therefore, being capital in nature, is disallowed. [S.21(n)]

vi. A penalty of Rs. 45,000 paid for the late filing of a return of income is an inadmissible expense on either of the following two grounds:

   a) A penalty for the late filing of a return of income is included in tax as defined in the Income Tax Ordinance, 2001 (the 'Ordinance'). Tax is an inadmissible deduction under the law. [S.21(a)]

   b) It was imposed for violation of the provisions of the Ordinance, hence not admissible. [S.21(g)]

vii. The purchase of the computer is a capital expenditure and cannot be treated as an expense. Since it was not utilised during the year ending on 30 June 2027, it is not eligible for any depreciation or initial allowance either.

viii. Any expenditure, in aggregate, under a single accounting heading in excess of Rs. 250,000 other than by crossed bank cheque or crossed bank draft or any other banking instrument is not deductible with certain exceptions. One of the exceptions is any fee expenditure. Hence, the Rs. 200,000 paid, in cash, to the Engineering Development Board established by the Federal Government is allowable and no adjustment is required. [2nd proviso to S.21(l)]

ix. A donation in kind to a relief fund run by the Government of Sindh is not for the purpose of business, hence not allowable as expenditure. However, it is eligible for tax credit under the law. [S.20(1) & 61]

x. The expenditure of Rs. 1,530,000 incurred solely to secure the purchase of a mixing machine is capital expenditure and is not deductible. Rs. 1,530,000 should be added to the cost of the mixing machine for tax purposes and tax depreciation shall be computed accordingly.

xi. Where a person has been allowed a deduction for any expenditure incurred in deriving income chargeable to tax under the head Income from Business and the person has not paid the liability or a part of the liability to which the deduction relates within three years of the end of the tax year in which the deduction was allowed, the unpaid amount of the liability shall become chargeable to tax under the head Income from Business in the first tax year following the end of those three years.

However, if the person subsequently pays the liability or a part of the liability, the person shall be allowed a deduction for the amount paid in the tax year in which the payment is made. [Ref: S 34(5) and 34(6)]

Therefore, the amount will be added back to the taxable income of the taxpayer in tax year 2021, whereas it will be again allowed as an expense in tax year 2027.

xii. The forward contract entered into by XYZ Ltd for the purchase of raw materials used in its business of manufacturing edible oils is in the nature of a hedging contract which was entered into to guard against loss from future price fluctuations. Such contracts have not been excluded from the definition of speculative business. Therefore, the Rs. 950,000 paid to settle the forward contract is an expenditure incurred in the speculation business.

Bad debts (Sec 29)

- A person shall be allowed a deduction for a bad debt in a tax year if the following conditions are satisfied, namely:
  - The amount of the debt was:
    - previously included in the person's income from business chargeable to tax; or
    - in respect of money lent by a financial institution in deriving income from business chargeable to tax;
  - The debt or part of the debt is written off in the accounts of the person in the tax year; and
  - There are reasonable grounds for believing that the debt is irrecoverable.
- The amount of the deduction allowed to a person for a tax year shall not exceed the amount of the debt written off in the accounts of the person in the tax year.
- Where a deduction is allowed in a tax year for a bad debt written off and in a subsequent tax year the person receives in cash or kind any amount in respect of that debt, a computation shall be made as under:

a- b

Here

a) is the amount received against the written-off debt; and

b) is the difference between the whole amount of bad debt and bad debt allowed as a deduction under the Income Tax Ordinance, 2001.

If (a) is greater than (b), the difference shall be treated as income of the person. In other cases, where (a) is less than (b), the difference shall be treated as bad debts for the year in which the amount is received.

- Provision for bad debts is not allowed to be deducted from accounting profit. Only actual bad debts against taxable sales are allowed to be deducted from business income.

- *Exercise:*

ABC Ltd. has an accounting profit of PKR 500,000. During the year, they created a provision for bad debts amounting to PKR 30,000. At the end of the year, it was determined that actual bad debts against taxable sales amounted to PKR 25,000. You are requested to compute the taxable business income.

- *Answer:*

Accounting Profit	500,000
Add: Provision for doubtful debts	30,000
Actual Bad debts	(25,000)
Taxable Business Income	505,000

Bad debts against the loan, exempt income or income taxable under FTR are not allowed.

- *Exercise:*

XYZ Company has incurred the following bad debts during the tax year:

a) PKR 10,000 against taxable sales.

b) PKR 5,000 against a loan given to a customer.

c) PKR 8,000 from income that was exempt from tax.

d) PKR 7,000 from income taxable under the Final Tax Regime (FTR).

How much of the bad debts can XYZ Company deduct from its business income?

- *Answer:*

According to the Income Tax Provision, bad debts against loans, exempt income, or income taxable under the Final Tax Regime (FTR) are not allowed to be deducted. Only bad debts against taxable sales are deductible.

Given bad debts:

a) PKR 10,000 against taxable sales (deductible)

b) PKR 5,000 against a loan (not deductible)

c) PKR 8,000 from exempt income (not deductible)

d) PKR 7,000 from income taxable under FTR (not deductible)

Therefore, XYZ Company can only deduct the bad debts against taxable sales, i.e. PKR 10,000.

- If bad debts allowed in any tax period are recovered in any subsequent tax period, the difference between the actual bad debts and the amount allowed shall be adjusted in the profit for the period in which the recovery was made. It will be assumed that the profit has been increased by the total amount of the debt recovered, which shall be reversed.

- *Exercise:*

ABC Ltd.'s accounting profit for the year is PKR 1 million, whereas they have claimed a bad debt deduction of PKR 50,000 in the tax year 2026 but CIR allowed them PKR 40,000. In the tax year 2027, they recovered PKR 30,000 of this bad debt. How should ABC Ltd. adjust their profit in the tax year 2027?

▶ *Answer*

According to Income Tax provisions, the difference between the actual bad debts and the amount recovered shall be adjusted in the profit for the period in which the recovery was made. Their actual bad debts are PKR 20,000 (50,000-30,000).

Accounting Profit	1,000,000
Bad debts recovered (as per accounts)	(30,000)
Adjustment: Allowed - Actual (40,000- 20,000)	20,000
Taxable Business Income	990,000

▶ *Exercise:*

Noor Enterprises (NE) has an accounting profit of PKR 2 million for the year. They claimed a bad debt deduction of PKR 50,000 in the tax year 2026 related to a sale made to Mr. Usama, but the CIR allowed only PKR 10,000. In the tax year 2027, despite their efforts, NE recovered only PKR 15,000 from Mr. Usama. How should NE adjust their profit in the tax year 2027?

▶ *Answer*

According to Income Tax provisions, the difference between the actual bad debts and the amount recovered shall be adjusted in the profit for the period in which the recovery was made.

Accounting Profit	2,000,000
Bad debts recovered (as per accounts)	(15,000)
Adjustment: Allowed -Actual (40,000- 15,000)	(25,000)
Taxable Business Income	1,960,000

▶ *Exercise:*

Ms. Shagufta is running a business in the name of Al Nafay Business Solutions. In the tax year 2026, she claimed bad debts of Rs. 1,000,000 and Rs. 1,500,000 from her clients Mr. Junaid and Mr. Nawaz. She was allowed a deduction of bad debts of Rs. 750,000 and Rs. 800,000 with respect to receivables from Mr. Junaid and Mr. Nawaz in tax year 2026. During 2027, she received the following sums from these two debtors:

Mr. Junaid	Rs.900,000
Mr. Nawaz	Rs. 500,000

Work out the amount to be added/allowed on account of bad debts in the tax year 2027.

▶ *Solution:*

		Mr. Junaid	Mr. Nawaz
Bad Debts Claimed in 2026	A	1,000,000	1,500,000
Allowed in 2026	B	750,000	800,000
Receipts during 2027	C	900,000	500,000
Actual Bad Debts	D=A-C	100,000	1,000,000

Tax Treatment:

Tax Income / (Expenses)	B-D	650,000	(200,000)
Reversal of Accounting Income	E	900,000	500,000

The accounting profit will be reduced by Rs. 1,400,000 (Rs. 900,000 + Rs. 500,000). Regarding receipts from Mr. Junaid, Rs. 650,000 will be treated as income (being the difference between Allowed and Actual: Rs. 750,000 - Rs. 100,000). On the other hand, further bad debts of Rs. 200,000 will be allowed as a tax expense (i.e., the difference between allowed and actual: Rs. 800,000 - Rs.1,000,000) against receipts from Mr. Nawaz.

3 TAX ACCOUNTING

3.1 General accounting

The question arises how to compute the income under this head of income. Therefore, it is essential to know the method of accounting required by the law to ascertain the actual income of a taxpayer:

3.2 Method of accounting (Sec 32)

- A person's income chargeable to tax shall be computed in accordance with the method of accounting regularly employed by such person.
- A company shall account for income chargeable to tax under the head "Income from Business" on an accrual basis, while other persons may account for such income on a cash or accrual basis.
- The Board may prescribe that any class of persons shall account for income chargeable to tax under the head "Income from Business" on a cash or accrual basis.
- An application may be made by a person, in writing, for a change in the person's method of accounting to the Commissioner. The Commissioner may, by an order in writing, approve such an application but only if he is satisfied that the change is necessary to clearly reflect the person's income chargeable under the head "Income from Business".
- If a person's method of accounting has changed, the person shall make adjustments to items of income, deduction, or credit or to any other items affected by the change so that no item is omitted and no item is taken into account more than once.

3.3 Cash Basis Accounting (Sec 33)

A person accounting for income chargeable to tax under the head "Income from Business" on a cash basis shall derive income when it is received and shall incur expenditure when it is paid.

3.4 Accrual Basis Accounting (Sec 34)

- A person accounting for income chargeable to tax under the head "Income from Business" on an accrual basis shall derive income when it is due to the person and shall incur expenditure when it is payable by the person.
- An amount shall become due to the person when the person becomes entitled to receive it or is liable to pay it even if the time for receipt/payment is postponed or the amount is payable by instalments.
- An amount shall become payable by a person when all the events that determine liability have occurred and the amount of the liability can be determined with reasonable accuracy.
- If the liability or a part of the liability for which the deduction claimed is not paid within three years from the end of the tax year in which the deduction was allowed, the unpaid amount of the liability shall be chargeable to tax under the head "Income from Business" in the first tax year following the end of the three years.
- If an unpaid liability which is charged to tax as above is subsequently paid in full or in part, the person shall be allowed a deduction for the amount paid in the tax year in which the payment is made.
- Where a person has been allowed a deduction in respect of a trading liability and such person has derived any benefit in respect of such trading liability, the value of such benefit shall be chargeable to tax under head "Income from Business" for the tax year in which such benefit is received.

3.5 Valuation of stock in trade (Sec 35)

- The cost of stock-in-trade disposed of by the person in the year shall be computed in accordance with the following formula, namely:

(A + B) – C

- *Where:*

a) is the opening value of the person's stock-in-trade for the year;

b) is the cost of stock-in-trade acquired by the person in the year; and

c) is the closing value of stock-in-trade for the year.

- The opening value of stock-in-trade of a person for a tax year shall be:
  i. the closing value of the person's stock-in-trade at the end of the previous year; or
  ii. where the person commenced to carry on business in the year, the fair market value of any stock-in-trade acquired by the person prior to the commencement of the business. This fair market value shall be determined at the time the stock is ventured in the business.
- The closing value of a person's stock-in-trade for a tax year shall be the lower of cost or net realisable value of the person's stock-in-trade on hand at the end of the year.
- A person accounting for income chargeable to tax under the head "Income from Business" on a cash basis may compute the person's cost of stock-in-trade on the prime-cost method or absorption-cost method, and a person accounting for such income on an accrual basis shall compute the person's cost of stock-in-trade on the absorption-cost method.
- Where particular items of stock-in-trade are not readily identifiable, a person may account for that stock on the first-in-first-out method or the average-cost method but, once chosen, a stock valuation method may be changed only with the written permission of the Commissioner and in accordance with any conditions that the Commissioner may impose.

- *Definitions*

- **"Absorption-cost method"** means the generally accepted accounting principle under which the cost of an item of stock-in-trade is the sum of direct material costs, direct labour costs, and factory overhead costs;
- **"Prime-cost method"** means the generally accepted accounting principle under which the cost of stock-in-trade is the sum of direct material costs, direct labour costs, and variable factory overhead costs;
- **"Direct labour costs"** means labour costs directly related to the manufacture or production of stock-in-trade;
- **"Direct material costs"** means the cost of materials that become an integral part of the stock-in-trade manufactured or produced, or which are consumed in the manufacturing or production process;
- **"Factory overhead costs"** means the total costs of manufacturing or producing stock-in-trade, other than direct labour and direct material costs;
- **"First-in-first-out method"** means the generally accepted accounting principle under which the valuation of stock-in-trade is based on the assumption that stock is sold in the order of its acquisition;
- **"Average-cost method"** means the generally accepted accounting principle under which the valuation of stock-in-trade is based on a weighted average cost of units on hand;
- **"Stock-in-trade"** means anything produced, manufactured, purchased, or otherwise acquired for manufacture, sale or exchange, and any materials or supplies to be consumed in the production or manufacturing process, but does not include stocks or shares; and
- **"Variable factory overhead costs"** means those factory overhead costs which vary directly with changes in volume of stock-in-trade manufactured or produced.

▶ *Example:*

You are requested to compute taxable business income from the accounting profit before tax of Rs. 400,000, which includes opening stock of Rs. 100,000 and closing stock of Rs. 200,000 on a marginal basis, be adjusted to comply with tax laws requiring stock valuation on an absorption basis, where the absorption values for opening stock and closing stock are Rs. 150,000 and Rs. 300,000 respectively? It is assumed that the methods of accounting in the last and current year are the same, i.e. accrual basis.

Profit before tax	400,000	
Adjustments:		
Opening Stock (+100,000-150,000)	(50,000)	Accrual
Closing Stock (-200,000+300,000)	100,000	Accrual
Taxable Business Income	450,000	

▶ *Example:*

You are requested to compute taxable business income from the accounting profit before tax of Rs. 400,000, which includes opening stock of Rs. 100,000 and closing stock of Rs. 200,000 on a marginal basis, be adjusted to comply with tax laws requiring stock valuation on an absorption basis, where the absorption values for opening stock and closing stock are Rs. 150,000 and Rs 300,000 respectively?

Please note that the method of accounting in the last year was Cash basis, whereas in the current year they have changed their methods from cash basis to accrual basis. The CIR gave them approval for the change.

Profit before tax	400,000	
Adjustments:		
Opening Stock (No need for adjustment)	100,000	Cash Basis
Closing Stock (-200,000+300,000)	100,000	Accrual
Taxable Business Income	500,000	

▶ *Example:*

You are requested to compute taxable business income from the accounting profit before tax of Rs. 400,000, which includes the cost of opening stock of Rs. 100,000 and cost of closing stock of Rs. 200,000. Please note that the NRV of the opening stock and closing stock are Rs. 70,000 and Rs. 175,000 respectively.

(The cost should be stated at the lower of cost or NRV).

Profit before tax	400,000
Adjustments:	
Opening Stock (+100,000-70,000)	30,000
Closing Stock (-200,000+175,000)	(25,000)
Taxable Business Income	405,000

▶ *Example:*

You are requested to compute taxable business income from the accounting profit before tax of Rs. 400,000, which includes the cost of opening stock of Rs. 100,000 and cost of closing stock of Rs. 200,000. Please note that the NRV of the opening stock and closing stock are Rs. 170,000 and Rs. 175,000 respectively. (The cost should be taken at the lower of cost or NRV).

Profit before tax	400,000
Adjustments:	
Opening Stock (+100,000-170,000)	N/A
Closing Stock (-200,000+175,000)	(25,000)
Taxable Business Income	375,000

- *Example:*

You are requested to compute taxable business income from the accounting profit before tax of Rs. 400,000, which includes the cost of opening stock of Rs. 100,000 and cost of closing stock of Rs. 200,000. Please note that both opening stock and closing stock are computed on the basis of LIFO, whereas the value of opening stock and closing stock on the FIFO basis is Rs. 50,000 and Rs. 375,000 respectively. (The stock should be stated at FIFO or Weighted Average assumptions, not on LIFO).

Profit before tax	400,000
Adjustments:	
Opening Stock (+100,000-50,000)	50,000
Closing Stock (-200,000+375,000)	175,000
Taxable Business Income	625,000

- *Example:*

You are requested to compute taxable business income from the accounting profit before tax of Rs. 400,000, which includes the cost of opening stock of Rs. 100,000 and cost of closing stock of Rs. 200,000. Please note that both opening stock and closing stock are computed on the basis of LIFO, whereas the value of opening stock and closing stock on the FIFO basis is Rs. 200,000 and Rs. 155,000 respectively. (The stock should be stated at FIFO or Weighted Average assumptions, not on LIFO).

Profit before tax	400,000
Adjustments:	
Opening Stock (+100,000-200,000)	(100,000)
Closing Stock (-200,000+155,000)	(45,000)
Taxable Business Income	255,000

4 TAXATION OF DIGITAL TRANSACTIONS WITHIN PAKISTAN

- A tax has been introduced at the rate of 1% (Digital Means or banking channels by payment intermediary) and 2% (Cash on Delivery by courier service) of the gross amount, on every person who receives payment for supply of digitally ordered goods or services which are delivered from within Pakistan using locally operated online platforms including online marketplaces or websites.
- The online marketplace includes online interfaces that facilitate, for a fee, the direct interaction between multiple buyers and multiple sellers via digital orders for supply of goods and services.
- The tax so charged is a final discharge of tax liability. However, the tax imposed on a person, whose turnover in a tax year exceeds two hundred million rupees, shall be adjustable.

Moreover, a person having turnover up to two hundred million rupees may opt out of the final tax regime at the time of filing of return for the tax year 2027 and onwards.

- Export proceeds subjected to withholding under section 154 and 154A shall not fall within the ambit of this section. (Export of goods-MTR, Export of services-FTR)
- Digitally delivered services has been defined to mean any service delivered over the internet or electronic networks, where the delivery is automated and require minimal or no human intervention including music, audio and video streaming services, cloud services, online software applications services, services delivered through online inter-personal interaction i.e., tele medicine, e-learning etc., online banking services, architectural design services, research and consultancy reports, accounting services in the form of digital files or any other online facility.
- Furthermore, every payment intermediary, including a courier business collecting cash from a buyer under Cash on Delivery (CoD), is required to collect tax from the gross amount payable to the seller at the aforementioned rates.
- ''courier service'' means any specialised entity that provides fast, secure and often tracked transportation of documents, packages and small freight, typically offering door-to-door delivery solutions of goods within specific timeframes and such delivery service provider includes but is not limited to:
  - Logistics services;
  - ride-hailing services;
  - food delivery platforms; and
  - e-commerce services.
- ''payment intermediary'' means any third party including a banking company, financial institution, a licensed foreign exchange company or payment gateways that facilitate the transfer of funds or payment instructions between two or more parties to enable, process, route or settle payments in a financial transaction.
- Every payment intermediary and courier service responsible for deducting tax, as above, is also required to file a quarterly income tax withholding tax statement in respect of tax deduction regarding sale of digitally ordered goods and services.
- Moreover, every online marketplace is also required to file a monthly statement containing prescribed particulars of vendors registered on its platform supplying digitally ordered goods and services.
- Every person selling digitally ordered goods/services from within Pakistan using an online marketplace/courier service is required to obtain registration with the FBR.
- Online marketplaces are mandatorily required to allow only such vendors who are registered with the FBR to carry out e-commerce transactions.

In Brief

Where turnover is less than Rs.200 million, a final tax is imposed on sellers of digitally ordered goods and services delivered within Pakistan:

- 1% if payment is received via digital means or banking channels
- 2% if payment is received through Cash on Delivery (CoD) by courier services

This applies to transactions on locally operated online platforms or marketplaces. Export proceeds taxed under sections 154 and 154A are excluded.

CHAPTER 8

INCOME FROM BUSINESS – PART TWO

IN THIS CHAPTER:

1. Depreciation
2. Intangibles
3. Pre-commencement expenditure
4. Assets

1 DEPRECIATION

1.1 Depreciable assets and general principles relating to depreciation (Sec 22)

- Section 22 of the Ordinance deals with depreciation in the following manner: A person is allowed a deduction for the depreciation of the person's depreciable assets used in the person's business in the tax year.
- The term depreciable asset is defined in sub-section (15) of section 22 of the Ordinance in the following manner:

▶ *Definitions: Depreciable Asset*

"Depreciable asset" means any tangible movable property, immovable property (other than unimproved land), or structural improvement to immovable property, owned by a person that:

- has a normal useful life exceeding one year;
- is likely to lose value as a result of normal wear and tear, or obsolescence; and
- is used wholly or partly by the person in deriving income from business chargeable to tax,

but shall not include any tangible movable property, immovable property, or structural improvement to immovable property in relation to which a deduction has been allowed under another section of this Ordinance for the entire cost of the property or improvement in the tax year in which the property is acquired or improvement made by the person; and

Provided that where a depreciable asset is jointly owned by a taxpayer and an Islamic financial institution licensed by the State Bank of Pakistan or the Securities and Exchange Commission of Pakistan, as the case may be, pursuant to an arrangement of Musharika financing or diminishing Musharika financing, the depreciable asset shall be treated to be wholly owned by the taxpayer.

"Structural improvement" in relation to immovable property includes any building, road, driveway, car park, railway line, pipeline, bridge, tunnel, airport runway, canal, dock, wharf, retaining wall, fence, power lines, water or sewerage pipes, drainage, landscaping or dam.

Depreciation shall be allowed on the written-down value (WDV) of the asset at the beginning of the year at the rates specified in the Third Schedule, as given below:

Sr. No	Type of Asset	Rate
i.	Building (all types).	10%
ii.	Furniture (including fittings) and machinery and plant (not otherwise specified), Motor vehicles (all types), ships, technical or professional books.	15%
iii.	Computer hardware including printer, monitor and allied items, Machinery & Equipment used in manufacture of IT Products, aircraft and aero engines.	30%
iv.	In case of mineral oil concerns the income of which is liable to be computed in accordance with the rules in Part-I of the Fifth Schedule. • Offshore platform and production Installations.	20%
v.	A ramp built to provide access to persons with disabilities not exceeding Rs. 250,000 each.	100%

- Depreciation expense will be disallowed in all relevant tax years where, at the time of payment against purchase of assets, required withholding taxes have not been deducted and deposited under the relevant provisions of the Ordinance.
- Depreciation is allowed on a proportional basis if the asset was also used for a purpose other than deriving business income in a tax year.

- Full year depreciation will be allowed in the year of acquisition, whereas no depreciation will be allowed in the year of disposal.
- The written down value of a depreciable asset of a person at the beginning of the tax year shall be:
  a) where the asset was acquired in the tax year, the cost of the asset to the person as reduced by any initial allowance in respect of the asset under section 23; or
  b) in any other case, the cost of the asset to the person as reduced by the total depreciation deductions (including any initial allowance under section 23) allowed to the person in respect of the asset in previous tax years.
  c) Explanation,- For the removal of doubt, it is clarified that where any building, furniture, plant or machinery is used for the purposes of business during any tax year for which the income from such business is exempt, depreciation admissible under sub-section (1) shall be treated to have been allowed in respect of the said tax year and after expiration of the exemption period, written down value of such assets shall be determined after reducing total depreciation deductions (including any initial allowance under section 23) in accordance with clauses (a) and (b) of this sub-section.

▶ *Example:*

First year	Rupees in '000'
Cost of building	500,000
Depreciation on (Rs. 500,000 @ 10%)	(50,000)
Written down value carried forward	450,000
Second year	**Rupees in '000'**
WDV Brought forward	450,000
Depreciation @ 10%	(45,000)
WDV carried forward	405,000
Third year	**Rupees in '000'**
WDV Brought forward	405,000
Depreciation @ 10%	(40,500)
WDV carried forward	364,500

- WDV of the asset, in case the asset is used partly for business and partly for non-business purposes, shall be computed on the basis that the asset has been solely used to derive business income. It means that depreciation allowed as well as disallowed shall be deducted from the cost of the asset in arriving at the WDV. However, the WDV of the asset shall be increased by the amount of depreciation disallowed on account of non-business use at the time of disposal.

▶ *Example:*

Computer equipment partly for business use and partly for non-business	Rs. in '000
WDV Brought forward	100,000
Used for business purpose	80%
Used for private purpose	20%
Annual depreciation @ 30% (100,000 x 30%)	30,000
Fair proportional depreciation deduction for business purpose (80% of Rs. 30,000)	24,000
WDV carried forward (WDV minus annual depreciation i.e. 100,000 - 30,000)	70,000

- The total deductions allowed to a person on account of depreciation and initial allowance during the period of ownership of a depreciable asset shall not exceed the cost of the asset.
- Where a person disposes of a depreciable asset in any tax year, no depreciation deduction shall be allowed in that year. Further, on disposal
  i. If the consideration received exceeds the written down value of the asset at the time of disposal, the excess shall be chargeable to tax in that year under the head "Income from Business";
  ii. If the consideration received is less than the written down value of the asset at the time of disposal, the difference shall be allowed as a deduction in computing the person's income chargeable under the head "Income from Business" for that year.
- An asset owned by a financial institution or leasing company and leased to another person is treated as used in the financial institution or leasing company's business and the depreciation deductions allowed to a leasing company, investment bank, a modaraba, a scheduled bank or a development financial institution in respect of assets owned by them and leased to another person shall be deductible only against the lease rental income derived in respect of such assets.
- The cost of a depreciable asset being a passenger transport vehicle not plying for hire shall not exceed seven and a half million rupees.
- In case of disposal of such vehicle, sale consideration of the passenger transport vehicle shall be computed according to the following formula: -

Cost of vehicle on which

Depreciation is allowed*

Actual cost of vehicle x Amount received on disposal of vehicle

*(i.e.) Rs. 7.5 Million

- The cost of immovable property or a structural improvement to immovable property shall not include the cost of the land.
- For computing gain on disposal of immoveable property, the consideration received shall be treated as the cost of the property if the consideration exceeds its cost (Gain on disposal shall be equal to the depreciation previously allowed).
- Where a depreciable asset that has been used by a person in Pakistan is exported or transferred out of Pakistan, the person shall be treated as having disposed of the asset at the time of the export or transfer for a consideration received equal to the cost of the asset. (Gain on disposal shall be equal to the depreciation allowed).

▶ *Example:*

During the tax year 2027, CFG (Pvt.) Limited disposed of the following assets**:**

a) Immoveable property was sold for Rs. 150 million. The cost of the property was Rs. 100 million. Up to tax year 2026, tax depreciation of Rs. 30 million had been allowed on the immoveable property.

b) A machine used in the business in Pakistan was exported to the USA. The export proceeds amounted to Rs. 45 million. The cost and written-down value of the machinery were Rs. 35 million and 28 million, respectively.

c) Two buses were disposed of for Rs. 2.5 million. They were acquired in tax year 2026. The tax written-down value of buses at the beginning of the tax year 2027 was Rs. 2.4 million. The buses were being used partly, i.e. 60% for business purposes. The tax rate of depreciation is 15%.

Required

Calculate tax gain or loss on disposal of the above assets.

▶ *Answer*

(a)	Rs. In Million
Sale Proceed	150
Cost (Note)	150
Depreciation allowed	(30)
WDV at the time of disposal	(120)
Gain on disposal	**30**

Note: For computing gain on disposal of immoveable property, the consideration received shall be treated as the cost of property if the consideration exceeds its cost (Gain on disposal shall be equal to the depreciation allowed).

(b)	Rs. In Million
Consideration received equal to actual cost	35
WDV at the time of disposal	(28)
Gain on disposal	7

For computing gain on disposal of a depreciable asset by way of export that has been used previously in Pakistan, the consideration received shall be treated as the cost of the asset (Gain on disposal shall be equal to depreciation allowed)

(c)	Rs. In Million
Sale proceed	2.5
WDV at beginning of the year	(2.4)
Depreciation not allowed	
(2.4/0.85 x 0.15 x 0.40)	(0.17)
Loss on disposal	(0.07)

WDV of the asset, in case the asset is used partly for business and partly for non-business purpose, shall be computed on the basis that the asset has been solely used to derive business income. It means that depreciation allowed as well as disallowed shall be deducted from the cost of the asset in arriving at the WDV. However, the WDV of the asset shall be increased by the amount of depreciation disallowed on account of non-business use at the time of disposal.

1.2 Initial allowance (Sec 23)

The aforesaid provision elucidates that the written down value shall be computed after deduction of initial allowance. The provision regarding initial allowance is contained in section 23 of the Ordinance and the said section states that:

1. A person who places an **eligible depreciable asset** into **service in Pakistan** for the first time in a tax year shall be allowed an initial allowance provided the asset is used by the person for the purposes of his business for the first time or the tax year in which commercial production is commenced, whichever is later.

▶ *Definition: Eligible Depreciable Asset*

"Eligible depreciable asset" means a depreciable asset other than:

a) any road transport vehicle unless the vehicle is plying for hire;
b) any furniture, including fittings;
c) any plant or machinery that has been used previously in Pakistan; or
d) any plant or machinery in relation to which a deduction has been allowed under another section of the Ordinance for the entire cost of the asset in the tax year in which the asset is acquired.
e) Immoveable property or structural improvements to the immoveable property.

2. The amount of initial allowance of a person shall be computed at the rate of 25% for plant and machinery. The rules contained in section 76 shall apply in determining the cost of an eligible depreciable asset.
3. An initial allowance allowed to a lessor in respect of assets owned by him and leased to another person shall be deductible only against the lease rental income derived in respect of such assets.

▶ *Definition: Sec 2(29C), Industrial Undertaking*

"Industrial undertaking" means —

a) an undertaking which is set up in Pakistan and which employs, —

   i. ten or more persons in Pakistan and involves the use of electrical energy or any other form of energy which is mechanically transmitted and is not generated by human or animal energy; or

   ii. twenty or more persons in Pakistan and does not involve the use of electrical energy or any other form of energy which is mechanically transmitted and is not generated by human or animal energy:

and which is engaged in—

i. the manufacture of goods or materials or the subjection of goods or materials to any process which substantially changes their original condition; or

ii. ship-building; or

iii. generation, conversion, transmission or distribution of electrical energy, or the supply of hydraulic power; or

iv. the working of any mine, oil-well or any other source of mineral deposits;

v. from the 1st day of May, 2020, a person directly involved in the construction of buildings, roads, bridges and other such structures or the development of land, to the extent and for the purpose of import of plant and machinery to be utilised in such activity, subject to such conditions as may be notified by the Board;

vi. from the first day of July, 2020, a resident company engaged in the hotel business in Pakistan;

vii. telecommunication companies operating under the license of Pakistan Telecommunication Authority (PTA)

▶ *Example: Depreciation*

Opening tax WDV of plant and machinery	1,000,000
Purchase of plant during the year eligible for initial allowance	500,000
Tax WDV of disposals during the year	200,000

Compute the tax depreciation and initial allowance on the above assets for the tax year 2027.

▶ *Answer*

Particulars	WDV	Depreciation
Opening WDV	1,000,000	
Tax WDV on disposal of P & M as no depreciation is charged in the year of disposal	(200,000)	
Balance WDV--- A	800,000	
Additions during the year	500,000	
Initial Allowance @ 25%	(125,000)	125,000
Balance WDV--- B	375,000	
WDV for Normal Depreciation (A+B)	1,175,000	
Normal Depreciation (1,175,000 x 15%)		176,250
Total Depreciation (125,000 +176,250)		301,250

2 INTANGIBLES

2.1 Introduction

The nomenclature of this term gives the impression that it only includes the cost of non-physical assets. However, the definition of this term under the tax law is far wider than this general impression. The definition of intangible is given in section 24 of the Ordinance in the following manner:

▶ *Definition:*

"Intangible" means any patent, invention, design or model, secret formula or process, copyright, trade mark, scientific or technical knowledge, computer software, motion picture film, export quotas, franchise, licence, intellectual property, or other like property or right, contractual rights and any expenditure that provides an advantage or benefit for a period of more than one year (other than expenditure incurred to acquire a depreciable asset or unimproved land but shall not include self-generated goodwill or any adjustment arising on account of accounting treatment in the manner as may be prescribed.

The above definition reveals that it also includes any expenditure that provides an advantage or benefit for a period of more than one year. Therefore, amortisation of any cost which has a useful life of a period exceeding one year is allowed.

2.2 Intangibles eligible for amortisation [Sec 24]

- A person shall be allowed an amortisation deduction in a tax year for the cost of the person's intangibles:
  - i. that are wholly or partly used by the person in the tax year in deriving income from business chargeable to tax; and
  - ii. that have a normal useful life exceeding one year.
- The terms cost as used in the aforesaid provision is defined in the following manner in the Ordinance:

▶ *Definition:*

"cost" in relation to an intangible, means any expenditure incurred in acquiring or creating the intangible, including any expenditure incurred in improving or renewing the intangible.

- No amortisation deduction shall be allowed if a deduction has been allowed under any other section of the Ordinance for the entire cost of the intangible in the tax year in which it was acquired.
- The total deductions allowed to a person in the current tax year and all previous tax years in respect of an intangible shall not exceed the cost of the intangible.

2.3 Method for computation of amortisation charge

The amortisation deduction of a person for a tax year shall be computed according to the following formula, namely:

A/B

Where:

***A** is the cost of the intangible; and*

***B** is the normal useful life of the intangible in whole years.*

- An intangible which does not have an ascertainable useful life shall be treated as if it had a normal useful life of fifteen (15) years.
- If an intangible is used in a tax year partly in deriving income from business chargeable to tax and partly for another use, the deduction allowed for that year shall be restricted to the fair proportional part of the amount that would be allowed if the intangible were wholly used to derive income from business chargeable to tax.
- Where an intangible is not used for the whole of the tax year in deriving income from business chargeable to tax, the deduction allowed under this section shall be computed according to the following formula, namely:

A x B/C

Where:

A is the amount of amortisation computed in accordance with the above provisions

B is the number of days in the tax year the intangible is used in deriving income from business chargeable to tax; and

C is the number of days in the tax year.

2.4 Gain/loss on disposal

- Where, in any tax year, a person disposes of an intangible, no amortisation deduction shall be allowed for that year and:
  - i. if the consideration received by the person exceeds the written down value of the intangible at the time of disposal, the excess shall be income of the person chargeable to tax in that year under the head "Income from Business"; or
  - ii. if the consideration received is less than the written down value of the intangible at the time of disposal, the difference shall be allowed as a deduction in computing the person's income chargeable under the head "Income from Business" in that year.
- For the purpose of calculating any gain or loss on disposal of intangible:
  - i. the written down value of an intangible at the time of disposal shall be the cost of the intangible reduced by the total deductions allowed to the person under this section in respect of the intangible or, where the intangible is not wholly used to derive income chargeable to tax, the amount that would be allowed under this section if the intangible were wholly so used; and
  - ii. the consideration received on disposal of an intangible shall be discussed in heading 4.5 in this chapter determined in accordance with section 77 of the Ordinance.

An intangible that is available for use on a day (including a non-working day) is treated as used on that day.

▶ *Exercise:*

Briefly explain the tax treatment in respect of each of the following independent situations for the Tax year 2027:

i. Aiza (Pvt.) Ltd has revalued its Building in accordance with International Accounting Standards and consequently charged depreciation on the revalued amount.

ii. Aiza (Pvt.) Ltd during the year has opened an overseas office in France and has claimed initial allowance and depreciation on eligible depreciable assets purchased by the office.

iii. Uzair Limited has charged impairment in respect of one of its depreciable assets. The Commissioner is of the view that impairment expense will not be allowed as an expense.

iv. Uzair Limited has discontinued a major product line of its business and envisages selling off the machinery related to this product line over a period of one to two years to get the right price. Uzair Ltd wants to claim depreciation on the idle machinery until disposed of.

v. Ms. Sana sells a number of personal vehicles in a tax year and makes a significant amount of profit in the process. She is of the view that the said income is exempt from tax.

vi. XYZ Ltd has recorded a gain on revaluation of its foreign currency balances at the year-end. The gain comprises both realised and unrealised amounts.

vii. In May 2027, Ms. Sana purchased a vehicle not plying for hire amounting to Rs. 4,210,000 to be used solely for the purpose of her business. While preparing the tax return, she has claimed initial allowance and depreciation as per the prescribed rates given in the Income Tax Ordinance, 2001 for the full year on Rs. 4,210,000.

viii. On 01 April 2027, Mr. Azhar purchased accounting software amounting to Rs. 5 million for his business. The software has a useful life of 30 years. Mr. Azhar has charged full-year amortisation on a straight-line basis over the useful life of the software.

ix. Entertainment expense payable amounting to Rs. 210,000 has been debited to the profit & loss account of ABC Ltd. The company has not deducted any tax on the said expense.

x. ABC (Pvt.) Ltd has charged depreciation according to the rates admissible under the tax law amounting to Rs. 125,000 on machinery taken on a lease from a scheduled bank in August 2019. Lease rentals paid during the tax year 2027 amounted to Rs. 220,000. The leased machinery was transferred to owned assets on maturity on 30 April 2027. On maturity, the accounting WDV of the assets was Rs. 500,000, market value was Rs. 800,000, whereas the residual value of the asset was Rs. 50,000.

▶ *Answer*

i. Depreciation deduction is associated with tax written-down values of assets calculated with reference to specific provisions. Accounting revaluation of assets has no bearing on the tax written-down value of assets. Consequently, depreciation will be allowed on tax written-down values of building without taking into account the effect of revaluation. [Ref: S 22(5)]

ii. Initial allowance is only available on assets used in Pakistan. Accordingly, the company will not be entitled to a deduction on account of initial allowance on assets purchased by the branch for use in business outside Pakistan. The company will, however, be allowed to claim normal depreciation on all depreciable assets. [Ref: S 23(1) and S 22]

iii. The contention of the Commissioner is correct. Charge for impairment of fixed assets is not a tax-deductible expense. As the impairment charge will be ignored for tax purposes, the written-down value of assets will not be reduced by the charge and depreciation will be calculated as if no impairment has taken place.

iv. As the machinery is no longer used in the business after discontinuation of the product line, it does not qualify as a depreciable asset for the relevant period. Accordingly, no depreciation deduction is allowable. [Ref: S 22 and S 75(3A)]

v. Income from sale of personal motor vehicles is not taxable under the head Capital Gains. If the vehicles are bought and sold with the motive of trade, the resultant gain will constitute business income. However, vehicles intended for personal use are excluded from the definition of capital assets. [Ref: S 37(5)(d)]

vi. The unrealised gain arising from year-end revaluation is notional and is not taxable. The realised foreign exchange gain is taxable in the tax year in which it is realised.

vii. Normal depreciation is allowable on the vehicle. However, initial allowance is not available because a road transport vehicle that is not plying for hire is not an eligible depreciable asset.

viii. Amortisation should be allowed for 91 days over the useful life of 30 years only. [Sec 24(4), 24(6)]

ix. Since tax is required to be deducted at the time of payment, no withholding tax was required at this stage because the expense remained payable. Accordingly, the expenditure is not disallowed merely on account of non-deduction of tax.

x. For an asset acquired under a finance lease, lease rentals are deductible instead of depreciation during the lease term. As the asset was transferred to the taxpayer on 30 April 2027, depreciation for the full year is allowable on the residual value, provided that such value has not already been recovered through lease rentals. No initial allowance is available because the asset was previously used. [S. 22, S.28(1)(B) & S 23]

3 PRE-COMMENCEMENT EXPENDITURE

3.1 Pre-commencement expenditure (Sec 25)

Section 25 of the Ordinance deals with the admissibility of pre-commencement expenditure and the said section states that:

- A person shall be allowed a deduction for any pre-commencement expenditure @ 20% per annum on a straight-line basis.
- The term pre-commencement expenditure is defined in section 25 of the Ordinance in the following manner:

▶ *Definition:*

"Pre-Commencement Expenditure" means any expenditure incurred before the commencement of a business wholly and exclusively to derive income chargeable to tax, including the cost of feasibility studies, construction of prototypes, and trial production activities, but shall not include any expenditure which is incurred in acquiring land, or which is depreciated or amortised under section 22 or 24 of the Ordinance.

- The total deductions allowed under this section in the current tax year and all previous tax years in respect of an amount of pre-commencement expenditure shall not exceed the amount of the expenditure.
- No deduction shall be allowed under this section where a deduction has been allowed under another section of this Ordinance for the entire amount of the pre-commencement expenditure in the tax year in which it is incurred.

4 ASSETS

4.1 Disposal of assets (Sec 75)

- An asset shall be treated to have been disposed of at the time the owner parts with the ownership of the asset. This shall include when the asset is
  - i. sold, exchanged, transferred or distributed; or
  - ii. cancelled, redeemed, relinquished, destroyed, lost, expired or surrendered.
- The transmission of an asset by succession or under a will shall be treated as a disposal of the asset by the deceased at the time the asset is transmitted.
- The application of business assets (including stock or depreciable asset) to personal use shall be treated as a disposal of the asset by the owner of the asset at the time the asset is so applied.
- Where a business asset is discarded or ceases to be used in business, it shall be treated to have been disposed of.
- A disposal shall include the disposal of a part of an asset.

4.2 Acquisition of assets (Sec 75)

A person shall be treated as having acquired an asset at the time the person begins to own the asset, including at the time the person is granted any right.

The application of a personal asset to business use shall be treated as an acquisition of the asset by the owner at the time the asset is so applied

4.3 Purchase of assets through banking channel or digital means (Sec 75A)

No person shall purchase (otherwise than by a crossed cheque or through demand draft or pay order or any other crossed banking instrument or digital means showing transfer of amount from one bank account to another bank account);

a) immovable property having fair market value greater than five million Rupees; or
b) any other asset having fair market value more than one million Rupees

In case the transaction is not undertaken by the banking channel as specified above, then;

i. such asset shall not be eligible for any allowance (i-e., depreciation, initial allowance, amortisation and pre-commencement expenditure etc.)

ii. such amount shall not be treated as cost in terms of section 76 for computation of any gain on sale of such asset.

“Digital means" means digital payments and financial services including but not limited to:

i. online portals or platforms for digital payments/receipts

ii. online interbank fund transfer services

iii. online bill or invoice presentment and payment services

iv. over-the-counter digital payment services or facilities

v. card payments using Point of Sale terminals, QR codes, mobile devices, ATMs, kiosks, or any other digital payment- enabled devices or

vi. Any other digital or online payment modes.

4.4 Cost (Sec 76)

The cost of acquisition under different situations is explained in section 76 of the Ordinance in the following manner:

- The cost of an asset purchased by a person shall be the sum of the following amounts, namely:-

i. consideration given for the asset, which shall include:

   a) fair market value of any consideration given in kind; plus

   b) any cash or cash equivalent paid as consideration.

ii. any incidental expenditure incurred by the person in acquiring and disposing of the asset; and

iii. any expenditure incurred by the person to alter or improve the asset

▶ *Example: Cost*

Purchase of a moulding machine in exchange for old machine	
Particulars	**Rs. In '000'**
Purchase price paid – Cheque drawn on business bank account	100,000
Add: Bringing to present location – Transportation freight paid	5,000
Add: Making fit for intended use – Installation expenditure paid	10,000
Add: Non-cash benefit given – Fair market value of old moulding Machine	25,000
Add: Debt incurred – Bank paid to the supplier against loan repayable in ten monthly instalments	75,000
Cost of the moulding machine for the purposes of depreciation deduction	**215,000**

- The cost of a personal asset treated as acquired by the business shall be the fair market value of the asset determined at the date it is applied to business use.
- The cost of an asset produced or constructed by a person shall be the total costs incurred by the person in producing or constructing the asset plus any expenditure incurred by the person on the alteration, improvement or disposal of such asset.

▶ *Example: Cost*

Boiler produced in-house by the entity for its factory	Rs. In '000'
Cost incurred to produce	
Material	50,000
Wages	7,500
Consumables (Welding rods etc.)	3,000
Fuel and power (electricity, gas, etc.)	2,000
Factory overheads	1,500
Cost of the boiler for the purposes of depreciation deduction	**64,000**

- Cost of a depreciable asset acquired by the lessee on maturity or pre-mature termination of finance lease agreement is the residual value or bargain purchase price as the case may be.

▶ *Example: Cost*

Motor vehicle	Rs.
Cost at the time acquired	1,000,000
Finance obtained under finance lease	1,000,000
Bargain purchase price:	
Before payment of 7th instalment	1,000,000
After payment of 7th but before payment of 11th instalment	750,000
After payment of 11th but before payment of 17th instalment	500,000
After payment of 17th but before payment of 22nd instalment	250,000
Residual value on maturity of lease	70,000
Monthly lease rentals	60,000
No. of instalments	22

▶ *Answer*

Cost of motor vehicle for the purpose of depreciation deduction	
Before payment of 7 instalments	1,000,000
After paying 7 instalments	750,000
After paying 11 instalments	500,000
After paying 17 instalments	250,000
On maturity of the lease, i.e. after paying 22 instalments	70,000

- If an asset has been acquired by a person with a loan denominated in a foreign currency and, before full and final repayment of the loan, there is an increase or decrease in the liability of the person under the loan as expressed in rupees, the amount by which the liability is increased or reduced shall be added to or deducted from the cost of the asset, as the case may be.

▶ *Explanation:*

Difference, if any, on account of foreign currency fluctuation, shall be taken into account in the year of occurrence for the purposes of depreciation.

In determining whether the liability of a person has increased or decreased, account shall be taken of the person's position under any hedging agreement relating to the loan.

- Where a part of an asset is disposed of by a person, the cost of the asset shall be apportioned between the part of the asset retained and the part disposed of in accordance with their respective fair market values determined at the time the person acquired the asset.
- Where the acquisition of an asset by a person is the **derivation of an amount chargeable to tax**, the cost of the asset shall be the amount so charged plus any amount paid by the person for the asset.
- Where the acquisition of an asset by a person is the **derivation of an amount exempt from tax**, the cost of the asset shall be the exempt amount plus any amount paid by the person for the asset.
- Where an immovable property is acquired by an individual through inheritance, the cost of such property in the hands of that individual shall be the fair market value, as defined under the Income Tax Ordinance, of the property as provided under subsection (5) of section 68 of the Ordinance, on transfer of such property to the beneficiary.
- The cost of an asset does not include the amount of any grant, subsidy, rebate, commission or any other assistance (other than a loan repayable with or without profit) received or receivable by a person in respect of the acquisition of the asset, except to the extent to which the amount is chargeable to tax under this Ordinance.
- The Board may prescribe rules for determination of cost for any asset.

▶ *Example:*

Burewala Express Limited (BEL) is in the business of manufacturing and sale of parts for the automobile assembly industry. On 1 January 2025, BEL took a loan of US$ 500,000 from GHI Bank, USA, which was utilised for purchasing the plant. The loan is repayable in 5 equal instalments in US Dollars. The rate of exchange on 1 January 2025 was US$ 1 equal to Rs. 196 and the loan liability was recorded in the books of account of BEL at Rs. 98,000,000 (US$ 500,000 x Rs. 196). Other relevant information is as follows:

1. The Project was completed in June 2026, but was only commissioned for use on 31 July 2026. The total amount spent by BEL on the plant was Rs. 200,000,000
2. On 1 July 2026, the Government of Pakistan (GOP) voluntarily paid BEL Rs. 10,000,000 as a subsidy in respect of the plant installed in the Project.
3. The first instalment of US$ 100,000 towards repayment of the US Dollar loan was paid to GHI Bank on 30 June 2027 when the exchange rate was US$ 1= Rs. 198.

Required:

Calculate the initial allowance, depreciation and written-down value of the plant on 30 June 2027 for preparing the tax return for tax year 2027.

▶ *Answer*

Description	Note	Amount
Cost of the plant		200,000,000
Subsidy	1	(10,000,000)
Exchange fluctuation	2	200,000
Cost of the plant		190,200,000
Initial allowance @ 25%		(47,550,000)
Written-down value		142,650,000
Depreciation @ 15%		(21,397,500)
Written-down value		**121,252,500**

Notes:

N-1:

In determining the cost of an asset for tax purposes, the actual amount spent by a person in acquiring an asset is required to be reduced by the amount of any grant, subsidy, rebate, commission or any other assistance received or receivable by the person in respect of the acquisition of the asset except where the said amount received is chargeable to tax [S.76 (10)]. Further, the amount of Rs. 10 million is not income for tax purposes but is a capital receipt because

a) The amount was voluntarily paid by GOP without any consideration.

b) The company did not ask for the subsidy.

c) The amount received did not arise out of any legal or contractual obligation.

d) The amount is not traceable nor even remotely connected to any source of income.

N-2:

An amount of Rs. 200,000 will be added to the cost of the asset due to the depreciation of the Pakistani Rupee from Rs. 196 to Rs. 198 against the dollar.

Where a person has acquired an asset with a foreign currency loan (repayable in foreign currency) and before the loan is fully repaid, there is an increase or decrease in the loan liability of the person in terms of Pakistan rupees, due to a change in the rate of exchange of the foreign currency, the amount by which the liability has increased or decreased is to be added to or reduced from the cost of the asset. In other words, the cost of the asset acquired with the foreign currency loan is recomputed for tax purposes [S.76(5)].

4.5 Consideration received (Sec 77)

Section 77 contains provisions relating to consideration received' in connection with disposal of assets. These are described below:

- The consideration received by a person on disposal of an asset shall be the aggregate of:
  i. amount received by the person for the asset or the fair market value thereof, whichever is higher; plus
  ii. the fair market value of any consideration received in kind determined at the time of disposal.
- If an asset has been lost or destroyed by a person, the consideration received for the asset shall include any compensation, indemnity or damages received by the person under:
  i. an insurance policy, indemnity or other agreement;
  ii. a settlement; or
  iii. a judicial decision.
- The consideration received for an asset treated as disposed of when applied to personal use or is discarded or ceased to be used shall be the fair market value of the asset determined at the time it is applied to personal use or discarded or ceased to be used in business, as the case may be.

▶ *Example: Consideration*

Example – Personal computer applied to business use	Rs. In '000'
Purchase price paid – At the time it was acquired in June 2024	50,000
Fair market value today when applied to business use	35,000
Cost of computer for the purposes of depreciation deduction	**35,000**

Example – Structural improvement to immovable property (building) applied to business use	Rs. In '000'
Purchase price paid – At the time it was acquired in June 2017	500,000
Fair market value today when applied to business use	700,000
Cost of Structural improvement to immovable property (building) for the purposes of depreciation deduction	700,000

- The consideration received by a scheduled bank, financial institution, modaraba, or leasing company approved by the Commissioner in respect of an asset leased by the company to another person shall be the residual value received by the leasing company on maturity of the lease agreement subject to the condition that the residual value plus the amount realized during the term of the lease towards the cost of the asset is not less than the original cost of the asset.
- Where two or more assets are disposed of by a person in a single transaction and the consideration received for each asset is not specified, the total consideration received by the person shall be apportioned among the assets disposed of in proportion to their respective fair market values determined at the time of the transaction.
- The Board may prescribe rules for determination of consideration received for any asset.

CHAPTER 9

CAPITAL GAINS

IN THIS CHAPTER:

1. Capital gains and capital asset
2. Computation of capital gain
3. Deduction of losses in computing income chargeable under the head capital gains
4. Capital gain on immovable property and securities

1 CAPITAL GAINS AND CAPITAL ASSETS

1.1 Capital Gain and Basis of Chargeability

As per Section 37 of the Income Tax Ordinance 2001, a gain arising on the disposal of a capital asset by a person in a tax year, other than a gain that is exempt from tax, shall be chargeable to tax in that year under the head "Capital Gains".

A person maintaining his books of accounts on a cash basis will generally calculate capital gain when he receives cash, but section 37 categorically says that such income shall be added to the taxable income of the tax year in which disposal arises (takes place). For example, if disposal takes place in the tax year 2026 and cash is received in tax year 2027, the taxpayer will have to include the gain in the tax year 2026 although cash is received in tax year 2027.

The understanding of aforesaid provision of law is very much linked with the knowledge of the following two terms:

- Capital Asset
- Disposal

1.2 Capital Asset

This term is defined in sub-section (5) of section 37 of the Ordinance in the following manner:

▶ *Definition: Capital Asset*

Capital asset means property of every kind held by a person, whether or not connected with a business, but does not include:

- any stock-in-trade, consumable stores or raw materials held for the purpose of business;

  Note-1: Where a person purchases and sells immovable property in the ordinary course of business, such gain will be taxable as business income and not as capital gain.

- any property with respect to which the person is entitled to a depreciation deduction under section 22 or amortization deduction under section 24; or

  Note-2: Any gain on disposal of depreciable asset is chargeable to tax under the head 'Income from Business'.

- any movable property held for personal use by the person or any member of the person's family dependent on the person excluding capital assets mentioned under section 38(5), i.e. painting, sculpture, drawing or other work of art, jewellery, rare manuscript, folio, book, postage stamp, first day cover, coin, medallion or an antique.

  Note-3: Any personal asset other than those mentioned above is not a capital asset and consequently any gain on disposal (e.g. personal vehicle, furniture, animal etc.) is not taxable.

▶ *Definition: Bonus shares*

Common examples of capital assets are ordinary shares, right shares, bonus shares, Modaraba Certificates, Participation Term Certificates, Term Finance Certificates, Musharika Certificates, PTC Vouchers.

1.3 Disposal of Asset

The legislature intentionally used the word "disposal" and avoided using the words "sale". The reason for using this term is that the term "disposal" has a wider connotation than sale. The term "disposal" has been defined in section 2(18) read with section 75.

Section 75 says that a person who holds an asset shall be treated as having made a disposal of the asset at the time the person parts with the ownership of the asset, including when the asset is:

- sold, exchanged, transferred or distributed; or
- cancelled, redeemed, relinquished, destroyed, lost, expired or surrendered.

The transmission of an asset by succession or under a will shall be treated as a disposal of the asset by the deceased at the time the asset is transmitted.

Transmission of immovable property, to a beneficiary on the death of a person shall also include the transmission of assets by reason of family settlement amongst the family members consequent upon death of the person.

The application of a business asset to personal use shall be treated as a disposal of the asset by the owner of the asset at the time the asset is so applied.

Where a business asset is discarded or ceases to be used in business, it shall be treated to have been disposed of.

A disposal shall include the disposal of a part of an asset.

It is important to note that a:

- **"Business asset"** means an asset held wholly or partly for use in a business, including stock-in-trade and a depreciable asset; and
- **"Personal asset"** means an asset held wholly for personal use.

2 COMPUTATION OF CAPITAL GAIN

2.1 Computation of gain/loss on disposal of capital asset (Other Category)

Capital gain arising on the disposal of a capital asset by a person shall be computed by the formula:

Capital Gain = A – B

Where:

A is the consideration received on disposal of the asset; and

B is the cost of the asset.

- Gain is taxable under the normal tax regime (NTR). Further, 100% gain will be taxable even if the capital asset has been held by a person for more than one year.

2.2 Determination of cost of capital asset

Sub section (4) of section 37 of the Ordinance explicates the cost of a capital asset in **two situations** in the following manner:

- No amount shall be included in the cost of a capital asset for any expenditure incurred by a person that:
  - is deductible from income chargeable under any other head of income; or
  - is not an allowable deduction under section 21 , deductions not allowed.

2.3 Consideration capital asset

The consideration received shall be the total amount received or the fair market value (FMV), whichever is higher.

For a listed company, FMV shall be determined by the market value according to the stock exchange quotation. In the case of an unlisted company, the break-up value of the company's shares shall be considered the FMV.

If an asset is lost or destroyed, the consideration received shall be the scrap value, along with any compensation, indemnity, or damages received under an insurance policy, agreement, settlement, or judicial decision.

Consideration received (Sec 77)

Section 77 contains provisions relating to consideration received' in connection with disposal of assets. These are described below:

- The consideration received by a person on disposal of an asset shall be the aggregate of:
  i. amount received by the person for the asset or the fair market value thereof, whichever is higher; plus
  ii. the fair market value of any consideration received in kind determined at the time of disposal.
- If an asset has been lost or destroyed by a person, the consideration received for the asset shall include any compensation, indemnity or damages received by the person under:
  i. an insurance policy, indemnity or other agreement;
  ii. a settlement; or
  iii. a judicial decision.
- The consideration received for an asset treated as disposed of when applied to personal use or is discarded or ceased to be used shall be the fair market value of the asset determined at the time it is applied to personal use or discarded or ceased to be used in business, as the case may be.

3 DEDUCTION OF LOSSES IN COMPUTING INCOME CHARGEABLE UNDER THE HEAD CAPITAL GAINS

3.1 Deduction of losses

Section 38 of the Ordinance stipulates the provisions regarding deduction of losses in computing the amount chargeable to tax under the head "Capital Gains" is explained as follows;

- Loss sustained on the disposal of another capital asset (capital loss) shall be deducted from capital gain.
- No loss shall be deducted on the disposal of a capital asset where a gain on the disposal of such asset would not be chargeable to tax.
- The loss arising on the disposal of a capital asset by a person shall be computed in accordance with the following formula, namely:

Capital Loss = A – B

Where:

A is the cost of the asset; and

B is the consideration received by the person on disposal of the asset.

- No loss shall be recognized on the disposal of the following capital assets, namely:—
  - A painting, sculpture, drawing or other work of art;
  - Jewellery;
  - A rare manuscript, folio or book;
  - A postage stamp or first day cover;
  - A coin or medallion; or
  - An antique.

In other words, loss on the disposal of the above capital assets shall not be deductible from capital gain [38(5)(f)].

Treatment of 'adjustment' and 'carry forward' of capital losses is explained in section 59 of the Income Tax Ordinance, 2001 in the following manner:

1- Capital loss (other category) cannot be set off against any other head of income.

2- Capital loss on disposal of shares of a private company (NTR) can be set off against gain on disposal of shares of a public company (Separate Block); however, the reverse is prohibited, i.e., loss on shares of a public company cannot be set off against gain on shares of a private company.

A capital loss sustained by a person during a tax year shall not be set-off against income of the same person under any other head of income for the same tax year.

The amount of capital loss which cannot be set-off shall be carried forward up to six tax years immediately succeeding the tax year for which the loss was first computed.

In the subsequent years, this loss can only be set-off against the capital gain for that tax year.

Where a person has a loss carried forward for more than one tax year, the loss of the earliest tax year shall be set-off first. (Treatment for capital loss has been discussed in detail in Chapter 11 of this Study Text).

Deduction of withholding tax on sale of shares (Sec-37(6)(10))

- Through the Finance (Supplementary) Act 2023, new sub-sections (6) to (10) were inserted in section 37 providing for deduction of tax on sale of shares transactions other than on Securities (section 37A).
- The person acquiring a capital asset, being shares of a company (other than listed companies' shares settled through NCCPL), shall deduct advance adjustable tax at the rate of ten per cent (10%) of the fair market value of the shares, at the time of payment or at the time of registration of shares by SECP/SBP, whichever is earlier.
- As a result of the above provisions, deduction of tax will be required where shares have been registered even if actual payment against the same has not been made. The tax so deducted shall be paid to the Commissioner by way of credit to the Federal Government, within fifteen days of the payment.
- The fair market value of shares shall be determined without deduction of liabilities as envisaged in Rule 19H of the Income Tax Rules, 2002.
- State Bank of Pakistan must not permit the transfer or registration of repatriable shares unless the seller provides a prescribed certificate from the Commissioner confirming that the tax liability has been discharged. (SRO 776(I)/2023)
- The person acquiring the shares may seek a certificate of exemption or reduced rate certificate from the Commissioner holding jurisdiction over the person where the person considers the transaction of sale of shares is either exempt or subject to reduced rate of tax under any of the provisions of the Ordinance.
- A person disposing of the shares is required within 30 days to furnish to the Commissioner holding jurisdiction over the case information or documents in a statement as may be prescribed. However, the Commissioner can call for the said information or documents within less than 30 days by a notice in writing if necessitated.
- Moreover, a proviso has been inserted in section 37A excluding from its ambit the disposal of shares of listed companies made otherwise than through Pakistan Stock Exchange and not settled through NCCPL. In such cases, the provisions of section 37 shall apply for the collection and payment of tax. This amendment is intended to bring off-market disposals of shares of listed companies that are neither made through Pakistan Stock Exchange nor settled through NCCPL within the scope of section 37.

4 CAPITAL GAIN ON IMMOVABLE PROPERTY AND SECURITIES

4.1 Capital gain on immovable property [Section 37(1A)]

A gain arising on the disposal of immovable property (open plot or constructed property) situated in Pakistan by a person in a tax year shall be chargeable to tax as a separate block on the basis of holding period as under:

	Properties acquired on or before 30 June 2024				Properties acquired after 01 July 2024
S.no	**Holding period**	**Open plot**	**Constructed property**	**Flats**	**All properties**
1.	Where holding period does not exceed one year	15%	15%	15%	**Active taxpayers** 15% **Non-active persons** at the progressive slab rates specified in Division I for individuals and AOP (this rate shall not be less than 15% in any case) and at the corporate tax rate specified in Division II for companies.
2.	Exceeds one year but does not exceed 2 years	12.5%	10%	7.5%	
3.	Exceeds 2 years but does not exceed 3 years	10%	7.5%	0%	
4.	Exceeds 3 years but does not exceed 4 years	7.5%	5%	-	
5.	Exceeds 4 years but does not exceed 5 years	5%	0%	-	
6.	Exceeds 5 years but does not exceed 6 years	2.5%	-	-	
7.	Exceeds 6 years	0%		-	

Note: In this context, "immovable property" refers specifically to capital assets and does not include offices, factories, or immovable property held by real estate dealers.

Exemption on Capital Gain

As per clause 114B Part I of the Second Schedule, Capital gain is exempt on the first sale of immovable property acquired/allotted by the Federal or Provincial Government or any certified allotment authority and the property is acquired in recognition of services rendered by:

i. a person who dies while in the service of the Pakistan Armed Forces or the service of Federal or Provincial Government.

ii. A war-wounded person while in service of Pakistan Armed Forces or Federal or Provincial Government.

iii. Ex-serviceman and serving personnel of Pakistan Armed Forces or Federal or Provincial Government.

As per clause 9A Part III of the Second Schedule, capital Gain Tax rates have been reduced by 50% of the above rates in case of the first sale of immovable property acquired or allotted to ex-servicemen and serving personnel of Armed Forces or ex-employees or serving personnel of Federal and Provincial Governments, being original allottees of the immovable property, duly certified by the allotment authority.

Moreover, in case of any capital gain arising after completion of three years from the date of acquisition of immovable property, the amount of tax payable shall be reduced by 75%.

Purchase of immovable property in cash (Sec 75A)

In case any immovable property having fair market value (FBR value or DC rate whichever is higher) greater than five million rupees is purchased in cash, then it will have the following implications:

i. Such amount shall not be treated as cost for computation of any gain on disposal (sale value will be treated as capital gain)

ii. Such person shall pay a penalty of 5% of the FBR value or DC rate, whichever is higher.

▶ *Exercise*

On 15 January 2027, Mr. A sold a shop situated in Karachi for Rs. 15,000,000. He had purchased this shop in July 2026 for Rs. 19,000,000, out of which Rs. 6,000,000 was paid in cash.

▶ *Answer*

Cash exceeding Rs. 5 million will not be considered as cost. Therefore, gain of Rs. 15-13= 2 million will be chargeable to tax. Mr. A will also have to pay a penalty of Rs. 6 x 5%= 0.3 million.

▶ *Exercise*

Mr. B purchased an open plot on 22.09.2026 which cost him Rs. 2,000,000. The plot was sold on 25.03.2027 at Rs. 8,000,000. Another constructed property was acquired on 05.09.2026 at Rs. 6,000,000 and sold at Rs. 12,000,000 on 23.05.2027. Assuming that both properties were acquired and sold as per the value notified by the Board.

Required:

Compute the capital gain and tax thereon.

▶ *Answer*

Gain on sale of plot = 6,000,000 (8m-2m)

Gain on sale of constructed property = 6,000,000 (12m-6m)

Total capital gain Rs.6m+6m = 12,000,000

Tax liability @ 15% = 1,800,000

As both properties are acquired on or after 01 July 2024, 100% gain will be taxable @ 15%

▶ *Exercise*

Mr. Y purchased an open plot on 22.05.2023 at a cost of Rs. 4,000,000. The plot was sold on 25.06.2025 at Rs. 7,000,000. Another constructed property is acquired on 08.09.2023 at Rs. 9,000,000 and sold at Rs. 14,000,000 on 25.06.2025. Assuming that both properties were acquired and sold as per the value notified by the Board.

Required:

Compute the capital gain and tax thereon.

▶ *Answer*

Gain on sale of plot = 7,000,000 - 4,000,000 = Rs. 3,000,000

As the holding period of the plot is more than two but less than 3 years, it will be taxable @ 10%.

Gain on sale of constructed property = 14,000,000 - 9,000,000 = Rs. 5,000,000

As the holding period of the constructed property is more than one but less than 2 years, it will be taxable @ 10%.

Total capital gain = Rs. 3,000,000 + Rs. 5,000,000 = Rs. 8,000,000

Tax liability @ 10% = 800,000

4.2 Capital gain on sale of securities (Sec 37A)

Section 37A of the Income Tax Ordinance, 2001 and Rules 13A-13N of the Income Tax Rules, 2002 contain provisions regarding taxation of capital gain on sale of securities.

▶ *Definitions:*

Security

Security means share of a public company, voucher of Pakistan Telecommunication Corporation, Modaraba Certificate, an instrument of redeemable capital, unit of exchange traded fund, debt securities and derivative products.

Derivative Products

"Derivative products" means a financial product which derives its value from the underlying security or other asset, may be traded on Pakistan Stock Exchange and includes deliverable future contracts, cash settled future contracts, contracts of rights and options.

"Debt Securities" means

a) Corporate Debt Securities such as Term Finance Certificates (TFCs), Sukuk Certificates (Sharia Compliant Bonds), Registered Bonds, Commercial Papers, Participation Term Certificates (PTCs) and all kinds of debt instruments issued by any Pakistani or foreign company or corporation registered in Pakistan; and

b) Government Debt Securities such as Treasury Bills (T-bills), Federal Investment Bonds (FIBs), Pakistan Investment Bonds (PIBs), Foreign Currency Bonds, Government Papers, Municipal Bonds, Infrastructure Bonds and all kinds of debt instruments issued by Federal Government, Provincial Governments, Local Authorities and other statutory bodies.

"Computation of capital gain on disposal of securities"

The gain arising on the disposal of a security by a person shall be computed in accordance with the following formula:

Gain = A – B

Where-

A is the consideration received by the person on disposal of the security; and

B is the cost of acquisition of the security.

However, normal tax liability as applicable under section 37 shall apply on disposal of the following:

i. of a listed company made otherwise than through Pakistan Stock Exchange and which are not settled through NCCPL;

ii. through initial public offer during listing process except where the detail of such disposal is furnished to NCCPL for computation of capital gains and tax thereon under section 37A.

Responsibilities of NCCPL from 8th Schedule

In case of a **Market-Based Transaction** involving any security, a notional expense equal to 0.5% of the sale proceeds and 0.5% of the security's cost will be applied instead of actual charges like brokerage, commission, levy, and other related incidental expenses. This notional deduction, however, does not apply to open-ended mutual funds' units or future contracts initiated by the Pakistan Mercantile Exchange (PMEX) members.

For clarification, a **"Market-Based Transaction"** refers to a transaction conducted at Pakistan Stock Exchange or on the platform of the National Clearing Company of Pakistan Ltd (NCCPL).

- Capital gain arising on disposal of securities shall be chargeable to tax at the following rates:

Tax year 2027-Where securities acquired on or after 01 July 2024

Holding period	Rate of Tax for active taxpayers
Regardless of holding period	Active taxpayers 15% for persons appearing on the Active Taxpayers List on the date of acquisition and the date of disposal of securities Non-active taxpayers • securities acquired after 01 July 2025 30% • securities acquired after 01 July 2024 Progressive rates specified in Division I for individuals and association of persons and (29%) Division II for companies. However, the rate of tax shall not be less than 15% in any case.

Tax year 2027 - Where securities acquired between 01 July 2022 and 30 June 2024

Holding period	Rate of Tax
Up to one year	15%
Exceeds 1 year but does not exceed two years	12.5%
Exceeds 2 years but does not exceed 3 years	10%
Exceeds 3 years but does not exceed 4 years	7.5%
Exceeds 4 years but does not exceed 5 years	5%
Exceeds 5 years but does not exceed 6 years	2.5%
Exceeds 6 years	0%

Tax year 2027 - Where securities were acquired between 01 July 2013 and 30 June 2022

Holding period	Rate of Tax
Irrespective of the holding period	12.5%

Tax year 2027 - Where securities acquired before 01 July 2013

Holding period	Rate of Tax
Irrespective of the holding period	0%

Capital gain rate for future commodity contracts entered into by members of Pakistan Mercantile Exchange will be 5% regardless of date of acquisition.

Gain on disposal of immovable property and securities shall be treated as a separate block of income and taxable at the above respective prescribed tax rates.

- On the other hand, gain on disposal of capital assets will be added to the normal income of the taxpayer and taxable on the basis of the tax rates applicable to such person.
- The holding period shall be reckoned from the date of acquisition to the date of disposal.

Rule 13D and 13N need to be discussed (Notional expense and FIFO Method)

- Capital gain arising on the disposal of any security shall be computed on the basis of First in First out (FIFO) inventory accounting method. However, FIFO method shall not apply in respect of sale of shares purchased on the same trading day. In that case, gain or loss shall be computed by applying the average method.
- Loss sustained by a person on disposal of securities shall be set off only against the gain of the person from disposal of any other securities chargeable. Such loss from tax year 2019 can only be carried forward up to three tax years immediately succeeding the tax year for which the loss was first computed.

4.3 Special provision relating to capital gain tax

- Capital gains on disposal of listed securities and tax thereon shall be computed, determined, collected and deposited in accordance with the provisions of section 37A read with rules laid down in the Eighth Schedule.
- Provisions of section 37A and Eighth Schedule of the Income Tax Ordinance, 2001 shall not apply to the following persons, namely:
  - a banking company
  - an insurance company

▶ *Exercise*

Briefly explain the income tax implications in respect of each of the following independent situations for the tax year 2027

i. On 1 January 2027, Ilyas entered into a contract for the sale of his 250 Square Yards plot in Islamabad to Mr. Sohail for a consideration of Rs. 50,000,000. Sohail paid Rs. 5,000,000 at the time of the contract for sale. However, he failed to pay the balance of the amount by 30 April 2027, and Ilyas forfeited the Rs. 5,000,000 in accordance with the terms of the contract. Subsequently, the plot was sold for Rs. 49,000,000 to Mr. Mumtaz on 30 June 2027. Ilyas had inherited the plot on 25 June 2019, on which date the fair market value of the plot was estimated at Rs. 45,000,000. His father had originally purchased the plot for Rs. 39,000,000 on 1 July 2002.

ii. 15 February 2027, Bilal discarded a machine which he had imported from China for Rs. 1,000,000 on 1 January 2027 to start the business. However, the machine was badly damaged during the shipment, rendering it unfit for use. The shipping company paid him Rs. 850,000 as damages. The scrap value of the machine on the date it was discarded was estimated to be Rs. 200,000. The documentation charges incurred in connection with the claim for damages were Rs. 25,000

iii. On 01 March 2027, Mr. Aleem sold 10,000 shares of Pakistan Telecommunication Limited, a company listed on the Pakistan Stock Exchange (PSX), for Rs. 300,000. He had purchased these shares on 01 July 2026, for Rs. 200,000. Brokerage and other expenses incurred on the sale transaction amounted to Rs. 1,500. Mr. Aleem is an active taxpayer under the Income Tax Law.

   a) Assume that the disposal was made otherwise than through PSX and was not settled through NCCPL.

   b) How would the tax liability change if Mr. Aleem disposed of these shares through PSX and the transaction were settled through NCCPL?

iv. On 15 June 2027, Imran sold his personal car for Rs. 1,500,000. The car was originally purchased for Rs. 1,200,000 on 13 September 2024.

v. Mr. Salman sold his antique watch for Rs. 150,000 in tax year 2027. The watch had been gifted to him by his mother back in 2010. Its fair market value at the time of gift was Rs. 250,000. His mother originally purchased the watch for Rs. 50,000.

▶ *Answer*

i. Transaction with Mr. Sohail

The amount of Rs. 5,000,000 forfeited by Ilyas in accordance with the terms of the contract for the sale of his plot to Sohail is to be treated as rent received [s.15(2)] and taxed under the head "Income from Property".

Transaction with Mr. Mumtaz

Consideration for the sale of the plot on 30 June 2027	49,000,000
Deemed Cost-FMV on 25 June 2019, the date of inheritance	(45,000,000)
Capital gains	**4,000,000**
Capital gain on disposal of plot after six years 4 m x 0% = Exempt	

ii. Disposal of machine

Since Bilal was not entitled to claim depreciation on this machine, the machine falls within the definition of a capital asset. [S.37(5)(b)] Discarding an asset is also treated as a disposal of the asset. [S.75(3A)] The capital gain is determined as:

Consideration received 15 February 2027

	Rs.
Damages from the shipping company	850,000
Scrap value of the machine	200,000
	1,050,000
Cost of the machine on 1 January 2027	
Purchase price of the machine	1,000,000
Documentation charges incurred	25,000
	(1,025,000)
Capital gain	**25,000**

Full amount of capital gain is taxable. [S.37(3)]

iii. A) If Disposal is Made otherwise than the Stock Exchange:

Sale of shares [Public Ltd. Company]

	Rs.
Consideration received	300,000
Cost: Original cost	(200,000)
Brokerage & Commission	(1,500)
Capital Gain	**98,500**

Although it is a public company, the shares were disposed of otherwise than through Pakistan Stock Exchange and the transaction was not settled through NCCPL. Therefore, the gain will be taxable under the normal tax regime.

B) If disposal is made through a registered stock exchange

However, if disposal is made through Pakistan Stock Exchange and the transactions were settled through NCCPL, then the gain will be taxable as a separate block in the following manner:

Consideration received	300,000
Cost: Original cost	(200,000)
Notional Expenses @0.5% of Purchase and cost price (500K x 0.5%)	(2,500)
Capital Gain	**97,500**

The above capital gain is taxed at the rate of 15% as a separate block of income.

iv. Sale of personal car

A moveable asset in the personal use of the taxpayer is not a capital asset. Capital receipts are exempt from taxation unless the government chooses to tax them. Since personal assets, such as cars, are not subject to taxation under the law, they also fall under the exempt category.

v. Antique

The gain shall be calculated as follows:

Sale price of antique watch	150,000
Deemed Cost Ref: Sec 79(3)(b) [Note-1]	(50,000)
Capital gains	100,000
Note-1: Section 79 is out of the scope of the CAF 2 syllabus.	

▶ *Exercise*

Mr. Mobeen owns various assets. Details of the assets, including their mode and cost of acquisition and the nature of the transactions, are as follows:

- On 15 June 2027, Mr. Mobeen sold 5,000 shares of ABC (Pvt.) Limited for Rs. 625,000. These shares were gifted to him by his friend on 13 September 2026, when their fair market value was Rs. 525,000. His friend had originally purchased these shares in Tax Year 2023 for Rs. 500,000.
- Mr. Mobeen also owns 10,000 shares of XYZ Limited, a listed company, which he inherited from his father on 1 July 2026. His father was the original allottee of these shares at Rs. 10 per share. The fair market value of the shares on the date of inheritance was Rs. 12 per share. On 30 January 2027, Mr. Mobeen sold 2,000 of these shares for Rs. 40,000 through NCCPL. The break-up value of the shares, as per the company's balance sheet, was Rs. 15 per share, whereas the prevailing market price on the date of sale was Rs. 20 per share. Ignore notional cost.
- Mr. Mobeen purchased a dining table set for personal use on 15 January 2012, for Rs. 60,000. He sold the set to Mr. Gufran for Rs. 90,000 on 27 June 2027.
- Mr. Mobeen is also a collector of postage stamps. His collection comprises 2,000 stamps from different countries and issued on different occasions, which he collected over several years. The aggregate cost of the stamps is Rs. 275,000. He sold the entire collection for Rs. 740,000 at a stamp exhibition.

Required:

You are required to compute the taxable income of Mr. Mobeen for Tax Year 2027.

▶ *Answer*

MR MOBEEN

COMPUTATION OF TAXABLE INCOME AND TAX LIABILITY

TAX YEAR 2027

STATUS: RESIDENT PERSON

Particulars	Consideration	Cost/Deemed Cost	Gain	Taxable Gain	Remarks
Other Sources					
5,000 shares as a gift	525,000	--	525,000	525,000	Gift received from a person other than specified relatives is taxable under the head income from other sources

Particulars	Consideration	Cost/Deemed Cost	Gain	Taxable Gain	Remarks
Capital Gains					
Sale of 5,000 shares	625,000	525,000	100,000	100,000	Since the shares were acquired by gift from a friend, who is not a relative for purposes of section 79, the fair market value of Rs. 525,000 at the time of acquisition is treated as the cost of the shares.
Sale of 2,000 inherited listed shares	40,000	24,000 (2,000 x 12)	16,000	16,000	U/s 37A, any gain on disposal of securities through NCCPL that were acquired on or after 1 July 2024 is taxable as a separate block of income at 15%, assuming Mr. Mobeen is on the ATL under the Income Tax Law.
Sale of dining table set	90,000	60,000	30,000	Nil	Gain on the disposal of movable property held for personal use is not chargeable to tax, except where the property falls within the specified exclusions, including paintings, sculptures, drawings, jewellery, rare manuscripts, folios, books, postage stamps, first-day covers, coins, medallions and antiques.
Sale consideration of postage stamps	740,000	275,000	465,000	465,000	Postage stamps are excluded from the personal-use movable property exemption; therefore, the gain is taxable.
Taxable income				1,106,000	
Less: Capital gain on listed shares taxable under separate tax regime				16,000	
Income Taxable under NTR				1,090,000	

Note: Remarks are provided for guidance purposes only. Students are not required to include remarks unless specifically required by the examiner.

CHAPTER 10

INCOME FROM OTHER SOURCES

IN THIS CHAPTER:

1. Description
2. Admissible deductions

1 DESCRIPTION

1.1 Introduction to the 'income from other sources

This is a residuary head of income; all kinds of income, which are not covered within the ambit of other heads of income, are covered under this head of income. Section 39 of the Ordinance elaborates its scope in the following manner:

1.2 Scope, basis of chargeability and contents

- Income of every kind received by a person in a tax year, if it is not included in any other head, other than income exempt from tax under this Ordinance, shall be chargeable to tax in that year under the head Income from Other Sources. As may be seen from the above, income from other sources is chargeable to tax on a 'receipt basis'. Thus, any income from other sources that has accrued for a tax year but has not been received is not chargeable to tax in that tax year.
- Income from other sources may include the following, namely:

  i. Dividend

  ii. Royalty;

  iii. Profit on debt;

  iv. Additional payment on delayed refund under any tax law;

  v. Ground rent;

  vi. Rent from the sub-lease of land or a building;

  vii. Income from the lease of any building together with plant or machinery;

  viii. Income from provision of amenities, utilities or any other service connected with renting of building;

  ix. Income deemed u/s 111- unexplained assets or income;

  x. Any annuity or pension;

  xi. Any prize bond, or winnings from a raffle, lottery, prize on winning a quiz or cross-word puzzle;

  xii. Any other amount received as consideration for the provision, use or exploitation of property, including from the grant of a right to explore for, or exploit, natural resources;

  xiii. The fair market value of any benefit, whether convertible to money or not, received in connection with the provision, use or exploitation of property; and,

  xiv. Any amount received by a person as consideration for vacating the possession of a building or part thereof, reduced by any amount paid by the person to acquire possession of such building or part thereof. This income shall be taxable in 10 years from the year of receipt in equal proportion.

  xv. Any amount received by a person from Approved Income Payment Plan or Approved Annuity Plan under Voluntary Pension System Rules, 2005.

  xvi. any amount or fair market value of any property received without consideration or received as gift, other than gift received from a relative.

  For this purpose, relative in relation to an individual means —

  a) an ancestor, a descendant of any of the grandparents, or an adopted child, of the individual or of a spouse of the individual; or

  b) a spouse of the individual or of any person specified in

  (**Note 1:** Any gift received in cash even from the above persons will be taxable under IFOS.

xvii. Any amount received as a loan, advance, and deposit for issuance of shares or gift by a person in a tax year from another person other than a banking company or financial institution or not through digital means/crossed cheque drawn on a bank or a banking channel or not from a person holding a National Tax Number. However, advance for the sale of goods or supply of services is outside the scope of this clause.

xviii. Income arising to the shareholder of a company, from the issuance of bonus shares.

- Where any profit on debt derived from National Savings Deposit Certificate including DSCs is paid to a person in arrears and as a result his income is chargeable to higher rate of tax than would have been applicable if the amount had been paid in the tax year to which it relates, he may by a notice in writing to the Commissioner by the due date for furnishing return of income, elect for the amount to be taxed at the rates that would have been applicable if the amount had been paid in the tax year to which it relates.

Prizes and Winnings (Section 156)

- The tax deductible at source at the time of payment of prizes and winnings is non- adjustable tax deducted at source and the income arising from prizes and winnings is subject to final tax.
- Prizes and winnings covered under the income subject to final tax are:
  a) Prize on a prize bond
  b) Prize or winnings from a raffle, lottery, quiz or crossword puzzle;
  c) Prize offered by companies for promotion of sale and
  d) Fair market value of the prize or winnings if it is not paid in cash
- The rates of final tax are as under:

On prize on a Prize Bond and winnings from Crossword Puzzle 15% for active and 30% for non-active taxpayer.

On all other prizes and winnings 20% for active and 40% for non-active taxpayer.

1.3 Dividend

Dividend income is taxable under the final tax regime in respect of all taxpayers, including companies.

▶ ***Definition:*** *Section 2(19) "Dividend" includes —*

any distribution by a company of accumulated profits to its shareholders, whether capitalised or not, if such distribution entails the release by the company to its shareholders of all or any part of the assets including money of the company;

i. any distribution by a company, to its shareholders of debentures, debenture-stock or deposit certificate in any form, whether with or without profit, to the extent to which the company possesses accumulated profits whether capitalised or not;

ii. any distribution made to the shareholders of a company on its liquidation, to the extent to which the distribution is attributable to the accumulated profits of the company immediately before its liquidation, whether capitalised or not;

iii. any distribution by a company to its shareholders on the reduction of its capital, to the extent to which the company possesses accumulated profits, whether such accumulated profits have been capitalised or not;

iv. any payment by a private company as defined in the Companies Act, 2017 or trust of any sum (whether as representing a part of the assets of the company or trust, or otherwise) by way of advance or loan to a shareholder or any payment by any such company or trust on behalf, or for the individual benefit, of any such shareholder, to the extent to which the company or trust, in either case, possesses accumulated profits;

but does not include —

- a distribution made in accordance with sub-clause (c) or (d) in respect of any share for full cash consideration, or redemption of debentures or debenture stock, where the holder of the share or debenture is not entitled in the event of liquidation to participate in the surplus assets;
- any advance or loan made to a shareholder by a company in the ordinary course of its business, where the lending of money is a substantial part of the business of the company;
- any dividend paid by a company which is set off by the company against the whole or any part of any sum previously paid by it and treated as a dividend within the meaning of sub-clause (e) to the extent to which it is so set off; or

v. remittance of after-tax profit of a branch of a foreign company operating in Pakistan other than remittance of after-tax profit by a branch of Petroleum Exploration and Production (E&P) foreign company, operating in Pakistan.;

▶ *Exercise*

Mr. Mobeen declared the following particulars:

- Income from salary Rs. 1,750,000.
- Received a dividend warrant of Rs. 19,500 from a listed company. The amount is net of income tax @ 15% and Zakat of Rs. 500.

You are required to compute the taxable income and tax liability of Mr. Mobeen.

▶ *Answer*

MR. MOBEEN

COMPUTATION OF TAXABLE INCOME AND TAX LIABILITY

STATUS: RESIDENT PERSON

Particulars	Gross amount	Taxable	Tax liability	Remarks
Salary income	1,750,000	1,749,500 (1,750,000-500)	83,687	Taxable Salary (Salary less Zakat). As a salaried case, tax is calculated as: Rs.66,445= 6,000 + 11% x (1,749,500 - 1,200,000)
Income from other source:				
Dividend income	23,530	23,530	3,530	Taxable income: Amount before Zakat deduction (19,500 + 500 = 20,000) grossed up 20,000/85% = 23,530 Tax liability is Rs. 3,530 =15% x 23,530

1.4 Profit on debt

The term profit on debt is defined in section 2(46) of the Ordinance in the following manner:

▶ *Definition: Profit on debt*

- any profit, yield, interest, discount, premium or other amount, owing under a debt, other than a return of capital; or
- any service fee or other charge in respect of a debt, including any fee or charge incurred in respect of a credit facility which has not been utilized;

This definition not only explains the term for the recognition of income, but it also gives the basis of ascertaining the nature of profit on debt as "admissible expenditure". We already clarified the basis for taxation of profit on debt with the example of a bank; the same matter is elucidated in section 18 in the following manner:

- Any profit on debt derived by a person where the person's business is to derive such income shall be chargeable to tax under the head "Income from Business" and not under the head "Income from Other Sources".

For Individuals and AOP's

i. Profit on debt upto Rs. 5 million is taxable @ 15% under section 7B if received from prescribed persons mentioned in section 151(1) i.e. from banks, any government, national saving scheme etc.

ii. Any profit on debt exceeding Rs. 5 million would be taxable under the normal tax regime under the head income from other source at applicable slab rates. However, tax liability shall not be less than withholding tax.

  - While making payments to individuals and AOPs, the withholding agents shall deduct tax @ 20% from yield on bank deposits and @ 15% from yield on all other investments/instruments.
  - Similarly, in case of an individual, profit on debt on Bahbood saving certificates/pensioners benefit account is taxable under NTR with maximum tax rate @ 5%.

1.5 Some examples of amounts covered under income from other sources

Following are examples of some amounts which are covered under the head of income from other sources and are part of the syllabus:

- Rent from the sub-lease of land or a building
- An arrangement in which a lessee of land or a building, against an agreed rent, sub-leases the said land or building.
- Income from provision of amenities, utilities or any other service connected with renting of building.
- An amount received as consideration for vacating the possession of a building or part thereof, reduced by any amount paid by the person to acquire possession of such building or part thereof. The amount so received shall be chargeable to tax under the head "Income from Other Sources" in the tax year in which it was received and the following nine tax years in equal proportion.

2 ADMISSIBLE DEDUCTIONS

2.1 Admissible deductions

- In computing the income under the head "Income from Other Sources", the following allowances and deductions shall be made, namely:
  - i. Any expenditure paid for earning Income from Other Sources other than expenditure of a capital nature. It is important to note that, as the basis of chargeability of income from other sources is 'receipt basis', the basis for allowability of deductions is 'paid basis'.
  - ii. A person receiving any profit on debt chargeable to tax under the head "Income from Other Sources", any Zakat paid by the person under the Zakat and Ushr Ordinance, 1980, at the time the profit is paid to the person.
- In the case of income from from lease of building together with machinery or plant, deduction for depreciation on plant, machinery and building u/s 22 and initial allowance on plant and machinery only u/s 23. No deduction is allowable to a person under this head to the extent that the expenditure is deductible in computing the income of the person under another head of income.
- The provisions of section 21 - Deductions not allowed shall apply in determining the deductions allowed to a person under this head in the same manner as they apply in determining the deductions allowed in computing the income of the person under the head "Income from Business".
- Expenditure is of a capital nature if it has a normal useful life of more than one year.

▶ *Exercise*

On 13 September 2026, Azhar purchased a building which had been previously used as a factory in the Sundar Industrial Estate for Rs. 5,000,000 and installed in the building an item of second-hand plant previously used in Pakistan, costing Rs. 3,000,000. Azhar leased the Sundar property consisting of the building together with the plant on 1 January 2027 to Mr. Atif for a composite rent of Rs. 400,000 per month payable in advance.

Azhar is also the owner of a residential building in Gulberg which was let out to Beta Limited on 1 August 2026 for a monthly rent of Rs. 250,000. Rent for the two years was received in advance on 1 August 2026 after deduction of tax at the prescribed rate.

The following expenses were incurred by Azhar on the two properties during the tax year 2027:

Description	Sundar Industries	Gulberg
	Rupees	
Repair to building	140,000	63,000
Repair to plant	50,000	-
Rent Collection charges	5,000	5,000
Insurance	48,000	20,000
Total	**243,000**	**88,000**

Required:

Please calculate Mr. Azhar's taxable income for the tax year 2027, considering the relevant head of income, and provide explanations regarding how both properties are treated for taxation.

MR. AZHAR

COMPUTATION OF TAXABLE INCOME

TAX YEAR: 2027

Description	Note	Head of income	
		Income from Other Sources	Income from Property
Rent (400,000x 6)/(250,000x11)	1 & 2	2,400,000	2,750,000
Deductions			
Repair to building/allowance	3	(140,000)	(550,000)
Repair to plant		(50,000)	-
Rent Collection Charges		(5,000)	(5,000)
Insurance		(48,000)	(20,000)
Depreciation: Plant	4	(450,000)	
Depreciation: Building		(500,000)	
		(1,193,000)	(575,000)
Taxable income (3,382,000)		**1,207,000**	**2,175,000**

Notes:

N-1: Rent received in advance

Rent is not chargeable to tax on a receipt basis. Rent relating to a tax year, whether received or receivable, is chargeable to tax in that tax year. Therefore, rent received in advance amounting to Rs. 3,000,000 (250,000x 12) will be charged to tax in the tax year (TY 2027) to which it relates.

N-2: Income from lease of building with plant

A composite rent of Rs. 2,400,000 (400,000x6) was received as consideration for the lease of the Sundar Industrial property consisting of building together with the plant installed in the building. Such income, after permissible deductions, is chargeable to tax as "Income from Other Sources" of the Income Tax Ordinance, 2001. Further, all the Expenditure incurred in deriving such income (along with depreciation and initial allowance) will be allowed.

N-3: Repair expense/allowance

In case of income from other source, actual expense incurred will be allowed as deduction, whereas in case of income from property, 1/5th of rent will be allowed as repair allowance.

N-4: Depreciation for the full year computed as the assets are already in use and brought forward.

	Building	Plant
Cost	5,000,000	3,000,000
Rate of depreciation	10%	15%
Total	**500,000**	**450,000**

CHAPTER 11

LOSSES, DEDUCTIBLE ALLOWANCES, TAX CREDITS AND EXEMPTIONS

IN THIS CHAPTER:

1. Treatment of losses
2. Deductible allowances and tax credits
3. Exemptions and tax concessions

1 TREATMENT OF LOSSES

1.1 Set-off of losses

While computing income of a person under a head of income, if the total deductions allowed to a person under the head exceed the total amounts chargeable to the person under that head, then the said person is said to have sustained a loss under the said head of income.

The income tax law includes comprehensive provisions which stipulate the mechanism for adjustment of the loss under a head against the income under other heads of income and against the income for the ensuing years. Sections 56 to 58 of the Ordinance deal with this issue and the said sections are discussed below:

Set-off of losses (Sec 56)

- If a person sustains a loss under any head of income in a tax year, the same can be set-off against the income from any other head of income except for income under the head 'salary'. However, the following are exceptions to the said rule:
  i. Loss in speculation business cannot be set-off against any other income.
  ii. Adjustment of business loss shall not be allowed against income from property for the tax year.
  iii. Capital loss cannot be set-off against any other income.
  iv. Losses cannot be adjusted against FTR (Final Tax Regime) income, and losses will not be incurred on FTR income
  v. Loss in a case where the income would have been an exempt income, e.g. loss of agriculture income cannot be set-off against any taxable income.
- No loss except loss under the head "Income from Business" (including income from speculation business) and "Capital gain" can be carried forward.
- If a person sustains loss under the head "Income from Business" in addition to loss under any other head, the loss under the head "Income from Business" shall be set-off last.

▶ *Exercise:*

For tax year 2027, the income/(loss) of Mr. Bilal under various heads of income is as follows:

	Rs.
Salary	500,000
Dividend income	125,000
Income from property	250,000
Income from business	300,000
Loss under the head "Capital gains"	(100,000)
Loss under the head "Income from other sources"	(100,000)
Loss from speculation business	(100,000)

Required:

Calculate the total income of Mr. Bilal after making adjustment of losses and income under relevant heads keeping in view the provisions of Income Tax Ordinance, 2001. Support your answer with appropriate explanations.

▶ *Answer*

	Note	Rupees
Income from salary	1	500,000
Income from property	2	250,000
Income from business (300,000-100,000)	3	200,000
Loss from speculation and capital gain	4	-
Dividend Income (separate block)	5	-
Total income under NTR		950,000

Note 1

No loss under any other head of income is allowed to be set off against income from salary.

Note 2

Income from property is chargeable to tax under the normal tax regime (NTR).

Note 3

Income from business amounting to Rs. 300,000 is adjusted against loss under the head income from other sources amounting to Rs. 100,000.

Note 4

Loss from speculation business and capital gain will be carried forward. These losses cannot be set off against any other head of income. However, it is pertinent to mention here that although speculation losses and capital gain losses cannot be set off against income in any other head, vice versa is not prohibited. For instance, loss under the head income from business can be set-off against any profit of speculation business in the same tax year.

Note 5

Dividend Income is chargeable to tax under section 5 on the gross amount under FTR. Accordingly, no deduction is allowed from the dividend income in respect of the loss under the head "Income from Other Sources".

Carry forward of business losses (Structrual Redundancy)(Sec 57)

- If business loss (other than depreciation, amortization and speculation loss) sustained in a tax year cannot be fully set-off in that year with income under any other head, it can be carried forward to subsequent tax years.
- In subsequent years, this loss can only be set-off against the person's income under the head "Income from Business".
- No loss shall be carried forward to more than six tax years immediately succeeding the tax year in which the loss was first computed. If a person has a business loss carried forward for more than one tax year, the loss of earliest tax year shall be set-off first.
- Where a loss, referred to above, relating to a tax year commencing on or after the First day of July, 2020 is sustained by a resident company engaged in the hotel business in Pakistan, the said loss shall be carried forward for a period of eight years.
- To create attraction for the investors interested in acquiring the Government's stake in PIA, loss of PIA relating to tax year commencing on or after January 2017 is allowed to be carried forward for a period of ten years.
- While computing a person's taxable income, the deductions available for depreciation, initial depreciation, and amortization shall be taken into account last.

Unabsorbed Depreciation, Initial Allowance and Amortisation – Section 57(4)

- The loss attributable to deductions allowed under depreciation, initial allowance and amortisation that has not been set off shall be set off against 50% of the balance income chargeable under the head "Income from Business".
- Such loss shall be set off against 100% of the said balance income if the taxable income for the year is less than Rs. 10 million.

▶ *Exercise:*

The business loss of a company for a tax year amounts to Rs. 900 million, arrived at as follows:

	Rs. Million
Gross Revenue	2,000
Expenses:	
Tax depreciation	(100)
Initial Allowance	(200)
Amortization of intangibles	(100)
Other deductions	(2,500)
Business loss for the year	(900)

Required:

Calculate the business loss and depreciation/amortization loss. Also mention the number of years for which the said loss can be carried forward.

▶ *Answer*

The tax loss of Rs. 900 million will be considered as made up of Rs. 100 million on account of depreciation, Rs. 200 million on account of initial allowance, Rs. 100 million on account of amortization of intangibles and the balance amount of Rs. 500 million on account of other deductions. Accordingly, tax loss of Rs. 900 million will be carried forward as follows:

On account of:	Rs. in "Million"
Depreciation + initial allowance + amortization	400
Business loss	500
	900

Loss under the head income from business can be carried forward for a maximum period of six years immediately succeeding the tax year in which it was first computed.

Carry forward of speculation business losses (Sec 58)

- If a person sustains a loss in a tax year from any speculation business (as defined in section 19), he can set off such loss only against profits of any other speculation business carried on by him during the same tax year.
- In the subsequent years too, the speculation loss can be set-off against income of any speculation business only. It means that loss from speculation business cannot be adjusted against income under any other head.
- If a person has a speculation loss carried forward for more than one tax year, the loss of earliest tax year shall be set-off first.
- If any loss cannot be so set-off, either wholly or partly, such portion of loss can be carried forward up to six tax years immediately succeeding the tax year in which it was sustained.

Carry forward of capital losses (Sec 59)

- A capital loss sustained by a person during a tax year cannot be set-off against income of that person under any other head of income, for that tax year.
- In the subsequent years too, capital loss can be set-off against capital gain only. It means that capital loss cannot be adjusted against income under any other head
- If a person has a capital loss carried forward for more than one tax year, the loss of earliest tax year shall be set off first.
- The amount of capital loss which cannot be set-off shall be carried forward up to six tax years immediately succeeding the tax year in which the loss was sustained.
- Loss sustained on disposal of Section 37A securities can only be set off against gains under Section 37A and carried forward for a maximum of three (3) tax years.
- Inter-adjustability: Capital Loss under Section 37 can be adjusted against Capital Gain under Section 37A, but not vice versa.

Limitations on set off and carry forward of losses (Sec 59A)

- An AOP whose profits are chargeable to tax under the Income Tax Ordinance, 2001 shall be entitled to a set-off or carry forward and set-off any loss of the AOP against the income of the AOP in the manner explained above.
- Any member of an AOP shall not be entitled to set off or carry forward and set off loss of AOP against his income.
- Any person who succeeds to the business of another person otherwise than by inheritance shall not be entitled to set off or carry forward and set off the loss of the predecessor.

Limitations on set-off of unabsorbed depreciation and amortization - Sec 57(4)

Where the taxable income for a tax year is Rs. 10 million or more, and the loss attributable to deductions allowed under sections 22, 23, 23B and 24 cannot be fully set off due to the absence of sufficient income chargeable under the head "Income from Business", the unabsorbed loss shall be set off against 50% of the person's balance income chargeable under the head "Income from Business" for the following tax year and, where necessary, subsequent tax years until fully set off. If there is no income chargeable under the head "Income from Business" in the following tax year, the unabsorbed loss shall be carried forward and set off against 50% of the person's balance income chargeable under the head "Income from Business" in the subsequent tax year, and so on until fully set off.

A business loss, speculation loss, or capital loss cannot be carried forward and set off unless it has been determined by an order made or treated as having been made under sections 120, 121, or 122 of the Income Tax Ordinance, 2001.

▶ *Example 1 (taxable income is greater than Rs. 10 million)*

Tax Year 1	Rupees
Sales	50,000,000
Business deductions excluding depreciation/amortization	(30,000,000)
Business income before depreciation & amortization	20,000,000
Deductions u/s 22, 23, 23B & 24	(40,000,000)
Business Loss for the year to be carried forward on account of unabsorbed depreciation	(20,000,000)

Tax Year 2	Rupees
Sales	70,000,000
Total admissible deductions for the tax year 2	(40,000,000)
Business income for the year	30,000,000
Brought forward loss (unabsorbed depreciation and initial allowances) 20 million, exceeding 50% of the taxable income	
Loss set off against 50% of business income	(15,000,000)
Taxable income after setting off losses	15,000,000
Balance loss to be carried forward to Tax Year 3 (20m-15m)	(5,000,000)

- *Example 2 (taxable income is less than Rs. 10 million)*

Tax Year 1	
Sales	50,000,000
Business deductions excluding depreciation/amortization	30,000,000
Deductions u/s 22, 23, 23B & 24	40,000,000
Loss for the year	(20,000,000)

Tax Year 2	
Sales	45,000,000
Total admissible deductions for the tax year 2	40,000,000
Business income for the year	5,000,000
Loss for Tax Year 1 shall be set off against 100% of business income as taxable income for the year is less than Rs. 10 million.	(20,000,000)
Taxable income after setting off of losses	Rs. Nil
Balance loss to be carried forward to Tax Year 3 (20m-5m)	(15,000,000)

- *Example 3*

Tax Year 1	
Sales	50,000,000
Business deductions excluding depreciation/amortization	80,000,000
Deductions u/s 22, 23, 23B & 24	0
Business loss C/F to tax year 2	(30,000,000)

Tax Year 2	
Sales	70,000,000
Business deductions excluding depreciation/amortization	(20,000,000)
Brought forward business loss from tax year 1	(30,000,000)
	20,000,000
Deductions u/s 22, 23, 23B & 24	(80,000,000)
Loss for the year to be carried forward on account of unabsorbed depreciation	(60,000,000)

Tax Year 3	
Sales	90,000,000
Total admissible deductions including depreciation of Rs. 20,000,000	(40,000,000)
Business income for the year before unabsorbed tax depreciation (90m – 40m)	50,000,000
Unabsorbed depreciation to be set off up to 50% of Rs. 50,000,000	(25,000,000)
Taxable income after setting off of a loss	25,000,000

Balance loss attributable to deductions u/s 22, 23, 23B & 24 to be carried forward to tax year 4 is (Rs. 35,000,000 i.e. 60m-25m)

2 DEDUCTIBLE ALLOWANCES AND TAX CREDITS

2.1 Deductible allowances

As discussed in Chapter 4, according to section 9 of the Income Tax Ordinance 2001, taxable income of a person for a tax year shall be the total income other than exempt income of the person reduced (but not below zero) by the sum of any deductible allowances of the person for that tax year.

As per sections 60, 60A, 60B, and 60D of the Income Tax Ordinance, 2001, a person is entitled to the following deductible allowances.

i. Zakat

ii. Workers' welfare fund

iii. Workers' participation fund

iv. Education expenses

These deductible allowances are discussed in Chapter 4 of this study text.

2.2 Tax credits

While computing the tax liability of a person, the person may be allowed to reduce certain amounts from the gross amount of his tax liability on fulfilment of certain conditions. These reductions are termed as 'tax credits'.

If at the time of calculating income tax payable, a person has more than one type of tax credits available, these tax credits shall be applied in the following order:

i. Foreign tax credit (will be discussed in Chapter 13 of this study text.)

ii. Tax credit on donations, investment, etc.,

iii. Quarterly advance tax and tax deducted/collected at source

Following are the tax credits available under Part X Chapter III of the Ordinance, for;

- Charitable donations (Sec 61)
- Contribution to an approved pension fund (Sec 63)
- Interest paid on low-cost housing loan (Sec 63A)
- Certain persons (Sec 65F)
- Integration (Sec 64D)

Now we discuss them one by one hereunder:

Charitable donations, voluntary contribution and subscription (Sec 61)

A person is entitled to a tax credit in respect of any sum paid, or any property given by the person in the tax year as a donation, voluntary contribution or subscription to:

- any board of education or any university in Pakistan established by, or under, a Federal or a Provincial law;
- any educational institution, hospital or relief fund established or run in Pakistan by Federal Government or a Provincial Government or a local Government; or
- any non-profit organisation or any person eligible for tax credit under section 100C of the ITO, 2001.
- Entities, organisations and funds mentioned in the thirteenth (13th) schedule
- **Note:** No deductible allowance is now allowed on donation paid to any second schedule institution. All those institutions previously mentioned in the Second Schedule have now been consolidated in a new schedule, namely the Thirteenth (13th) Schedule. Donations made to these entities would now entitle the donor to a tax credit.

- The amount of a person's tax credit allowed for a tax year shall be computed according to the following formula, namely:

  Tax Credit = (A/B) x C

  Where:

  A is the amount of tax assessed to the person for the tax year before allowance of any tax credit

  B is the person's taxable income for the tax year; and

  C is the lesser of:

  a) the total amount of the person's donations including the fair market value of any property given; or

  b) where the person is:

  - an individual or association of persons, 30% of the taxable income of the person for the year; or
  - a company, 20% of the taxable income of the person for the year.

  Provided that where any sum is paid, or any property is given to an associate by a donor, clause (b) of component C shall be, in the case of—

  i. an individual or association of persons, 15% of the taxable income of the person for the year; or

  ii. a company, 10% of the taxable income of the person for the year.

- The fair market value of any property given as donation shall be determined at the time it is given.
- An amount paid by a person as a donation shall be taken into account only if it is paid by a crossed cheque drawn on a bank.

Note: This restriction serves as an anti-avoidance safeguard to prevent taxpayers from inflating tax credits by routing donations to non-profits controlled by associated persons or family members.

▶ *Exercise*

Mr. Hamza made a total contribution of Rs. 150,000 as a donation to an approved institution mentioned in the 13th Schedule. His total income from business during the tax year 2027 is Rs. 1,800,000. Calculate Hamza's taxable income and tax liability.

▶ *Answer*

a)

In this case, the donation will be allowed as a tax credit:		
Taxable income	1,800,000	
Tax liability (non-salaried)		
Rs.170,000 + [(1,800,000 – 1,600,000) x 30%]	230,000	
Gross Tax	**230,000**	A
Eligible amount for tax credit- W-1 (Rs.150,000)		
Tax credit (230,000/1,800,000 x 150,000)	**(19,167)**	**B**
Tax liability for the year	**210,833**	A-B
W-1		
Amount of charitable donations (1)	150,000	
30% of taxable income (2)	540,000	
Eligible amount lower of 1 or 2	150,000	

Contribution to an Approved Pension Fund (Sec 63)

- An eligible person as defined in sub-section (19A) of section 2 deriving income chargeable to tax under the head "Salary" or the head "Income from Business" shall be entitled to a tax credit for a tax year in respect of any contribution or premium paid in the year by the person in an approved pension fund under the Voluntary Pension System Rules, 2005.
- As per section 2(19A) Eligible Person", for the purpose of Voluntary Pension System Rules, 2005, means an individual Pakistani who holds a valid National Tax Number or Computerized National Identity Card or National Identity Card for Overseas Pakistanis issued by the National Database and Registration Authority:
- Provided that the total tax credit available for the contribution made to an approved employment pension or annuity scheme and approved pension fund under Voluntary Pension System Rules, 2005, should not exceed the limit prescribed or specified in section 63.
- The amount of a person's tax credit allowed for a tax year shall be computed according to the following formula, namely: -

  Tax Credit = (A/B) x C

  Where;

  A is the amount of tax assessed to the person for the tax year, before allowance of any tax credit

  B is the person's taxable income for the tax year; and

  C is the lesser of -

  - the total contribution or premium paid by the person in the year; or
  - 20% of the eligible person's taxable income for the relevant tax year;

- The transfer by the members of an approved employment pension or annuity scheme or approved occupational saving scheme of their existing balance to their individual pension accounts maintained with one or more pension fund managers shall not qualify for tax credit under this section.

Tax credit for interest paid on low-cost housing loan (Sec 63A)

- The Finance Act, 2025 has introduced a new tax credit on profit on debt, share in rent or share in appreciation for value of house or flat paid by an individual in the year on low-cost housing loans obtained from the following:
  - a scheduled bank or any other financial institution regulated by the Securities and Exchange Commission of Pakistan
  - Government or the Local Government; or
  - a statutory body or a public company listed on Pakistan Stock Exchange.
- For this purpose, the loan is required to be utilised for the construction (including land) or acquisition of a personal house or flat within prescribed size limits, i.e. 2,500 square feet in case of a house and 2,000 square feet in case of a flat.
- The tax credit is calculated using a formula as follows:

  (A/B) x C Where

  A is the amount of tax assessed to the person for the tax year

  B is the person's taxable income for the tax year; and

  C is the lesser of

  a) the total profit on debt paid by the person in the year; or

  b) 30% of taxable income

- However, if such tax credit is claimed, the individual shall not be entitled to claim credit for another house or flat for the subsequent 15 tax years. The person shall also not be entitled to take tax credit for any profit deductible in computing income chargeable under the head "Income from Property".

Tax credit for integration (Sec 64D)

Nature of change

The Finance Act, 2026 fully substituted section 64D. The former tax credit for point-of-sale (POS) machines has been replaced with a broader tax credit for integration with the Board's computerized system.

Eligible person

Any person required under the Income Tax Ordinance, 2001, the Sales Tax Act, 1990 or the Federal Excise Act, 2005, to integrate with the Board's computerized system for real-time production monitoring or for recording or reporting sales or receipts.

Qualifying investment

Expenditure incurred exclusively on the purchase, acquisition, installation or implementation of equipment, hardware, software or other electronic components (the "electronic resource") that are directly and exclusively utilized for such integration. The Board may prescribe limitations, conditions, and restrictions for availing the tax credit.

Formula

Tax credit = 10% of the amount actually invested in the electronic resource, allowed for the tax year in which the electronic resource is installed, integrated and configured with the Board's computerized system. (For example, a qualifying investment of Rs. 20 million gives rise to a tax credit of Rs. 2 million.)

Note: This tax credit is allowable in addition to the initial allowance and depreciation otherwise admissible in the tax year in which the eligible asset is acquired and first put to use.

Limitation.

The tax credit is available only against normal tax payable under Division I or Division II of Part I of the First Schedule. No tax credit is allowed against operation and maintenance expenses relating to the electronic resource.

Miscellaneous provisions and tax credits for members of AOP (Sec 65)

- Where the above-mentioned tax credits are allowed to a person who is also a member of an association of persons who is chargeable to tax u/s 92(1), the amount of taxable income shall include the share of the person in the profit of the AOP (which is otherwise exempt) and tax payable shall be an amount payable on taxable income including shares in the profit of AOP.
- If any tax credit as mentioned above is not fully credited due to the credit being in excess of tax payable, the excess amount shall not be refunded, carried forward to a subsequent tax year or carried back to a preceding tax year.
- However, if the person is a member of an AOP, the amount of tax credit which cannot be applied as above by the member, can be claimed by the association of which he is a member, in the same year. For this purpose, a copy of the written agreement between the member and the association shall be furnished along with the return of the association.

Final tax and minimum taxes shall be determined after deducting tax credit under section 65D of the Income Tax Ordinance, 2001.

Tax credits available for tax year 2027

i. **Tax credit for certain persons (Sec 65F)**

Income of the following taxpayers shall be allowed a tax credit equal to one hundred per cent of the tax payable, including minimum, alternate corporate tax and final taxes upon fulfilment of certain conditions/limitations:

a) Persons engaged in coal mining projects in Sindh, to the extent the income is derived from supplying coal to power generation projects

b) A startup as defined in Clause (62A) of Section 2 for the tax year in which the startup is certified by the Pakistan Software Export Board (PSEB) and for the next following two tax years.

It may be noted that the above persons were provided exemption from tax under the Second Schedule; however, by virtue of Section 65F, they are now entitled to tax credit subject to the following conditions:

a) return has been filed:

b) Withholding tax statements for the relevant tax year have been filed, where the person is a withholding agent; and

c) Sales tax returns for the tax periods corresponding to the relevant tax year have been filed, if required by the relevant sales tax laws.

3 EXEMPTIONS AND TAX CONCESSIONS

3.1 Covered in various sections (Sec 41-55)

Agriculture income (Sec 41)

- Agriculture income means an income, which satisfies the following conditions:
  - i. The income is derived from land. The income may be in the form of rent or revenue;
  - ii. The land must be used for agricultural purposes and be situated in Pakistan;
- Agricultural Income derived by a person during the tax year shall be exempt from tax.
- Various sources of agricultural income are:
  - a) Income of the cultivator or receiver of rent-in-kind from the sale of agricultural produce without performing any further process.
  - b) Income from the performance of any process by the cultivator or receiver of rent-in-kind, generally employed to render the produce fit to be taken to market.
  - c) Income from building shall also be agricultural income, subject to the following conditions.
  - a) Building is owned and occupied by the receiver of the rent or revenue, or occupied by the cultivator or the receiver of rent-in-kind;
  - b) Building is situated in the immediate vicinity of the land used for agricultural purposes;
  - c) Building is required as a dwelling house, a store house or other outbuilding by the cultivator or the receiver of rent-in-kind due to his connection with the agricultural land.

Agriculture produce as raw material (Rule-11)

- Where a person who is a cultivator or receiver of agricultural produce as rent in kind uses agricultural produce as raw materials in his business, then the income chargeable to tax under the head income from business shall be computed as follows:

Total income	xxx
Market value of agricultural produce used in	
the business as raw material	(xxx)
	xxxx

- Only the market value of agricultural produce is deducted. No further deduction shall be allowed in respect of any expenditure incurred by a taxpayer as cultivator or as a receiver of rent in kind.
- The market value shall be calculated as follows:
  - i. where the agricultural produce is ordinarily sold in the market in its raw state or after application of any process ordinarily employed by a cultivator or receiver of agricultural produce as rent-in-kind to render it fit to be taken to market, the market price for the produce at the time it is used as raw materials in the person's business
  - ii. in any other case, the sum of the following amounts, namely
    - a) the expenses of cultivation; and
    - b) the land revenue or rent paid for the area in which the produce is grown.

Diplomatic and United Nations Exemptions (Sec 42)

- Income of an individual entitled to privileges under the Diplomatic and Consular Privileges Act, 1972 or United Nations (Privileges and Immunities) Act, 1948 shall be exempt from tax under this ordinance to the extent provided for in these acts.
- Any pension received by a person being a citizen of Pakistan from the United Nations or its specialised agencies by virtue of the person's former employment, if the salary from such organisation was exempt from tax under the Income Tax Ordinance, 2001.

Foreign Government Officials (Sec 43)

- Salary received by an employee of a foreign government working in Pakistan shall be exempt from tax if:
  i. The employee is a citizen of a foreign country and not a citizen of Pakistan.
  ii. The services performed are similar to those performed by employees of the Federal Government in foreign countries; and
  iii. The foreign government grants similar exemptions to employees of the Federal Government of Pakistan performing similar services in such foreign country.

Exemptions under International Agreements (Sec 44)

- Any Pakistan source income shall be exempt if Pakistan is not permitted to tax it under a tax treaty.
- Any salary received by an individual (who is not a citizen of Pakistan) shall be exempt from tax under the Ordinance to the extent provided for in an Aid Agreement between the Federal Government and a Foreign Government or Public International Organisation, where:
  i. the individual is either not a resident individual or a resident individual solely by reason of the performance of services under the Aid Agreement;
  ii. if any Aid Agreement is with a foreign country, the individual is a citizen of that country; and
  iii. the salary is paid by the foreign government or public international organisation out of funds or grants released as aid to Pakistan in pursuance of such Agreement.
- Any income received by a person engaged as a contractor, consultant, or expert on a project in Pakistan. This income shall be exempt from tax to the extent provided for in a bilateral or multilateral agreement between the Federal Government and a foreign government or public international organisation, where:
  i. the project is financed out of grant funds in accordance with the agreement;
  ii. the person is either a non-resident person or a resident person solely by reason of the performance of services under the agreement; and
  iii. the income is paid out of the funds of the grant in pursuance of the agreement.
- The Federal Government is empowered to grant exemption on income of any person on a case-to-case basis through a notification in the Official Gazette in respect of official development assistance financed loans and grant-in-aid, subject to such conditions and limitations as may be specified.

President's Honours (Sec 45)

Any allowance attached to any Honour, Award or Medal as well as any monetary award granted to a person by the President of Pakistan shall be exempt.

Profit on Debt (Sec 46)

Any profit received by a **non-resident person** on a security issued by a resident person shall be exempt from tax if:

i. the persons are not associates;

ii. the security was widely issued outside Pakistan for the purposes of raising a loan outside Pakistan for use in a business carried on by the resident person in Pakistan;

iii. the profit was paid outside Pakistan; and

iv. the security is approved by the Board for the purposes of section 46.

Scholarship (Sec 47)

Any scholarship granted to a person to meet the cost of the person's education shall be exempt from tax if it is not paid directly or indirectly by an associate.

Support Payments under an Agreement to Live Apart (Sec 48)

Any amount received by a spouse as support payment under an agreement to live apart shall be exempt from tax.

Foreign-source income of short-term resident individuals (Sec 50) (Refer to Chapter 13)

Foreign Source Income of Returning Expatriates (Sec 51) (Refer to Chapter 13)

Exemptions and tax provisions in other laws (Sec 54)

No provision contained in any other law providing for:

i. an exemption from any tax imposed under the Ordinance

ii. a reduction in the rate of tax imposed under the Ordinance

iii. a reduction in tax liability of any person under the Ordinance

iv. an exemption from the operation of any provision of the Ordinance, shall have legal effect unless it is also provided for in the Ordinance

Limitation of exemption (Sec 55)

Where any income is exempt from tax under the Income Tax Ordinance 2001, the exemption shall be, in the absence of a specific provision to the contrary contained in the Ordinance, limited to the original recipient of that income and shall not extend to any person receiving any payment wholly or in part out of that income.

3.2 Covered in the Second Schedule (Sec 53)

- The income or classes of income, or person or classes of persons specified in the Second Schedule shall be:
  - i. exempt from tax under the Ordinance, subject to any conditions and to the extent specified therein (Part I of the schedule)
  - ii. at such rates, which are less than the rates specified in the First Schedule (Part II of the schedule)
  - iii. allowed a reduction in tax liability under the Ordinance subject to certain conditions specified (Part III of the schedule)
  - iv. exempted from the operation of any provision of the Ordinance subject to any condition specified (Part IV of the schedule)

- The Federal Government or Board, with the approval of the Federal Minister-in-charge, may, from time to time, pursuant to the approval of the Economic Coordination Committee of the Cabinet, be empowered to make such amendment in the Second Schedule as the Government thinks fit. The amendment may include:
  i. adding any clause or condition therein;
  ii. omitting any clause or condition therein, or
  iii. making any change in any clause or condition therein.
- The amendments shall be effective from such tax year (as notified by the Government) beginning on any date before or after the commencement of the financial year in which the notification is issued.
- The Federal Government shall place before the National Assembly all amendments made to the Second Schedule in a financial year.

3.3 Rationalization of rates of withholding taxes in the nature of minimum tax (Sec 53A):

- The Federal Government may reduce the rate of any withholding tax in the nature of minimum tax in the First Schedule (other than Section 113) by 1% on the basis of economic viability.
- "Economic viability" includes an anticipated net loss of business income certified by a State Bank of Pakistan Category 'A' rated Chartered Accountant firm.

All such amendments must be placed before the National Assembly.

CHAPTER 12

TAXATION OF INDIVIDUALS AND ASSOCIATIONS OF PERSONS

IN THIS CHAPTER:

1. Principles of taxation of Individuals
2. Association of Persons (AOP) and its taxation
3. Income splitting and tax liability in certain cases

1 PRINCIPLES OF TAXATION OF INDIVIDUALS

1.1 Taxation of individuals - classification

In order to calculate the taxable income and tax liability, individuals are broadly categorised as:

i. Salaried individuals – Taxable salary income exceeds 75% of the taxable income (See section 2.4)

ii. Non-Salaried Individuals – Either no salary income or taxable salary income is less than 75% of the taxable income. It is explained in section 2.4 of this Chapter.

Tax rates for salaried individual

Where the income of an individual chargeable under the head "salary" exceeds 75% of his taxable income, the rates of tax to be applied shall be as set out in the following table, namely:

Sr. No.	Taxable Income	Rate of Tax
1.	Where the taxable income does not exceed Rs. 600,000	0%
2.	Where taxable income exceeds Rs. 600,000 but does not exceed Rs. 1,200,000	1% of the amount exceeding Rs. 600,000
3.	Where taxable income exceeds Rs. 1,200,000 but does not exceed Rs. 2,200,000	Rs. 6,000 plus 11% of the amount exceeding Rs. 1,200,000
4.	Where taxable income exceeds Rs. 2,200,000 but does not exceed Rs. 3,200,000	Rs. 116,000 plus 20% of the amount exceeding Rs. 2,200,000
5.	Where taxable income exceeds Rs. 3,200,000 but does not exceed Rs. 4,100,000	Rs. 316,000 plus 25% of the amount exceeding Rs. 3,200,000
6.	Where taxable income exceeds Rs. 4,100,000 but does not exceed Rs. 5,600,000	Rs. 541,000 plus 29% of the amount exceeding Rs. 4,100,000
7.	Where taxable income exceeds Rs. 5,600,000 but does not exceed Rs. 7,000,000	Rs. 976,000 plus 32% of the amount exceeding Rs. 5,600,000
8.	Where taxable income exceeds Rs. 7,000,000	Rs. 1,424,000 plus 35% of the amount exceeding Rs. 7,000,000

Note: The 9% surcharge on tax payable by salaried individuals with salary income exceeding Rs. 10 million ceases to apply from tax year 2027 onwards

1.2 Principle of taxation of individuals

Section 86 of the Ordinance deals with the taxation of individuals and the said section stipulates that taxable income and tax liability of each individual shall be determined separately.

1.3 Taxation of certain individuals

Deceased individual:

Although Section 86 of the Ordinance states that every person shall be charged to tax separately, there are certain exceptions to this general provision.

Section 87 of the Ordinance deals with the taxation of income of a deceased individual:

A legal representative is a person who in law represents the estate of a deceased person. Any person to whom the estate of the deceased person passes on his death or who intermeddles with such estate is also treated as a legal representative.

- A legal representative is liable for:
  i. any tax that the deceased would have become liable for if he had not died; and
  ii. any tax payable in respect of the income of the deceased's estate.
- Liability of the legal representative shall be limited to the extent to which the deceased's estate is capable of meeting the liability.
- Any proceedings taken against the deceased before his death shall be treated as taken against the legal representative and may be continued against him from the stage at which the proceedings stood on the date of the deceased's death.
- Any proceedings which could have been taken against the deceased if he had survived may be taken against the legal representative.

The aforesaid provision of law clearly states that the income of a deceased person is taxable in the hands of its legal representative and the said representative is liable to pay tax on such income to the extent of the estate of the said deceased person capable of meeting the tax liability.

Authors (Sec 89)

According to section 89 of the Ordinance, where the time taken by an author of a literary or artistic work to complete the work exceeds twenty-four months, the author may elect to treat any lump sum amount received by him in a tax year on account of royalties as having been received in that tax year and the preceding two tax years in equal proportions.

2 ASSOCIATION OF PERSONS (AOP) AND ITS TAXATION

2.1 Association of persons

"Association of persons" includes a firm, a Hindu undivided family, any artificial juridical person, Limited liability partnership (LLP) and any body of persons formed under a foreign law, but does not include a company.

Sec 2(32), "member" in relation to an association of persons, includes a partner in a firm;

"Firm" means the relation between persons who have agreed to share the profits of a business carried on by all or any of them acting for all.

2.2 Basic principles for taxation of AOP

- An association of persons is considered a separate entity from its members (partners). Accordingly, the AOP is liable to tax separately from the members of the association.
- An AOP is treated as tax resident for a tax year if the control and management of its affairs is situated wholly or partly in Pakistan at any time during that tax year.
- A resident AOP is taxable on its worldwide income.
- If the AOP has paid tax for a tax year, the amount received by a member of the association in the capacity as a member out of the income of the association shall be exempt from tax. However, such share of the member is included in the income of the member for determination of tax rate, i.e. for rate purpose (discussed below in detail).
- However, in case an association of persons has a turnover of three hundred million or more during the tax year or any of the preceding tax years, the share of a member will not be exempt from tax unless the association files financial statements duly audited by a firm of Chartered Accountants or a firm of Cost and Management Accountants along with the income tax return.
- If at least one of the members of an AOP is a company, the share of such company or companies shall be excluded for the purpose of computing the total income of the AOP and the company or companies shall be taxed separately at the rates applicable to the companies, according to their share.
- The AOP is entitled to set off and carry forward its losses as per normal procedure. However, the share of loss from AOP is neither adjustable against the income of its members, nor is it considered for rate purposes.
- Where a change occurs in the constitution of a firm during a tax year, the firm's income is apportioned amongst the members on a time basis.
- The responsibility for filing the tax return of a firm for any tax year rests with the persons who are members in the firm on the date the firm is required to file its tax return.
- Where a firm dissolves or discontinues carrying on business, any tax payable by the firm is recoverable from any person who was a member in the firm at the time of dissolution or discontinuance of business. Tax payable can also be recovered from legal heirs of the deceased partners.

2.3 Individual as a member of AOP

If, for a tax year, an individual has taxable income besides exempt share of profit from AOP, then the amount of tax payable on the taxable income of the individual shall be computed in accordance with the following formula:

(A/B) x C

Where

A is the amount of tax that would be assessed to the individual for the year if the amount or amounts exempt from tax (i.e. share of profit from AOP) were chargeable to tax

B is the taxable income of the individual for the year if the amount or amounts exempt from tax (i.e. share of profit from AOP) were chargeable to tax; and

C is the individual's actual taxable income for the year

Key points for solving AOP numerical

The following points should be kept in mind when solving AOP numerical:

- Any profit on debt, brokerage, commission, salary or other remuneration paid by an association of persons to a member of the association is not allowed as an expense; hence it should be added back to the taxable income of AOP.
- It is the profit after tax of AOP that will be included in the taxable income of its members for rate purpose.
- Share of loss from AOP is neither adjustable against income of its members, nor is it considered for rate purpose.
- If an AOP has any income that falls under final tax regime (FTR), then members' share from such income shall not be added in the taxable income of the member. Section 4(4) read with Section 169(2) clearly states that income falling under FTR is not to be included in any taxable income.
- If the income of a limited liability partnership is exempt from tax, any amount received by a member as share from profits earned by such limited liability partnership shall be included in the income of that member. In case of an AOP that is a professional firm which is prohibited from incorporation by any law or the rules of the body regulating their profession, the maximum rate applicable on income exceeding Rs.5.6 million shall be 40% instead of 45%.

2.4 Tax rates for non-salaried individuals and AOP

Tax rates for non-salaried individuals and Association of Persons

Sr. No.	Taxable Income (Rs.)	Rate of Tax
1.	Where the taxable income does not exceed Rs.600,000	0%
2.	Where the taxable income exceeds Rs.600,000 but does not exceed Rs. 1,200,000	15% of the amount exceeding Rs.600,000
3.	Where taxable income exceeds Rs. 1,200,000 but does not exceed Rs. 1,600,000	Rs. 90,000 plus 20% of the amount exceeding Rs. 1,200,000
4.	Where taxable income exceeds Rs. 1,600,000 but does not exceed Rs. 3,200,000	Rs. 170,000 plus 30% of the amount exceeding Rs. 1,600,000
5.	Where taxable income exceeds Rs. 3,200,000 but does not exceed Rs. 5,600,000	Rs. 650,000 plus 40% of the amount exceeding Rs. 3,200,000
6.	Where taxable income exceeds Rs. 5,600,000	Rs. 1,610,000 plus 45% of the amount exceeding Rs.5,600,000

A surcharge at 10% of the income tax imposed under Division I of Part I of the First Schedule shall be payable by every individual and association of persons whose taxable income exceeds Rs.10 million. However, no surcharge is payable by an individual deriving income chargeable under the head 'Salary'.

In case of an AOP that is a professional firm which is prohibited from incorporation by any law or the rules of the body regulating their profession, the maximum rate applicable on income exceeding Rs. 5.6 million shall be 40% instead of 45%.

The following examples will explain the salaried and non-salaried status and tax liability of four individuals having salary and other taxable income:

Individuals	Mr. A	Mr. B	Mr. C	Mr. D
Taxable Salary	900,000	100,000	600,000	900,000
Taxable Other income	100,000	1,000,000	400,000	250,000
Total Taxable Income	1,000,000	1,100,000	1,000,000	1,150,000
Percentage of Salary to taxable Income	90%	9.09%	60%	78.26%
Status	Salaried	Non-Salaried	Non-Salaried	Salaried
Tax liability	4,000	75,000	60,000	5,500

The above examples show that the taxable income of Mr D is higher than that of Mr. B and Mr. C, but even then his tax liability is low due to his status as a salaried case.

▶ *Exercise*

Associated Consultants is a joint venture (JV) of Mr. Ghulam Rasool and Consultancy Enterprises, a sole proprietorship of Mr. Ahsan. The JV is not registered with the Registrar of Firms. The proportion of interest of the members in the JV is 70:30 between Mr. Ghulam Rasool and Mr. Ahsan, respectively. The JV is engaged in providing accounting, taxation and other services to different departments. During the year, total Income of the JV under the normal tax regime was Rs. 2,000,000 against the total revenue of Rs. 30,000,000. It is worth mentioning that Mr. Ahsan earned the following income during the year:

Salary from Joint Venture = Rs. 450,000

Profit on debt from joint venture = Rs. 400,000

Required:

Compute the taxable income and tax liability of the Joint Venture for tax year 2027 and the share from AOP of each member (Ignore the minimum tax provision.)

▶ *Answer*

Profit as per accounts	2,000,000
Add Inadmissible deductions	
Salary paid to members	450,000
Profit on debt paid to members	400,000
Taxable income	2,850,000
Tax on taxable income (Rs. 2,850,000) of JV, i.e. Rs. 170,000 + 30% on income exceeding Rs. 1.6m	**545,000**
Divisible income	**2,305,000**

Share of members out of profits of JV

Nature of income	Mr. Ghulam Rasool	Mr. Ahsan	Total
Share in Profit	**70%**	**30%**	**100%**
Salary received	-	450,000	450,000
Profit on debt received	-	400,000	400,000
Balance Share	1,018,500	436,500	1,455,000
Income in hands of members of AOP	1,018,500	1,286,500	2,305,000

▶ *Exercise*

Mr. Rizwan and Mr. Wajahat are two lawyers working together as a firm in the name and style of "Rizwan Wajahat Associates". During the year, the firm has earned aggregate profit of Rs. 300,000. The aforesaid profit includes the following deductions:

Salaries to Partners

- Mr. Rizwan Rs. 100,000
- Mr. Wajahat Rs. 150,000

Expenses on which tax has not been deducted	Rs. 40000
Payments exceeding	Rs. 50000
[made otherwise than crossed cheques]	Rs.60000
Profit on debt to Rizwan	Rs. 50000

Both partners have equal sharing in the firm. Mr. Rizwan has no other income. Mr. Wajahat is also running a business of printing and advertising services. He earned income of Rs. 150,000 from the said business.

Required:

a) Determine the tax liability of the firm and its members for the tax year 2027.

b) Assume that the income of Mr. Wajahat is Rs. 1,000,000/-; then what would be his taxable income and tax liability?

▶ *Answer*

(a) Tax liability of the Firm

For the Tax Year 2027

Particulars	Amount (Rs)
Profit as per accounts	300,000
Add	
Partners salaries (100,000+150,000)	250,000
Inadmissible expenses due to non-deduction of tax	40,000
Payments otherwise than banking channel (within Rs. 250,000)	-
Profit on debt payable to a partner	50,000
Total taxable income	640,000
Tax liability i.e. 15% on sum exceeding Rs. 600,000	(6,000)
Divisible Income	636,000

Computation of Share from AOP of Each member

Particulars	Mr. Rizwan	Mr. Wajahat	Total
Share in Profit	**50%**	**50%**	**100%**
Salaries paid to partners	100,000	150,000	250,000
Profit on debt	50,000	-	50,000
Balance share after tax	168,000	168,000	336,000
Income in hands of members of AOP	**318,000**	**318,000**	**636,000**

Note: In the absence of information, Minimum Tax liability u/s 113 has not been considered.

Mr. Rizwan

Computation of tax liability

As Mr. Rizwan has no other source of income, his income is not chargeable to tax any further.

Tax liability of Mr. Wajahat (Advertising Income Rs. 150,000)

Share from AOP (Exempt, but included for rate purpose)	Rs. 320,000
Add: Income from printing and advertising income	Rs. 150,000
Total Income including share from AOP	**Rs. 470,000**
Tax on income	Rs. Nil

Note:

As the income of Wajahat is below Rs. 600,000 even after addition of AOP share, therefore, no tax shall be payable.

(b) Tax liability of Mr. Wajahat (Advertising Income Rs. 1,000,000)

Share from AOP (Exempt, but included for rate purposes)	Rs. 320,000
Add: Income from printing and advertising income	Rs. 1,000,000
Taxable Income including share from AOP	**Rs. 1,320,000**
Tax on Taxable Income (Non-Salaried Case)	
90,000 + 20% x (1,320,000-1,200,000) =	Rs. 114,000
Tax on taxable income (Excluding share from AOP)	
(114,000/ 1,320,000 x 1,000,000)	**Rs. 86,364**

3 INCOME SPLITTING AND TAX LIABILITY IN CERTAIN CASES

3.1 Change in constitution of an AOP (Section 98A)

Where a change occurs in the constitution of a firm during a tax year, the firm's income is apportioned amongst the partners on a time basis (Sec-98A). The responsibility for filing the tax return in this case rests with the persons who are partners in the firm on the date the firm is required to file its tax return.

3.2 Discontinuance of business or dissolution of an AOP (Section 98B)

Where an AOP dissolves or discontinues carrying on business, any tax payable by the firm is recoverable from any person who was a partner in the firm at the time of dissolution or discontinuance of business. Tax payable can also be recovered from legal heirs of the deceased partners.

3.3 Succession to business otherwise than on death (Section 98C)

- Where a person carrying on any business or profession has been succeeded in any tax year by any other person (hereafter in this section referred to as the "predecessor" and "successor" respectively), otherwise than on the death of the predecessor, and the successor continues to carry on that business or profession:
  a) the predecessor shall be liable to pay tax in respect of the income of the tax year in which the succession took place up to the date of succession and of the tax year or years preceding that year; and
  b) the successor shall be liable to pay tax in respect of the income of such tax year after the date of succession.
- Not with standing anything mentioned above, where the predecessor cannot be found, the tax liability in respect of the tax year in which the succession took place up to the date of succession and of the tax year or years preceding that year shall be that of the successor in like manner and to the same extent as it would have been that of the predecessor, and all the provisions of this Ordinance shall, so far as may be, apply accordingly.
- Where any tax payable under this section in respect of such business or profession cannot be recovered from the predecessor, it shall be recoverable from the successor, who shall be entitled to recover it from the predecessor.

CHAPTER 13

FOREIGN SOURCE INCOME OF A RESIDENT PERSON

IN THIS CHAPTER:

1. Taxation of foreign source income of resident person
2. Other provisions with respect to foreign source income

1 TAXATION OF FOREIGN SOURCE INCOME OF RESIDENT PERSON

1.1 Principles of taxation of foreign source income of resident person

As discussed in Chapter 4 of the study text, a resident person is liable to tax in respect of his worldwide income, meaning thereby that he pays tax on his Pakistan-sourced income as well as his foreign-sourced income. Accordingly, where a resident person carries out business outside Pakistan, income derived from such foreign operations is chargeable in Pakistan.

1.2 Computation of income

- Foreign-sourced income is computed separately from Pakistan-sourced income. Consequently, expenditure incurred in deriving foreign-sourced income is deductible only from foreign-sourced income and not deductible against Pakistan-sourced income and vice versa.
- Foreign-sourced income is computed separately for each head of income. Accordingly, foreign-sourced income under the head "income from other source" will be computed separately from foreign-sourced income chargeable under any other head of income.
- Foreign-sourced business income is computed using the same principles as those that apply to computation of Pakistan-sourced business income.
- Foreign losses are not adjustable against Pakistan-sourced income

1.3 Foreign tax credit

Section 103 of the Ordinance lays down different aspects of foreign tax credit in the following manner:

1. In case a resident taxpayer derives foreign source income chargeable to tax in respect of which he has paid foreign income tax, the taxpayer shall be allowed a tax credit of an amount equal to the lesser of:
   a) the foreign income tax paid; or
   b) the Pakistan tax payable in respect of the income.
2. The Pakistan tax payable in respect of foreign source income shall be computed by applying the average rate of Pakistan income tax applicable to the taxpayer for the year against the taxpayer's net foreign source income for the year.
3. If a taxpayer has foreign income under more than one head of income, this principle shall apply separately to each head of income.
4. Income derived by a taxpayer from carrying on a speculation business shall be treated as a separate head of income.
5. If a person has more than one type of tax credits available to him, these shall be applied in the following order:
   a) Foreign tax credit u/s 103
   b) Tax credit/rebate on donations, investment, enlistment, etc.,
   c) Advance tax and tax deducted/collected at source
6. Any tax credit or part of a tax credit allowed for a tax year which is not credited shall not be refunded, carried back to the preceding tax year, or carried forward to the following tax year.
7. A foreign tax credit shall be allowed only if the foreign income tax is paid within two years after the end of the tax year in which the foreign income to which the tax relates was derived by the resident taxpayer.

▶ *Definition: Average rate of Pakistan Income Tax*

- "average rate of Pakistan income tax" in relation to a taxpayer for a tax year, means the percentage that the Pakistani income tax (before allowance of the tax credit under this section) has of the taxable income of the taxpayer for the year;
- "foreign income tax" includes a foreign withholding tax; and
- "net foreign-source income" in relation to a taxpayer for a tax year, means the total foreign-source income of the taxpayer charged to tax in the year, as reduced by any deductions allowed to the taxpayer for the year that:
  - relate exclusively to the derivation of the foreign-source income; and
  - are reasonably apportioned to the derivation of foreign-source income in accordance with section 67.

Note: Section 67 provides the method for apportionment of expenditure relevant to different sources of incomes

1.4 Foreign tax losses

1. Section 104 of the Ordinance deals with treatment of foreign losses and it states that: Deductible expenditures incurred by a person in deriving foreign source income chargeable to tax under a head of income shall be deductible only against that income.
2. If the total deductible expenditures exceed the total foreign source income for a tax year chargeable to tax under a head of income (hereinafter referred to as a "foreign loss"), the foreign loss shall be carried forward to the following tax year and set off against the foreign source income chargeable to tax under that head in that year, and so on, but no foreign loss shall be carried forward to more than six tax years immediately succeeding the tax year for which the loss was computed.
3. Where a taxpayer has a foreign loss carried forward for more than one tax year, the loss for the earliest year shall be set off first.

- Section 67-Apportionment of deductions shall apply for the purposes of this section on the basis that:
  - income from carrying on a speculation business is a separate head of income; and
  - foreign source income chargeable under a head of income including a speculation business is a separate head of income.

▶ *Exercise:*

KL is an Association of Person having two partners, Mr. K and Mr. L, sharing profit and loss equally. During the tax year 2027, KL's Pakistan source income amounted to Rs. 2,500,000 and tax payable thereon amounted to Rs. 722,500.

Following are the details of its foreign source income, tax paid thereon for the tax year 2027 and foreign losses brought forward from the tax year 2026:

Heads of income	Foreign income / (loss)	Foreign tax paid	Foreign losses brought forward
Speculation business	500,000	125,000	(250,000)
Non-speculation business	(1,000,000)	-	-
Income from other source	1,250,000	187,500	-
Capital gain	750,000	75,000	(1,500,000)

▶ *Answer*

Particulars	Pakistan source Income	Foreign source				Total Pakistan and foreign source
		Speculation	Non-Speculation	Capital gain	Other source	
Net income for the year	2,500,000	500,000	(1,000,000)	750,000	1,250,000	
Brought forward losses		(250,000)	-	(1,500,000)	-	
Income after B/F losses	2,500,000	250,000	(1,000,000)	(750,000)	1,250,000	
Losses carried forward			(1,000,000)	(750,000)		
Balance income	2,500,000	250,000			1,250,000	4,000,000

Pakistan income tax:

Tax on taxable Income (Rs. 650,000 + 40% x (4,000,000 - 3,200,000))						970,000
Gross Tax						**970,000**
Foreign Tax Credit (on Income from other sources)						
Average tax rate 24.25% = (970,000 / 4,000,000 x 100)						
Foreign tax (A)					187,500	
Proportionate Pakistan Income Tax on foreign source income (B)			*(1,250,000 x 24.25%)*		303,125	(187,500)
Net tax payable						**782,500**

Remarks for students only:

1. Unadjusted foreign tax credit cannot be refunded, carried back to the preceding year or carried forward to the following year.
2. As foreign source capital gain is not taxable in Pakistan, no tax credit is allowed.

2 OTHER PROVISIONS WITH RESPECT TO FOREIGN SOURCE INCOME

2.1 Foreign source income of short-term resident individuals

Section 50 of the Income Tax Ordinance states that:

1. Foreign source income of an individual shall be exempt from tax in Pakistan if he is:
   - a resident individual solely by reason of the individual's employment; and
   - present in Pakistan for a period or periods not exceeding three years,
2. The above exemption shall not apply to:
   - any income derived from a business of the person established in Pakistan; or
   - any foreign-source income brought into or received in Pakistan by the person.

2.2 Foreign source income of returning expatriates

Section 51 of the Income Tax Ordinance, 2001 states that:

- Any foreign source income derived by a citizen of Pakistan in a tax year who was not a resident individual in any of the four tax years preceding the tax year in which the individual became a resident shall be exempt from tax in the tax year in which he became a resident individual and in the following tax year.
- If a citizen of Pakistan leaves Pakistan during a tax year and remains abroad during that tax year, any foreign source salary earned by him outside Pakistan during that tax year shall be exempt from tax.

2.3 Foreign source salary of resident individuals

Section 102 of the Ordinance states that:

- Any foreign-source salary received by a resident individual shall be exempt from tax if the individual has paid foreign income tax in respect of the salary.
- A resident individual shall be treated as having paid foreign income tax if tax has been withheld from his foreign source salary by his employer and paid to the revenue authority of the foreign country in which the employment was exercised.

2.4 Exemptions to certain foreign residents or foreign source income of residents

The following exemptions are available to foreigners or the foreign source income of residents, which are discussed in detail in Chapter 11 of this study text:

- Diplomatic and United Nations exemptions.
- Foreign government officials
- Exemption under international agreements

▶ *Exercise:*

Mr. Akhtar has served in South Africa (SA) for the last five years. He was Chief Engineer at a multinational Company in SA. He returned to Pakistan in September 2025. Details of his income for the tax year 2027 are as follow:

1. His emoluments for the last July to September, converted into Pak Rupees, are as under:

Particulars	Amount
Pay	1,500,000
Expatriate allowance	680,000
Medical allowance	320,000
Total	2,500,000

2. Mr. Akhtar spent his whole income on personal expenses and the balance amount was invested in a Consultancy business. He was a member of an engineering consulting AOP of South Africa. His investment in the firm still exists and during the tax year 2027, he earned income equivalent to Rs. 750,000 after paying tax of Rs. 125,000. He has not drawn any sum from the share of his profit.
3. Mr. Akhtar also received rent in Pakistan for his apartment situated in SA. The rental income earned and received aggregates to Rs. 1,200,000.
4. Mr. Akhtar received pension amounting to Rs. 250,000 during the year from his employer in SA. This pension was paid to his son in South Africa to meet his educational expenses.
5. Mr. Akhtar deposited his cumulative pension in the SA special bonds and earned profit on the debt amounting to Rs. 325,000 during the year from the said investment. Mr. Akhtar opted to invest the profit in the said bonds in order to avoid reduction in interest rates which are applicable on fresh investments.
6. In Pakistan, Mr. Akhtar joined Gatron International Limited on 10 October 2026 and received the following salary income from the company:

Particulars	Amount
Basic Pay	2,800,000
Utilities allowance	280,000
Medical allowance	280,000
Total	**3,360,000**

7. South African Revenue Authority raised a tax demand against Mr. Akhtar equivalent to Rs. 25,000 on the rental income in view of the claim of inadmissible expenses there against and Mr. Akhtar paid this demand in August 2027.

Required:

You are required to compute the Pakistan tax liability of Mr. Akhtar for the tax year 2027. It is worthwhile to mention here that the nationality of Mr. Akhtar is not confirmed; therefore, it is desired that the Pakistan tax of Mr. Akhtar should be worked out considering that:

a) Mr. Akhtar is a Pakistani National

b) Mr. Akhtar is an SA National

▶ *Answer*

Mr. Akhtar

Situation Number 1

Mr. Akhtar is a Pakistani national

As per the information provided, he has remained outside Pakistan for the last five years; therefore, foreign source income of Mr. Akhtar is exempt from levy of tax under section 51 of the Ordinance and tax liability on the Pakistan source income is as under:

Particulars	Gross Income	Exempt	Taxable
Basic Pay	2,800,000		2,800,000
Utilities allowance	280,000		280,000
Medical allowance	280,000	280,000	
Total taxable income			3,080,000
Tax (Rs. 116,000 + 20% of the amount exceeding Rs. 2,200,000)			292,000

Situation Number 2

Mr. Akhtar is a national of South Africa

Under section 50 of the Ordinance, the foreign source income of a short-term resident individual is not taxable in Pakistan if it is not received in Pakistan. Therefore, the income of Mr. Akhtar is only taxable to the extent it is received in Pakistan. The bare perusal of the question reveals that Mr. Akhtar received only rental income in Pakistan from abroad. Therefore, the same will be taxed as Pakistan-source income. It is also assumed that he is in Pakistan solely for his employment.

Particulars	Notes	Taxable Amount
Income from salary	As in Situation 1	3,080,000
Foreign source rental income (received in Pakistan)		1,200,000
Taxable income		**4,280,000**
Tax Liability (Non-Salaried Case)		
Tax (Rs. 650,000 + 40% of the amount exceeding Rs. 3,200,000)		**1,082,000**

CHAPTER 14

RETURNS

IN THIS CHAPTER:

1. Tax return
2. Persons liable to file a tax return
3. Method of filing of tax return
4. Revision of tax return
5. Due dates for filing of tax return
6. Filing of wealth statement
7. Filing of tax return on discontinuance of business
8. Extension of time for furnishing of tax return

1 TAX RETURN

1.1 Introduction to tax return

A tax return is the prescribed document made for a tax year which is prepared by the taxpayer in order to declare his taxable income and tax liability thereon to the FBR. Income Tax Rules, 2002 prescribe the forms to be used for returns of income.

Tax return allows a taxpayer to calculate his tax liability, schedule tax payments or request a refund for the overpayment of taxes. In Pakistan, tax returns must be filed annually with reportable income, including salary, income from property, business income, dividends, capital gains and income from other sources.

- *Definitions:*

Sec 2(30AC), "Iris" means a web-based computer programme for operation and management of Inland Revenue taxes and laws administered by the Board.

2 PERSONS LIABLE TO FILE A TAX RETURN

2.1 Persons liable to file a tax return

The following persons are required to furnish a return of income for a tax year:

i. Every company;

ii. Every person (other than a company) whose taxable income for the year exceeds the maximum amount that is not chargeable to tax; or

iii. Any non-profit organisation

iv. Every person whose income for the year is subject to final taxation under any provision of the Ordinance;

v. persons or classes of persons notified by the Board with the approval of the Minister in-charge

In addition to the above, return is also required to be filed by the person who,-

i. has been charged to tax in respect of any of the two preceding tax years;

ii. claims a loss carried forward for a tax year;

iii. owns immovable property with a land area of 500 square yards or more or owns any flat located in areas falling within the municipal limits existing immediately before the commencement of local government laws in the provinces; or areas in a cantonment; or the Islamabad capital territory.

iv. owns immoveable property with a land area of five hundred square yards or more located in a rating area;

v. owns a flat having covered area of two thousand square feet or more located in a rating area;

vi. owns a motor vehicle having engine capacity above 1000 CC;

vii. has obtained National Tax Number or

viii. is the holder of commercial or industrial connection of electricity where the amount of annual bill exceeds Rs. 500,000.

ix. Is a resident person registered with any chamber of commerce and industry or any trade or business association or any market committee or any professional body including Pakistan Engineering Council, Pakistan Medical and Dental Council, Pakistan Bar Council or any Provincial Bar Council, Institute of Chartered Accountants of Pakistan or Institute of Cost and Management Accountants of Pakistan.

x. Is a resident person being an individual required to file foreign income and assets statement under section 116A.

2.2 Business bank account (Section 2(10A), 21, 114A)

- Business bank account" means a bank account utilized by the taxpayer for business transaction declared to the Commissioner through original or modified registration form prescribed under section 181.
- Only businesses, i.e. sole proprietors, AOPs, or companies, are required to declare through the FBR e-portal.
- Every taxpayer shall declare to the Commissioner the bank account utilized by the taxpayer for business transactions.

Legal implications for not declaring a bank account

An expense incurred for business purposes shall be inadmissible while computing income from business under section 21.

2.3 Persons not liable to file tax return

Under section 115, the following persons are granted immunity from the aforesaid provision of filing of tax return:

- a widow;
- an orphan below the age of twenty-five years;
- a disabled person; or
- a non-resident person.

Shall not be required to furnish a return of income for a tax year solely by reason of:

1. owning immovable property with a land area of 500 square yards or more or any flat located in areas falling within the municipal limits, existing immediately before the commencement of local government laws in the provinces; or areas in a cantonment; or the Islamabad capital territory.
2. owns immoveable property with a land area of five hundred square yards or more located in a rating area;
3. owns a flat having covered area of two thousand square feet or more located in a rating area;
4. owns a motor vehicle having engine capacity above 1000 CC;

2.4 Powers to call returns and statements

Section 114 empowers the Commissioner of Income Tax to call for return, the Commissioner may, by notice in writing, require a person, or a person's representative, as the case may be, to furnish a return of income by the date specified in the notice for a period of less than twelve months, where:

- the person has died;
- the person has become bankrupt or gone into liquidation;
- the person is about to leave Pakistan permanently;
- the Commissioner otherwise considers it appropriate to require such a return to be furnished.

The Commissioner may, by notice in writing, require any person who, in the Commissioner's opinion, is required to file a return of income for a tax year or assessment year but who has failed to do so to furnish a return of income for that year within thirty days from the date of service of such notice or such longer or shorter period as may be specified in such notice or as the Commissioner may allow. Any such notice may be issued in respect of one or more of the last five completed tax years or assessment years.

Provided that in case of a person who has not filed return for any of the last five completed tax years, notice may be issued in respect of one or more of the last ten completed tax years.

Provided further that the above time-limitation shall not apply if the Commissioner is satisfied based on reasons to be recorded in writing that a person who failed to furnish his return has foreign income or owns foreign assets.

2.5 Powers to enforce filing of returns

- The Board shall have the powers to issue an income tax general order in respect of persons who are not appearing on ATL but are liable to file return.
- The income tax general order issued may entail any or all of the following consequences for the persons mentioned therein, namely:
  - disabling of mobile phones or mobile phone SIMs
  - discontinuance of electricity and gas connection
  - restriction on foreign travel from the country for a citizen of Pakistan, excluding persons holding National Identity Card for Overseas Pakistanis (NICOP), minors, students, persons proceeding abroad for Hajj or Umrah and such other classes of persons as notified by the Board.

- The Board or the Commissioner having jurisdiction over the person mentioned in the income tax general order may order restoration of mobile phones, mobile phone SIMs and connections of electricity and gas, in cases where he is satisfied that the return has been filed or the person was not liable to file return.
- No person shall be included in the general order unless the following conditions have been met, namely:
  - notice under section 114(4) has been issued by the Commissioner demanding return of income
  - date of compliance of the notice under sub-section (4) of section 114 has elapsed and
  - the person has not filed the return.

2.6 Restriction placed on economic transactions by certain persons (Section 114C, 15th Schedule)

▶ *Definitions*

Ineligible Person means a person who is not an eligible person.

Eligible person in case of individual means a person who has filed:

i. return of income of the immediately preceding tax year and has sufficient resources in the wealth statement in the case of an individual or in the financial statements in the case of company/AOP respectively OR

ii. sources of investment and expenditure statement declaring sufficient resources and furnishing explanation thereof for a particular purchase.

In the case of the individual, the eligible person shall include his immediate family members.

Sufficient resources shall mean one hundred and thirty per cent (130%) of the cash and equivalent assets comprising market value of all the assets declared by a person either in his sources of investment and expenditure statement, or wealth statement/financial statement filed for the latest tax year.

Immediate family members in respect of an individual shall include his parents, spouse and dependent children.

Sources of investment and expenditure statement shall mean a declaration by a person filed on the Board's web portal, specifying the sources of funds for making such transaction. This statement shall not be construed as nature and source of income for the purposes of section 111.

Restriction for ineligible person (Subject to the Board Notification in future)

The Finance Act, 2025 has introduced the following restrictions on an ineligible person:

i. Booking, purchasing, or registering motor vehicles having invoice value exceeding Rs. 7 million

ii. Registering or transferring immovable property having FBR value/DC rate exceeding Rs. 100 million

iii. Opening or maintaining securities or investment accounts having acquisition cost exceeding Rs. 50 million. This will only apply where the investment amount up to PKR 50 million shall be new investment in any financial year.

iv. Cash withdrawals from bank accounts exceeding Rs. 100 million in all bank accounts held by an individual.

Exceptions from the above restrictions

Public companies and non-residents are only barred from making cash withdrawals and other restrictions as above will not apply.

Exchange transactions for acquisition of vehicle/property/securities

Where an asset has been purchased by way of exchange of capital assets already declared in the wealth statement, or financial statement, or sources of investment and expenditure statement, the disposal of such capital assets shall be treated to be part of cash equivalent assets to the extent of the value mentioned in the agreement.

3 METHOD OF FILING OF TAX RETURN

3.1 Method of filing of Tax Return [Sec 114(2) & 118]

A return of income shall be in the prescribed form and shall be accompanied by such annexure, statements or documents as may be prescribed;

a) shall fully state all the relevant particulars or information as specified in the form of return, including a declaration of the records kept by the taxpayer; and

b) shall be signed by the person, being an individual, or the person's representative where section 172 applies.

c) shall be accompanied with due payment of tax as per return of income;

d) shall be accompanied with a wealth statement as required under section 116 and

e) shall be accompanied with a foreign income and assets statement as required under section 116A.

A return of income shall be filed electronically on IRIS as may be prescribed by the Board and the Board may, by notification in the official Gazette, make rules for such filing and determine the process of verification, digital signatures and other matters relating to electronic filing of returns, statements or documents, etc

In case of companies for tax year 2026 and onwards, the financial statements accompanying the return shall only be filed in electronically readable file format.

Every return purporting to be made or signed by, or on behalf of a person shall be treated as having been duly made by the person or with the person's authority until the person proves the contrary.

4 REVISION OF TAX RETURN

4.1 Filing of revised return or statement

- Any person who, having furnished a return, discovers any omission or wrong statement therein or avails a settlement offered by an algorithmic settlement mechanism, may file revised return subject to the following conditions, namely:
  a) it is accompanied by the revised accounts or revised audited accounts, as the case may be;
  b) Provided that the Commissioner may waive this condition if the Commissioner is satisfied that filing of revised accounts or audited accounts is not necessary.
  c) the reasons for revision of return, in writing, duly signed, by the taxpayers are filed with the return;
  d) it is accompanied by approval of the Commissioner in writing for revision of return. However, this condition shall not apply if revised return is filed within sixty (60) days of filing of return. Further, where the Commissioner has not made an order or approval in writing, for revision of return, before the expiration of sixty days from the date when the revision of return is sought, the approval so required shall be deemed to have been granted by the Commissioner, and the specified condition shall not apply. The mode and manner for seeking the permission for revision shall be prescribed by the Board; and
  e) taxable income declared is not less than and loss declared is not more than income or loss, as the case may be, determined by an order issued under Best Judgement assessment, Amendment of assessment, Revision by the Commissioner, Decision in appeal, Disposal of appeals by the Appellate Tribunal, Reference to High Court or Rectification of mistakes under sections 121, 122, 122A, 129, 132, 133 or 221. (These sections are discussed in detail in the next chapter)

  If any of the above conditions is not fulfilled, the return furnished shall be treated as an invalid return as if it had not been furnished.

  Provided also that condition specified in clause (c) shall not apply and the approval required thereunder shall be deemed to have been granted by the Commissioner, if-
  a) the Commissioner has not made an order of approval in writing, for revision of return, before the expiration of sixty days from the date when the revision of return was sought; or
  b) taxable income declared is more than or the loss declared is less than the income or loss, as the case may be, determined under section 120(Assessments).

4.2 Procedure for filing of revised return and statement [S 114(6A)]

If a taxpayer files a revised return voluntarily along with deposit of the amount of tax short paid or amount of tax sought to be evaded along with the default surcharge, whenever it comes to his notice, before receipt of notice under sections 177 (Audit) or section 122(9) (Amendment of Assessments, no penalty shall be recovered from him

In case the taxpayer deposits the amount of tax as pointed out by the Commissioner during the audit or before the issuance of notice under the provisions of Amendment of Assessments (sub-section (9) of section 122), he shall deposit the amount of tax sought to be evaded, the default surcharge and twenty-five per cent of the penalties leviable under the ordinance along with the revised return:

In case the taxpayer revises the return after the issuance of a show cause notice under sub-section (9) of section 122, he shall deposit the amount of tax sought to be evaded, default surcharge and fifty per cent of the leviable penalties under the ordinance along with the revised return and thereafter, the show cause notice shall stand abated.

- Not with standing the above provisions, if a taxpayer avails a settlement offered by the algorithmic settlement mechanism, he may file a revised return, and the
  a) approval of the Commissioner shall not be required to file the revised return;
  b) taxpayer shall pay the amount of tax determined by the mechanism and no separate penalty or default surcharge shall be payable; and
  c) return so filed shall be accompanied by such documents as required and shall be treated as a revised return under section 114 (Return of income).

5 DUE DATES FOR FILING TAX RETURN

5.1 Due dates for filing tax returns

The following are the different dates for tax reporting purposes:

Section	Tax Return Filer	Return Period	Due Date
118(1)	A return of income of a company	Tax year ending between 1st January to 30 June	On or before 31 December next following the end of the tax year
118(1) & (3)	All other cases of person filing returns including companies other than above.	All year ends	On or before 30 September next following the end of tax year
118(5)	Return in response to notice under section 117 (discontinuance of business)	Year end as specified in notice	Due date fixed for submission of tax return.
114(4)	Return in response to notice under section 114(5) (return liable to be filed but not filed)	Year end as specified in notice	Within thirty days from the date of service of the notice, or such longer or shorter period as specified in the notice / allowed by the Commissioner.

According to section 118(2A), where salary income for the tax year is Rs. 500,000 or more, the taxpayer is required to file return of income electronically in the prescribed form and it shall be accompanied by the proof of deduction or payment of tax and wealth statement as required under section 116. However, according to SRO 791(I)/2015 dated 10 August 2015, it has been directed that all individuals earning taxable salary shall be liable to file their returns electronically from tax year 2015 onwards. Consequently, the threshold of Rs. 500,000 or more, as stated above, shall no longer be applicable.

6 FILING OF WEALTH STATEMENT

6.1 Wealth statement [Sec 116]

Wealth statement is a statement of assets and liabilities, for any year, which a person is required to file, in the prescribed form and verified in prescribed manner giving particulars of

- the person's total assets including foreign assets and liabilities including foreign liabilities as on the date or dates specified in such notice;
- the total assets including foreign assets and liabilities including foreign liabilities of the person's spouse, minor children, and other dependents as on the date or dates specified in such notice;

Explanation: For the removal of doubt, it is clarified that assets of spouse shall only be included in the wealth statement of the person if the spouse is dependent.

- any assets including foreign assets transferred by the person to any other person during the period or periods specified in such notice and the consideration for the transfer; and
- the total expenditures incurred by the person, and the person's spouse, minor children, and other dependents during the period or periods specified in the notice and the details of such expenditures; and
- the reconciliation statement of wealth.

Every resident taxpayer being an individual, filing a return of income for any tax year, shall furnish a wealth statement and wealth reconciliation statement for that year along with such return.

Further, every member of an association of persons shall also furnish a wealth statement and wealth reconciliation statement for the year along with the return of income of the association.

Where a person, who has furnished a wealth statement, discovers any omission or wrong statement therein, he may, without prejudice to any liability incurred by him under any provision of this ordinance, furnish a revised wealth statement along with the revised wealth reconciliation and the reasons for filing revised wealth statement, under intimation to the commissioner in the prescribed form and manner, at any time before the receipt of notice for amendment in assessment, for the tax year to which it relates, is made;

Provided that where the Commissioner is of the opinion that the revision under this sub-section is not for the purpose of correcting a bona fide omission or wrong statement, he may declare such revision as void through an order in writing after providing opportunity of being heard.

Explanation: For the removal of doubt, it is clarified that wealth statement cannot be revised after the expiry of five years from the due date of filing of return of income for that tax year.

6.2 Foreign Income and Assets Statement [Sec 116A]

- Every resident taxpayer being an individual having foreign income of not less than ten thousand United States dollars or having foreign assets with a value of not less than one hundred thousand United States dollars shall furnish a statement, hereinafter referred to as the foreign income and assets statement, in the prescribed form and verified in the prescribed manner giving particulars of —
  a) the person's total foreign assets and liabilities as on the last day of the tax year;
  b) any foreign assets transferred by the person to any other person during the tax year and the consideration for the said transfer; and
  c) Complete particulars of foreign income, the expenditure derived during the tax year and the expenditure wholly and necessarily for the purposes of deriving the said income.
- The Commissioner may by a notice in writing require any person being an individual who, in the opinion of the Commissioner on the basis of reasons to be recorded in writing, was required to furnish a foreign income and assets statement but who has failed to do so to furnish the foreign income and assets statement on the date specified in the notice.";

6.3 How to prepare a wealth statement

Preparation of wealth statement is a technical task, but familiarity with the method of preparation of financial statements helps a lot in solving such problems. The manner of preparation of wealth statements is given hereunder:

Wealth statement is primarily a balance sheet of an individual taxpayer where personal assets and liabilities of a person are reflected on any given date, i.e. the date on which the taxpayer closes his accounts or the date as demanded through a notice in writing. It is worthwhile to mention here that wealth statement only gives details of personal assets and liabilities held by a person but does not reflect the status of business assets and liabilities. However, it does show net equity or shareholding of that person in any business. A wealth statement is incomplete without a reconciliation statement showing accretion, no change or decrease in wealth.

Cash and bank reconciliation statement is derived from the cash and bank account. It starts from taking the opening balance of cash and bank balances and after adding cash inflows and subtracting cash outflows, the remaining amount portrays closing balances of cash and bank account(s). This closing balance is included in the assets of the wealth statement. It is important to bear in mind that where the expenditure side is not explained through the cash receipt side, then the difference could be unexplained investment as income for the year. To avoid this treatment, figures need to be tallied with investments worked out through the wealth reconciliation statement.

Now, after taking the figure of the cash and bank reconciliation, the wealth statement for the current year is complete and a person can easily calculate the figure of increase/decrease in the net wealth by subtracting the last year's net wealth figure from the current year's net wealth figure shown in the current year wealth statement.

While preparing wealth statement, assets and liabilities are recorded at historical cost irrespective of their present market value.

6.4 Exercise

▶ *Exercise:*

Mr. Nadeem has filled the following wealth statement as on 30.06.2026

	Rupees
Plot in Lahore	3,500,000
Capital in ABC & Co	2,500,000
Jewellery	500,000
Shares in XYZ (Pvt.) Ltd	1,000,000
Bank	3,500,000
TOTAL ASSETS	**11,000,000**
Personal Loan	(1,000,000)
TOTAL WEALTH	**10,000,000**

During the year, the following information is provided:

He earned salary income of Rs. 1,300,000 and paid tax Rs. 100,000.

He sold shares of Rs. 200,000 for a consideration of Rs. 350,000.

He settled his personal loan of Rs. 500,000.

His household expenses aggregate to Rs. 850,000.

He has given a gift of Rs. 400,000 to his brother Kamran through a crossed cheque.

He has earned profit on ABC & Co of Rs. 450,000. His drawings from the firm during the year were Rs. 275,000. He paid tax of Rs. 40,000 on firm income.

He purchased a new plot at XYZ society for total consideration Rs. 2,000,000 payable in 20 instalments. During the year, he paid Rs. 700,000 in instalments.

On 30th June 2027, his bank balance was Rs. 2,835,000.

Required:

Prepare the wealth reconciliation statement and wealth statement as on June 30, 2027.

▶ *Answer*

MR. NADEEM

Wealth reconciliation statement

		Amount
Opening Wealth		10,000,000
Add: Sources		
Salary Income		1,300,000
Gain on sale of shares		150,000
Profit on ABC & CO		450,000
Total		11,900,000
Less:		
Gift to brother		400,000
Tax deducted from salary		100,000
Tax on profit of ABC & Co.		40,000
Household expenses		850,000
		1,390,000
Total (Rs. 11,900,000–1,390,000)		**10,510,000**
Note 2		
Cash and Bank Reconciliation		
Opening bank		3,500,000
Add:		
Salary	1,300,000	
Drawings	275,000	
Sale of shares	350,000	
		1,925,000
Total		**5,425,000**
Less:		
Household expenses	850,000	
Taxes	140,000	
Gift	400,000	
Plot instalments	700,000	
Loan instalment	**500,000**	**2,590,000**
		2,835,000

	Amount
Wealth statement 2027	
Plot in Lahore	3,500,000
Capital in ABC (Note 1)	2,675,000
Advance for plot at XYZ society	700,000
Jewellery	500,000
Shares in XYZ	800,000
Bank	2,835,000
Total	**11,010,000**
Loan	(500,000)
Closing wealth	**10,510,000**
Note 1: Capital	
Opening	2,500,000
Profit	450,000
	2,950,000
Drawings	275,000
Total	2,675,000

7 FILING OF TAX RETURN ON DISCONTINUANCE OF BUSINESS

7.1 Notice of discontinued business [Sec 117]

Any person discontinuing a business shall give the Commissioner a notice in writing to that effect within fifteen days of the discontinuance.

The person discontinuing a business shall, under the provisions of the Ordinance or on being required by the Commissioner by notice in writing, furnish a return of income for the period commencing on the first day of the tax year in which the discontinuance occurred and ending on the date of discontinuance and this period shall be treated as a separate tax year for the purposes of this Ordinance.

Where no notice has been given by taxpayer, but the Commissioner has reasonable grounds to believe that a business has discontinued or is likely to discontinue, the Commissioner may serve a notice on the person who has discontinued the business or is likely to discontinue the business to furnish to the Commissioner within the time specified in the notice a return of income for the period specified in the notice.

A return furnished under this case shall be treated for all purposes of the Ordinance as a return of income, including the application of Section 120.

In case of non-compliance to file return in response to notice by CIR, the CIR may proceed with best judgment assessment u/s 121. To determine taxable income for best judgment assessments, the CIR may use sectoral benchmark ratios (GP ratio, wastage ratio, NP ratio etc.) as notified by the Board.

8 EXTENSION OF TIME FOR FURNISHING OF TAX RETURN

8.1 Extension of time for furnishing returns and other documents [Sec 119]

A person required to furnish a return or wealth statement may apply, in writing, to the Commissioner for an extension of time to furnish the return or wealth statement, as the case may be.

The application for extension must be made by the due date of filing of the return or wealth statement, as the case may be.

Extension in due date may be granted if the Commissioner is satisfied that the taxpayer was unable to furnish return, or statement due to

a) absence from Pakistan;

b) sickness or other misadventure; or

c) any other reasonable cause

An extension of time as discussed above should not exceed fifteen days from the due date for furnishing the return of income or statement, as the case may be, unless there are exceptional circumstances justifying a longer extension of time.

Provided that where the Commissioner has not granted extension for furnishing return under sub-section (3) or sub-section (4), the Chief Commissioner may, on an application made by the taxpayer for extension or further extension, as the case may be, grant extension or further extension for a period not exceeding fifteen days unless there are exceptional circumstances justifying a longer extension of time.

An extension of time granted as discussed above shall not change the due date for payment of income tax payable on the basis of return and default surcharge shall be chargeable for delayed payment of tax due.

Important Dates

Para No.	Context / Section	Relevant Date / Deadline	Details
1.1	Normal Tax Year	Jul-01 to June 30	A tax year in Pakistan starts on July 1 of the previous year.
5.1	Filing deadline for companies with year ending Jan to June	December 31	Section 118(1)
5.1	Filing deadline for all other cases	September 30	Section 118(1) & 118(3)
5.1	Filing upon discontinuation of business	As specified in notice	Section 118(5); must respond by the date fixed in notice.
5.1	Filing on Commissioner's notice (Sec 114(4))	Within 30 days or as specified in notice	Applies if return was not filed and Commissioner issues a notice.
4.1	Filing revised return	Within 60 days (without needing Commissioner's approval)	After this, written approval is required unless deemed granted due to delay in response.
8.1	Extension of filing deadline	Application before due date; up to 15 days (usually)	Under exceptional circumstances, longer extension possible by Chief Commissioner.
6.1	Wealth Statement revision limit	Within 5 years from due date	Cannot revise after 5 years from the original due date of return.
7.1	Notice for business discontinuance	Within 15 days of discontinuation	Section 117 requires written notice to the Commissioner.

CHAPTER 15

ASSESSMENT, RECORDS AND AUDIT

IN THIS CHAPTER:

1. Assessment
2. Special provisions with respect to assessment
3. Amendment of assessment
4. Action against assessment / Amended assessment order
5. Records and Audit

1 ASSESSMENT

1.1 Assessment

- *Definitions:*

Sec 2(5), "assessment" includes provisional assessment, re-assessment, amended assessment and faceless assessment and the cognate expressions shall be construed accordingly.

Sec 2(5A), "assessment year" means assessment year as defined in the repealed Ordinance.

Assessment under the Income Tax Ordinance, 2001 is generally made on the basis of returns filed for a tax year. This is termed as Universal Self-Assessment Scheme (USAS) by the FBR, though no such words are used in the Ordinance.

Faceless audit and assessment [Sec 122E]

Historically, audit and assessment proceedings under the Income Tax Ordinance, 2001 have involved direct interaction between the taxpayer and an identifiable jurisdictional officer through the requisition of records, correspondence and personal hearings. The Finance Act, 2026 marks a significant departure by inserting section 122E, which provides for audit proceedings under sections 177 and 214C, assessments under Part II of Chapter X, and orders under section 111 to be made in a faceless manner, as may be prescribed by the Board. The relevant provisions of law in this context are as follows:

Scope

Not with standing anything to the contrary contained in any other provision of the Ordinance, any audit under sections 177 or 214C, any order under section 111, any assessment under Part II of Chapter X and any rectification under section 221 may be made in a faceless manner, as may be prescribed by the Board.

Coverage

Faceless assessment shall apply to such persons or classes of persons, incomes or classes of incomes, or cases or classes of cases, as may be specified by the Board.

Procedure

The provisions of section 177 shall apply to an audit conducted in a faceless manner under section 122E. Where an opportunity of being heard is to be provided during such audit, or a statement under oath is required under section 176, the same shall be conducted through an E-hearing under section 227E.

Confidentiality

The identity of the officer conducting the E-hearing, including the officer's facial and voice identity, shall be kept confidential.

1.2 Ways of framing the assessment

Various ways of framing the assessment under the Income Tax Ordinance, 2001 are as under:

- Normal assessment, usually referred to as 'assessment'
- Best judgment assessment
- Provisional assessment in certain cases

Now we will discuss them one by one in the ensuing paragraphs.

1.3 Normal assessment [Sec 120]

- Section 120 of the Ordinance states that: If a taxpayer has furnished a complete return of income other than a revised return, the Commissioner shall be treated to have assessed the income and tax due thereon equal to the respective amounts adjusted under section 120(2A)
- Return shall be treated to be an assessment order issued to the taxpayer by the Commissioner on the day the adjustments were made under section 120(2A).

- Return shall be taken to be complete if it is in the prescribed form accompanied by such annexures, statements or documents, fully state all the relevant particulars or information, duly signed with evidence of payment due and accompanied with a wealth statement in accordance with section 114(2).

Adjustments to be made in declared respective amounts of the return [Section 120(2A)]

A return of income furnished under sub-section (2) of section 114 shall be processed through automated system to arrive at correct amounts of total income, taxable income and tax payable by making adjustments for—

i. any arithmetical error in the return;

ii. any incorrect claim, if such incorrect claim is apparent from any information in the return;

iii. disallowance of any loss, deductible allowance or tax credit as specified; and

iv. disallowance of carry forward of any loss under clause (b) of sub-section (1) of section 182A.

Provided that no such adjustments shall be made unless a system generated notice is given to the taxpayer specifying the adjustments intended to be made:

Provided further that the response received from the taxpayer, if any, shall be considered before making any adjustment, and in a case where no response is received within 30 days of the issue of such notice, adjustments shall be made.

Provided also that where no such adjustments have been made within 6 months of filing of return, the amounts specified in the return as declared by the taxpayer shall be deemed to have been taken as adjusted amounts on the day the return was filed and the taxpayer shall be intimated automatically through IRIS.

Provided also that the provisions of this sub-section shall apply from the date notified by the Federal Board of Revenue in the official Gazette.

Note: FBR has thus far not notified any date. Resultantly, the concept of self-assessment is still applicable.

(7) For the purposes of this section,—

a) **"arithmetical error"** includes any wrong or incorrect calculation of tax payable including any minimum or final tax payable.

b) **"an incorrect claim apparent from any information in the return"** shall mean a claim, on the basis of an entry, in the return,—

   i. of an item, which is inconsistent with another entry of the same or some other item in such return;

   ii. regarding any tax payment which is not verified from the collection system; or

   iii. in respect of a deduction, where such deduction exceeds specified statutory limit which may have been expressed as monetary amount or percentage or ratio or fraction.

- However, in addition to above deemed assessment, the Commissioner has powers to conduct audit of income tax affairs of any person under section 177 and all the provisions of that section shall apply accordingly.

Assessment in case of incomplete return

- If the return of income furnished is not complete, the Commissioner shall issue a notice to the taxpayer informing him of the deficiencies (other than incorrect amount of tax payable on taxable income, as specified in the return, or short payment of tax payable) and directing him to provide certain information, particulars, statement or documents by the date specified in the notice in order to make the return a 'complete return'.
- If a taxpayer fails to fully comply, by the due date, with the requirements of the notice the return furnished shall be treated as an invalid return as if it had not been furnished. However, if the taxpayer fully complies with the requirements of the notice, by the due date, the return furnished shall be treated to be complete on the day it was furnished.
- Such notice shall not be issued after expiry of 180 days from the end of the financial year in which return was furnished.

1.4 Best judgment assessment [Sec 121]

- This type of judgment is made where a person fails to:
  - furnish return of income in response to notice of a Commissioner under sub section (3) or sub section (4) of section 114; or
  - furnish a return as required under section 143 or section 144 (return to be filed by air carrier or shipping companies); or
  - furnish the wealth statement as required under section 116; or
  - furnish return of income in response to notice under sec 117(3) notice of business discontinuance. produce before the commissioner, or a special audit panel appointed under sub-section (11) of section 177 or any person employed by a firm of chartered accountants or a firm of cost and management accountants under section 177, accounts, documents and records required to be maintained under section 174, or any other relevant document or evidence that may be required by him for the purpose of making assessment of income and determination of tax due thereon.
- Under any of the above cases, the Commissioner may, based on any available information or material and to the best of his judgment, make an assessment of the taxable income of the person and the tax due thereon. Under such a case, the assessment, if any, treated to have been made on the basis of return or revised return filed by the taxpayer shall be of no legal effect.
- For the purposes of making a best judgment assessment, the Commissioner may determine taxable income on the basis of sectoral benchmark ratios prescribed by the Board.
- **Explanation:** The expression **sectoral benchmark ratios** means standard business sector ratios notified by the Board on the basis of comparative cases and includes financial ratios, production ratios, gross profit ratio, net profit ratio, recovery ratio, wastage ratio and such other ratios in respect of such sectors as may be prescribed.
- As soon as possible after making a best judgment assessment, the Commissioner shall issue the assessment order to the taxpayer stating:
  - the taxable income;
  - the amount of tax due;
  - the amount of tax paid, if any; and
  - the time, place and manner of appealing against the assessment order.
- An assessment order under section 121 shall only be issued within six years from the end of the tax year to which it relates.

  Provided that where notice for furnishing a return of income to any person under sub-section (4) of section 114 is issued by a Commissioner in respect of one or more of the last ten completed tax years in pursuance of proviso to sub-section (5) of section 114, an assessment order under this section shall only be issued within two years from the end of tax year in which such notice is issued.

1.5 Provisional assessment in certain cases [Sec 123]

▶ *Definitions:*

Sec 2(13AA), concealment of income includes:

a) the suppression of any item of receipt liable to tax in whole or in part, or failure to disclose income chargeable to tax;

b) claiming any deduction or any expenditure not actually incurred;

c) any act referred to in sub-section (1) of section 111; and

d) claiming of any income or receipt as exempt which is otherwise taxable.

Explanation - For removal of doubt it is clarified that none of the aforementioned acts would constitute concealment of income unless it is proved that taxpayer has knowingly and wilfully committed these acts;

Sec 123(3) Concealed asset means any property or asset which, in the opinion of Commissioner, is acquired from any income chargeable to tax but could not be charged to tax.

- This type of assessment is applicable in cases where any concealed asset of a person is impounded by any agency of Federal or Provincial Government. In such a case, the Commissioner is empowered to make provisional assessment before making a best judgment assessment or amended assessment.
- Where an offshore asset of any person, not declared earlier, is discovered by the Commissioner or any department or agency of the Federal Government or a Provincial Government, the Commissioner may at any time before issuing any assessment order under section 121 or amended assessment order under section 122, issue to the person a provisional assessment order or provisional amended assessment order, as the case may be, for the last completed tax year of the person taking into account the offshore asset discovered.
- Where any concealed asset is impounded, it shall be taken into account in the computation of taxable income and tax payable for the last completed tax year of the person during which the concealed asset was accounted for.
- The Commissioner shall finalize the provisional order or provisional amended assessment order as soon as possible.

2 SPECIAL PROVISIONS WITH RESPECT TO ASSESSMENT

Following are three provisions which are associated with framing of assessment order:

2.1 Assessment in relation to disputed property [Sec 125]

Where the ownership of any property the income from which is chargeable to tax is in dispute in any civil court in Pakistan, an assessment order or amended assessment order in respect of such income may be issued at any time within one year after the end of the financial year in which the decision of the court is made.

2.2 Evidence of Assessment [Sec 126]

- The production of an assessment order or its certified copy shall be conclusive evidence of due making of assessment. The assessment order or its certified copy shall also be a conclusive evidence that the amounts and all other particulars are correct except in cases where the proceedings relating to assessment are under appeal.
- Any order of assessment or other document required to be made under Income Tax Ordinance, 2001, may not be:
  - i. quashed or void or voidable for want of form; or
  - ii. affected due to any mistake, defect or omission therein
- However, an order shall be quashed or void:
  - i. if it is in substance and effect, not in conformity with Income Tax Ordinance, 2001; or
  - ii. the person assessed or intended to be assessed or affected by the document is not designated in it according to common understanding.

3 AMENDMENT OF ASSESSMENT

3.1 Amendment of assessment [Sec 122]

Method of amendment of assessment is elaborated in section 122 of the Ordinance.

- Commissioner is empowered to amend an assessment order treated as issued on self-assessment basis u/s 120 or an assessment order made to the best of Commissioner's judgment u/s 121. The Commissioner may make such alteration or additions as he considers necessary.
- Amendment of assessment shall not be made after the expiry of 5 years, from the end of the financial year in which the order is issued or treated as issued.
- If a taxpayer furnishes a revised return of income
  - i. the Commissioner shall treat the revised return as amended assessment of the taxable income and tax payable thereon as set out in the revised return; and
  - ii. the taxpayer's revised return shall be taken to be an amended assessment order issued to the taxpayer by the Commissioner on the day the revised return was furnished.
- Commissioner is also empowered to amend further as many times as may be necessary, the original assessment order as amended previously within the later of:
  - i. five years from the end of the financial year in which the original assessment order is issued or treated as issued by the Commissioner; or
  - ii. one year from the end of the financial year in which the amended assessment order is issued or is treated as issued.
- An assessment order shall only be amended, or an amended assessment shall only be further amended as above, where the Commissioner has definite information, acquired from an audit or on the basis of definite information the Commissioner is satisfied, that:
  - i. any taxable income has escaped assessment;
  - ii. total income has been under assessed or assessed at too low tax rate or has been the subject of excessive relief or refund; or
  - iii. any amount under a head of income has been misclassified.
- Definite information includes information relating to sales or purchases of any goods made by the taxpayer, receipts of the taxpayer from services rendered or other receipts relating to the acquisition / possession / disposal of any money / asset / valuable article, or investment made or expenditure incurred by the taxpayer.
- The Commissioner may amend, or further amend, an assessment order, if he considers that it is erroneous in so far it is prejudicial to the interest of revenue.
- Once the order of assessment is amended, the Commissioner shall issue an amended assessment order as soon as possible stating:
  - i. the amended taxable income of taxpayer;
  - ii. the amended amount of tax due;
  - iii. the amount of tax paid, if any, and
  - iv. the time, place and manner of appealing the amended assessment
- No assessment shall be amended or further amended without giving the taxpayer an opportunity of being heard.
- Order under this section shall be made within one year of issuance of show cause notice or within such extended period as the Commissioner may, for reasons to be recorded in writing, so however, such extended period shall in no case exceed ninety days.

- Any period during which the proceedings are adjourned on account of a stay order or Alternative Dispute Resolution proceedings or agreed assessment proceedings under section 122D or the time taken through adjournment by the taxpayer not exceeding sixty days shall be excluded from the computation of the period specified above.

3.2 Detailed explanation

The above provisions relating to amendment of assessment carry much significance. Following points should be kept in mind:

1. An assessment can only be amended in two situations i.e. on the basis of audit or on the basis any definite information or where the assessment is erroneous and prejudicial to the interest of revenue.
2. An assessment can be erroneous however, in case the same is not prejudicial to the interest of revenue then tax authorities cannot initiate the proceedings of amendment of assessment under section 122(5A) of the Ordinance. Thus, co-existence of both situations i.e. first error in the assessment secondly tax loss suffered by the tax authorities, is very necessary to invoke provisions of section 122(5A) [amendment of assessment].
3. Any change of opinion does not constitute any definite information or makes the assessment as erroneous and prejudicial to the interest of revenue.
4. No amendment is allowed unless the taxpayer has been given proper opportunity of being heard.

4 ACTION AGAINST ASSESSMENT/AMENDED ASSESSMENT ORDER

4.1 Duties

From the Tax department

- Revision by the Commissioner
- Revision by the Chief Commissioner
- Modification of orders

From the Tax payer

- Rectification of mistake
- Appeal (see Chapter 16)
- Alternate dispute resolution committee (see Chapter 16)

4.2 Revision of assessment by the Commissioner [Sec 122A]

Process of revision of assessment is defined in section 122A of the Ordinance in the following manner:

- The Commissioner may, suo moto call for the record of any proceeding in which an order has been passed by any Officer of Inland Revenue.
- Where, after making such inquiry as is necessary, Commissioner considers that the order requires revision, then he may make such revision to the order as he deems fit.
- Any such order shall not be prejudicial to the person to whom the order relates.
- The Commissioner shall not revise any order if:
  a) an appeal against the order lies to the Commissioner (Appeals) or to the Appellate Tribunal and the time within which such appeal may be made has not expired; or
  b) The order is pending in appeal before the Commissioner (Appeals) or has been made the subject of an appeal to the Appellate Tribunal.
- If any order is remanded back to any lower authority by the Commissioner for modification, alteration, implementation of directions or de novo proceedings, the order giving effect to the directions of the Commissioner shall be issued within one hundred and twenty days.

4.3 Revision by Chief Commissioner [Sec 122B]

- The Chief Commissioner may, either of his own motion or on an application made by the taxpayer for revision, call for the record of any proceedings relating to issuance of an exemption or lower rate certificate with regard to collection or deduction of tax at source under Income Tax Ordinance, 2001. Record of such proceedings shall be called in which an order has been passed by any authority subordinate to him.
- If, after making such inquiry as is necessary, The Chief Commissioner considers that the order requires, revision, he may make such order as he may deem fit in the circumstances of the case. However, he shall provide a reasonable opportunity of being heard to the taxpayer.

4.4 Powers of tax authorities to modify orders, etc. [Sec 124A]

- The modification of orders is elaborated in section 124A of the Ordinance in the following way: This applies where a question of law is decided either by a High Court or the Appellate Tribunal in case of a taxpayer.
- In such a case the Commissioner may proceed to amend the assessment, to the extent it needs revision due to the decision of High Court or Appellate Tribunal on the question of law. In this regard the Commissioner shall ignore the fact that either an appeal is preferred or an application for reference is made against the order of High Court or Appellate Tribunal.

- Where decision of High Court or Appellate Tribunal is reversed or modified, the Commissioner may modify assessment in which the said decision was followed within one year of the date of receipt of decision. In making such modification, the provisions of Income Tax Ordinance, 2001 relating to time limit for making an assessment or amended assessment shall be ignored.

4.5 Agreed assessment in certain cases [Sec 122D]

- Where a taxpayer, in response to a notice under sub-section (9) of section 122-Amendment of assessment, intends to settle his case, he may file offer of settlement in the prescribed form before the assessment oversight committee, hereinafter referred to as the Committee, in addition to filing reply to the Commissioner.
- The Committee after examining the aforesaid offer may call for the record of the case and after affording opportunity of being heard to the taxpayer, may decide to accept or modify the offer of the taxpayer through consensus and communicate its decision to the taxpayer.
- Where the taxpayer is satisfied with the decision of the Committee:
  a) the taxpayer shall deposit the amount of tax payable including any amount of penalty and default surcharge as per decision of the Committee;
  b) the Commissioner shall amend assessment in accordance with the decision of the Committee after tax payable including any amount of penalty and default surcharge as per decision of the Committee has been paid;
  c) the taxpayer shall waive the right to prefer appeal against such amended assessment; and
  d) no further proceedings shall be undertaken under this Ordinance in respect of issues decided by the Committee unless the tax as per clause (c) has not been deposited by the taxpayer.
- Where the Committee has not been able to arrive at a consensus or where the taxpayer is not satisfied with the decision of the Committee, the case shall be referred back to the Commissioner for decision on the basis of reply of the taxpayer in response to notice under sub-section (9) of section 122 notwithstanding proceedings or decision, if any, of the Committee.
- The Committee shall comprise the following income tax authorities having jurisdiction over the taxpayer, namely:-
  a) the Chief Commissioner Inland Revenue;
  b) the Commissioner Inland Revenue; and
  c) the Additional Commissioner Inland Revenue.
- This section shall not apply in cases involving concealment of income or where interpretation of question of law is involved having effect on other cases.

5 RECORDS AND AUDIT

5.1 Records [Sec 174]

- Every taxpayer shall maintain in Pakistan such accounts, documents and records as may be prescribed.
- The Commissioner may disallow or reduce a taxpayer's claim for a deduction if the taxpayer is unable, without reasonable cause to provide a receipt, or other record or evidence of the transaction or circumstances giving rise to the claim for the deduction.
- The accounts and documents required to be maintained shall be maintained for six years after the end of the tax year to which they relate;
- However, where any proceeding is pending before any authority or court the taxpayer shall maintain the record till final decision of the proceedings.
- Moreover, time limit of 6 years will not be applicable in case of foreign source income, assets, expenses etc. and taxpayer is required to maintain record for indefinite period of time.
- Pending proceedings include proceedings for assessment or amendment of assessment, appeal, revision, reference, petition or prosecution and any proceedings before an Alternative Dispute Resolution Committee.
- Deduction means any amount debited to trading account, manufacturing account, receipts and expenses account or profit and loss account.
- The Board may require any person or class of persons to install and use an electronic resource of such type and description as may be prescribed, or to act as an integrated enterprise (Integration with Board through electronic device and software) through a notification in the official Gazette for the purpose of receiving, storing, matching and accessing information regarding any transaction that has a bearing on the tax liability of such person.

5.2 Books of accounts, documents and records to be kept at specified place (Rule 33)

S. No	Taxpayer required to maintain proper books of account, documents and records	Records to be kept
1.	**Income from business**	The books of accounts, documents and records required to be maintained by a taxpayer shall be kept at the place where the taxpayer is carrying on the business or, where the business is carried on in more places than one, at the principal place of business or at each of such places if separate books of accounts are maintained in respect of each place.
2.	**Income from sources other than business**	Where a person derives income from sources other than from business, the books of accounts, documents and records shall be kept at the person's place of residence or such other place as may be so declared by such person.
3.	**Place to be clearly stated on tax returns**	The place or places where the books of accounts, documents and records are kept shall be clearly stated on the tax return form in the column requiring the details of the records maintained.

5.3 National Database and Registration Authority (Sec 175B)

- The National Database and Registration Authority shall, on its own motion or upon application by the Board, share its records and any information available or held by it, with the Board, for broadening of the tax base.
- The National Database and Registration Authority may identify in relation to any person, (whether a taxpayer or not) income, receipts, assets, properties, liabilities, expenditures, or transactions that have escaped assessment or are under-assessed or have been assessed at a low rate, or have been subjected to excessive relief or refund or have been misdeclared or misclassified under a particular head of income.

- The Board may use and utilize any information communicated to it by the National Database and Registration Authority and forward such information to an income tax authority having jurisdiction.
- The National Database and Registration Authority may compute indicative income and tax liability of anyone mentioned above by use of artificial intelligence, mathematical or statistical modelling or any other modern device or calculation method.
- The indicative income and tax liability computed by the National Database and Registration Authority shall be notified by the Board to the person in respect of whom such indicative income and tax liability has been determined, who shall have the option to pay the determined amount on such terms, conditions, instalments, discounts, reprieves pertaining to penalty and default surcharge, and time limits that may be prescribed by the Board.
- In case the person against whom a liability has been determined, does not pay such liability within the time prescribed, the Board shall take action under this Ordinance, upon the basis of tax liability computed above.
- If the person against whom the liability has been determined pays such liability, such payment shall be construed to be an amended assessment order under section 120 or sub-section (1) of section 122 or sub-section (4) of section 122 as the case may be.

5.4 Posting of officer of Inland Revenue (Sec-175C)

Subject to such conditions and restrictions, as deemed fit to be imposed, the Board or the Chief Commissioner may post an officer of Inland Revenue or such other officials with any designation working under the control of the Board or the Chief Commissioner, to the business premises of any person or class of such persons, to monitor production, supply of goods or rendering of services and the stock of goods not sold at any time for determining tax payable under this Ordinance

5.5 Audit [Sec 177]

- The Commissioner may call for any record or documents including books of accounts maintained under the Ordinance or any other law for the time being in force for conducting audit of the income tax affairs of the person
- Where such record or documents have been kept on electronic data, the person shall allow access to the Commissioner or the officer authorized by the Commissioner for use of machine and software on which such data is kept and the Commissioner or the officer may have access to the required information
- The Commissioner shall not call for record or documents of the taxpayer after expiry of six years from the end of the tax year to which they relate.
  - For the purpose of sub-section (2), the Commissioner may conduct audit proceedings electronically through video links, or any other facility as prescribed by the Board. [Section 177(2A)]
  - **Audit on the basis of sectoral Benchmark Ratios prescribed by the Board [Section 177(2AA)]**

    Where a taxpayer—

    a) has not furnished record or documents including books of accounts;

    b) has furnished incomplete record or books of accounts; or

    c) is unable provide sufficient explanation regarding the defects in records, documents or books of accounts,

    d) it shall be construed that taxable income has not been correctly declared and the Commissioner shall determine taxable income on the basis of sectoral benchmark ratios prescribed by the Board.

Explanation— The expression "sectoral benchmark ratios" means standard business sector ratios notified by the Board on the basis of comparative cases and includes financial ratios, production ratios, gross profit ratio, net profit ratio, recovery ratio, wastage ratio and such other ratios in respect of such sectors as may be prescribed.";

- After obtaining the record of a person, the Commissioner shall conduct an audit of the income tax affairs.
- After completion of the audit the Commissioner may, if considered necessary, after obtaining taxpayer's explanation on all the issues raised in the audit, issue an audit report containing audit observations and findings.
- After issuing the audit report, the Commissioner may, if considered necessary, amend the assessment under sub-section (1) or sub-section (4) of section 122, as the case may be, after providing an opportunity of being heard to the taxpayer under sub-section (9) of section 122."
- The provisions of section 177 shall not apply to a person whose income tax affairs have been audited in any of the preceding three tax years. However, Commissioner may select a person under section 177 for audit with the approval of the Board.
- The Board may appoint a firm of Chartered Accountants or a firm of Cost and Management Accountants to conduct an audit of the income tax affairs of any person or classes of persons and the scope of such audit shall be as determined by the Board or the Commissioner on a case to case basis.
- Where a person fails to produce before the Commissioner or a firm of Chartered Accountants or a firm of Cost and Management Accountants appointed by the Board or the Commissioner to conduct an audit, any accounts, documents and records, required to be maintained under section 174 or any other relevant document, electronically kept record, electronic machine or any other evidence that may be required by the Commissioner or the firm of Chartered Accountants or the firm of Cost and Management Accountants for the purpose of audit or determination of income and tax due thereon, the Commissioner may proceed to make best judgment assessment under section 121 and the assessment treated to have been made on the basis of return or revised return filed by the taxpayer shall be of no legal effect.
- Power of the Commissioner under section 177 is independent of the powers of the Board under section 214C and nothing contained in section 214C restricts the power of the Commissioner to call for the record or documents including books of accounts of a taxpayer for audit and to conduct audit under this section.
- The provision of section 177 for selection of person for audit shall not apply whose income tax affairs have been selected for audit in any of the preceding three tax years.
- Provided, Commissioner may select a person for audit u/s 177 with the approval of the Board.

Re-audit or re-valuation and actuarial determination power [177(6B)]:

If, at any stage of the proceedings before him, if the Commissioner is of the opinion that, having regard to,—

a) the nature and complexity of the accounts; or

b) volume of the accounts; or

c) doubts about the correctness of the accounts; or

d) multiplicity of transactions in the accounts; or

e) specialised nature of business activity of the taxpayer; is of the opinion that it is necessary so to do, he may, after giving the taxpayer a reasonable opportunity of being heard, and with the previous approval of the Chief Commissioner, direct the taxpayer to get either or all of the following to get the —

   (i) accounts re-audited by an accountant, and to furnish a report of such audit duly signed and verified by such accountant including answers to the specific queries as the Commissioner may require;

   (ii) inventory re-valued by a cost accountant, and to furnish a report of such inventory valuation duly signed and verified by such cost accountant including answers to the specific queries as the Commissioner may require; and

(iii) actuarial values in the accounts determined by an actuary and to furnish a report of such valuation duly signed and verified by such actuary including answers to the specific queries as the Commissioner may require;

Explanation:

The accountant, cost accountant or actuary is nominated by the Commissioner from a panel notified by the Board. After the first nomination, if the registered person objects to the nomination of a particular accountant or cost accountant within fifteen days of such nomination, the Commissioner, if agreed with objections, may change the said accountant or cost accountant with another accountant or cost accountant.

Special Panel and its composition

The Board may appoint as many special audit panels as may be necessary, to conduct an audit, including a forensic audit, of the income tax affairs of any person or classes of persons and the scope of such audit shall be as determined by the Board or the Commissioner on a case to case basis. Relevant provisions in this regard are summarized below:

a) The panel shall comprise of any two or more members from:

- an officer of Inland Revenue;
- a firm of chartered accountants;
- a firm of cost and management accountants; or
- any other person as directed by the Board.

b) The Panel shall be headed by a Chairman who shall be an officer of Inland Revenue;

c) Powers under section 175 and 176 for the purpose of conducting an audit shall only be exercised by an officer of Inland Revenue who are member or members of the panel, and authorized by the Commissioner;

d) Where a person fails to produce before the Commissioner or a special audit panel appointed to conduct an audit, any accounts, documents and records, required to be maintained under section 174 or any other relevant document, electronically kept record, electronic machine or any other evidence that may be required by the Commissioner or the panel for the purpose of audit or determination of income and tax due thereon, the Commissioner may proceed to make best judgment assessment under section 121 and the assessment treated to have been made on the basis of return or revised return filed by the taxpayer shall be of no legal effect.

e) If any member of the panel, not being the Chairman, is absent from conducting an audit, the proceedings may continue and the audit conducted by the special audit panel shall not be invalid or be called into question merely on account of such absence;

f) Functions performed by the officer or officers of Inland Revenue as members of the special audit panel to conduct audit, shall be treated as having been performed by the special audit panel;

g) The Board may prescribe the mode and manner of constitution, procedure and working of the special audit panel.

CHAPTER 16

APPEALS, REFERENCES AND PETITIONS

IN THIS CHAPTER:

1 Appeals

2 Appeals to the Commissioner (appeals)

3 Appeals before appellate tribunal

4 Reference application before high court

5 Alternative dispute resolution committee

6 Algorithmic settlement mechanism

7 Other appeal related matters

1 APPEALS

1.1 What is an appeal?

- Most appeals arise on account of disagreement between the taxpayer and the tax collectors (income tax department) regarding the quantification of the taxable income and tax liability thereon as well as levy of default surcharge, penalties, etc. To resolve such disagreements law lays down the procedure, which gives the taxpayer right of appeal.
- Usually an agreement is reached through correspondence or discussion and in most cases disputes are settled with the taxpayers at the Taxation Officer's / Commissioner's level, saving time and trouble all around.

1.2 Forums of appeals

Following forums of appeal are available to an aggrieved person:

- Commissioner (Appeals)
- Appellate Tribunal
- High Court
- Supreme Court of Pakistan (against decision of reference to High Court). (Although the Ordinance does not provide anything on the subject, but any person can prefer to SC under the Constitution); and
- Alternative Dispute Resolution

1.3 Circumstances giving rise to an appeal to the Commissioner (Appeals) may include:

i. A best judgment assessment (ex-parte assessment) based on any available information or material to the best of the Taxation Officer's / Commissioner's judgment.

ii. An amendment of assessment.

iii. An order holding an individual personally liable to pay the amount of tax, which was required to be collected or deducted by him/her or having collected or deducted fails to pay the same as required by the law.

iv. An order declaring or treating a person as a representative of a non-resident person.

v. An order refusing to rectify the mistake, either in full or in part.

vi. An order having the effect of enhancing the assessment or reducing a refund or otherwise increasing the tax liability.

vii. No appeal in above cases, shall be made by a taxpayer against an order of assessment unless the taxpayer has paid the amount of tax due under subsection (1) of section 137 (tax due at time of furnishing the return).

2 APPEALS TO THE COMMISSIONER (APPEALS)

2.1 Procedure for filing of appeal before the Commissioner (Appeals)

The taxpayer may file appeal against an assessment or assessment order in addition to many other actions prejudicial to the taxpayer, before the Commissioner (Appeals). Section 127 deals with this issue in the following manner:

Filing of appeal to the Commissioner (Appeals)

- Any person other than State Owned Enterprise (SOE) who is aggrieved by an order passed by a Commissioner or a Taxation Officer, can file the appeal before the Commissioner (Appeals).
- Not with standing anything contained in the Income Tax Ordinance, 2001, any appeal to the Commissioner (Appeals) may be processed through the **National Faceless Centre** as prescribed by the Board and all the provisions discussed below will apply to faceless appeals accordingly. (Section 129A)
- **However, an aggrieved person may have the option to either file appeal before Commissioner (Appeals) directly or may surrender his right of appeal before Commissioner (Appeals) and avail the next statutory appellate forum by filing the appeal directly before the Appellate Tribunal Inland Revenue.**
- Every appeal shall be filed in the prescribed form, verified in the prescribed manner, be accompanied by the prescribed fee and shall precisely state the grounds upon which the appeal is made.
- In case appeal is made against an order of assessment the application shall be accompanied by fee of Rs. 5,000 where appellant is a company and Rs. 2,500 where appellant is not a company.
- In case of any other order, fee of Rs. 5,000 in case of company and Rs. 1,000 in other cases, shall be payable.
- No appeal shall be filed if the taxpayer has not paid tax due u/s 137(1) (i.e. tax payable with return).
- The appeal should be filed:
  - where the appeal relates to an order of assessment or penalty, within 30 days from the date of service of notice of demand u/s 137(2) in respect of any order of assessment or penalty; and
  - in any other case within 30 days of the service of intimation of order against which appeal is to be filed.
- However, Commissioner (Appeals) may condone the delay in filing of an appeal upon application in writing by the appellant.

2.2 Procedures for disposal of appeals

Section 128 of the Ordinance outlines the procedure for disposal of appeal in the following manner:

- The Commissioner (Appeals) shall give notice of the day fixed for the hearing of the appeal to the appellant and to the Commissioner against whose order the appeal has been made.
- Where in a particular case, the Commissioner (Appeals) is of the opinion that the recovery of tax levied, shall cause undue hardship to the taxpayer, he, after affording opportunity of being heard to the Commissioner against whose order appeal has been made, may stay the recovery of such tax for a period not exceeding thirty days in aggregate.
- The Commissioner (Appeals), after affording opportunity of being heard to the Commissioner against whose order appeal has been made, may stay the recovery of such tax for a further period of thirty days, provided that the order on appeal shall be passed within the said period of thirty days.
- The Commissioner (Appeals) may adjourn the hearing of the appeal from time to time.
- The Commissioner (Appeals) may, before the hearing of an appeal, allow an appellant to file any new ground of appeal not specified in the grounds of appeal already filed by the appellant where the Commissioner (Appeals) is satisfied that the omission of the ground from the form of the appeal was not wilful or unreasonable.

- The Commissioner (Appeals) may, before disposing of an appeal, call for such particulars as the Commissioner (Appeals) may require respecting the matters arising in the appeal or cause further enquiry to be made by the Commissioner.
- The Commissioner (Appeals) shall not admit any documentary material or evidence which was not produced before the Commissioner unless the Commissioner (Appeals) is satisfied that the appellant was prevented by sufficient cause from producing such material or evidence before the Commissioner.

2.3 Decision in appeal (Section 129)

- In disposing of an appeal, the Commissioner (Appeals) may:
  - make an order to confirm, modify or annul the assessment order after examining such evidence as required by him respecting the matters arising in appeal or causing such further enquiries to be made as he deems fit; or
  - in any other case, make such order as the Commissioner (Appeals) thinks fit.
- The Commissioner (Appeals) shall not increase the amount of any assessment order or decrease the amount of any refund unless the appellant has been given a reasonable opportunity of showing cause against such increase or decrease, as the case may be.
- Where, as the result of an appeal, any change is made in the assessment of an association of persons or a new assessment of an association of persons is ordered to be made, the Commissioner (Appeals) may authorise the Commissioner to amend accordingly any assessment order made on a member of the association and the time limit specified in section 122(2) shall not apply to the making of such amended assessment.
- As soon as practicable after deciding an appeal, the Commissioner (Appeals) shall specify in the order the amount of tax upheld and serve his order on the appellant and the Commissioner.

  Provided that such order shall be passed not later than one hundred and twenty days from the date of filing of appeal or within an extended period of sixty days, for reasons to be recorded in writing by the Commissioner (Appeals):

  Provided further that any period during which the hearing of an appeal is adjourned at the request of the appellant or is postponed due to any appeal or proceedings or stay order, remand or alternative dispute resolution proceedings or for any other reason, shall be excluded in the computation of the aforementioned periods.

  Any appeal filed to the commissioner appeals above may be processed through the National Faceless centres as may be prescribed by the board.

3 APPEALS BEFORE APPELLATE TRIBUNAL

3.1 Appointment of Appellate Tribunal

- This Tribunal is under the administrative control of the Ministry of Law, Justice and Parliamentary Affairs and therefore enjoys independence from the Board and the assessment machinery.
- The Appellate Tribunal shall consist of a chairperson and such other members as are appointed by the Federal Government having regard to the needs of the tribunal.
- Existing members including Chairman of the Appellate Tribunal shall continue to hold office, on the same terms and conditions as applicable to them prior to the commencement of the Tax Laws (Amendment) Act, 2024, till the completion of their term of office unless resigned or removed earlier.
- A person may be appointed as member of the Appellate Tribunal if the person:
  a) is an advocate of a High Court for not less than fifteen years and possesses such other qualifications as may be prescribed by rules under this section
  b) has for an aggregate period of not less than ten years been:
     i. in practice as a chartered accountant, either individually or in a firm of the chartered accountants, within the meaning of Chartered Accountants Ordinance, 1961
     ii. a chartered accountant, within the meaning of the Chartered Accountants Ordinance, 1961, and has been in employment of a chartered accountant in practice as specified in sub-clause (i) above at least for a period of ten years
  c) has for a period of not less than ten years practiced professionally as a cost and management accountant within the meaning of the Cost and Management Accountants Act, 1966.
  d) is an officer of the Inland Revenue in BS-21 or above; or
  e) is an officer of the Inland Revenue in BS-20, having served in such grade for three years or more.
- The Federal Government shall appoint a member of the Appellate Tribunal as Chairperson of the tribunal. The Chairman shall hold office for a period of three years provided that the Federal Government may reappoint the Chairman for such further term or terms as it may deem appropriate.
- The members including the Chairman shall cease to hold office on attaining the age of sixty-two years provided that the members falling under clauses (d) and (e) shall cease to hold office on attaining the age of superannuation, under the law regulating their service:
- Provided that a member including the Chairman may resign or may be removed by the Federal Government, on the recommendation of performance review committee, to be constituted, at any time before the expiry of his term or attaining the age of superannuation, as the case may be, on grounds, inter alia, of inefficiency or misconduct.
- The procedure of the Appellate Tribunal Inland Revenue including constitution of benches, case management system, distribution of cases and other matters ancillary or incidental thereto shall be regulated by the rules.

3.2 Appeal to the Appellate Tribunal [Sec 131]

The taxpayer or tax department may file appeal before the Income Tax Appellate Tribunal under section 131 of the Ordinance. This section provides that:

- Where the taxpayer, or the Commissioner objects to an order passed by the Commissioner (Appeals), the taxpayer or Commissioner may appeal to the Appellate Tribunal against such order within thirty days of the receipt of such order:

Provided that the taxpayer may directly appeal against the order of the Officer Inland Revenue or the Commissioner as the case may be to the Appellate Tribunal by exercising the option as provided in subsection (1) of section 127.

- An appeal shall be:
  a) in the prescribed form;
  b) verified in the prescribed manner;
  c) accompanied, by the prescribed fee and
  d) Preferred to the Appellate Tribunal within thirty days of the date of service of order on the taxpayer
- The prescribed fee shall be Rs. 20,000 in case of company and Rs. 5,000 in cases other than company.
- The Appellate Tribunal may, upon application in writing, admit an appeal after the expiration of the above said 30 days if it is satisfied that the appellant was prevented by sufficient cause from filing the appeal within that period.
- Notwithstanding that an appeal has been filed before the Appellate Tribunal, tax shall, unless recovery thereof has been stayed by the Appellate Tribunal, be payable in accordance with the assessment made in the case:

  Provided that if on filing of application in a particular case, the Tribunal, after affording opportunity of being heard to the Commissioner having jurisdiction, for reasons to be recorded, may stay the recovery of such tax for 90 days:

  Provided further that the stay order shall cease to have effect, and the Commissioner shall be entitled to recover tax, if the taxpayer does not adhere to the hearing schedule for the appeal, as determined by the Appellate Tribunal in accordance with the rules:

  Provided also that where an appeal is not decided within the statutory period by the Appellate Tribunal, the stay order under the second proviso shall not cease to have effect till finalization of the appeal by the Appellate Tribunal.

3.3 Procedure for disposal of appeal by Appellate Tribunal [Sec. 132]

The mechanism for disposal of appeals by the Appellate Tribunal has been described in section 132 of the Ordinance in the following manner:

- The Appellate Tribunal shall decide the appeal within ninety days of its filing

  Provided that appeals pending before the Appellate Tribunal on the date of commencement of the Tax Laws (Amendment) Act, 2024 shall be decided within one hundred and eighty days:

Provided further that where an appeal is not decided within the aforesaid period, the Appellate Tribunal shall seek condonation from the Minister of Law and Justice and such condonation shall not extend beyond ninety days.

- At the first hearing of appeal, the Appellate Tribunal shall
  a) bring to the notice of the taxpayer, the provisions relating to alternative dispute resolution under section 134A of this Ordinance; and
  b) if the taxpayer declines the option of alternative dispute resolution and wishes to continue with the appeal, fix date or dates for hearing and decision of the appeal in consultation with the taxpayer and Commissioner and in accordance with the rules.

- The Appellate Tribunal shall ensure strict adherence by the taxpayer and the Commissioner, to the hearing schedule as prescribed, and shall hear and decide the appeal on the date or dates fixed, and no adjournment shall be granted, except
  a) where there are compelling reasons for adjournment, to be recorded by the Appellate Tribunal; and
  b) on mandatory payment of such cost as the Appellate Tribunal may deem fit, which shall not be less than fifty thousand rupees.
- Where the appeal relates to an assessment order, the Appellate Tribunal may make an order to:
  a) affirm, modify or annul the assessment order; or
  b) remand the case to the Commissioner for making such enquiry or taking such action as the Tribunal may direct; or
  c) make such order as the Appellate Tribunal may deem fit.
- The Appellate Tribunal shall not increase the amount of any assessment or penalty or decrease the amount of any refund unless the taxpayer has been given a reasonable opportunity of showing cause against such increase or decrease, as the case may be.
- Where, as the result of an appeal, any change is made in the assessment of an association of persons or a new assessment of an association of persons is ordered to be made, the Appellate Tribunal may authorise the Commissioner to amend accordingly any assessment order made on a member of the association and the time limit specified in of section 122(2) shall not apply to the making of such amended assessment.
- Where the appeal relates to a decision other than in respect of an assessment, the Appellate Tribunal may make an order to affirm, vary or annul the decision, and issue such consequential directions as the case may require.
- The Appellate Tribunal shall communicate its order to the taxpayer and the Commissioner.
- Except in case where the taxpayer or commissioner referred the case to high court stating the question of law, the decision of the Appellate Tribunal on an appeal shall be final.

4 REFERENCE APPLICATION BEFORE HIGH COURT

4.1 Reference application before High Court

- Within sixty days of the communication of the order of the Appellate Tribunal, the aggrieved person or the Commissioner may file a reference, in the prescribed form along with a statement of the case, before the High Court, stating any question of law arising out of such order.
- The applicant shall also file complete record of the Appellate Tribunal within fifteen days of preferring an application.
- The statement to the High Court shall set out the facts, the determination of the Appellate Tribunal and the question of law which arises out of its order.
- Where, on an application made, the High Court is satisfied that a question of law arises out of such order, it may proceed to hear the case.
- A reference to the High Court shall be heard by Special Bench or the Special Benches to be constituted by the Chief Justice, as deemed necessary for hearing cases under this section, comprising of not less than two judges of the High Court and, in respect of the reference, the provisions of section 98 of the Code of Civil Procedure, 1908 shall apply, so far as may be, notwithstanding anything contained in any other law for the time being in force.
- The Special Bench shall decide a reference within six months from the date of its filing
- The High Court shall establish a case management system to ensure that sufficient number of Special Benches are constituted, so as to ensure that a reference filed under this section is decided within the stipulated six months.
- The High Court upon hearing a reference under this section shall decide the question of law raised by the reference and pass judgment thereon specifying the grounds on which such judgment is based and the Appellate Tribunal's order shall stand modified accordingly.
- The High Court shall send a copy of the judgment under the seal of the High Court to the Appellate Tribunal.
- Notwithstanding that a reference has been made to the High Court, the tax shall be payable in accordance with the order of the Appellate Tribunal. However, the tax recovery shall not be made by the Commissioner for thirty days from the date of communication of the order of the Appellate Tribunal.
- If the amount of tax is reduced as a result of the judgment in the reference by the High Court and some amount of tax is found to be refundable, the High Court may, on application by the Commissioner within thirty days of the receipt of the judgment of the High Court that he wants to prefer petition for leave to appeal to the Supreme Court, make an order authorizing the Commissioner to postpone the refund until the disposal of the appeal by the Supreme Court.
- On an application filed in a particular reference and after affording an opportunity of being heard to the Commissioner, the High Court may stay recovery of tax, subject to deposit with the assessing authority of not less than thirty percent of the tax determined by the Appellate Tribunal.
- Where recovery of tax has been stayed by the High Court by an order, such order shall cease to have effect on the expiration of a period of six months following the day on which it was made unless the reference is decided or such order is withdrawn by the High Court earlier.
- An application by the aggrieved person other than the Commissioner shall be accompanied by a fee of fifty thousand rupees.
- No application filed by the Commissioner shall be entertained unless it is accompanied by a written authorization by the relevant Chief Commissioner.

4.2 Petition before Supreme Court/Federal Constitutional Court

Supreme Court/Federal Constitutional Court is the final forum for appeal available to the aggrieved parties against any judgment of the High Court. Article 185 of the Constitution of Pakistan provides that any aggrieved party to the decision of the High Court can prefer appeal before the Supreme Court of Pakistan. Accordingly, no provision in this regard is required in the Income Tax Ordinance, 2001.

4.3 Independent case scrutiny committee (Sec-133A)

Gatekeeping

A reference under section 133 before the High Court, or an appeal / review before the Federal Constitutional Court or the Supreme Court, may be filed by the Commissioner IR only after approval by an independent case scrutiny committee constituted by the Board.

Constitution

The Board may set up one or more committees and assign them cases / classes of cases decided by the Appellate Tribunal IR or the High Court.

Composition- Board-nominated members

- a retired judge of the Supreme Court, Federal Constitutional Court or a High Court (also acts as Chairman);
- an Advocate with at least 15 years' experience in tax and commercial litigation before the High Court / Supreme Court, from a Board-notified panel; and
- a senior serving or retired FBR officer (BS-20 or above). A chartered accountant may be co-opted as a non-voting member when required.

Procedure and Binding effect

Powers, functions, procedure and members' remuneration shall be governed as prescribed by the Board. The committee's recommendations are binding on the Commissioner IR having jurisdiction. No suit, prosecution or other legal proceedings lie against committee members or the Commissioner IR for decisions made under this section and the committee exercises its powers from the date of constitution notified by the Board.

Limitation [133A(8)]:

Where an appeal needs the Independent Case Scrutiny Committee's approval first, the days from the date the appeal deadline starts running up to the date the committee gives its approval are not counted, and the chairman certifies that period. So, the time an appeal spends waiting for committee approval does not eat into the appeal-filing deadline.

Where the appeal time had already started before this section came into force, this exclusion begins only from the date the Finance Act, 2026 took effect-not earlier

Example: The appeal must be filed within 30 days of the order dated 1 March 2027, and the committee approves on 20 March 2027. Those 20 days (1–20 March) are excluded and certified by the chairman, so the 30-day appeal period effectively extends by 20 days.

5 ALTERNATIVE DISPUTE RESOLUTION COMMITTEE

5.1 Alternative Dispute Resolution Committee

Another mechanism for settling disputes provided in the income tax law is the Alternative Dispute Resolution under section 134A. This envisages formation of an alternate Dispute Resolution Committee. The said section is as under:

- An aggrieved person may apply for resolution of a dispute pending before any court of law or appellate forum, through ADR mechanism in following cases:

  a) Where the liability of tax is Rs. 50 million or above or admissibility of refund;

  b) The extent of waiver of default surcharge & penalty; or

  c) Any other specific relief required to resolve the dispute.

  for the appointment of a committee for the resolution of any hardship or dispute mentioned in detail in the application, which is under litigation in any court of law or an appellate authority, except where criminal proceedings have been initiated.

- Where the aggrieved person is a state-owned enterprise (SOE), the limit of tax liability of fifty million rupees or above mentioned in clause (a) of sub-section (1) shall not apply and it shall be mandatory for such aggrieved SOE to apply to the Board for the appointment of a committee for the resolution of any dispute under this section

- No suit, prosecution, or other legal proceedings shall lie against the SOE or the committee in relation to the dispute resolved under this section.

- The application for dispute resolution as above shall be accompanied by an initial proposition for resolution of the dispute, including an offer of tax payment an undertaking that the applicant shall accept the decision of the Committee which shall be binding on him in all respects and shall on receipt of the decision immediately withdraw any and all pending litigation or cases of any kind in respect of the dispute, mentioning details thereof.

- If the applicant is an SOE, it shall withdraw any and all such pending litigation and cases immediately and mention the details thereof in the undertaking.

- If the Committee fails to decide within the period of ninety days, the chairman shall dissolve the Committee by an order in writing and the matter shall be decided by the court of law or the appellate authority where the dispute is pending under litigation.

- Where, at any stage of the proceedings, any member of the committee becomes unavailable or is unable to perform his functions for any reason whatsoever, the Chairman of the Board shall, within fifteen days of the occurrence of such vacancy, appoint another person to fill such vacancy, and the committee so reconstituted shall continue to function subject to the same terms, conditions and limitations as were applicable to the original committee. In such case committee shall be allowed a further period of sixty days to conclude the proceedings and perform its functions.

- Total period available to the committee, including the period already consumed prior to such reconstitution, shall in no case be less than ninety days from the date of its original constitution.

- However, in the case of a state-owned enterprise, if the Committee fails to decide within a period of sixty days, the Board shall reappoint a Committee that shall decide the dispute in accordance with sub-section (5) of this section.

- In case of a state-owned enterprise, the Board shall dissolve the Committee by an order in writing, if the reappointed Committee fails to decide the matter within a further period of sixty days. In that scenario, matter shall be decided by the court of law or the appellate authority where the dispute is pending under litigation.

- The Board may, after examination of the application of an aggrieved person, appoint a committee, within fifteen days of receipt of such application in the Board, comprising, -

  i. a retired judge of a High Court, the Federal Constitutional Court or the Supreme Court having adequate experience in dealing with tax or commercial matters, who shall also be the Chairperson of the Committee, to be nominated by the Chairman of the Board from a panel of three names proposed by the nominee of the taxpayer.

  ii. an officer of the Inland Revenue not below BS 21, other than, the Chief Commissioner Inland Revenue having jurisdiction over the case

  iii. a person to be nominated by the taxpayer from amongst

  - chartered accountants, cost and management accountants and advocates having a minimum of 15 years' experience in the field of taxation or commercial matters;
  - officers of the Inland Revenue Service who stood retired in BS 21 or above; or
  - reputable businessmen as nominated by the Chambers of Commerce and Industry:

  Provided that the taxpayer shall not nominate a chartered accountant or an advocate if the said chartered accountant or the advocate is or has been an auditor or an authorized representative of the taxpayer.

- The Board shall communicate the order of appointment of Committee to the aggrieved person, court of law or the appellate authority where the dispute is pending and to the concerned Commissioner.
- The Committee appointed shall examine the issue and may, if it deems necessary, conduct inquiry, seek expert opinion, direct any officer of the Inland Revenue or any other person to conduct an audit and shall decide the dispute by majority, within ninety days of its appointment.
- The decision by the Committee shall not be cited or taken as a precedent in any other case or in the same case for a different tax year.
- The recovery of tax payable by a taxpayer in connection with any dispute for which a Committee has been appointed shall be deemed to have been stayed on the constitution of Committee till the final decision or dissolution of the Committee, whichever is earlier.
- The decision of the Committee shall be binding on the Commissioner when the aggrieved person, being satisfied with the decision, has withdrawn the appeal pending before the court of law or any appellate authority in respect of dispute as mentioned above and has communicated the order of withdrawal to the Commissioner
- Provided that if the order of withdrawal is not communicated to the Commissioner within sixty days of the service of decision of the Committee upon the aggrieved person, the decision of the Committee shall not be binding on the Commissioner.
- The Commissioner shall also withdraw the appeal, if any, pending before any court of law or an appellate authority within thirty days of the communication of the order of withdrawal by the aggrieved person to the Commissioner.
- The aggrieved person shall make the payment of income tax and other taxes and within such time as decided by the Committee and all decisions and orders made or passed shall stand modified to that extent.
- Not with standing the dissolution of the committee, the committee may, by an order in writing, rectify any mistake apparent from the record on its own motion or any mistake brought to its notice by the taxpayer or the Commissioner, within thirty days of the receipt of the decision of the committee by the taxpayer or the Commissioner, as the case may be.
- The Board shall communicate the order of dissolution to the aggrieved person, court of law or the appellate authority and to the Commissioner.
- On receipt of the order of dissolution, the court of law or the appellate authority shall decide the appeal within 90 days of the communication of the said order.

- The Board may prescribe the amount to be paid as remuneration for the services of the members of the Committee, other than Chief Commissioner.
- The Board may, by notification in the official Gazette, make rules for carrying out the purposes of this section.

6 ALGORITHMIC SETTLEMENT MECHANISM.

Establishment [134B(1)]:

The Board may set up a digitally operated algorithmic settlement mechanism ("the mechanism") to settle tax proceedings at any stage before an assessment / amendment order under sections 121, 122 or 122E, via a revision of return under section 114(6).

Basis of the offer [134B(3)] —

The System generated settlement offer shall be calculated on the basis including but not limited to:

- the stage of proceedings at which settlement is offered;
- the taxpayer's compliance history in FBR's data;
- the nature and character of the discrepancy (e.g. valuation / legal-interpretation dispute, unexplained income or assets, or concealment); and
- any other basis the Board considers relevant for revenue adequacy and equitable treatment.

Offer [134B(2)]:

Where the mechanism calculates and presents a settlement offer for voluntary revision of return per the criteria mentioned above, the taxpayer may avail it.

Availing the offer [134B(4)]:

Within 10 days of the offer the taxpayer must (a) accept it on IRIS; (b) deposit the settlement amount with the revised return; and (c) revise the relevant return to incorporate the settled amount.

Abatement [134B(5)]:

Issues confronted through an audit-selection notice, a section 111 notice, an audit report under section 177(6), or a notice under section 122(9) stand abated if the taxpayer revises the return by accepting the offer.

Preservation of other matters [134B(6)]:

The revision does not preclude proceedings on any other issue / discrepancy not covered by the offer, nor affect any other tax year.

7 OTHER APPEAL RELATED MATTERS

7.1 Assessment giving effect to an order [Sec 124]

- The various situations and time limitations are tabulated below:

Decision of appellate authority	Time within which the new assessment order has to be made
Direct relief provided to taxpayer	Two months from the date the order is served on the commissioner
Assessment order wholly or partly set aside	One year from the end of the financial year in which the commissioner or Commissioner (Appeals) is served with the order provided no further appeal or reference is preferred against the order of the appellate authority either by the commissioner or the taxpayer
Any other decision	Two years from the end of the financial year in which the commissioner is served with the order

- Where the Commissioner (Appeals), Appellate Tribunal, High Court or Supreme Court has confirmed the tax payable as determined in the order appealed against no appeal effect order will be required to be issued and the Commissioner shall proceed to effect recovery.
- Where the Appellate Tribunal, High Court, or Supreme Court partially sets aside an order while confirming or modifying other issues in the appeal, the Commissioner will be required to issue an appeal effect order in the prescribed form. The Commissioner will then determine the tax payable based on the confirmed or modified issues, excluding any tax related to matters that have been set aside or remanded back. The tax so assessed on the confirmed or modified issues will be paid or recovered in accordance with the applicable provisions of the Ordinance.
- In case of an assessment order is set aside or modified, the proceedings may commence from the stage next preceding the stage where the setting aside or modification took place. In these cases, Commissioner shall not be entitled to re-issue any notice which was earlier issued or shall not require refurnishing or re-filing of any return, statement or other particulars which were earlier furnished or filed.
- Where in consequence of an order of any appellate forum or court any income is excluded from the computation:

  i. of taxable income of a person for any year and included in the computation of taxable income for another year; or

  ii. of taxable income of one person is included in the taxable income of other person.

  the assessment or amended assessment made as above shall be treated as assessment in consequence of such order.
- In case of an assessment order passed under section 124 (Appeal effect), the tax payable shall become payable immediately instead of payment within 30 days.

7.2 Burden of Proof [Sec 136]

Section 136 of the Ordinance points to one very important aspect of appeal and states that in any appeal by a taxpayer, the burden shall be on the taxpayer to prove, on the balance of probabilities:

1. In the case of an assessment order, the extent to which the order does not correctly reflect the taxpayer's tax liability for the tax year; or
2. In the case of any other decision, that the decision is erroneous.

CHAPTER 17

SCOPE OF SALES TAX LAW AND RULES FOR REGISTRATION AND DEREGISTRATION

IN THIS CHAPTER:

1. Introduction
2. Basic concepts and definitions
3. Scope of tax
4. Liability to pay sales tax
5. Zero rating and exemption
6. Registration
7. De-registration

1 INTRODUCTION

1.1 Preamble

The preamble of the Sales Tax Act, 1990 states that it is an act to consolidate and amend the law relating to the levy of a tax on the sale, importation, exportation, production, manufacture or consumption of goods.

The aforesaid preamble clarifies that the sales tax is not only leviable on the sale of goods but is also on import, export, production, manufacture and consumption of goods. Before we study these terminologies in the ensuing paragraphs, we would like to describe the jurisdiction and extent of applicability of the Sales Tax Act, 1990.

1.2 Extent and applicability of Sales Tax Act, 1990

Section 1 states that the Sales Tax Act, 1990 extends to the whole of Pakistan. The territories of Pakistan as per Article 1(2) of the Constitution comprise the following:

1. the Provinces of Balochistan, Khyber Pakhtunkhwa, Punjab and Sindh;
2. the Islamabad Capital Territory hereinafter referred to as the Federal Capital; and
3. such States and territories as are or may be included in Pakistan, whether by accession or otherwise.

Keeping in view the aforesaid discussion, it means that the Sales Tax Act, 1990 applies to the whole of Pakistan. Now we discuss the tax covered under the sales tax law:

1.3 Taxes under sales tax law

▶ *Definition*

"sales tax" [2(29A)] means—

- the tax, additional tax, or default surcharge levied under this Act;
- a fine, penalty or fee imposed or charged under this Act; and
- any other sum payable under the provisions of this Act or the rules made thereunder.

2 BASIC CONCEPTS AND DEFINITIONS

2.1 Taxable supplies

- *Definition: Taxable Supply [Section 2(41)]*

"Taxable supply" means a supply of taxable goods made by an importer, manufacturer, wholesaler (including dealer), distributor or retailer other than a supply of goods which is exempt under section 13 and includes a supply of goods chargeable to tax at the rate of zero per cent under section 4.

It is imperative to ascertain the answer to the following questions which would eventually clarify whether any transaction is a taxable supply or not:

i. Whether the transaction constitutes a "supply"?

ii. Whether the supply relates to any "taxable goods"?

iii. Whether these taxable goods are supplied by importer, manufacturer, wholesaler (including dealer), distributor or retailer?

iv. Which goods are exempted from levy of tax?

v. What are "zero rated supplies"?

vi. What are "supplies without payment of sales tax"?

2.2 Supply

Definition: The term supply is defined in section 2(33) of the Act in the following way:

Supply means "A sale or other transfer of the right to dispose of goods as owner, including such sale or transfer under a hire purchase agreement and also includes"

i. putting to private, business or non-business use of goods produced or manufactured in the course of taxable activity for purposes other than those of making a taxable supply;

ii. auction or disposal of goods to satisfy a debt owed by a person;

iii. possession of taxable goods held immediately before a person ceases to be a registered person;

iv. in case of manufacture of goods belonging to another person, the transfer or delivery of such goods to the owner or to a person nominated by him;

Provided that the Board, with approval of the Federal Minister-in-charge, may by notification in the official Gazette specify such other transactions which shall or shall not constitute supply.

Note: In the above clause, it will be considered as supply only when the person has produced or manufactured those items and used by himself for non-business (other than further processing). However, if the person is involved in trading of such goods than only input tax on its purchase is inadmissible.

2.3 Taxable goods

- *Definitions:*

The definition of the term "Taxable goods" as given in section 2(39) of the Sales Tax Act, 1990 is as under:

- "Taxable goods" means all goods other than those which have been exempted under section 13;

  The term "Goods" is elaborated in section 2(12) of the Act in the following way:

- "Goods" include every kind of movable property other than actionable claims, money, stocks, shares and securities;

It is important to place on record that under section 8(6) of the Act, the Board with approval of the Federal Minister-in-charge is empowered to prohibit registered persons from supplying taxable goods to specified unregistered persons.

2.4 Exempt supplies

- *Definition*

"Exempt supply" means a supply which is exempt from tax under section 13. [Section 2(11) of the Sales Tax Act, 1990)

Section 13 stipulates that the following goods are exempt from levy of sales tax:

- Supply or import of goods listed in sixth schedule
- Goods specified by the Federal Government through its SROs to the extent and from the date specified therein

The sixth schedule includes a list of items on which no sales tax is levied.

2.5 Zero rated supplies

- *Definition*

The term "Zero rated supplies" is elaborated in section 2(48) of the Act in the following manner:

"Zero-rated supply" means a taxable supply which is charged to tax at the rate of zero per cent under section 4.

Section 4 of the Act elucidates the following items which are chargeable to tax at the rate of zero per cent:

a) Goods exported, or the goods specified in the **Fifth Schedule**;

b) Supply of stores and provisions for consumption aboard a conveyance proceeding to a destination outside Pakistan as specified in section 24 of the Customs Act, 1969;

c) such other goods, as the Federal Government may specify by notification in the official Gazette, whenever circumstances exist to take immediate action for the purposes of national security, natural disaster, national food security in emergency situations and implementation of bilateral and multilateral agreements:

Provided that nothing in this section shall apply in respect of a supply of goods which –

i. are exported, but have been or are intended to be re-imported into Pakistan; or

ii. have been entered for export under Section 131 of the Customs Act, 1969, but are not exported; or

iii. have been exported to a country specified by the Federal Government, by Notification in the official Gazette

Provided further that the Federal Government may by a notification in the official Gazette, restrict the amount of credit for input tax actually paid and claimed by a person making a zero-rated supply of goods otherwise chargeable to sales tax.

2.6 Supplies without payment of sales tax

Under section 60 of the Act, the Federal Government is empowered to prescribe any specified taxable goods which can be imported without payment of whole or part of sales tax.

2.7 Importer, manufacturer, wholesaler, distributor and retailer

Goods supplied by an importer; manufacturer, wholesaler (including dealer), distributor or retailer are taxable goods. Therefore, the goods supplied by persons other than these are not taxable, e.g. supplies by an agriculturist or a bank. These persons are defined in the law in the following manner:

- *Definitions*

Importer [Section 2(13)]

Importer is any person who imports any goods into Pakistan.

Manufacturer or producer [Section 2(17)]

Manufacturer means a person who engages, whether exclusively or not, in the production or manufacture of goods whether or not the raw material of which the goods are produced or manufactured is owned by him; and shall include:

i. a person who by any process or operation assembles, mixes, cuts, dilutes, bottles, packages, repackages or prepares goods by any other manner;

ii. an assignee or trustee in bankruptcy, liquidator, executor, or curator or any manufacturer or producer and any person who disposes of his assets in any fiduciary capacity; and

iii. any person, firm or company which owns, holds, claims or uses any patent, proprietary or other right to goods being manufactured, whether in his or its name, or on his or its behalf, as the case may be, whether or not such person, firm or company sells, distributes, consigns or otherwise disposes of the goods.

Provided that for the purpose of refund under this Act, only such person shall be treated as manufacturer-cum-exporter who owns or has his own manufacturing facility to manufacture or produce the goods exported or to be exported;

The bare reading of the definition clarifies that manufacturing services provided by a person on behalf of a principal are covered within the definition of manufacturing. For example, dyeing services, toll manufacturing, knitting services, etc. Moreover, any person who either produces goods himself or outsources such manufacture is also treated as a manufacturer.

- *Definition:*

"Manufacture" or "produce" [Section 2(16)] includes:

i. Any process in which an article singly or in combination with other articles, materials, components, is either converted into another distinct article or product or is so changed, transformed or reshaped that it becomes capable of being put to use differently or distinctly and includes any process incidental or ancillary to the completion of a manufactured product;

ii. Process of printing, publishing, lithography and engraving; and

iii. Process and operations of assembling, mixing, cutting, diluting, bottling, packaging, repacking or preparation of goods in any other manner.

- *Definition: Retailer [Section 2(28)]*

Means a person supplying goods to the general public for the purpose of consumption.

Provided that any person, who combines the business of import and retail or manufacture or production with retail, shall notify and advertise wholesale prices and retail prices separately, and declare the address of retail outlets.

- *Definition: Retail Price [Section 2(27)]*

With reference to the Third Schedule, means the price fixed by the manufacturer or the importer, in case of imported goods, inclusive of all duties, charges and taxes (other than sales tax) at which any particular brand or variety of any article should be sold to the general body of consumers or, if more than one such price is so fixed for the same brand or variety, the highest of such price;

Provided that the board may, through a general order, specify zones or areas for the purpose of determination of highest retail price for any brand or variety of goods.

Provided further that reduction in price on account of chilling charges or any other similar charges in case of aerated water, beverages, mineral water, or fruit juices shall not be more than five per cent of the price inclusive of sales tax, federal excise duty and all taxes other than income tax on which such goods are actually sold to the general body of consumers.

Provided also that, where the Board deems it necessary, it may, by notification in the official gazette, fix the retail price of goods specified in the third schedule

Provided also that, in case of imported goods specified in the Third Schedule, the retail price shall not be less than one hundred thirty per cent of Custom Assessed Value (CAV).

- *Definition: Distributors [Section 2(7)]*

A person appointed by a manufacturer, importer or any other person for a specified area to purchase goods from him for further supply and includes a person who, in addition to being a distributor, is also engaged in supply of goods as a wholesaler or a retailer.

- *Definition: Wholesaler [Section 2(47)]*

Includes a dealer and means any person who carries on, whether regularly or otherwise, the business of buying and selling goods by wholesale or of supplying or distributing goods, directly or indirectly, by wholesale for cash or deferred payment or for commission or other valuable consideration or stores such goods belonging to others as an agent for the purpose of sale; and includes a person who deducts income tax at source under the Income Tax Ordinance, 2001.

2.8 Registered person

Any importer, distributor, exporter, manufacturer or wholesaler is not liable to sales tax until and unless he is a registered person. The term "Registered person" is reproduced hereunder as defined in section 2(25) of the Act:

- *Definition: Registered Person*

Means a person who is registered or is liable to be registered under the Sales Tax Act, 1990.

Provided that a person liable to be registered but not registered under this Act shall not be entitled to any benefit available to a registered person under any of the provisions of this Act or the Rules made thereunder.

It is evident that a person liable to be registered is covered within the definition of registered person. Hence, a person not registered but liable to be registered can equally be held liable to pay sales tax on the goods supplied during the period that he remained unregistered. However, such a person is not entitled to get the benefit of input tax credit or other benefit available to a registered person as the same are not claimed by way of filing tax returns.

- *Definition:*

Person [Section 2(21)]

Means,

- individual;
- a company or association of persons incorporated, formed, organised or established in Pakistan or elsewhere;
- the Federal Government;
- a Provincial Government;
- a local authority in Pakistan; or
- a foreign government, a political subdivision of a foreign government, or public international organisation

2.9 Taxable activity

- *Definition: Taxable Activity [Section 2(35)]*

Means any economic activity carried on by a person whether or not for profit, and includes—

a) an activity carried on in the form of a business, trade or manufacture;

b) an activity that involves the supply of goods, the rendering or providing of services, or both to another person;

c) a one-off adventure or concern in the nature of a trade; and

d) anything done or undertaken during the commencement or termination of the economic activity,

but does not include—

- the activities of an employee providing services in that capacity to an employer;
- an activity carried on by an individual as a private recreational pursuit or hobby; and
- an activity carried on by a person other than an individual which, if carried on by an individual, would fall within sub-clause (b).

2.10 Value of supply

- *Definition: Value of Supply [Section 2(46)]*

i. In respect of a taxable supply, the consideration in money including all Federal and Provincial duties and taxes, if any, which the supplier receives from the recipient for that supply but excluding the amount of tax:

Provided that:

a) In case the consideration for a supply is in kind or is partly in kind and partly in money, the value of the supply shall mean the open market price of the supply excluding the amount of tax;

b) In case the supplier and recipient are associated persons and the supply is made for no consideration or for a consideration which is lower than the open market price, the value of supply shall mean the open market price of the supply excluding the amount of tax; and

c) In case a taxable supply is made to a consumer from the general public on an instalment basis on a price inclusive of markup or surcharge rendering it higher than open market price, the value of supply shall mean the open market price of the supply excluding the amount of tax.

ii. In case of trade discounts, the discounted price excluding the amount of tax provided the tax invoice shows the discounted price and the related tax and the discount allowed conforms with the normal business practices;

Note 1: Early settlement/prompt payment discounts are not allowed.

Note 2: Discount is not allowed in case of supply of item listed in the 3rd schedule.

iii. In case where for any special nature of transaction it is difficult to ascertain the value of a supply, the open market price;

iv. In case of imported goods, the value determined under the Customs Act, including the amount of customs duties and federal excise duty levied thereon;

Note: Value in case of import should be computed in the following sequence: (Import value + custom/import duties + Regulatory duties + Federal Excise Duty) x Sales tax rate

v. In case where there is sufficient reason to believe that the value of a supply has not been correctly declared in the invoice, the value determined by the Valuation Committee comprising representatives of trade and the Inland Revenue constituted by the Commissioner; and

vi. In case the goods other than taxable goods are supplied to a registered person for processing, the value of supply of such processed goods shall mean the price excluding the amount of sales tax which such goods will fetch on sale in the market;

vii. In case of a taxable supply, with reference to retail tax, the price of taxable goods excluding the amount of retail tax, which a supplier will charge at the time of making taxable supply by him, or such other price as the Board may, by a notification in the official Gazette, specify.

viii. In case of supply of electricity by an independent power producer or WAPDA, the amount received on account of energy purchase price only; and the amount received on account of capacity purchase price, energy purchase price premium, excess bonus, supplemental charges, etc. shall not be included in the value of supply;

ix. In case of supply of electric power and gas by a distribution company, the total amount billed including price of electricity and natural gas, as the case may be, charges, rents, commissions and all duties and taxes local, provincial and federal but excluding the amount of late payment surcharge and the amount of sales tax; and

Note: It is clarified that the value of supply does not include the amount of subsidy provided by the Federal Government or Provincial Government to the electricity consumers and has never been chargeable to tax under the Act.

x. In case of registered person who is engaged in purchasing used vehicles from general public on which sales tax had already been paid at the time of import or manufacturing, and which are, later on, sold in the open market after making certain value addition, value of supply will be the difference between sale and purchase price of the said vehicle on the basis of the valuation method prescribed by the Board.

Provided that, where the Board deems it necessary, it may, by notification in the official Gazette, fix the value of any imported goods including those as specified in the Third Schedule or taxable supplies or class of supplies and for that purpose fix different values for different classes or description of same type of imported goods or supplies. For this purpose of valuation, the Board may use the valuation of such goods as notified by Pakistan Bureau of Statistics immediately before the start of the tax period. The Board may also, where it deems fit, outsource the functions of valuation of goods to a third party in the mode and manner as may be prescribed.

Provided further that where the value at which import or supply is made is higher than the value fixed by the Board, the value of goods shall, unless otherwise directed by the Board, be the value at which the import or supply is made.

The aforesaid definition uses two further terms, i.e. associated person and open market price. These two terms are defined in the Act in the following manner:

Associates or associated persons [Section 2(3)] means, –

"Associates" or "associated persons" shall have the same meaning as defined in Section 85 of the Income Tax Ordinance, 2001. According to Section 85 of the Income Tax Ordinance, 2001, these terms are defined as:

i. Two persons are associates where the relationship between the two is such that one may reasonably be expected to act in accordance with the intentions of the other, or both persons may reasonably be expected to act in accordance with the intentions of a third person;

ii. One person sufficiently influences, either alone or together with an associate, the other person.

Note: Two persons shall be treated as sufficiently influencing each other, where one or both persons are economically and financially dependent on each other and decisions are made in accordance with the directions, instructions or wishes of each other for a common economic goal.

i. One person enters into a transaction, directly or indirectly, with the other who is a resident of a jurisdiction with a zero taxation regime.

ii. Two persons shall not be associates solely by reason of the fact that one person is an employee of the other or both persons are employees of a third person;

iii. Without limiting the generality of the above provisions, the following shall be treated as associates, namely:

a) an individual and a relative of the individual;

b) members of an association of persons;

c) a member of an association of persons and the association, where the member, either alone or together with an associate or associates under another application of this section, controls fifty per cent or more of the rights to income or capital of the association;

d) trust and any person who benefits or may benefit under the trust;

e) a shareholder in a company and the company, where the shareholder, either alone or together with an associate or associates under another application of this section, controls either directly or through one or more interposed persons–

- Fifty per cent or more of the voting power in the company;
- Fifty per cent or more of the rights to dividends; or
- Fifty per cent or more of the rights to capital; and

f) two companies, where a person, either alone or together with an associate or associates under another application of this section, controls either directly or through one or more interposed persons –

- Fifty per cent or more of the voting power in both companies;
- Fifty per cent or more of the rights to dividends in both companies; or
- Fifty per cent or more of the rights to capital in both companies.

i. Two persons shall not be associates under sub-clause (a) or (b) of paragraph (iii) above, where the Commissioner is satisfied that neither person may reasonably be expected to act in accordance with the intentions of the other.

ii. In this clause, "relative" in relation to an individual, means:

a) An ancestor, a descendant of any of the grandparents, or an adopted child, of the individual, or of a spouse of the individual; or

b) A spouse of the individual or of any person specified in sub-clause (a).

- *Definition: Open Market Price [Section 2(19)]*

Means the consideration in money which that supply or a similar supply would generally fetch in an open market;

The term similar supply is elaborated in the following way:

- *Definition: Similar Supply [Section 2(31)]*

In relation to the open market price of goods, means any other supply of goods which closely or substantially resembles the characteristics, quantity, components and materials of the aforementioned goods;

- *Exercise*

a) Waqar Ltd. has supplied 2000 tons of steel to Shoaib Limited. The market price of the supply is Rs. 2.8 million exclusive of sales tax. Owing to financial difficulties, Shoaib Limited has requested to settle the price by transferring a portion of the building having a market value of Rs. 2.5 million and to pay Rs. 75,000 in final settlement along with the applicable sales tax by way of a cheque drawn in favour of Waqar Ltd.

b) Atif's son started his business in July 2025. In order to assist him, Atif supplied him the goods at a discounted price of Rs. 2,500,000. The discount rate allowed was 18% against the normal business practice of allowing a discount at 8%. What would be the correct value of supply on which Atif would be chargeable to sales tax?

c) Usama has supplied 200 per kg of material, falling under the Third Schedule to Munawar Limited, at a wholesale price of Rs. 500 per kg. The retail price of the material is Rs. 900 per Kg.

Required:

Determine the value of supply on which sales tax would be levied under the provisions of the Sales Tax Act, 1990.

▶ *Answer*

a) Supply partly in kind

In case the consideration for a supply is in kind or is partly in kind and partly in money, the value of supply shall mean the open market price of the supply excluding the amount of tax. Therefore, the value of supply shall be Rs. 2,800,000 and not the consideration received. i.e. Rs. 2,575,000.

However, if the sales tax invoice reflects a trade discount of Rs. 225,000 and the discount allowed conforms with the normal business practices, then the value of taxable supply will be taken at Rs. 2,575,000.

b) Discounted price

The transaction is with an associate and not at arm's length. In the case of trade discounts, sales tax is levied on the discounted price excluding the amount of tax, provided that the sales tax invoice shows the discounted price and related tax. Further, the discount allowed should be in conformity with normal business practice.

In this case, the discounted price for charging sales tax will be computed by allowing a discount at 8% instead of 18% as below:

	Rs.
Price at 18% discount	2,500,000
Price at 8% discount	2,804,878
(2,500,000/0·82 x 0·92)	

c) Retail price

On Third Schedule items, sales tax is charged on the retail price of goods excluding the amount of retail tax. Therefore, sales tax would be charged @ 18% on Rs. 180,000 (200kgs x Rs. 900/kg).

2.11 Time of supply

▶ *Definition: Time of Supply [Section 2(44)]*

in relation to,

a) a supply of goods, other than under hire purchase agreement, means the time at which the goods are delivered or made available to the recipient of the supply or the time when any payment is received by the supplier in respect of that supply, whichever is earlier.

b) a supply of goods under a hire purchase agreement, means the time at which the agreement is entered into; and

c) services, means the time at which the services are rendered or provided;

Provided in respect of clause (a), (b) or (c) above where any part payment is received for a supply in a tax period

a) it shall be accounted for in the return for that tax period; and

b) In respect of exempt supply, it shall be accounted for in the return for the tax period during which the exemption is withdrawn from such supply.

2.12 Other definitions/concepts

▶ *Definition: Cottage industry [Section 2(5AB)]*

"Cottage industry" means a manufacturing concern, which fulfils each of the following conditions, namely:-

a) does not have an industrial gas or electricity connection;

b) is located in a residential area;

c) does not have a total labour force of more than ten workers; and

d) annual turnover from all supplies does not exceed eight million rupees;

Treatment of supplies by cottage industry

Local supplies of goods made by a cottage industry are exempt from sales tax. [Sr. No. 3 of Table 2 of the Sixth Schedule to the Sales Tax Act, 1990]

- *Definition: Due Date [Section 2(9)]*

  In relation to the furnishing of a return, means the 15th day of the month following the end of the tax period, or such other date as the Board may, by notification in the official Gazette, specify and different dates may be specified for furnishing of different parts or annexures of the return.

- *Definition: Provincial Sales Tax [Section 2(22A)]*

  Means tax levied under the provincial laws or laws relating to Islamabad Capital Territory, declared by the Federal Government through notification in the official Gazette to be provincial sales tax for the purpose of input tax.

- *Definition: Tax Period [Section 2(43)]*

  Means a period of one month or such other period as the Board with the approval of the Federal Minister-in-charge may, by notification in the official Gazette, specify.

- *Definition: e-intermediary [Section 2(9A)]*

  Means a person appointed as e-intermediary under section 52A for filing of electronic returns and such other documents as may be prescribed by the Board from time to time, on behalf of a person registered under section 14.

- *Definition: Advance Receipt invoice [Section 2(1AA)]*

  Means an invoice in the format as may be notified by the Board from time to time.

- *Definition: Electronic invoicing system [Section 2(9AB)]*

  Means such electronic system or mechanism as may be prescribed or approved by the Board for issuance and recording of sales tax invoices in electronic form.

- *Definition: Tier one retailer [Section 2(43A)]*

  Means a retailer falling in any one or more of the following categories:

  i. a retailer operating as a unit of an international or national chain of stores;

  ii. a retailer operating in an air-conditioned shopping mall, centre or plaza, excluding Kiosks;

  iii. A retailer whose cumulative electricity bill during the immediately preceding twelve consecutive months exceeds Rs. 1,200,000;

  iv. a wholesale-cum-retailer having turnover of more than Rs. 200 million, engaged in bulk import and supply of consumer goods on wholesale basis to the retailers as well as on retail basis to the general body of the consumers;

  v. a retailer having turnover exceeding two hundred million rupees either by way of declaration or from worked back value of turnover from tax deduction under section 236G or 236H of Income Tax Ordinance, 2001 during the immediately preceding twelve consecutive months; and

  vi. any other person or class of persons as prescribed by the Board;

  The Board may also exclude any person or class of persons through a notification in the official gazette.

- *Definition: Company [Section 2(5AA)]*

  Means

  a) a company as defined in the Companies Ordinance, 1984;

  b) a body corporate formed by or under any law in force in Pakistan;

  c) a modaraba;

  d) a body incorporated by or under the law of a country outside Pakistan relating to incorporation of companies;

  e) a trust, a co-operative society or a finance society or any other society established or constituted by or under any law for the time being in force; or

  f) a foreign association, whether incorporated or not, which the Board has, by general or special order, declared to be a company for the purposes of the Income Tax Ordinance, 2001.

3 SCOPE OF TAX

3.1 Normal rate of sales tax

- Sales tax @ 18% is charged, levied and paid on the value of:
  - i. taxable supplies made by a registered person in the course or furtherance of any taxable activity carried on by him; and
  - ii. goods imported into Pakistan irrespective of their final destinations in territories of Pakistan.
- Where the taxable supplies are made to a person who has not obtained a registration number, or he is not an active taxpayer, there shall be charged, levied and paid a further tax at the rate of 4% of the value in addition to the normal rate of 18%.
- However, the Federal Government may, by notification in the official Gazette, specify the taxable supplies in respect of which the further tax shall not be charged, levied and paid.
- SRO 648(1)/2013 dated 9th July, 2013 provides the following list of persons on which this further tax @ 4% is not charged, levied or paid on the taxable supplies of:
  - i. Electricity energy supplied to domestic and agricultural consumers.
  - ii. Natural gas supplied to domestic consumers and CNG stations.
  - iii. Motor oil, diesel oil, jet fuel, kerosene oil and fuel oil.
  - iv. Goods sold by the retailers to end customers.
  - v. Supply of goods directly to end customers including food, beverages, fertilisers and vehicles.
  - vi. Items listed in Third Schedule to the Sales Tax Act, 1990.
  - vii. Second-hand worn clothing and other worn articles falling under PCT heading 6309.0000.
  - viii. Supplies by steel-melters, re-rollers and ship breakers
  - ix. Supplies covered under the Fifth Schedule to the Sales Tax Act, 1990.
  - x. Supplies made to Government, semi-government and statutory regulatory bodies.
  - xi. Supply of white crystalline sugar (PCT heading 1701.9910 and 1701.9920).
  - xii. Supply of foam or spring mattresses and other foam products for household use
  - xiii. Supplies by steel sector and edible oil sector.

3.2 Tax on taxable supplies specified in third schedule [Sec 3(2)(a)]

- Taxable supplies and import of goods specified in the Third Schedule shall be charged to tax at the rate of eighteen per cent of the retail price or, in case such supplies or imports are also specified in the Eighth Schedule, at the rates specified therein.
- The manufacturer or the importer shall legibly, prominently and indelibly print or emboss retail price along with the amount of sales tax on the packet, container, package, cover or label etc.
- Board may exclude from or include in said schedule any taxable supply by notification in the official Gazette.

- Goods specified in the third schedule are:

Sr. No.	Description	Sr. No.	Description
1.	Fruit Juices and Vegetable Juices	14.	Toilet Soap
2.	Detergents	15.	Shampoo
3.	Toothpaste	16.	Milky Drinks
4.	Shaving Cream	17.	Powder Drinks
5.	Perfumery and Cosmetics	18.	Toilet paper & tissue paper
6.	Ice Cream	19.	Spices sold in retail packing bearing brand names and trademarks.
7.	Tea	20.	Cement sold in retail packing
8.	Aerated Waters or Beverages	21.	Shoe polish and shoe cream
9.	Syrups and Squashes	22.	Mineral / Bottled water
10.	Cigarettes	23.	Other household and specified items
11.	Vegetable and animal fats and oils, sold in retail packing	24.	Crockery items sold in retail packing
12.	Sugar confectionery sold in retail packing	25.	Milk, fat-filled milk, preparations suitable for infants, and other products of milk sold in retail packing
13.	Sauces, ketchup, fermented beverages, petroleum jelly. Plates, sheets, film, foil, tape, etc. sold in retail packing	26.	Car and automobile accessories sold in retail packing
		27.	Footwear (all types) except where the manufacturer exclusively sells its products through digitally integrated and POS compliant retail outlets.

- Import of the following items:

Sr. No.	Description
14.	Import of pet food for dogs and cats
15.	Import of coffee sold in retail packing
16.	Import of chocolates sold in retail packing
17.	Import of cereal bars sold in retail packing

- Federal Government may, subject to such conditions and restrictions as it may impose, by notification in the official Gazette, declare that the tax on goods specified in the Third Schedule shall be collected and paid at such higher rate or rates on the retail price thereof, as may be specified in the said notification.

- As per SRO 297(I)/2023 dated 08 March 2023, the Federal Government has directed to charge sales tax @ 25% on **import and subsequent supply** of the following Third Schedule goods:

Sr. No.	Imported goods/Articles
1.	Aerated water or beverages
2.	Cigarettes, Cigars and e-cigarettes
3.	Cosmetic and shaving items
4.	Tissue papers
5.	Household articles including crockery, kitchenware and tableware
6.	Home appliances in CBU
7.	Ice cream
8.	Fruit and vegetable juices
9.	Mattress and sleeping bags
10.	Shampoos

3.3 Special rates of tax [Sec 3(2)(b)]

The Federal Government is empowered to prescribe any higher or lower rate of tax in respect of any class of taxable goods. Vide SRO 297(I)/2023 dated 08 March 2023, the Federal Government has directed to charge sales tax @ 25% on import and subsequent supply of the following goods:

Sr. No.	Imported goods/Articles
1.	Confectionery
2.	Vehicles in CBU Condition
3.	Sanitary and bathroom wares
4.	Carpets (excluding those from Afghanistan)
5.	Chandeliers and lighting devices or equipment
6.	Chocolates
7.	Corn flakes and other ready-to-use cereals
8.	Decorations or ornamental articles
9.	Dog and cat food only
10.	Doors and window frames
11.	Fish
12.	Footwear
13.	Fruits and dry fruits (excluding those imported through land route or barter mechanism

Sr. No.	Imported goods/Articles
14.	Furniture
15.	Jams, jellies and preserved fruits
16.	Leather jackets and apparel
17.	Fresh, chilled, frozen, preserved or processed meat
18.	Musical instruments
19.	Pasta
20.	Arms and ammunition excluding defence stores
21.	Sunglasses
22.	Tomato ketchup and sauces
23.	Travelling bags and suitcases
24.	A ship designed or adapted for use for recreation or pleasure or private use
25.	An aircraft designed or adapted for use for recreation or pleasure or private use
26.	Articles of jewellery
27.	Wristwatches

Moreover, sales tax @ 25% will be charged on supply of the following locally manufactured goods:

Sr. No.	Supply of locally manufactured goods
1.	Locally manufactured or assembled vehicles having engine capacity of 1400cc and above
2.	Locally manufactured or assembled vehicles if invoice value (excluding sales tax) exceeds Rs. 4 million
3.	Locally manufactured or assembled double cabin (4x4) pick up vehicles

Note: Enhanced rates of SRO 297 dated 8.3.2023 shall not be applicable on goods specified in 8th Schedule.

3.4 Extra tax [Sec 3(5)]

The Federal Government is empowered to levy and collect tax at such extra rate or amount not exceeding 18% in addition to the amount of sales tax or retail tax, levied under the Sales Tax Act, 1990. This tax shall be levied on the value of such goods or class of goods, on such persons or class of persons, in such mode, manner and at time and subject to such conditions and limitations as may be prescribed.

3.5 Capacity tax [Sec 3(1B)]

On the goods specified in the Tenth Schedule, in lieu of levying and collecting tax on taxable supplies, the tax shall be levied and collected, in the mode and manner specified therein on:

a) production capacity of plants, machinery, undertaking, establishments or installations producing or manufacturing such goods; or

b) fixed basis, as it may deem fit, from any person who is in a position to collect such tax due to the nature of the business.

3.6 Tax on retailers [Sec 3(9)]

- Tier-I category retailers shall pay tax in normal manner at standard rate of 18%.
- Tax shall be charged from retailers other than those falling in Tier-1, through their monthly electricity bills in the following manner:

  i. Sales tax @ 5% where the monthly bill amount does not exceed Rs 20,000.

  ii. Sales tax @ 7.5% where the monthly bill amount exceeds Rs 20,000.

  The electricity supplier shall deposit the amount so collected directly without adjusting against his input tax.

  The above tax on other than tier-I retailers is other than normal tax of 18%, further tax of 4% and extra tax.

3.7 Tax on supply to CNG stations

- In case of supply of natural gas to CNG stations, the Gas Transmission and Distribution Company shall charge sales tax from the CNG stations at the rate of 18% on the value of supply to the CNG consumers.
- Value for the purpose of levy of sales tax shall include price of natural gas, charges, rents, commissions and all local, provincial and Federal duties and taxes but excluding the amount of sales tax.

3.8 Special Powers to the Federal Government [Sec 3(6)]

The Federal Government or the Board is authorised to levy, in lieu of Sales Tax, by notification in the Official Gazette such amount of tax as it may deem fit on any supplies or class of supplies or any goods or class of goods. They are also authorised to specify the mode, manner or time of payment of such tax.

3.9 Taxation of digital transactions within Pakistan

- Supply of digitally ordered goods would be subject to sales tax withholding at a rate of 2% on the gross value of supplies from the persons supplying digitally ordered goods from within Pakistan through online marketplaces, websites, and software applications.
- Whereas such withholding tax would be final discharge of sales tax liability for cottage industry and retailers (other than tier-I retailers). However, no input tax adjustment will be allowed to them and such persons are not required to obtain sales tax registration.

  Note: However, persons other than "Cottage industry" and "Other than Tier-1 retailer" shall compute their liability in the normal manner and the tax deducted by Courier company and payment intermediary shall be adjustable.

- The liability to collect and pay sales tax at the rate of 2% will be on the ‘‘courier'' for supplies made on a CoD basis and on the ‘‘payment intermediary” in case of digital payments. The terms courier and payment intermediary are defined as under:

  “courier" means any entity engaged in the delivery of goods and collection of cash on behalf of a seller, including logistic services and ride-hailing services.

  “Payment intermediary" means a banking company, any financial institution including a licensed foreign exchange company or payment gateway that facilitates the transfer of funds or payment instructions between two or more parties to enable, process, route, or settle payments in a financial transaction, without being the ultimate source or recipient of the payment.

- The Act provides mandatory registration for every person (except Cottage Industry and persons other than Tier-1 retailers), including a non-resident person, selling goods from within Pakistan through an online marketplace, website or software application, in the prescribed form and manner.
- To implement the registration measure for such persons, the Act provides to restrict any person from using the services of online marketplaces and couriers from conducting e-commerce transactions unless that person is registered for income and sales tax purposes.

- To ensure accuracy and compliance with the aforementioned legal provisions, the Act provides for the submission of a monthly statement in the prescribed form by online marketplaces, payment intermediaries and couriers. This statement will detail vendor-wise amounts of supplies made of taxable digitally ordered goods, corresponding tax due and any other prescribed information, irrespective of the economic ownership of supplies from within Pakistan.

▶ *Example*

ABC Traders is a **small retailer** based in Lahore that sells household items through an online marketplace called *E-Mart Online*. A customer places an order for goods worth **Rs. 100,000**, selecting **Cash on Delivery (CoD)** as the payment method. The goods are delivered by *SpeedX Logistics*, a courier company.

As per the **Finance Act, 2025**, under the **Eleventh Schedule** to the **Sales Tax Act, 1990**, a **courier company is required to withhold 2% sales tax** on the **gross value** of digitally ordered goods supplied from within Pakistan. This **withheld amount constitutes the final sales tax liability** in the case of **retailers other than Tier-1 retailers**.

Required

Calculate the amount of tax to be withheld by the courier and explain the tax treatment for ABC Traders.

▶ *Answer*

1. Gross Supply Value = Rs. 100,000
2. Sales Tax Withheld (2%) = Rs. 100,000 × 2% = Rs. 2,000
3. Net Payment to ABC Traders = Rs. 98,000

Tax Treatment:

- **ABC Traders**, being a **non–Tier-1 retailer**, is not required to register for sales tax.
- The **2% tax withheld by the courier** is treated as **final discharge** of ABC Traders' sales tax liability for that transaction.
- ABC Traders is **not entitled to input tax adjustment**.
- The **courier (SpeedX Logistics)** must **deposit the Rs. 2,000** to the FBR and submit a **monthly statement** under **Section 26**, listing seller-wise details.

4 LIABILITY TO PAY SALES TAX

4.1 Liability to pay tax [Sec 3(3)]

- The liability to pay the tax shall be:
  i. In the case of supply of goods in Pakistan, of the person making the supply, and
  ii. In the case of goods imported into Pakistan, of the person importing the goods.
- The Board, with the approval of the Federal Minister-in-charge, may specify the goods in respect of which the liability to pay tax shall be of the person receiving the supply.

4.2 Collection of excess sales tax [Sec 3B]

- Any person who has collected or collects any tax or charge, whether under misapprehension of any provision of this Act or otherwise, which was not payable as tax or charge or which is in excess of the tax or charge actually payable and the incidence of which has been passed on to the consumer, shall pay the amount of tax or charge so collected to the Federal Government.
- Any amount payable to the Federal Government shall be deemed to be an arrear of tax or charge payable under this Act and shall be recoverable accordingly, and no claim for refund in respect of such amount shall be admissible.
- The burden of proof that the incidence of tax or charge has been or has not been passed to the consumer shall be on the person collecting the tax or charge.

▶ *Exercise*

Hassan (Pvt.) Ltd. under misapprehension collected additional sales tax of Rs. 100,000 from one of its customers. 65% of the goods on which additional sales tax was collected are still lying with the customer as unsold stock.

▶ *Answer*

In the above scenario, since 65% of the stock, on which excess tax of (100,000 x 65%) Rs. 65,000 was collected, is still unsold, Hassan (Pvt.) Ltd should return this amount to its customer. However, the balance amount of Rs. 35,000, the incidence of which has been passed on to the consumers, should be deposited with the Federal Government.

4.3 Joint and several liability of registered persons in supply chain where tax unpaid (Sec 8A)

- Where a registered person receiving a taxable supply from another registered person is in the knowledge or has reasonable grounds to suspect that some or all of the tax payable in respect of that supply or any previous or subsequent supply of the goods supplied would go unpaid of which burden to prove shall be on the department, such person as well as the person making the taxable supply shall be jointly and severally liable for payment of such unpaid amount of tax.
- Provided that the Board may by notification in the official gazette, exempt any transaction or transactions from the provisions of this section.

5 ZERO RATING AND EXEMPTION

5.1 Goods charged to tax @ 0%

- Value of the following goods shall be charged to tax at the rate of zero per cent:
  i. goods exported, or the goods specified in the Fifth Schedule;
  ii. supply of stores and provisions for consumption aboard a conveyance proceeding to a destination outside Pakistan as specified in the Customs Act, 1969; and
  iii. such other goods, as the Federal Government may specify by notification in the official Gazette, whenever circumstances exist to take immediate action for the purposes of national security, natural disaster, national food security in emergency situations and implementation of bilateral and multilateral agreements

5.2 Exception to the above rule

- Provision relating to zero rating shall not apply in respect of a supply of goods which:
  i. are exported, but have been or are intended to be re-imported into Pakistan; or
  ii. have been entered for export under the Customs Act, 1969, but are not exported; or
  iii. have been exported to a country specified by the Federal Government, by Notification in the official Gazette.
- Federal Government may, by a notification in the Official Gazette, restrict the amount of credit for input tax actually paid and claimed by a person making a zero-rated supply of goods otherwise chargeable to sales tax.

5.3 Relevant extracts from the Fifth Schedule are given hereunder

Sr. #	Description
1	Supplies of raw materials, components and goods for further manufacture of goods in the Export Processing Zone.
2	Supply to diplomats, diplomatic missions, privileged persons and organisations
3	Supplies made to exporters under the Duty and Tax Remission Rules, 2001
4	Supplies of raw materials, components and goods for further manufacture of goods in the Gwadar Free Zone and export thereof

5.4 Goods exempt from sales tax [Sec 13]

- Supply of goods or import of goods specified in the Sixth Schedule shall, subject to such conditions as may be specified by the Federal Government, be exempt from tax under the Sales Tax Act. The provisions of section 13 shall apply notwithstanding anything contained in section 3.
- the Federal Government may, whenever circumstances exist to take immediate action for the purposes of national security, natural disaster, national food security in emergency situations and implementation of bilateral and multilateral agreements, by notification in the official Gazette, exempt any supplies made or imports, of any goods or class of goods from the whole or any part of the tax chargeable under this Act, subject to the conditions and limitations specified therein;"; Exemption from tax chargeable under above second paragraph above may be allowed from any previous date specified in the notification issued or order made.
- The Board shall place before the National Assembly all exemption-related notifications issued during the financial year.
- Any notification issued above, if not earlier recommended, shall stand rescinded on the expiry of the financial year in which it has been issued.

- *Exercise:*

Distinguish the concept of zero rating with exempt supply as laid down in the Sales Tax Act 1990.

Distinction points	Zero Rated Supply	Exempt Supply
Definition under section 2	(48) "Zero rated supply means a taxable supply which is charged to tax at the rate of zero per cent under section 4"	(11) "Exempt Supply means a supply which is exempt from tax under section 13"
Products covered	Goods exported, notified by FBR or listed in the Fifth Schedule are charged to sales tax at the rate of zero per cent.	Goods listed in the Sixth Schedule are exempt supplies. Moreover, the Federal Government and FBR may specify any goods exempt from levy of tax.
Invoicing Requirements	An invoice shall be raised for the goods supplied, but sales tax shall be charged at the rate of zero per cent.	No sales tax invoice shall be raised.
Registration	A person engaged in zero-rated supplies has to be registered with the Sales Tax Department.	A person engaged exclusively in exempt supplies is not liable to be registered under the Sales Tax Act.
Input tax credit	Input Tax paid related to zero-rated supplies is refundable.	Input Tax paid related to Exempt supplies is inadmissible; therefore, neither adjustable nor refundable.

6 REGISTRATION

6.1 Registration and person required to be registered [Sec 14]

- Every person engaged in making taxable supplies in Pakistan, including zero-rated supplies, in the course or furtherance of any taxable activity carried on by him, falling in any of the following categories, if not already registered, is required to be registered under this Act, namely:-
  a) a manufacturer who is not running a cottage industry;
  b) a retailer who is liable to pay sales tax excluding such retailer required to pay sales tax through his electricity bill;
  c) an importer;
  d) an exporter who intends to obtain sales tax refund against his zero-rated supplies;
  e) a wholesaler, dealer or distributor; and
  f) a person who is required, under any other Federal law or Provincial law, to be registered for the purpose of any duty or tax collected or paid as if it were a levy of sales tax to be collected under the Act;
- Persons not engaged in making of taxable supplies in Pakistan, if required to be registered for making imports or exports, or under any provisions of the Act, or any other Federal law, may apply for registration.
- The registration shall be regulated in such manner as the Board may, by notification in the official Gazette, prescribe.

▶ *Exercise*

Under the provisions of the Sales Tax Act, 1990 and Rules made thereunder, briefly explain whether the persons under each of the following situations are required to be registered with the Inland Revenue Department. Also compute the amount of sales tax, if any, payable by or refundable to such persons. The rate of sales tax is 18%.

i. A manufacturer whose annual turnover during the last twelve months ended 30 September 2026 is Rs. 14,500,000 and the amount of his annual utility bills for the same period is Rs. 800,000.

ii. A distributor whose annual turnover during the last twelve months is Rs. 3,000,000.

iii. An importer whose annual turnover is Rs. 12,000,000.

iv. A commercial exporter who intends to claim a refund of Rs. 200,000.

▶ *Answer*

Requirement of registration:

i. Manufacturers other than those classified as cottage industry are required to be registered under the Sales Tax Rules 2006. Cottage industries are those that will fulfil the conditions specified in section 2(5AB) of the STA, 1990.

Therefore, in this case, since the manufacturer is not a cottage industry, it is required to be registered and pay any sales tax and compute its sales tax liability on a monthly basis.

ii. Since a distributor is required to be registered with the Inland Revenue Department irrespective of his turnover, in this case the distributor would register with the Inland Revenue Department and pay sales tax of Rs. 540,000 on his turnover of Rs. 3,000,000.

iii. Since an importer is required to be registered with the Inland Revenue Department irrespective of his turnover, in this case the importer would be required to register himself with the Inland Revenue Department.

Sales tax at the import stage would be paid on the basis of import value.

iv. A commercial exporter is not required to be registered with the Inland Revenue Department. However, an exporter who intends to obtain sales tax refund against his zero-rated supplies must get registration before making an application for such refund. Therefore, in this case, since the exporter intends to claim a refund of Rs. 200,000, he must get himself registered with the Inland Revenue Department.

6.2 Coercive actions for non-registration

The Act has introduced a sub-section 2(A) in section 14 of the ST Act authorising the Commissioner or any other officer to compulsorily register a person who is required to be registered under the ST Act but fails to apply for the registration, after an appropriate inquiry.

Currently, the tool of compulsory registration is used under the ST Act to identify the undocumented sector that supplies taxable goods but has not registered for sales tax purposes. To address this issue, the Federal Government has introduced punitive measures that involve discontinuance of gas and electricity connections for unregistered individuals. This action would be enforced through general orders issued by the FBR.

Actions will be taken against the person who is liable to be registered but fails to do so through the introduction of Sections 14AC, 14AD, and 14AE. These three sections are summarised in the table below:

Section	Trigger condition	Procedure	Enforcement Measures
Bar on operation of bank accounts-Sec-14AC	Commissioner believes an individual/entity is supplying taxable goods/services without registration	Person given 3 separate show-cause notices and hearing opportunities. After failed response, intermittent suspensions of bank account through direction to banks.	• Suspension of bank account operations (each suspension lasts 3 working days, up to 3 times, with ≥1 week gap between the suspensions) • Continuous non-compliance-Escalation by directing the bank to permanently bar operation of bank accounts
Bar on transfer of immoveable property-Sec-14AD	Failure to obtain registration within 15 days from issuance of order u/s 14AC-permanent bar of bank account	• Committee composition (Chief Commissioner + Commissioner + commerce/trade body rep) • Opportunity of being heard to taxpayer and to get registration within fifteen days prior to recommendation	• Committee recommendation to Commissioner for imposition of bar on transfer of immoveable property • Commissioner will direct the property registration authority to bar transfer of immoveable property
Other measures for non-registration-Sec-14AE	Continued non-registration and non-compliance even after action u/s 14AC and 14AD	• Committee composition (Chief Commissioner + Commissioner + commerce/trade body rep) • Issuance of public notice specifying date from which a sanction is to be imposed • Placement of decision on the Board website and newspaper.	Chief Commissioner shall have power to • Seal the business premises • seizure of movable assets • appointment of receivers for management of taxable activity

6.3 Registration application, Electronic filing of return (Rule 5, 18)

Every person who intends to get itself registered is required to file an application for registration. The Sales Tax Rules prescribe the mechanism for filing of this application in the following manner:

- A person required to be registered, before making any taxable supplies, applies on the computerised system through the owner, authorised member or partner or authorised director, as the case may be, in the Form STR-1. Such application shall specify the Regional Tax Office (RTO) in whose jurisdiction the registration is sought, as per criteria given below:
  a) in case of a listed or unlisted public limited company, the place where the registered office is located;
  b) in case of other companies—
     i. if the company is primarily engaged in manufacture or processing, the place where the factory is situated; and
     ii. if the company is primarily engaged in business other than manufacture or processing, the place where main business activities are actually carried on;
  c) in case of a person not incorporated, the jurisdiction where the business is actually carried on; and
  d) in case of a person not incorporated, having a single manufacturing unit and whose business premises and manufacturing unit are located in different areas, the jurisdiction where the manufacturing unit is located
- The jurisdiction of Large Taxpayers Units shall remain as specified by the Board. Further, the Board may transfer the registration of any registered person to a jurisdiction where the place of business or registered office or manufacturing unit is located.
- The applicant having NTN or income tax registration shall, using his login credentials, upload the following information and documents:
  a) bank account certificate issued by the bank in the name of the business;
  b) registration or consumer number with the gas and electricity supplier;
  c) particulars of all branches in case of multiple branches at various locations;
  d) GPS tagged photographs of the business premises; and
  e) in case of a manufacturer, also the GPS tagged photographs of machinery and industrial electricity or gas meter installed.
  f) in the case of an individual, association of persons and a company having only one shareholder or member, other than a manufacturer, a balance sheet indicating the amount of business capital with corresponding assets in the bank, amounts attributable to partners with percentage.

Provided that where an individual, an association of persons and a company having only one shareholder or member, other than a manufacturer, already registered, do not fulfil the requirement, the electronic filing of return shall only be allowed with prior authorisation of the Commissioner through IRIS.

- Rule 5(4) previously required biometric verification only for new registrations. A proviso is now inserted through which every individual, partner of an association of persons and director of a single-member company are required to visit the e-Sahulat Centre of NADRA during the month of July every year for biometric re-verification. In case of failure of biometric re-verification, the electronic filing of return shall only be made with prior approval of the Commissioner through IRIS.
- An individual, association of persons and a company having only one shareholder or member will be required to obtain authorisation from the Commissioner through IRIS for filing of Sales Tax Return in case such registered person wants to declare its sales which is five times more than the sum of capital and liabilities declared in the balance sheet. This authorisation is not required for persons registered as manufacturers.

6.4 Temporary registration (Rule 5A)

- Where a person files an application for sales tax registration as a manufacturer without having installed machinery, for the purpose of import of machinery to be installed by him, temporary registration as manufacturer shall be allowed to him for a period of sixty days subject to furnishing of the complete list of machinery to be imported along with Bill of Lading (BL) or Goods Declaration (GDs).
- The temporary registration shall be issued by the computerised system within seventy-two hours of filing of the complete application.
- After receiving temporary registration, the person shall be allowed to import plant, machinery and raw materials, etc. as a manufacturer, subject to submission to the customs authorities of a post-dated cheque equal to the difference in duties and taxes to be availed as a manufacturer.
- In case the requirements prescribed in clause (h) of sub-rule (1A) and sub-rule (1B) of rule 5 are not fulfilled within sixty days of issuance of the temporary registration, such temporary registration shall be disabled and the post-dated cheques submitted shall be encashed.
- A person holding temporary registration shall file a monthly return in the form STR-7, but shall not issue a sales tax invoice, and if such invoice is issued, no input tax credit shall be admissible against such invoice.
- No sales tax refund shall be paid to the person during the period of temporary registration, and the amount of input tax may be carried forward to his returns for subsequent tax periods.

6.5 Option to file application with Commissioner Inland Revenue (Rule 9)

- A person who is unable to file an application for registration or change in particulars of registration directly in the computerised system may submit the prescribed application and required documents to the concerned Commissioner Inland Revenue at RTO, which shall ensure entry of the application and documents in the computerised system within three days.

6.6 Compulsory registration (Rule 6)

Rule 6 of the sales tax rules states that:

- If a person, who is required to be registered under the Act, does not apply for registration and the CIR or any other officer, as may be authorised by the Board, after such inquiry as deemed appropriate, is satisfied that such person is required to be registered, he shall issue notice to such person in the Form set out in Form STR-6.
- In case the CIR receives a written reply from the said person within the time specified in the above notice, contesting his liability to be registered, the CIR shall grant such person opportunity of personal hearing, if so desired by the person, and shall thereafter pass an order whether or not such person is liable to be registered compulsorily. Copy of the said order shall invariably be provided to that person. Where the CIR passes the order for compulsory registration, he shall cause the said person to be registered through a computerised system.
- Where the person to whom a notice as given above does not respond within the time specified in the notice, the CIR shall cause to compulsorily register the said person through computerized system under intimation to the said person through courier service.
- A person registered compulsorily as above is required to comply with all the provisions of the Act and rules made there under from the date of compulsory registration, and in case of failure to do so, the CIR having jurisdiction may issue notice U/S 25 of the Act for production of records or documents and appearance in person to assess the amount of sales tax payable U/S 11 of the Act, and take any other action as required under the law against such person:

  Provided that if it is subsequently established that a person was not liable to be registered but was wrongly registered under this rule due to inadvertence, error or misconstruction, the CIR shall cause to cancel his registration through the computerised system. In case of such cancellation of registration, such person shall not be liable to pay any tax, default surcharge or penalty under the Act or rules made thereunder, subject to the conditions, limitations and restrictions prescribed U/S 3B of the Act.

6.7 Change in the particulars of registration (Rule 7)

- In case there is a change in the name, address or other particulars as stated in the registration certificate, the registered person shall notify the change in the Form STR-1 to the computerised system, within fourteen (14) days of such change.
- The change of business category as 'manufacturer' shall be allowed subject to fulfilment of all applicable requirements as specified in rule 5.
- In case of approval of the change applied for, a revised registration certificate shall be issued through the computerised system, which shall be effective from the date the person applied for the change.
- The CIR may, based on available information or particulars and after making such inquiry as he may deem necessary and after providing reasonable opportunity of being heard to a person, by an order in writing, make modifications in the registration of the person.

6.8 Transfer of registration (Rule 8)

- The Board may, in accordance with rule 5 or otherwise, by an order, transfer the registration of a registered person from the jurisdiction of one LTO or RTO to another.
- On transfer of registration,--
  a) all the records and responsibilities relating to such registered person shall be transferred to the LTO or RTO, in whose jurisdiction the registration has been so transferred;
  b) not with standing the actions already taken, being taken or otherwise pending immediately before the transfer in respect of such registered person under any of the provisions of the Act or the rules made there under in the LTO or RTO from where his registration has been transferred, the LTO or RTO, in whose jurisdiction the registration is so transferred shall exercise the jurisdiction over such person in the manner as if it always had such jurisdiction.
- In case of transfer of registration as above, the Board shall issue an intimation letter to the registered person along with a copy to the concerned LTO or RTO.
- In case a registered person intends to shift his business activity from the jurisdiction of one LTO or RTO to another, or he has any other valid reason for such transfer, he shall apply to the Board for transfer of his registration along with Form STR-I. The Board shall follow the procedure as provided above.

6.9 Cancellation of multiple registrations (Rule 10)

- In case a person holds multiple sales tax registrations, he shall retain only one registration and surrender all other registrations under intimation to the concerned CIR at RTO.
- Provided that the Board may, subject to such conditions as it may deem appropriate, allow or allocate a person separate registration for manufacturing units located in different LTO or RTO.
- The tax liabilities against the registration cancelled as above shall be transferred against the registration retained, and in case of such registrations being in different LTO or RTO, the CIR having jurisdiction over cancelled registrations shall ensure that tax arrears files are transferred to the LTO or RTO, having jurisdiction over the registration so retained.

7 DE-REGISTRATION

7.1 De-registration (Sec 21)

- The Board or any Officer, authorised in this behalf, may deregister a registered person or such class of registered persons as are not required to be registered under the Sales Tax Act. The deregistration shall be made in accordance with the rules framed by the Board.

  In addition to the aforesaid provision of the Sales Tax Act, 1990, the following Rule 11 of the Sales Tax Rules, 2006 is also prescribed in connection with deregistration:

- A registered person may be liable for deregistration due to any of the following reasons:

  i. He ceases to carry on his business;

  ii. His supplies have become exempt from tax;

  iii. He transfers or sells his business;

  iv. Merger with another person; or

  v. Failure to file a tax return for six consecutive months.

7.2 Procedure of de-registration (Rule 11)

1. Every registered person who ceases to carry on his business or whose supplies become exempt from tax and he intends to get de-registered shall apply online on the computerized system, or who ceases to remain registered shall apply to the Commissioner Inland Revenue having jurisdiction for cancellation of his registration in Form STR-3, and the Commissioner, on such application or on its own initiative, may issue order of deregistration or cancellation of the registration of such person from such date as may be specified, but not later than sixty days from the date of such application or the date all the dues outstanding against such person are deposited by him, whichever is later and such person shall cause to be deregistered through computerized system accordingly.

2. Where the Commissioner Inland Revenue desires to conduct any audit or inquiry of the applicant to determine his tax liability, he shall require the applicant, in writing, to provide the requisite records, and the Commissioner, on receipt of complete requisite records and upon completion of any audit or inquiry which may have been initiated consequent upon the application of the registered person for de-registration, shall complete such proceedings or inquiry within ninety days from the date of application and direct the applicant to discharge any outstanding liability which may have been raised therein by filing a final return under section 28.

   Upon submission of the final return and payment, if any, an entry to this effect shall be made in the computerised system, which shall automatically de-register the applicant on the expiry of ninety days, subject to the provisions of sub-rule (4):

   Provided that the person applying for de-registration on the computerised system shall not be de-registered unless he provides a record for the purpose of audit or inquiry.

   Provided further that after the date of online submission of the application for de-registration, the registered person shall be barred from filing **Annex-C, Annex-D and sales tax returns**, and **no input tax adjustment or refund** shall be admissible to such person during the currency of de-registration, nor shall any input tax adjustment or refund be allowed to any other registered person on the basis of invoices issued by such person during the currency of de-registration.

- If a registered person fails to file a tax return for six consecutive months, the Commissioner, without prejudice to any action that may be taken under any other provision of the Act, after issuing a notice in writing and after giving an opportunity of being heard to such person, shall issue an order of de-registration of such person and the computerized system shall be caused to de-register the person accordingly. The obligations and liabilities of the person whose registration is cancelled under sub-rule (1) relating to the period when he conducted business as a registered person shall not be affected by the fact that his registration has been cancelled or that he has ceased to be a registered person.

7.3 Suspension and Blacklisting of registration [Sec-21]

- Where the Commissioner is satisfied that a registered person is found to have issued fake invoices, has committed non-compliance of section 23(5)and 23(6) (Issuance of electronic invoice and its integration with FBR) or section 40C (Electronic monitoring of production through trace and track system) or has otherwise committed tax fraud, he may issue an order of suspension and blacklisting such person or suspend his registration in accordance with such procedure as the Board may by notification in the official Gazette, prescribe
- The Commissioner shall, within ten days of issuance of an order of suspension, issue a show cause notice to the registered person. Upon receipt of the reply to the notice and after giving an opportunity of hearing to the registered person, if the Commissioner is satisfied, he may order revocation of suspension of the registered person or issue an appealable speaking order for blacklisting of the registered person within thirty days of receipt of the reply to the notice.
- During the period of suspension of registration, the invoices issued by such person shall not be entertained for the purposes of sales Tax refund or input tax credit, and once such person is black listed, the refund or input tax credit claimed against the invoices issued by him, whether prior or after such black listing, shall be rejected through a self-speaking appealable order and after affording an opportunity of being heard to such person

7.3.1 Suspension of registration [Rule 12(a)]

- Where the Commissioner or Board has reasons to believe that the registered person is to be suspended or blacklisted, to ensure that the LTOs and RTOs follow a uniform policy for suspension and blacklisting of sales tax registered persons under section 21(2) of the Act and for subsequent proceedings in such cases, the following procedure shall be followed, namely:-

  (a) Suspension

  i. Where a Commissioner, having jurisdiction, is satisfied that a registered person has issued fake invoices, evaded tax or committed tax fraud, registration of such person may be suspended by the Commissioner through the system, without prior notice, pending further inquiry. The basis for such satisfaction may inter alia include the following, namely:–

     a. non-existence of the registered person at the given address;

     b. refusal to allow access to business premises or refusal to furnish records to an authorised Inland Revenue Officer;

     c. activity becomes 5 times more than the sum of the capital and liabilities declared in the balance sheet;

     d. making more than l0% purchases from or making l0% supplies to other suspended person in the month of suspension, except suspension based in terms of clause B or value of above Rs. 50 million or whichever is higher;

     e. non-filing of sales tax returns for three consecutive months and null filing of sales tax returns for six consecutive months;

     f. committed any act which falls within the ambit of tax fraud;

     g. any other reason to be specified by the Board;

  ii. the suspension of registration shall take place through a written order of the Commissioner concerned, giving reasons for suspension. This order shall be endorsed to the registered person concerned, all other LTOs/RTOs, the FBR‘s computer system, the STARR computer system and the Customs Wing computer system for information and necessary action as per law; 43 Substituted for the words —the procedure as prescribed by the Board shall be followed by Notification No. SRO. 494(I)/2015, dated 30th June, 2015. Sales Tax Rules, 2006

  iii. a registered person who does not file sales tax return for three consecutive months shall be caused to be suspended through the system without any notice;

iv. in cases, where the buyers and suppliers of any such person, whose registration is being suspended, belongs to another LTO/RTO, and these buyers/suppliers are also required to be suspended, the Commissioner shall intimate the Chief Commissioner of the concerned LTO/RTO in whose jurisdiction such buyers/suppliers fall, in writing explaining the complete facts of the case and the reasons on the basis of which these buyers/suppliers are to be suspended, to initiate proceedings for suspension/blacklisting of the buyers/suppliers;

v. no input tax adjustment/refund shall be admissible to the registered person during the currency of suspension. Similarly, no input tax adjustment/refund shall be allowed to any other registered persons on the strength of invoices issued by such suspended person (whether issued prior to or after such suspension), during the currency of suspension;

vi. the Commissioner shall, within seven days of issuance of the order of suspension, issue a show cause notice (through registered post or courier service) to the registered person to afford an opportunity of hearing within fifteen days of the issuance of such notice, clearly indicating that he will be blacklisted, in case–

a) there is no response to the notice;

b) he has not provided the required record;

c) he has not allowed access to his business record or premises (under section 40B and 40C); and

d) any other reason specified by the Board;

vii. in case a show-cause notice is not issued within seven days of the order of suspension, the order of suspension shall become void ab initio;

viii. in case of non-availability of the suspended person at the given address, the notice may be affixed on the main notice Board of the LTO/RTO;

ix. on receipt of the reply to the notice and after giving an opportunity of hearing to the registered person, if the Commissioner is satisfied, he may order the revocation of suspension of the registered person (within thirty days of receipt of the reply to the notice);

7.4 Blacklisting [Rule 12(b)]

- in case, after giving an opportunity of hearing, the offence is confirmed, the Commissioner shall issue an appealable self-speaking order for blacklisting of the registered person, and shall proceed to take legal and penal action under the relevant provisions of the Act;
- the order of blacklisting shall contain the reasons for blacklisting, the time period for which any refund or input tax claimed by such person or by any other registered person on the strength of invoices issued by him from the date of his registration shall be inadmissible, any recovery to be paid or penalties to be imposed;
- the order of blacklisting shall be issued within ninety days of the issuance of the notice of hearing. In case the order of blacklisting is not issued within this time period, the suspension of the registered person shall become void ab initio;
- copies of the order shall be endorsed to the registered person concerned, all other LTOs/RTOs, the FBR/PRAL computer system, the STARR computer system and the Customs Wing computer system. Each LTO/RTO shall circulate all such lists to their refund sections, audit sections and other concerned staff to ensure that the order is implemented in letter and spirit by all concerned;
- all LTOs/RTOs shall further circulate the copies of the order along with a computer system-generated list of invoices issued by the blacklisted persons as referred to in the preceding clause, to all officers of Inland Revenue having jurisdiction over the registered persons who have claimed credit of input tax or refund on the strength of the invoices issued by the said blacklisted persons; and
- the officer of Inland Revenue receiving the aforesaid list under clause (v) shall issue show-cause notice under section 11 and sub-section (3) of section 21 of the Act to a registered person for rejecting the input tax or refund claimed against the invoices so circulated and further proceed to decide the matter as per law through a self-speaking appealable order and after affording a reasonable opportunity of being heard to such person, in the manner as provided in the said sub-section (3).

7.5 Active taxpayer [Section 2(1A)]

An **active taxpayer** means a registered person who does not fall into any of the following categories. A registered person shall become a **non-active taxpayer** if:

i. his registration is suspended, or he is blacklisted;

ii. he fails to file a sales tax return by the due date for two consecutive tax periods;

iii. he fails to file an income tax return by the due date; or

iv. he fails to file an annual or quarterly withholding tax statement.

A registered person **who falls in any of the above categories** shall automatically become a non-active taxpayer, and his name shall be removed from the Active Taxpayers List maintained by the Board.

Restrictions on a non-active taxpayer [Rule 12A]

A non-active taxpayer shall not be entitled to:

i. file Goods Declarations for import or export;

ii. issue sales tax invoices;

iii. claim input tax or a refund; or

iv. avail any concession under the Act or the Rules made thereunder.

No person, including government departments, autonomous bodies and public sector organisations, shall make any purchases from a non-active taxpayer.

Where a registered buyer enters an invoice issued by a non-active taxpayer in **Annexure-A** of its return, a message shall appear stating that the supplier is a non-active taxpayer and that **no input tax credit shall be admissible** against such invoice.

Restoration of active status [Rule 12B]

A non-active taxpayer may be restored to active status if:

i. the registered person files the return or statement along with payment of any tax due under the Act or Income Tax Ordinance, 2001**;**

ii. the RTO or LTO having jurisdiction, on satisfying itself after conducting such audit or other investigation as may be necessary, recommends to the Board for restoration; and

iii. the Board issues an order to such effect.

7.6 Discontinuance of gas and electricity connections [Sec 14(AB)]

- FBR is empowered to discontinue the supply of gas and electricity to the following persons while notifying the gas and distribution companies:

Persons	Reasons
Any person including Tier-1 retailers	Fails to register for sales tax purposes
Registered Tier-1 retailers	Not integrated with FBR's computerised system

- Upon registration/integration, FBR shall restore their connections through Sales Tax General Order.

CHAPTER 18

DETERMINATION OF SALES TAX LIABILITY

IN THIS CHAPTER:

1. Determination of tax liability
2. Output tax
3. Input tax
4. Tax refunds, assessment and recovery

1 DETERMINATION OF TAX LIABILITY

1.1 Determination of tax liability [Sec 7]

- The liability of a registered person in respect of taxable supplies made by him during the tax period shall be the difference between:
  i. Output tax due from him in respect of taxable supplies made during a tax period; and
  ii. Input tax paid or payable during the said tax period for the purpose of taxable supplies made or to be made by him excluding the amount of further tax.
- Where a registered person did not deduct input tax within the relevant period, he may claim such tax in the return for any of the six succeeding tax periods.
- Credit for input tax paid on purchases which are not paid for as per the provisions of section 73, shall not be allowed.
- Deduction of input tax from the output tax payable by a registered person shall be allowed if:
  i. In case of a claim for input tax in respect of a taxable supply made, he holds a tax invoice in his name and bearing his registration number in respect of such supply for which a return is furnished or in case of supply of electricity or gas, a bill bearing his registration number and the address where the connection is installed;
  ii. In case of goods imported into Pakistan, he holds a bill of entry or goods declaration in his name and showing his sales tax registration number, duly cleared by the customs under section 79, section 81 or section 104 of the Customs Act, 1969; and
  iii. In case of goods purchased in auction, he holds a treasury challan bearing his name and his registration number showing payment of Sales Tax.
- The sales tax liability of a registered person is determined by the following equation:

Particulars	Rs.
Output sales tax on supplies +/ – effect of debit/credit notes	xxx
Admissible input sales tax on purchases or utilities	(xxx)
Balance sales tax payable/carried forward/ (refundable)	xxx / (xxx)

Certain transactions and input tax related thereto that are inadmissible (Sec 73)

1. Any payment exceeding Rs. 50,000 (excluding utilities) to a single supplier in a tax period must be made using the banking channel.
2. Payment must be made from the business bank account of the buyer to the business bank account of the supplier. Bank accounts of both buyer and supplier should be declared to the Board at the time of registration/through change of particulars subsequently.
3. Payment must be made within 180 days of issuance of tax invoice in case of credit transactions. (The Board may extend time through condonation u/s 74).

   Adjustments made by a registered person in respect of amounts payable and receivable to and from the same party shall be treated as payments satisfying the provisions of this section subject to the conditions that sales tax has been charged and paid by both parties, wherever applicable, and the registered person has sought prior approval of the Commissioner before making such adjustments.

If any of the above conditions are not fulfilled, then:

a) Buyer will not be entitled to claim input tax/refund/zero rating.

b) Supplier will not be entitled to claim input tax/refund/zero rating if the amount is not received in the bank account.

Note 1: Input tax should be reversed in the month after lapse of 180 days.

Note 2: Sec 73 is not applicable on a registered person supplying goods to an unregistered person. However, the supplier should deposit cash in his business bank account to claim input tax.

Restriction on input on supplies to unregistered persons (Sec 73(4), Sec 23, Sec 8)

1. A registered person shall not be entitled to claim input tax on supplies made to unregistered persons. The Federal Board of Revenue (FBR), with the approval of the Federal Government, will prescribe the applicable sales threshold in the future. Consequently, the previous threshold of Rs. 10 million per month or Rs. 100 million per year is no longer applicable.
2. Similarly, as per section 23 read with section 8, any tax invoice issued shall bear the CNIC/NTN number in case supplies are made by a manufacturer or importer to an unregistered distributor. In case of non-compliance, input tax attributable to supplies made to an unregistered distributor on a pro-rata basis is disallowed. Similarly, expense will be disallowed proportionate to total turnover in income tax.

1.2 Change in the rate of tax [Sec 5]

- If there is a change in the rate, tax shall be applicable as under:
  - i. A taxable supply made by a registered person shall be charged to tax at such rate which is in force at the time of making the supply;
  - ii. Imported goods shall be charged to tax at such rate as is in force:
    - a) in case the goods are entered for home consumption, on the date on which a goods declaration is presented under section 79 of the Customs Act, 1969; and
    - b) in case the goods are cleared from warehouse, on the date on which a goods declaration for clearance of such goods is presented under section 104 of the Customs Act, 1969.
- Where a goods declaration is presented in advance of the arrival of the conveyance by which the goods are imported, the tax shall be charged at the rate as is in force on the date on which the manifest of the conveyance is delivered.

If the tax is not paid within seven days of the presentation of the goods declaration under section 104 of the Customs Act, the tax shall be charged at the rate as is in force on the date on which tax is actually paid.

▶ *Exercise*

The rate of sales tax has increased from 17% to 18% effective from 23 May 2026. The accountant of the company is unsure about the manner in which the sales tax return for the month of May 2026 would need to be furnished.

▶ *Answer*

If there is a change in the rate of tax during a tax period, a separate return in respect of each portion of the tax period has to be furnished showing the application of the different rates of tax.

Therefore, the company will furnish two returns:

- a return for the period from 1 May 2026 to 23 May 2026 with 17% rate; and
- a separate return for the period from 23 May 2026 to 31 May 2026 with an 18% rate

Alternatively, only one sales tax return may be filed if the single return will provide the facility to incorporate both the sales tax rates as stated above.

1.3 Time and manner of payment [Sec 6]

Time of payment

- Time for payment of tax on goods imported

  Tax in respect of goods imported into Pakistan shall be charged and paid in the same manner and at the same time as if it were a duty of customs payable under the Customs Act, 1969.

- Time for payment of tax on taxable supplies.

  Tax in respect of taxable supplies made during a tax period shall be paid by the date as prescribed in this respect by the registered person at the time of filing the return in respect of that period.

  The Board may, by a notification in the Official Gazette, direct that the tax in respect of all or such classes of supplies (other than zero-rated supplies) of all or such taxable goods, as may be specified in the aforesaid notification, shall be charged, collected and paid in any other way, mode, manner or at time as may be specified therein.

Mode of payment

- The tax due on goods imported or taxable supplies shall be paid in any of the following manners:

  i. Tax on goods imported shall be paid in the manner as if it were a duty of customs payable under the Customs Act, 1969;

  ii. The tax due on taxable supplies shall be paid by any of the following modes, namely:

  a) through deposit in a bank designated by the Board; and

  b) through such other mode and manner as may be specified by the Board.

- The Federal Government may, subject to such conditions, limitations and restrictions as it may impose, by notification in the official Gazette, allow payment of sales tax on an instalment basis by Federal or Provincial Governments or any public sector organisation on import or supply of goods or class of goods. Moreover, such payment may be allowed from any previous date.

2 OUTPUT TAX

2.1 Output tax

Output tax is defined in section 2(20) in the following manner:

▶ *Definition*

In relation to a registered person, means-

i. tax levied under this Act on a supply of goods, made by the person;

ii. tax levied under the Federal Excise Act, 2005 in sales tax mode as a duty of excise on the manufacture or production of the goods, or the rendering or providing of the services, by the person;

iii. provincial sales tax levied on services rendered or provided by the person;

iv. sales tax levied on the services rendered or provided by the person under Islamabad Capital Territory (Tax on Services) Ordinance, 2001

2.2 Adjustment of debit and credit notes

Section 9 of the Act read with section 7 permits the adjustment of the debit/credit notes against output tax. These notes can be issued where a registered person has issued a tax invoice in respect of a supply made by him; however, due to the following circumstances, the said invoice may require amendments:

- Cancellation of supply;
- Return of goods;
- A change in the nature of supply;
- Change in the value of the supply;
- Some such event; the amount shown in the tax invoice; or
- Return needs to be modified.

2.2.1 Applicability (Rule 19)

The above adjustment can only be made where a registered person has issued a tax invoice in respect of a supply made by him and, as a result of the issuance of a debit/credit note, the amount shown in the tax invoice or the return needs to be modified.

2.2.2 Cancellation or return of supply (Rule 20)

- In case a registered person has made a supply, and such supply or part thereof is cancelled or returned, the buyer or the recipient shall issue a debit note (in duplicate) in respect of such supply or part thereof, indicating the quantity being returned or the supply of which has been cancelled, its value determined on the basis of the value of supply as shown in the tax invoice issued by the supplier and the amount of related sales tax paid thereon, as well as the following, namely:-
  - i. name and registration number of the recipient;
  - ii. name and registration number of the supplier;
  - iii. number and date of the original sales tax invoice;
  - iv. the reason for issuance of the debit note; and
  - v. signature and seal of the authorised person issuing the note.
- The original copy of the debit note shall be sent to the supplier, and the duplicate copy shall be retained for record.

- In the case of cancellation of supplies made to, or return of goods by, an unregistered person, the supplier shall issue a credit note providing the same particulars as are specified above and keep a copy for record.
- A new proviso is inserted which requires the seller to obtain prior approval of the Commissioner for preparation of a credit note in case of cancellation of supplies or return of goods by an unregistered person. Regarding the credit note for a registered person, the procedure is unchanged, i.e. the buyer shall issue a Debit Note first, and the seller can then claim such note as a credit note.

2.2.3 Change in Value of Supply or amount of sales tax (Rule 21)

Where for any valid reason the value of supply or the amount of sales tax mentioned in the invoice issued has increased, the supplier shall issue a debit note (in duplicate), with the following particulars, namely:-

- name and registration number of the supplier;
- name and registration number of the recipient;
- number and date of the original sales tax invoice;
- original value and sales tax as in original invoice;
- the revised value and sales tax;
- the difference in value and sales tax adjustable;
- the reason for revision of value; and
- signature and seal of the authorised person issuing the note.
- Where, for any valid reason, the value of supply or the amount of sales tax mentioned in the invoice issued has decreased, the supplier shall issue a credit note (in duplicate), with the same particulars as specified above. The original copy of the note shall be sent to the recipient, and the duplicate shall be retained for record.

2.2.4 Adjustment of input and output tax (Rule 22)

- The buyer shall not be entitled to claim input tax in respect of the supply which has been cancelled or returned to the supplier or in respect of which the amount of tax was reduced.
- Where the buyer has already claimed input tax credit in respect of such supplies, he shall reduce or increase the amount of input tax by the corresponding amount as mentioned in the Debit Note or Credit Note, as the case may be, in the return for the period in which the respective note was issued.
- Where the supplier has already accounted for the output tax in the sales tax return for the supplies against which the Debit Note was issued subsequently, he may increase or reduce the amount of output tax by the corresponding amount as mentioned in the Debit Note, in the return for the period in which the respective note was issued.
- Provided that in case of return of supplies by an unregistered person, the adjustment as aforesaid can be made against the Credit Note issued by the supplier.
- The adjustments as hereinbefore noted which lead to reduction in output tax or increase in input tax can only be made if the corresponding Debit Note or Credit Note is issued within one hundred and eighty days of the relevant supply.

  Note: Corresponding debit and credit note is mandatory for increase in input tax or decrease in output tax. If only one party issues the debit/credit note, it will not be considered for adjustment. Provided that the Collector may, at the request of the supplier, in specific cases, by giving reasons in writing, extend the period of one hundred and eighty days by a further one hundred and eighty days.
- The debit/credit notes shall be governed by the mechanism including electronic adjustments as may be prescribed by the Board. [Sec 9 1st proviso, STA, 1990]

- Where the goods relating to a returned or cancelled supply are subsequently supplied to the original buyer or some other person with or without carrying out any repairs, the supplier shall charge sales tax thereon in the normal manner and account for it in his return for the period in which these goods were supplied.

2.2.5 Destruction of goods (Rule 23)

Where any goods are returned by the buyer on the ground that the same are unfit for consumption and are required to be destroyed by the supplier, the goods shall be destroyed after obtaining permission from the Collector of sales tax having jurisdiction, and under the supervision of an inland revenue officer of sales tax not below the rank of an Assistant Collector as may be deputed by the Collector for the purpose and the input tax credit in respect of goods so destroyed shall not be admissible.

▶ *Exercise*

Following are results of Nadeem Associates for preparation of sales tax return for the month of August, 2026

Supplies	75,000,000
Purchases	55,000,000
Sales tax on utility bills of factory	500,000
Sales returns of June 2026	6,500,000
Purchases returns of July 2026	1,200,000

Required:

Compute sales tax liability of Nadeem Associates

▶ *Answer*

Particulars	Value of supply	Sales tax
Output tax on supplies	68,500,000 (i.e. 75,000,000 -6,500,000) x 18%	12,330,000
input tax	53,800,000 (55,000,000 – 1,200,000) x 18%	(9,684,000)
Sales tax on utilities		(500,000)
Net sales tax payable		2,146,000

3 INPUT TAX

3.1 Definition of input tax

The peculiar meanings assigned to this widely used term are given in section 2(14) of the Act:

▶ *Definition: Input Tax [2(14)]*

In relation to a registered person, means:

- tax levied under this Act on supply of goods to the person;
- tax levied under this Act on the import of goods by the person;
- in relation to goods or services acquired by the person, tax levied under the Federal Excise Act, 2005 in sales tax mode as a duty of excise on the manufacture or production of the goods, or the rendering or providing of the services;
- Provincial Sales Tax levied on services rendered or provided to the person excluding those services as specified by the Board through notification in the official Gazette subject to such conditions, restrictions and limitations as mentioned therein; and
- levied under the Sales Tax Act, 1990 as adapted in the State of Azad Jammu and Kashmir, on the supply of goods received by the person;

3.2 Time of claim of input tax

Section 7 stipulates that a registered person shall not be entitled to deduct input tax from output tax unless:

- in case of a claim for input tax in respect of a taxable supply made in Pakistan, he holds a tax invoice in his name and bearing his registration number in respect of such supply for which a return is furnished;
- in case of goods imported into Pakistan, he holds the goods declaration duly cleared by the customs under section 79, section 81 or section 104 of the Customs Act, 1969;
- in case of goods purchased in auction, he holds a treasury challan in his name and bearing his registration number;
- the supplier declares the supplies in his return or pays the due tax as shown in this return.
- To claim input on advance paid, buyer must have advance payment receipt which is to be issued by seller and will be treated as equivalent to tax invoice.

3.3 Input tax not admissible [Sec 8]

- A registered person shall not be entitled to deduct input tax paid on:
  - i. the goods or services which are not used or not to be used for the manufacture or production of taxable goods or for taxable supplies made or to be made by him;
  - ii. the goods on which extra amount of tax is payable under sub-section (5) of section 3;
  - iii. any other goods or services which the Board with the approval of the Federal Government may by a notification in the official Gazette specify;
  - iv. the goods or services in respect of which sales tax has not been deposited in the Government treasury by the respective supplier;
  - v. fake invoices;
  - vi. purchases made by a registered person in case he fails to provide information relating to his imports, purchases, sales etc. as required by the Board through a notification u/s 26(5);
  - vii. purchases in respect of which a discrepancy is indicated by CREST or input tax of which is not verifiable in the supply chain;

viii. goods and services not related to the taxable supplies made by the registered person;

ix. goods and services acquired for personal or non-business consumption;

x. goods used in, or permanently attached to, immoveable property, such as building and construction materials, paints, electrical and sanitary fittings, pipes, wires and cables, but excluding pre-fabricated buildings and such goods acquired for sale or re-sale or for direct use in the production or manufacture of taxable goods;

xi. vehicles falling in the First Schedule to the Customs Act, 1969, parts of such vehicles, electrical and gas appliances, furniture, furnishings, office equipment (excluding electronic cash registers), but excluding such goods acquired for sale or re-sale;

xii. services in respect of which input tax adjustment is barred under the respective provincial sales tax law;

xiii. import or purchase of agricultural machinery or equipment subject to sales tax at the rate of 7% under Eighth Schedule to this Act; and

xiv. from the date to be notified by the Board, such goods and services which, at the time of filing of return by the buyer, have not been declared by the supplier in his return or he has not paid the amount of tax due as indicated in his return.

xv. Import of scrap of compressors.

xvi. The input goods or services attributable to supplies made by a manufacturer or importer to an unregistered distributor, on a pro-rata basis, for which sale invoices do not bear the NIC number or NTN, as the case may be, of the recipient as stipulated in section 23.

- If a person deals in taxable and non-taxable supplies, he can reclaim only such portion of input tax as is attributable to taxable supplies computed in the following manner:

Residual input tax credit on taxable supplies	Value of taxable supplies / Value of taxable + exempt supplies	X Residual input tax

▶ *Exercise*

Omega Enterprises has submitted the following data for the month of July 2026.

	Rupees
Sales to registered persons	6,000,000
Export of goods	2,500,000
Supply of Exempt goods	500,000
Gross Purchases from Registered suppliers	6,500,000
Gross Purchases from Unregistered suppliers	500,000
Purchase Return to Registered suppliers	650,000

Required:

You are required to compute the sales tax liability of Omega Enterprises for the month of July 2026. For the sake of simplicity, ignore the 90% adjustment of input tax against output tax rule as mentioned in section 8B.

▶ *Answer*

Output tax			**Rs.**
Sales to registered persons	Rs. 6,000,000 x 18%		1,080,000
Export of goods	Rs. 2,500,000 x 0%		-
Exempt supplies	-		
	Output tax		1,080,000
Input tax (w-1)			(702,000)
Balance payable			**378,000**
Input refundable pertaining to zero-rated supplies			**(292,500)**
Working:			
W-1:			
Apportionment of input tax, as per the Sales Tax Rules, 2006			
Residual input (Rs.6,500,000-650,000) x 18%			**1,053,000**
Value of taxable supply	6,000,000	702,000	(6M/9M x 1,053,000)
Zero rated supplies	2,500,000	292,500	(2.5M/9M x 1,053,000)
Exempt supplies	500,000	58,500	(0.5M/9M x 1,053,000)
	9,000,000	1,053,000	

- Monthly adjustment of input tax claimed by a registered person shall be treated as provisional adjustment and at the end of each financial year, the registered person shall make final adjustment on the basis of taxable and exempt supplies made during the course of that year.
- Deduction of input tax from output tax shall not be allowed to a person who is not registered under the Sales Tax Act.

3.4 Certain transactions and input tax related thereto that are inadmissible [Sec 73]

Where the sum received is partly in cash and partly in kind, then the same transaction would be allowed subject to the conditions:

- Goods received in kind represent taxable goods
- Goods received are reflected in records.
- The balance amount, even if less than Rs. 50,000, is received through a crossed banking instrument.

  If the banking instrument is issued but the same is not encashed or deposited within 180 days, then the input tax shall not be denied. However, it must be ensured that the amount is ultimately deposited in the seller's account and the said instrument is not cancelled.

3.5 Adjustable input tax [Sec 8B]

Section 8B of the Sales Tax Act, 1990 states that:

- A registered person shall not be allowed to adjust input tax in excess of 90% of the output tax for that tax period.
- Restriction on the adjustment of input tax in excess of 90% of the output tax shall not apply in case of fixed assets or capital goods. However, the Board may, by notification in the official Gazette, exclude any person or class of persons from the purview of this para.
- The Finance Act, 2026 has empowered the Board to reduce or enhance the limit of adjustable input tax for any registered person based on the compliance or non-compliance with the production monitoring, digital invoicing, e-Bilty, POS, or any other electronic system prescribed by the Board for digital integration of data.
- A registered person may be allowed adjustment or refund of input tax not allowed as per the above provisions subject to the following conditions.
  i. In the case of registered persons, whose accounts are subject to audit under the Companies Act, 2017, upon furnishing a statement along with annual audited accounts, duly certified by the auditors, showing value additions less than the limit prescribed above; or
  ii. In case of other registered persons, subject to the conditions and restrictions as may be specified by the Board by notification in the official Gazette.
- The adjustment or refund of input tax, if any, shall be made on a yearly basis in the second month following the end of the financial year of the registered person.
- The Board may, by notification in the official Gazette, prescribe any other limit of input tax adjustment for any person or class of persons.
- In order to limit input tax allowance, the Board may also use a data-based automated risk management system to defer certain input tax or fix higher or lower limits of input tax adjustment.

  Provided that the registered person may contest the action taken under this sub-section by filing an application and documents with the Commissioner concerned, who shall decide the case within thirty days of such application.
- Any auditor found guilty of misconduct in furnishing the certificate mentioned above shall be referred to the Council for disciplinary action under section 20D of the Chartered Accountants, Ordinance, 1961.
- Input tax allowed in case of locally manufactured electric vehicles subject to reduced rate of tax under the Eighth Schedule shall be limited to the extent of amount of output tax and no refund or carry forward of excess input tax shall be allowed.
- In case a Tier-1 retailer does not integrate his retail outlet in the manner as prescribed during a tax period or part thereof, the adjustable input tax for the whole of that tax period shall be reduced by 60%.

▶ *Exercise*

In the light of the provisions of the Sales Tax Act, 1990, explain as to the chargeability/adjustment of sales tax in respect of each of the following independent situations.

i. Sales tax of Rs. 100,000 was paid along with the electricity bill paid in cash during August 2026. The bill pertained to the manufacture of 50% of goods exported to the UAE and 50% of the goods which are exempt from sales tax.

ii. Free replacement of defective parts is made in the case of taxable goods, which have been sold under warranty. During the month of August 2026, the market value of such replacement parts was Rs. 500,000.

iii. ABC Manufacturing Limited purchased raw material amounting to Rs. 100 million on credit. The payment was made after 240 days of the issuance of the tax invoice by way of crossed cheque drawn on the business bank account of the supplier.

iv. Destruction of damaged goods.

v. Purchase of taxable goods from a person who has a reputation of evading sales tax.

vi. Payment of fuel to be used for machinery by the Director of the company using his own credit card.

▶ *Answer*

i. Sales tax paid on electricity bills

Sales tax paid along with an electricity bill is an admissible input tax only when the electricity was used to produce taxable goods. Further, in the case of utility bills, payment in cash does not disentitle a claim of input tax paid thereon. Therefore, input tax of Rs. 50,000 would be refundable, whereas the balance sales tax of Rs. 50,000 paid in respect of exempt supplies would not be allowed as input.

ii. Free replacement of defective parts

The free replacement of defective parts (open market value of Rs. 500,000) during the warranty period is considered equivalent to the value of the original supply and not a separate supply. Such replacement is not chargeable to tax.

iii. Payment after 240 days

Due to the payment being made after 180 days, the input tax is no longer eligible to be deducted from the output tax. If the input tax has already been claimed in previous months, it will reduce the input tax of the current month due to the default in payment within the stipulated time. Despite the payment being made through a crossed cheque drawn on the seller's business bank account, the transaction is not admissible for the purpose of claiming input tax as it was made after 180 days from the issuance of the tax invoice.

iv. Destruction of damaged goods

Where any goods are returned by the buyer on the ground that the same are unfit for consumption and are required to be destroyed by the supplier, the goods shall be destroyed after obtaining permission from the Collector of Sales Tax having jurisdiction, and under the supervision of an Inland Revenue Officer not below the rank of an Assistant Collector as may be deputed by the Collector for the purpose and the input tax credit in respect of goods so destroyed shall not be admissible.

v. Joint and several liability of registered persons in supply chain where tax unpaid

Where a registered person receiving a taxable supply from another registered person is in the knowledge or has reasonable grounds to suspect that some or all of the tax payable in respect of that supply or any previous or subsequent supply of the goods supplied would go unpaid, of which the burden to prove shall be on the department, such person as well as the person making the taxable supply shall be jointly and severally liable for payment of such unpaid amount of tax

vi. Payment through credit card

Although payment made through a credit card is considered as payment made through a banking channel, yet the payment must be verifiable from the business bank accounts of both the buyer and the seller. Since the director made the payment from his personal credit card, therefore, company will not be able to obtain input tax on its payment due to non-verifiability of the said payment from the business bank account of the company.

4 TAX REFUNDS, ASSESSMENT AND RECOVERY

4.1 Refund of input Tax [Sec 10]

- If the input tax paid by a registered person on taxable purchases made during a tax period exceeds the output tax on account of zero rated local supplies or export made during that tax period, the excess amount of input tax shall be refunded to the registered person not later than forty-five days of filing of refund claim in such manner and subject to such conditions as the Board may, by notification in the official Gazette specify.
- In case of excess input tax against supplies other than zero-rated or exports, such excess input tax may be carried forward to the next tax period and shall be treated as input tax for that period.
- The Board may, subject to such conditions and restrictions as it may impose, by notification in the official Gazette, prescribe the procedure for refund of excess input tax against other taxable supplies.
- The Board may, from such date and subject to such conditions and restrictions as it may impose, by notification in the official Gazette, direct that refund of input tax against exports shall be paid along with duty drawback at the rates notified in the said notification.
- If a registered person is liable to pay any tax, default surcharge or penalty payable under any law administered by the Board, the refund of input tax shall be made after adjustment of unpaid outstanding amount of tax or default surcharge and penalty, as the case may be.
- Where there is reason to believe that a person has claimed input tax credit or refund which was not admissible to him, the proceedings against him shall be completed within 60 days. For the purposes of enquiry or audit or investigation regarding admissibility of the refund claim, the period of 60 days may be extended up to 120 days by an officer not below the rank of an Additional Commissioner Inland Revenue and the Board may, for reasons to be recorded in writing, extend the aforesaid period which shall in no case exceed (9) nine months.

4.2 Best Judgment assessment [Sec 11D]

- If a person fails to file a sales tax return in response to a notice or does not produce requested accounts, records after a show cause notice is issued, the CIR may make a best judgment assessment based on available information and may also charge penalty and default surcharge.
- However, if the person files the return within sixty days of issuance of the best judgment order and pays the amount of tax payable along with default surcharge and penalty, the notice to show cause and the order of assessment shall abate.
- Where FBR has specified conditions for the purpose of determination of minimum tax liability in respect of a person who is required to file return but who fails to file such return, the Officer of Inland Revenue shall determine such liability of the registered person in accordance thereof.
- Notwithstanding anything contained in this section, in case of person who is liable to be registered as Tier-1 retailer based on tax withheld under section 236G of Income Tax Ordinance, 2001 and does not furnish a return upon notice, an officer of inland revenue may assess sales tax liability on the value addition on reasonable grounds including information obtained from the purchase data under section 236G of Income Tax Ordinance, 2001.

4.3 Determination of Minimum tax liability [Rule 157-158]

- Where a registered person fails to file a return by the due date, an officer shall issue a notice to file a return within fifteen days, failing which his minimum liability would be determined.
- If the registered person files the return within the time stipulated in the notice, the notice shall abate.
- If otherwise, the officer shall proceed to determine the minimum liability in the following manner:
  a) The minimum tax liability of the registered person for a tax period shall not be less than the highest amount of tax paid by the registered person in any of the tax periods during the previous twelve months.

b) In case the tax paid in the previous twelve months is Nil, the minimum tax liability shall be calculated on the basis of the monthly average of the sales declared by the registered person to the income tax department for the last assessment year.

c) In case minimum tax liability cannot be determined in the manner given above, it shall be determined taking into account three or more of the following factors: (a) Location of business; (b) Type of business (i.e., retail etc.); (c) Item produced/supplied or service provided; (d) No of persons employed; (e) Capital employed in the business; (f) Amount of utility bills i.e., phones, electricity, gas and water; and (g) Production capacity of machinery installed.

The assessment order determining the minimum liability shall be communicated to the registered person.

- If the registered person files the return and pays the due amount of sales tax for the tax period along with additional tax and penalty within one month of the determination made as above, the order of minimum tax liability will be considered to have been withdrawn. In case the registered person does not pay the amount of sales tax determined for the tax period, the tax liability determined will be recovered under section 48 of the Sales Tax Act, 1990

The determination made in the aforesaid manner shall be the minimum liability, and the payment thereof shall not absolve the registered person of further liability which may accrue or be determined at a later stage through audit or otherwise on the basis of available record under the provisions of law.

4.4 Assessment of tax and recovery of tax not levied or short levied or erroneously refunded. [Sec 11E]

1. Where due to any reason, any tax or charge has not been levied or short levied or where the officer of Inland Revenue not below the rank of Assistant Commissioner suspects on the basis of audit or otherwise that due to any reason a person has-

   a) not paid or short paid due sales tax;

   b) claimed input tax credit or refund which is not admissible; or

   c) has obtained an amount of refund not due, the officer of Inland Revenue after issuing a show cause notice to the person shall pass an order to determine and recover the amount of tax unpaid or short paid, inadmissible input tax or refund, or unlawful refund obtained and shall also impose penalty and default surcharge in accordance with sections 33 and 34:

   Provided that this section shall not apply to the extent of proceedings initiated under section 37A of the Act.

2. For the purposes of sub-section (1), the officer of Inland Revenue may also disallow input tax on goods or services if the taxpayer is unable, without reasonable cause, to provide a receipt, or invoice or other record or evidence of the transaction or circumstances giving rise to such claim.

3. Where a tax or charge has not been levied under clause (a) of sub-section (1), the amount of tax shall be recovered as a tax fraction of the value of supply.

   The word "Tax fraction" as defined under the Sales Tax Act, 1990 is as follows:

   “Tax fraction” means the amount worked out in accordance with the following formula:

   a/100+a

'a' is the rate of sales tax.

4.5 Faceless audit and assessment (Sec 11H)

Historically, audit and assessment proceedings under the Sales Tax Act, 1990 have involved direct interaction between the taxpayer and an identifiable jurisdictional officer through requisition of records, correspondence and personal hearings.

The Finance Act, 2026 marks a significant departure by inserting section 11H, which empowers the Board to conduct certain audits, orders and rectification proceedings in a faceless manner, as may be prescribed by the Board from time to time.

Scope

Notwithstanding anything contained in any other provision of the Act, the following may be conducted in a faceless manner:

- audit under sections 25 and 72B;
- any order made under section 11E; and
- rectification under section 57,

in respect of the cases specified under section 11H(2).

Coverage

Faceless assessment shall apply to such persons or class of persons, incomes or class of incomes, or cases or class of cases as may be specified by the Board.

Procedure

The provisions of section 25 shall apply to an audit conducted in a faceless manner under section 11H. Where an opportunity of being heard is required to be provided during the audit, or a statement under oath is required to be obtained under section 37, the same shall be conducted through E-hearing.

Confidentiality

The identity of the officer conducting the E-hearing, including facial and voice identity, shall be kept confidential.

4.6 Limitation of assessment (Sec 11G)

- The show cause notice under sections 11D to 11F shall be issued within five years from the end of the financial year in which the relevant date falls.
- An order under sections 11D, 11E and 11F shall be made within one hundred and eighty days of issuance of show cause notice or within such extended period as the Commissioner may, for reasons to be recorded, in writing specify, provided that such extended period shall in no case exceed ninety days.
- Any period during which the proceedings are adjourned on account of a stay order or Alternative Dispute Resolution proceedings or the time taken through adjournment by the registered person not exceeding sixty days shall be excluded from the computation of the said period
- For the purpose of sections 11D, 11E and 11F, the words "relevant date" means
  a) the time of payment of sales tax or charge as provided under section 6;
  b) the time of payment for goods or services on which sales tax was to be withheld under sub-section (7) of section 3; and
  c) in a case where sales tax or charge has been erroneously refunded, the date of its refund.

4.7 Limitation for issuing orders in certain cases (Sec 11B)

For the purposes of issuing an assessment order or any other order in consequence of or to give effect to any order made by the Commissioner (Appeals), Appellate Tribunal, High Court, or Supreme Court, the provisions of section 124 of the Income Tax Ordinance, 2001 shall apply mutatis mutandis.

4.8 Recovery of short paid amounts without notice [Sec 11A]

- Where a registered person pays the amount of tax less than the tax due as indicated in his return, the short paid amount of tax along with default surcharge shall be recovered from such person by stopping removal of any goods from his business premises and through attachment of his business bank accounts. Any of these actions may be taken without giving him a show cause notice and without prejudice to any other action prescribed under section 48 of this Act or the rules made thereunder.

  Provided that no penalty under section 33 of this Act shall be imposed unless a show cause notice is given to such person.
- Provisions of this section shall apply notwithstanding any of the provisions of this Act.

CHAPTER 19

RETURNS AND RECORDS

IN THIS CHAPTER:

1. Returns
2. Records
3. Miscellaneous

1 RETURNS

1.1 Returns [Sec 26 to 28]

- A Sales Tax return is the taxpayer's document of declaration through which the taxpayer not only furnishes the details of transactions during a tax period but also determines his sales tax liability.
- On the return form, the taxpayer declares, for a particular tax period, his respective input tax and output tax for different categories of taxpayers; monthly, quarterly or annual returns may be filed on a prescribed format.
- The officer of Inland Revenue may, by notice in writing, require any person who, in his opinion, is required to file a return under this section for a tax period or tax periods but who has failed to do so, to furnish the return or returns within fifteen days from the date of service of such notice or such longer or shorter period as may be specified in such notice or as the officer of Inland Revenue may allow
- Provided that the notice under this sub-section shall only be issued within fifteen years from the end of the financial year in which the return was to be filed, in cases of tax fraud and five years in all other cases
- Every online marketplace shall furnish not later than the due date a true, complete and correct monthly statement in the prescribed form, indicating the supplier-wise amount paid and tax due and such other information of the taxable supplies of digitally ordered goods irrespective of the economic ownership of the supplies from within Pakistan.
- Every payment intermediary and courier shall furnish not later than the due date a true, complete and correct monthly statement in the prescribed form, indicating the supplier-wise amount paid and tax due and such other information for taxable supplies of digitally ordered goods from within Pakistan through an online marketplace, website and software application and delivering goods using its payment platform or courier service as the case may be.

  The following returns may be filed under the Sales Tax Act by the taxpayers:

  - Monthly return
  - Quarterly return
  - Annual return

Monthly Return

- Every registered person shall furnish a true, complete and correct return in the prescribed form up to the 15th day of the month next following the end of the tax period.
- The return shall be filed in the bank or any other office specified by the Board. (Read with 1.3 below)

Quarterly Return

- The Board may, by notification in the official Gazette, require any person or class of persons to submit a return on a quarterly basis.
- Further, the Board may, by notification in the official Gazette, require any person or class of persons to submit such return as may be prescribed annually in addition to the monthly return or quarterly return.

Annual return - Rule 17

A private or public limited company is required to file an annual sales tax return for a financial year by 30th September of the following financial year.

1.2 Return for person operating in different sectors - Rule 14(2)

In case a registered person operates in different sectors for which different dates of filing of return have been prescribed in any rules made under the Sales Tax Act, 1990 or the Federal Excise Act, 2005, such person shall file a single return for all such sectors by the due date applicable to his major activity in terms of sales tax or federal excise duty payable.

1.3 Electronic filing - Rule 18

- The return filed electronically on the web, or any magnetic media or any other computer-readable media (as may be specified by the Board) shall also be deemed to be a valid return filed. The Board is authorised to make rules for determining eligibility of the data of returns filed electronically and e-intermediaries who will digitise the data of such returns and transmit the same electronically under their digital signatures.
- Every registered person required to file return or other statement as prescribed or any notification issued thereunder shall file such a return or, as the case may be, statement, electronically in the manner as specified by the Board through a general order.
- A registered person filing returns electronically shall make payment of the amount of sales tax due, if any, in any of the designated branches of the National Bank of Pakistan.
- In case where the due date has been prescribed as the 15th of a month, the tax due shall be deposited by the 15th and the return shall be submitted electronically by the 18th of the same month.
- Return filed by the buyer for a tax period shall be taken as a provisional return in IRIS, until the respective seller files his return for the same tax period within up to the last day of the month in which the due date of filing of return falls.
- If the seller fails to file his return by the last day of the month in which the due date of filing of return falls, the invoices issued by the non-filer seller will be deleted by IRIS from the return of the buyer and sales tax liability of the buyer will be calculated without corresponding input tax in the provisional return of the buyer. Such provisional return shall be taken as valid by IRIS after payment of the said computed sales tax liability.
- In cases where the seller files his return accompanied by payment of sales tax by the last day of the month in which the due date of filing of return falls, the provisional return of the buyer shall be taken as valid by IRIS with the claim of invoices and corresponding input tax.
- A registered person can only claim the amount of sales tax withheld by a withholding agent if he declares the corresponding sales to such withholding agent in his return. Otherwise, the amount of sales tax withheld and reduction in output tax shall not be allowed to such person.

1.4 Extension of time for furnishing returns

- A registered person required to furnish a return under section 26 may apply, in writing, to the Commissioner for an extension of time to furnish the return.
- An application for extension shall be made by the due date for furnishing the return in terms of section 2(9) for the period to which the application relates.
- Where an application has been made, and the Commissioner is satisfied that the applicant is unable to furnish the return to which the application relates by the due date because of–

  a) absence from Pakistan;

  b) sickness or other misadventure; or

  c) any other reasonable cause,

  the Commissioner may, by order in writing, grant the applicant an extension of time for furnishing the return.
- An extension of time shall not exceed fifteen days from the due date for furnishing the return, unless exceptional circumstances justify a longer extension of time.

  Provided that where the Commissioner has not granted an extension for furnishing the return, the Chief Commissioner may, on an application made by the registered person for extension or further extension, as the case may be, grant extension or further extension for a period not exceeding fifteen days, unless exceptional circumstances justify a longer extension of time.
- An extension or further extension of time granted shall not, for the purpose of charge of default surcharge under section 34, change the due date for payment of sales tax.

1.5 Particulars of sales tax return

i. The return shall indicate: Sales tax registration number (STRN), name and address of the supplier.

ii. Name, address and registration number of the recipient and in case of supplies by a manufacturer or importer to an unregistered distributor, the NIC or NTN of such unregistered distributor, as the case may be.

Explanation—For the purpose of this clause, ordinary consumer means a person who is buying goods for his own consumption and not for the purpose of resale or processing: Provided that the condition of NIC or NTN shall be effective from 1st August, 2019;

iii. Date of issue of invoice;

iv. Description, including count, denier and construction in case of textile yarn and fabric and quantity of goods;

v. Tax credit carried forward from previous period.

vi. Value of supplies

vii. Output tax due on supplies as under:

a) Local taxable supplies

b) Exempted supplies

c) Zero rated supplies

viii. Value of purchases;

ix. Input tax paid on purchases as under:

a) Local taxed goods

b) Imported taxed goods

c) Exempted purchases

d) Zero rated purchases

e) Other purchases

x. Arrears payable

xi. Amount payable/refundable.

- The registered person shall deposit in the banks the amount of sales tax indicated as "Sales Tax Payable" in the return at the time of filing of return.
- In case no amount of sales tax is payable by the registered person, he shall file a "Nil" return without depositing any amount.
- A registered person may file a revised return to correct any omission or wrong declaration made in a return filed under section 26 or 27, subject to approval of the Commissioner Inland Revenue having jurisdiction within 120 days of filing of return.
- Unless restricted by the compliance risk management system of the FBR, the approval for revision of return, shall not be required if revised return is filed within sixty days of filing of return and the tax payable therein is more than the amount paid or the refund claimed therein is less than the amount as claimed, under the return sought to be revised.

Provided further that not more than one tax invoice shall be issued for a taxable supply:

- Provided also that if it is subsequently proved that the CNIC provided by the purchaser was not correct, liability of tax or penalty shall not arise against the seller, in case of sale made in good faith.

If a registered person wishes to file a revised return voluntarily along with deposit of the amount of tax short paid or amount of tax evaded along with default surcharge, whenever it comes to his notice, before receipt of notice of audit, no penalty shall be recovered from him.

However, in case the registered person wishes to deposit the amount of tax as pointed out by the officer of Inland Revenue during the audit, or at any time before issuance of the show cause notice, he may deposit the evaded amount of tax, default surcharge under section 34, and twenty-five per cent of the penalty payable under section 33 along with the revised return.

Further, in case the registered person wishes to deposit the amount after issuance of show cause notice, he shall deposit the evaded amount of Sales Tax, default surcharge under section 34, and full amount of the leviable penalty under section 33 along with the revised return and thereafter, the show cause notice shall stand abated.

- Board may require any person or classes of persons, for any goods of such description, or class, to furnish such summary or details or particulars relating to imports, purchases and supplies made by them during any tax period or periods in such format as may be specified.

1.6 Special return [Sec 27]

- In addition to the return specified u/s 26, a registered person may be required to file a special return containing information relating to:
  i. Quantity of goods manufactured or produced.
  ii. Purchases made.
  iii. Goods supplied.
  iv. Payment of arrears made.
- This special return will be for such period as the Board may, by a notification in the Official Gazette, specify.
- The Commissioner may also require from any person whether he is registered or not, a return in a prescribed form and such person shall furnish the return not later than the date specified in this regard. This return may be demanded from any person in respect of information relating to himself or relating to his principal if he is acting as agent.

1.7 Final return [Sec 28]

If a person applies for de-registration in terms of section 21, he shall before such de-registration, furnish a final return to the Commissioner in the specified form, in such manner and at such time as directed by the Commissioner.

1.8 Returns deemed to have been made [Sec 29]

A return purporting to be made on behalf of a person by his duly appointed representative shall, for all purposes, be deemed to have been made by such person or under his authority unless proved to the contrary.

1.9 Summary of returns and their filing dates

Summary of returns and their filing dates is given hereunder:

Filer	Nature of Return	Due Date
Registered Person	Monthly return	15th of next month following any tax period (*Electronic filing – 18th of next month, where sales tax payable with the return is paid till 15th day as specified above.)
Registered or unregistered	Special return	On the date specified by the commissioner in its notice calling for such return.
Person applied for de-registration	Final return	On the date specified by the commissioner
Every private or Public Limited Company	Annual return	30th of September following the year end.

2 RECORDS

2.1 Records [Sec 22]

- A registered person shall maintain the following records of goods purchased locally or imported and supplies (including zero-rated and exempt supplies)
- Records of supplies indicating
  - description
  - quantity
  - value of goods
  - name and address of the person to whom supplies were made
  - the amount of the tax charged;
- Records of goods purchased showing
  - description
  - quantity
  - value of goods
  - name, address and registration number of the supplier
  - the amount of the tax on purchases;
- Records of goods imported showing
  - description
  - quantity
  - value of goods
  - the amount of the tax paid on imports;
- Records of zero-rated and exempt supplies;
- Double entry sales tax accounts;
- The following further records are desired
  - Tax invoices
  - Credit notes, debit notes,
  - Bank statements,
  - Banking instruments in terms of section 73
  - Inventory records,
  - Utility bills,
  - Cash book
  - Salary and labour bills
  - Rental agreements,
  - Sale-purchase agreements and
  - Lease agreements;
  - Record relating to gate passes, inward or outward, and transport receipts;
  - Electronic version of records mentioned above
  - Such other records as may be specified by the Board.

Provided that the persons paying retail tax shall keep such record as may be specified by the Board.

- The Board may also require a registered person or class of registered persons to declare and use only such number of business bank accounts as may be specified by the Board in such notification to make or receive payments on account of purchase and sale transactions for the purpose of the Sales Tax Act, 1990 or rules made thereunder and to make payment of due tax from such accounts only.
- The Board may specify to keep such other records for sales tax law purposes.
- The Board may specify the use of such electronic fiscal cash registers as are approved by the Board.
- The registered person shall keep the aforesaid record at his business premises or registered office in English or Urdu language.
- The registered persons, whose accounts are subject to audit under the Companies Act, 2017, shall be required to submit a copy of the annual audited accounts, along with a certificate by the auditors certifying the payment of due tax by the registered person.

2.2 Tax invoices [Sec 23]

- A registered person making a **taxable as well as exempt supply** shall issue a tax invoice, including an **advance receipt invoice**, bearing a **verifiable and unique FBR invoice number**, at the time of supply of goods, containing the following particulars in **Urdu or English**, namely:

  i. name, address and registration number of the supplier;

  ii. name, address and registration number of the recipient and, in the case of supplies by a **manufacturer or importer to an unregistered distributor**, the NIC or NTN of such unregistered distributor, as the case may be;

  Explanation— for this purpose, an ordinary consumer means a person who purchases goods for his own consumption and not for resale or processing.

  Provided that the Board may notify any person or class of persons who may be allowed to issue an advance receipt invoice within the notified system.

  Provided further that the requirement of a verifiable and unique FBR invoice number shall apply from such time as may be notified by the Board.

  iii. date of issue of invoice;

  iv. description and quantity of goods, including count, denier and construction in the case of textile yarn and fabric;

  v. value exclusive of tax;

  vi. amount of sales tax; and

  vii. value inclusive of tax:

- **No person other than a registered person or a person paying retail tax shall issue an invoice under this section.** Further, not more than one tax invoice shall be issued for a taxable supply.
- A registered person making a taxable supply may issue an **electronic invoice**, subject to such conditions, restrictions and limitations as the Board may specify by notification in the official Gazette.
- The Board may, by notification in the official Gazette, prescribe the **manner and procedure for regulating the issuance and authentication of tax invoices** and may specify **modified invoices for different persons or classes of persons**.
- The Board may, by notification in the official Gazette, require any person or class of persons to **integrate their electronic invoicing system with the Board's computerised system for real-time reporting of sales**, in such mode and manner and from such date as may be specified.
- Debit/credit notes must also be generated digitally.

- A **licensed integrator** shall integrate the electronic invoicing system of the registered persons referred to in sub-section (5), in such mode and manner as may be prescribed. Further, from such date and in such mode and manner as prescribed by the Board, **all Tier-1 retailers shall integrate their retail outlets with the Board's computerised system for real-time reporting of sales.**
- Where any goods are transported or supplied, the registered person shall ensure the **generation and linkage of the tax invoice with the e-Bilty** generated under section 40C of the Sales Tax Act, 1990 and section 83C of the Customs Act, 1969.

2.3 Retention of record and documents for six years [Sec 24]

A person shall retain the record and documents for a period of six years after the end of the tax period to which such record or documents relate or till the final decision in any proceedings including proceedings for assessment, appeal, revision, reference, petition and any proceedings before an alternative Dispute Resolution Committee.

3 MISCELLANEOUS

3.1 Audit of sales tax affairs [Sec 25]

- The Commissioner, on the basis of reasons recorded in writing, may direct an officer of Inland Revenue not below the rank of Assistant Commissioner to conduct an audit of the sales tax affairs of any registered person and issue a notice to the registered person intimating him of the audit.

  Explanation: The powers of the Commissioner to direct an audit and issue a notice under this section are independent of the powers of the Board under **section 72B**, and nothing contained in section 72B restricts the Commissioner's powers in this regard. The Commissioner shall communicate the reasons to the registered person whose audit is to be conducted through the notice. However, the Commissioner **may not provide an opportunity for a hearing before issuing the audit notice**.

- The reasons for the audit shall be based on scrutiny of available records, including **sales tax and federal excise returns, income tax returns and withholding statements, financial statements or third-party information**.

- The reasons shall not be based merely on verification of input tax, output tax, refund claims or compliance with legal provisions without identifying **risk factors** requiring such verification.

- After issuance of the notice, the officer of Inland Revenue may call for any records or documents, including records maintained under the Act, the rules made thereunder or any other law for the time being in force, for conducting the audit.

- Where such records or documents are maintained electronically, the registered person shall allow the **authorised officer of Inland Revenue** access to the machine and software on which the data is maintained. The officer may also obtain duly attested hard copies of such information or data from the registered person.

- The officer of Inland Revenue shall not call for records or documents of a registered person after the expiry of **six years from the end of the financial year to which they relate**.

- The officer of Inland Revenue may require the registered person to attend his office personally or through an authorised representative. The registered person shall produce such accounts, documents or evidence as the officer may consider necessary.

- An officer of Inland Revenue not below the rank of Assistant Commissioner may conduct, or cause to be conducted, such enquiry and obtain such information from any third party as he considers appropriate.

- An officer of Inland Revenue not below the rank of Assistant Commissioner shall conduct the audit to verify the correctness or otherwise of the **declared tax liability, output tax, input tax claimed, tax paid, refund claimed, and stocks consumed or available**, and to ascertain compliance or otherwise with the provisions of the Act and the rules made thereunder, on the basis of the records and evidence obtained.

- The officer of Inland Revenue may conduct audit proceedings electronically through **video links or any other facility prescribed by the Board**.

Re-audit or re-valuation [25(8A)]:

At any stage of the proceedings, the Commissioner may, having regard to any of the following factors and in the interest of revenue, direct the registered person to:

- get the accounts **re-audited by an accountant** and furnish a report duly signed and verified by the accountant, including answers to specific queries raised by the Commissioner; or

- get the inventory **re-valued by a cost accountant** and furnish a report duly signed and verified by the cost accountant, including answers to specific queries raised by the officer of Inland Revenue.

Trigger

The Commissioner may exercise this power having regard to:

- the nature and complexity of the accounts;
- the volume of the accounts;
- doubts about the correctness of the accounts;
- multiplicity of transactions in the accounts; or
- the specialised nature of the registered person's business activity.

Safeguards:

The Commissioner may exercise this power only after providing the registered person with a **reasonable opportunity of being heard** and obtaining the **previous approval of the Chief Commissioner**.

Panel:

The accountant or cost accountant shall be nominated by the Commissioner from the panel of accountants or cost accountants nominated by the Board.

Audit Report and Assessment

After completion of the audit, the officer of Inland Revenue shall, after obtaining the registered person's explanation on all issues raised during the audit, issue an **audit report containing audit observations and findings**.

- After issuing the audit report, the officer of Inland Revenue may, if required, pass an order under section 11E (Assessment of tax and recovery of tax not levied or short levied or erroneously refunded), after providing an opportunity of being heard to the registered person.
- Where a registered person fails to produce any accounts, documents, records, electronically maintained records, electronic machine or other evidence required for the purposes of the audit, the officer of Inland Revenue may proceed to make a **best judgment assessment under section 11D**.

Voluntary Payment of Short-Paid or Evaded Tax

- Notwithstanding the penalties prescribed under section 33, where a registered person voluntarily deposits the amount of **tax short-paid or tax evaded together with default surcharge**, before receipt of the audit notice, no penalty shall be recovered from him.
- Where the registered person deposits the tax short-paid or tax evaded together with default surcharge **during the audit or before issuance of a show-cause notice under section 11E**, he may deposit the evaded tax, default surcharge under section 34 and **25% of the penalty** payable under section 33.
- Where the registered person deposits the tax short-paid or tax evaded together with default surcharge **after issuance of a show-cause notice under section 11E**, he shall deposit the evaded tax, default surcharge under section 34 and **50% of the penalty** payable under section 33. Thereafter, the show-cause notice shall stand abated.

3.2 Drawing of samples [Sec 25A]

- An authorized officer of Inland Revenue, if consider it necessary, may take a sample of any goods or raw materials, for the purpose of:
  - i. determining the liability to sales tax of a registered person; or
  - ii. for the purpose of establishing the value of goods; or
  - iii. for any other reason.

- The sample drawn shall be a minimum quantity of goods or raw materials sufficient to enable a proper examination or analysis to be made.
- At the time of taking the sample, the person in possession of the goods shall be informed and given the opportunity to sign the representative samples so drawn, and take a corresponding sample for his own record.
- Any sample taken as above shall be taken against a proper receipt, a copy of which shall be kept in the record by the registered person and the Large Taxpayers Unit or Regional Tax Officer, as the case may be.

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TAXATION PRINCIPLES AND COMPLIANCE

Study Text